

V-Mart Retail (VMART)

Conference call transcripts, oldest-first. 17 call(s). Generated 2026-08-02.

Call: Oct 2022

Ref. No. CS/S/L-609/2022-23 20th October, 2022

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Sub: Transcript of the Conference Call held on 18th October, 2022

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and amendment thereof. In reference to our letter dated 17th October, 2022 (Ref. No. CS/S/L-605/2022-23) regarding the intimation of the conference call with Analysts and Investors held on 18th October, 2022, please find enclosed the transcript of the aforementioned conference call.

The above information is also available on the Company's website: www.vmart.co.in .

We request you to kindly take the above information on record.

Thanking You,

Yours Truly
For V-Mart Retail Limited

Anand Agarwal
(Chief Financial Officer)

Encl: As above

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"V-Mart Retail Limited Conference Call on Acquisition
of LimeRoad Business"

October 18, 2022

MANAGEMENT : MR. LALIT AGARWAL – MANAGING DIRECTOR, V-MART RETAIL LIMITED
MR. ANAND AGARWAL – CFO, V-MART RETAIL LIMITED
MODERATOR : MR. ANKIT KEDIA – PHILLIPCAPITAL (INDIA) PRIVATE LIMITED

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Moderator: Ladies and gentlemen good day and welcome to the Conference Call on V-Mart Acquisition of LimeRoad business hosted by PhillipCapital (India) Private Limited. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankit Kedia from PhillipCapital (India) Private Limited. Thank you and over to you sir.

Ankit Kedia: Thank you Vivian. Good afternoon, everyone. Welcome to the V-Mart Retail conference call to discuss the acquisition of LimeRoad business. On the call we have with us Mr. Lalit Agarwal – Managing Director and Anand Agarwal – Chief Financial Officer. Without any further delay I would like to hand over the call to Lalit Ji to take us through the rationale for the acquisition and then we will open the floor for Q&A. Over to you Lalit Ji.

Lalit Agarwal: Good afternoon and good evening, everyone. Thank you for coming on the call on a simple request, we just made an announcement yesterday and we wanted to appraise and apprise everyone about the little bit details on the acquisition. We know this is a small size acquisition but still more clarity can be offered to them. This call is only for this acquisition and this particular online piece. But other than that, I will not be able to answer any kind of current market situation and current market response and performance question.

We announced this deal and we all know that we have been speaking about it and a lot of the questions in the earlier calls from most of the analysts and the investors have been what are we doing towards omni retail, what are we doing towards online, how is it working, what are you seeing as a threat? So, to try and answer all of this and we were thinking and we were trying to build on our own model and what we were doing is for the last 3 years we were trying to do a lot of activities. We have launched this portal almost 2.5 years back vmartretail.com. We built this team. We were focusing on bringing the sales up. But somewhere I realized that something was missing and something very-very good was not being able to do. We were not able to create the right technology, we were not able to create the right team. We were still not able to acquire those kind of digital customers and convert customers who are there on the digital platforms. So, some of those things we thought and we understood that this is something which needs a little more of digital culture, little more of digital understanding which is largely with startup world in India and which is there which people have demonstrated their true understanding of digital commerce. That is where we were trying to look for some opportunities outside and how could we acquire people, how could we look at things and then we came across this particular asset which we thought was a great effect which we understood well. We understood the promoters, we understood the culture, we understood the value systems, we understood their numbers.

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We saw this marketplace as a real good technology and good team which understood the consumer which is fashion led consumer and which has done over the last one decade which has really done a remarkable job in terms of their creativity, their content, their engagement activities, their product lines, their communications, their logistics and supply chain work that they've done. So, some of these ideas they really crafted and curated this particular model towards fashion. As you all know that V-Mart has been very highly focused on the value fashion where we definitely want to regul

arly keep providing those trendiest fashion to our consumer base in our market. That has been our approach and that is what we are known for and that is what we have been regularly saying.

Just to add on to that we thought this portal, this particular channel is very interesting and it will definitely add more fashion quotient in our overall strategy, in our overall look and feel, in our overall customer aspirations. What we wanted to target is we wanted to target this millennial population which is a digital first customer which is actually growing and which is becoming larger and larger. This digital first customer we all understand that they have their own symptoms

their own syndromes. They want to shop from the particular place and they want to look different. They want to be seen different in a different zone and a different geography and different product line and a different brand. That is what we are trying to target from this particular acquisition that how do we track this particular digital first customer. These are customers who are still coming to us. There are a lot of them who may not be coming to us, who are still not looking us as their brand. So how do we bring those customers and that is what the strength of this particular team is and this particular brand is. They have been regularly attracting this particular audience. Within this audience also they have been attracting the women audience which is the great, which is the toughest not to crack. They have the women audience; the women folks have been the difficult folks in fashion industry. The fashion quotient changes very fast. The speed at which the fashion changes is also very high, whether it is ethnic fashion or it is western fashion. Somewhere what we understood in the whole process of marketplace in women's fashion which we saw in the women's wear segment if you all remember every time, I keep talking about it, large portion of India wears traditional wear or ethnic wear and within traditional and ethnic wear there is a huge amount of diversity across the states and across regional geography. That is where you need so many designs and so many styles and there is a localization need and there is a local trade which is required.

So here when we look at our V-Mart's own fundamental processes and fundamental customer segment and our own share of mix, we see this as a big bottleneck and somewhere we are not able to cater to that. That is why women wear as a percentage of sales mix is very low in our particular performance. So, we believe that in women wear we need more minds to create product, we need more vendors who could create multiple designs, we need more curated fashion for those regions and for those geographies where those kind of products are there. That is where in my store, in our store we've got a limitation of space, we have a limitation of design, we buy

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out inventory. There's high chances of the inventory getting sold in the right place or not getting dispatched at the right place. So, there are the risk on the women's wear fashion that we anticipated and we saw and that is why we could not take so many chances and so much of risk to provide product across the stores. In the marketplace what happens when you have multiple vendors on boarded on a portal, there are multiple product lines that you get listed and these product lines are now available to multiple stores in multiple geographies or multiple geographies to multiple customers. All of these customers can choose their own pattern, their own color chart, their own style, their own vendor base, their own dialect or their own taste. That is very important where we could definitely provide diversity in fashion which is more attuned to the women audience. That is one particular point but otherwise other than that we always have believed that is why we are not 100% private label. We alw

ays have given a space to a market

label also where we believe products which are good quality, good fashion and good prices are always accepted by my customer and we always believe in this theory that good product is important to offer to the customer. That is why with the same approach we believe even the marketplace where vendor owns the inventory or vendor can unleash those inventory, this can be an additional benefit to both our V-Mart customer who is present in the offline space who is not there in the offline but there in the home or is not able to come to the store to take the deliveries and pick the product can actually order them online, can use those product lines also as the endless aisle and all the V-Mart products and all the V-Mart customers can actually go on this LimeRoad portal as a single digital arm for both V-Mart as well as Unlimited customers.

That's the plan that we have that our vmartretail.com will get merged into the limeroad.com and limeroad.com becomes our digital arm for both the brands that we have, Unlimited in Southern India and V-Mart in the rest of India. That's the whole model that we are trying to build. Here we definitely love the team, which is there working, Suchi Mukherji, who has founded this company and I'm so impressed by her understanding of consumer, her understanding of market, her understanding of creativity content product and the team and the way she handles. She's a great leader. I really believe that she could really take this journey forward and take this understanding of her own understanding over consumer in India and the understanding of digital space and the understanding of fashion and work along with V-Mart's team so that we could actually synergize and create the real omni world, most powerful omni channel retailer. That's what we want to create ourselves as and that's what we are trying to aim at. Definitely the team below her, there's a co-founder Ankush, who is also a great resource who understands supply chain and business very well and the entire team. There is a good amount of digital team, tech team and we definitely have been chasing the technology and the digitalization space.

This also gives us a lot of input and a lot of benefit on overall improvement on our technology, overall improvement on our digitalization which gives us more power on our analytics, gives us more power on our digitalizing the entire process as well. Those are how the second phase works.

But the first phase is how do we convert this channel to an omni channel, how do we bring the customers on the same platform. Definitely there are confusions over the brand V-Mart, V-Mart Retail Limited
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Unlimited and now a new LimeRoad. But yes, we don't want to lose over the asset of LimeRoad brand. LimeRoad has its own big customer base, almost 17 million customers are registered with LimeRoad. That's a very important asset in the digital space. We know how much e-commerce companies have spent over the years over the acquisition of a single customer where Rs. 800 to 1000 getting spent on acquisition of one customer. So, 17 million customers is a big number and big asset which we want to really use. And added with that we've got 30 million customers who are already in V-Mart store and registered with us. I think we can really offer a new perspective to even our customer and the LimeRoad customer. Plus, there's a large opportunity to acquire new customers because a lot of shift has happened since COVID and post-COVID. These new generation, new millennials and this Z generation kids they all want to shop online and want to have the best fashion.

So, I think there's a huge opportunity, we will as a team do lot of synergies because there is a lot of opportunity over kids wear, men's wear which they are still not doing good. There's a huge opportunity to uplift the kids wear and men's wear category in the LimeRoad segment, bringing

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about those kind of product on the Rs 800-900 crores of inventory that V-Mart has. All those inventory get listed, get live on the LimeRoad portal that can really uplift the LimeRoad's expectations. There is definitely a great demand that we have seen of V-Mart's product on the market places because Myntra and Amazon and Flipkart, all the three portals have really given us very good response. Myntra specially has given a very good response which shows our acceptability of products in the digital space in the e-commerce world. This is a great opportunity which I believe which we will focus on. The numbers that they have are also better than the market numbers, the benchmark of market which we see which you have known those people who have filed their DRHP or people who have come with a public issue, they have their numbers in the market and we compare those numbers with their numbers. Most of the numbers, most of the either marketing returns or the logistic cost or the operational cost. All of those numbers they call CM 1 and CM 3, so all of those numbers are better or similar to the best of the marketplaces. We are very confident on the number, the same mindset that V-Mart has over the cost control, over the efficiency generation point of view I think the same value systems exist in the LimeRoad team under Suchi and the same efficiency is being seen there. We saw some of those very good collaboration points, those common value systems, those common DNA which actually drives efficient and profitable model so that's the opportunity. They were CM 3 profitable before COVID, there could be.... we will definitely target to become profitable with the synergies that V-Mart can bring in, both in terms of quality products where the quality is an important parameter for e-commerce space. Most of the customers, consumers who have gone on e-commerce and purchased from e-commerce have not shown great confidence over quality because they are still a marketplace without any control over the quality. At V-Mart we have a huge control over quality. We could really beat this particular market on the quality parameters, aided by fresh fashion and aided by our private labels which is our strength and the designer strength that we have. We actually test this market very nicely.

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These are the fundamental areas, our investment that we have done. Let me just clarify over the investment if you want. What we have done is we have taken over the liabilities of LimeRoad, whatever today's liabilities that they had we did not pay anything on the value part, we took over the liabilities, almost Rs 67 crores of liability is either paid by us or by them. Those are the two things. Plus, over the next 2-3 years we believe we need to invest. We need to invest, we need to invest to upscale the business, to acquire more customers and to bring the platform to a certain level where they could start creating profitability. Largely we would target between 2 to 3 years for that moment to get achieved. Till that time, we will need to invest and we definitely have to be mindful of how much can we invest. We would not want to compromise with our organic growth in V-Mart on our opening of source and we also not want to take too much of debt. We would want to invest something between 15% to 20% of our EBITDA which is at the upper cap, that is an upper cap that we will invest in the business to promote digital sales. This is purely because we want to be relevant in 2025. We want to acquire those digital customers. We want to build this omni-channel which is the future of retail. So, people who look long term have to definitely act towards long term.

That's our understanding and we all know that we don't care too much about our current status

but we do definitely care about our future and we want to protect and preserve our future. That's the overall thesis of our acquisition

n. Suchi will be acting as the CEO of the online and the omni-channel, LimeRoad for us, Ankush will be the COO. So, we will have the complete team. We will make sure that we don't lose up to anything. We have given a very good incentive and ESOP plan to the senior team and we will definitely want them to achieve that and be happy. We will definitely need more guidance from all of you in terms of how do we really make it successful. We did one acquisition of the Unlimited in South India where we still believe that yes, 70% of the integration thought process is that we had we have done those. Still, we don't believe that we have done better and 100% of what we could have done. There are lot of opportunities and lot of learning that we will have. We will want to definitely make this integration also successful because this integration requires a different mindset because the culture at a startup organization is little different than the culture maybe in a 20-year-old company. So, there will be a slight difference. There will be the technology team, the digital team which have a little differentiated thought process, more younger team which may have differentiated processes. But we are very open to listen to ideas, implement some of those ideas and you all have to have the confidence that we will try and learn and do whatever we can. I would rest my talk yet as I would open the house for the questions and then maybe I don't know whether Anand wants to speak but maybe we will take the questions and go ahead. Please open the house for the questions. Thank you.

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Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Tejas Shah from Spark Capital.

Tejas Shah: Lalit Ji, a first question pertains to some details on the transaction itself. Who are the existing investors in LimeRoad who are exiting and who will get the proceed that we are paying to?

Lalit Agarwal: So Tejas, we are not paying any proceed to the investors. We are 100%, we have taken over the liability only and we are paying for the liabilities. No investors will get paid anything from our side.

Tejas Shah: The 67 crores is total liability only, is it?

Lalit Agarwal: Yes. Some part of that has to go to LimeRoad in their account and they will pay and some part of it will be taken over by us and we will take pay.

Tejas Shah: Usually in online business, so we are also learning as more online businesses are coming our way. But just wanted to understand in online business liabilities accrues on which account because this was a marketplace model, right?

Lalit Agarwal: Yes. Liabilities are on account of the sellers. Liabilities are on account of the infrastructure cost, on the employee cost and maybe some other statutory liabilities as well. So, marketing cost, so most of these liabilities are because on the P&L what do they have.. they have the logistic or delivery partners, they have the vendors who have supplied the product, they have the Cloud and the technology people and then the social media marketing like Facebook, Google and stuff and then the employee cost.

Tejas Shah: Lalit Ji you also mentioned that this due diligence or this integration will be different than what we have done at the past in terms of Unlimited and before that also smaller integrations perhaps.

So, how does this due diligence happen? So, is this a technical code evaluation which has happened and just wanted to understand LimeRoad better? What is the mix between their engineering team and business team mix in the core team which we have acquired for.

Lalit Agarwal: So, maybe, Tejas we will give you more details going forward. But largely there's a good number of almost on the senior side, there will be more than 30% or 40% of the people who are on the engineering and the technical and the technology side, and th

en there's a large amount of big amount of operational team as well.

Tejas Shah: Last one, I'll come back in queue after this. Usually, we have seen it in past that in retail space the attempt to actually for online retail, offline retail is to create an online platform be it on Abfr or even in Arvind. It has not met with much success despite putting very-very honest effort in capital also. And I'm sure you would have evaluated all this knowing you, the failure stories

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also, so what do you think we can do differently to buck the trend here and then do better than at least what history suggests that the success rate is very low on turning it around.

Lalit Agarwal: Tejas, we are hardcore executors. We don't understand and we believe every day is important and every day learning is important. Someone might have failed; someone might have not

performed well. We might also fail. There are chances and that is what we have done. We also launched 3 years back, we made teams and stuff. I would not call myself too successful on that front. We also failed there. Even if we do organically, we could fail. If we do inorganically, we could succeed to much more heights. We may not succeed; we may completely fail. So, there may be chances, I don't know. We will try to do a lot of things, lot of good things. Try to synergize, use individual capabilities, their individual strengths and then collaborate and try and see what we can do. Because this is the future. We definitely want to win over this. So, this is not an option. We have to definitely win over this. So that's how I look at it.

Moderator: The next question is from the line of Nihal Jham from Nuvama.

Nihal Jham: Sir, I just want to take three questions. First was that will LimeRoad continue to be a separate business that we will drive, or the main purpose of this acquisition is to eventually drive the omni or the e-commerce type of V-Mart? How should we look at it?

Lalit Agarwal: So, Nihal this is definitely an omni channel strategy. We want to create an omni channel strategy but still we'll have a different unit because this unit has a different culture, a different mindset and a little different kind of business. So, we will have a different segment and different units within our organization, within our company. It will be in the same company, but we will always look at it differently. Have a different P&L, try to have different KPIs and a different team. But there are lot of collaboration teams that will get created so that individually they help each other and create that channel. There will be some uniqueness that you will have in LimeRoad which is subject to marketplace. So, there will be those kinds of products and those kinds of vendors who would only be selling on marketplace and not to V-Mart stores but there may be a lot of common products as well. But yes, for the financial purposes we will also try to do segmental reporting or differentiated MIS.

Nihal Jham: So, once you list the entire V-Mart inventory as you said of 800-900 crores, what would be the ballpark mix of the inventory between V-Mart and non-V-Mart.

Lalit Agarwal: Can you clarify the question? Maybe Anand can answer.

Nihal Jham: I was saying that LimeRoad has certain number of SKUs that are already listed.

Anand Agarwal: So, the inventory mix we are not targeting any specific inventory mix. The only difference is going to be that we will also put in the catalog of V-Mart inventory. There is already a much-V-Mart Retail Limited

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much larger catalog of inventory which is on, let's say as marketplace sellers, thousands of vendors have already listed their inventory and that number will keep on growing. But what Lalit had said in the opening remarks more importantly was that even the V-Mart inventory, which is our bought-out inventory will also be available. As a mix we

are not targeting that this should

be 10% or 15% to 25%. I think we will keep on growing the catalog because in a marketplace and our omni channel play that we are targeting, the bigger the size of the catalog, bigger the size of the options which are available for the end customer, that is the true success with which we can drive repeat behavior of customer sales.

Nihal Jham: Sure, that's helpful. Just one last question that if we look at the online apparel space at this point in time, obviously the GMV is more or less lying with the top 2-3 players. So, from that perspective, what is the kind of proposition you want to build for a LimeRoad that ends up eventually getting users to transact and build the GMV from here on

Lalit Agarwal: Largely, there is already a set of customers who love LimeRoad. There will be always an opportunity for niche fashion segment consumer because we are working at a mass level, at a massed mass level. There are players who are working in premium level, who are working on the premium product lines which are like around Rs. 1000 and Rs. 1000 plus product lines. So, our customer segment we are target group that we are targeted at V-Mart. That's the opportunity for us, and the customer of V-Mart, that's also the opportunity to us. So, now this particular customer who is right now shopping at V-Mart, who knows V-Mart, who has a relationship here, there is such customer who also don't know V-Mart but are of similar kind who stays in certain rural areas or urban areas but would get aspirational to get into those platforms. I think for them, all of them creating that kind of trust which comes along with V-Mart and our product lines and our quality products and then the kind offerings and the marketing that we could do, we really don't want to say that we want to fight those biggies of the world. There's nothing that we want to fight. We want to create our own niche space and we want to just work on those space. We are not in the rat race of that ecommerce market share.

Moderator: The next question is on the line of Percy Panthaki from IIFL.

Percy Panthaki: Just wanted to figure out one thing that in FY21 of course there was COVID and definitely there was a decline in sale for many of the players. I can understand that. But FY22 also saw a decline and the business is now much smaller than what it used to be. So, what is the reason for this decline on an already low base? And probably linked to that is a question that you mentioned that you are very impressed with the way the business is being run, with the promoter, with the

operating metrics, etc. Why is it that such a decent business is being sold at zero equity value? Why are the promoters okay with parting with their hard work, sweat and blood for a zero-equity value?

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Lalit Agarwal: See, you have to understand this very nicely because they had a cash issue, and they had a cash crunch from the last two years. And overall, this whole startup market, and we all understand in the startup market, overall cash has got dried. And overall, if you look at the ecommerce market, even in the ecommerce market, the way the last questions were also there, there is a kind of monopoly or there is a kind of two or three market players who have taken over majority of the share. So, largely the investor circle, that startup investor circle, they have lost confidence over an ecommerce model as well. This is all my reading; it is only a common sensical reading that I'm trying to do. So, they did not get funded and because they did not get funded, they were not able to attract and pay their vendors and attract customers. So, their ability to pay vendors on time, ability to pay on the social media platforms to acquire customers because they have only one channel to acquire customers, they had that drop in their revenue and that is the reason that they...the team is so pas

sionate. The team there is so passionate, they wanted to build a business.

They saw an opportunity in building the business. It was not easy for Suchi to convince their investors, it was not easy for Suchi to convince herself also, and I really have tried and I really thank and have gratitude towards the whole team and even the investors who actually look forward to save this concept, save this particular team and then give them the opportunity to work forward and build a business in omnichannel. That's a visionary thought process. It is not a desperate thought process is what I would call for. I really want to thank and then appreciate the thoughts of investors and the promoters who actually did this because they saw a future and the future is very live. The future is not only online, future is not only offline, it is an omnichannel future and which they could only fulfill by aligning with us. So, that's the future that they are working towards, and they definitely will get rewarded once they are able to achieve those numbers and once, we are able to achieve our goals. So, we will definitely together achieve those goals and the promoters and the team, they will definitely get rewarded with good incentive plans.

Percy Panthaki: Next question is can you basically tell us out of these investments that you want to make, apart from whatever 67 crores you are paying, in addition to that, there are some investments also.

Part of those will be parked in the balance sheet and part of them will come to the P&L. So, what I wanted to understand is at the P&L level, those investments, can you give some kind of guidance as to how much they will suppress the EBITDA or the profit of the company?

Lalit Agarwal: Primarily, if I tell you that there will be a 15% to 20% kind of payout from our EBITDA line, so you could assume if 10% is our EBITDA, then 1.5% will be reduced if we really invest in that particular area. So, that kind of investment we need to do from our EBITDA, from our cash flow so that we build our feature.

Percy Panthaki: Okay. And all of that will go into the P&L only is what I'm asking.

Lalit Agarwal: Primarily yes, there's nothing on the CAPEX side.

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Percy Panthaki: Okay. And finally, I understand that you want to do an omni play, etc. The future is there, all that I understand. But what I just wanted to understand is why do you need your own digital asset for that? Why can't you use third party aggregators, Myntra, Nykaa, Amazon to sort of have an omni channel...

Lalit Agarwal: Percy, we are a retailer, we are not a brand, we are not a product manufacturer. We are a retailer, and my retail shop is important to me. My retail platform is also important to me. It's all about my brand, my customer and my customer how can I allow him to go to another customer, another platform or another shop? So, that's the whole approach. If I am a retailer, I need to behave like a retailer, whether I am physical or I am digital.

Percy Panthaki: Okay, I'll discuss this more offline. Thank you very much.

Lalit Agarwal: Definitely this is a good debate that we should have.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Two things, just clarification on slide #11 you have mentioned that if the contribution margin for LimeRoad is at 32% and you have said it has delivered positive contribution of 9% in FY22 after adjusting customer acquisition cost. So, can you little clarify that how we should look at this?

Anand Agarwal: Shirish, so the CM1 in the digital world stands for the gross margin which is basically arrived after deducting the cost of goods sold and the logistics cost. And 32% is a very good margin I

believe in the marketplace and the ecommerce industry. It's one of the best numbers that we have seen, at least from a benchmark perspective, and it has been consist

ent. It's not like it's been only

in FY22, I think for the last ten years data that we saw, and which has been diligence, it's been a consistent number in the range of 32%-34%. And that gives us a lot of comfort that this is something which is very sustainable. On the CM3, CM3 is calculated in the online world as the contribution margin which is set off after all the operating cost before just the fixed cost. So, beneath the CM3, is the EBITDA line so the fixed costs are something like server costs or administrative overheads or people cost, etc. The CM3 also has been absolutely consistent at a positive level for the last many-many years and that also gives us the comfort that this business, given the right kind of support and financial stability, can scale up well. And that is where our comfort also comes in that we are suggesting that we will be able to grow this business sustainably only with a minimal amount of cash investments in the future, which we are capping at 15% to 20% of our go-forward EBITDA line.

Shirish Pardeshi: So, you mean to say that if I understand correctly, your advertising and employee cost is such high that's why this business was generating negative EBITDA?

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Anand Agarwal: I will not say, it's also a matter of scale. For the last 2 years, definitely, see there are phases in which the business, online businesses have grown up. There is a buildup phase, there is a stable phase. Their best phase was around the years 2019, '18 and '19, where they were able to scale up to 700 crores of GMV and an exit rate of around 900 crores of GMV and at that level also they were CM3 positive at around 8%-9% and just about to get EBITDA positive. It's a function of scale versus what is the future outlook. For the last 2 years because they were in a cash crunch, their sales level had dropped down. They have also conserved a lot of cash, reduced a lot of expenditures. It's not just about because the sales were low, there is EBITDA loss but it's more a function of how well we are able to address the stability issue and that is where we come in and bring in that added capital to make this business grow.

Shirish Pardeshi: Another clarification on the exchange filing what you did yesterday. You mentioned that you are acquiring assets worth around 14.61 crores. What are these assets?

Anand Agarwal: These assets are typically in the form of tax credits in terms of GST etc. which are currently non-monetizable because we already have enough of those receivables. Therefore, from a cash flow perspective, there will be a cash outflow of roughly around 67. That is the entire liabilities or the purchase consideration that we are taking over.

Shirish Pardeshi: And my last question on the fundamental thing. In the past when we look at the history of LimeRoad, they were trying to build lot many other things and they have not been successful off late, about 4-5 years before they were trying to build in brick-and-mortar business which they tried to open up offline stores in Surat, Gujarat's area. Do you think you will I mean; this question is directly to Lalit Ji because you have said that the existing management will continue to do the business. So, such kind of ambitious adventures will still be trying or we will have the clear understanding that we will try the omni-channel strategy?

Lalit Agarwal: Shirish, definitely start up world, youth world will always want to have multiple experiments and innovations and creativity and they should be allowed to do and empower to do some of those and we will also want to be little adventurous when we think about all of those but not to that level because they are already getting some results strengths and definitely they had multiple plans and multiple things that they would have done in the past and there are mistakes that people do. I don't think those were also mistakes. There were certain

plans and their plans was backed

up by certain promises but which didn't happen. But anyway, I think the team is great, I'm very confident they are very mature and they are very technically skillful and capable. So, you understand that now they're not only going to be ever alone, we are all there together, we are all there to mentor each other and talk to each other and collaborate and take decisions and take right decisions though. We are very happy to have this team and we will definitely want to do and become little more younger as an organization with them.

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Shirish Pardeshi: Precisely, Mr. Lalit ji when you gave the interview in the media today, I think you said that we want to reach to 50 crores GMV. I think that's precisely I want to understand how we are going to walk that journey or is it that existing business you're confident enough that with the V-Mart inventory listing on the LimeRoad, we will be able to track more customers and the digital savvy customers with V-Mart.....

Lalit Agarwal: This team Shirish have seen a good growth, they have seen a good business, they know how to do their business, they have the capabilities themselves to also run and take their business to that level, once given a support from our side, given those kinds of money and plus added with the advantage of the 400 stores and added with such inventory; definitely there is a potential and I was talking about potential. I still talk and will tell that there's a potential and that's the goal that we need to target, we should target. We have just signed the agreement. We are yet to sit down with the teams to try and analyze. I'm commenting a little more in advance but this is definitely doable and I'm not saying that this is what we are targeting and goal is but yes this is a potential that we have and we will definitely look forward maybe 12 months, maybe 18 months but yes, that is something which is doable.

Moderator: The next question is from the line of Rishabh Duggal from CD Equisearch.

Rishabh Duggal: I want to understand what would be your criteria or checklist for acquisitions in future?

Lalit Agarwal: Rishabh there is no criteria. We are not a model built for inorganic man. We are just looking at these opportunities. Wherever we feel that the building up cost is lower or equal to the buying cost, we would invest. That's the only criteria that we believe. That whatever amount of money we put in manufacturing, in that money or in some lower amount of money if we get anything, we would definitely acquire that and will increase our speed. That's the whole model that we are focused on.

Rishabh Duggal: I just want to understand that in terms of factor, since this acquisition came to me as a surprise. So, what would be the factors that you will see? Whether it would be brick-and-mortar or online or whether you will focus on a certain kind of geographical presence or targeted customer? In these terms if you could answer?

Lalit Agarwal: Rishabh there is no plan. There is no plan as of now and we don't wish to acquire anymore. We are done with our acquisition right now and we are happy.

Moderator: The next question is from the line of Aliasgar Shakir from Motilal Oswal.

Aliasgar Shakir: My question is on the marketplace versus V-Mart products. This particular company, LimeRoad, should it be selling exclusive V-Mart products over time and moving out from the marketplace or you expect it to continue to also remain a marketplace company?

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Lalit Agarwal: Ali, we will want them to continue the way they are, we will want to find an opportunity in this model. As you understand that when we took over Unlimited, there was a business which was a partner brand business where they took some inventory of partner brands on S-O-R which we continued which we looked, we reviewed, we made it

better and we continued with that. Today

also almost 20%-22% of the sales comes in Unlimited from partner brand and that is the model that we would adopt and we will learn and we will adhere and that's the new opportunity that we could see. Because even now as I said in the past that V-Mart's model is not 100% private label. V-Mart is not a product company. It is a retailer and for a retailer we will accept these kinds of fundamentals and we will want to sell this kind of product as well and we will continue with the marketplace. We will find good opportunities and a good new model within this particular model.

Aliasgar Shakir: Your initial remark about having 17 million loyal customers that LimeRoad had. I think that gave us a glimpse that LimeRoad is more focused to its own loyal customer base particularly the women customer base where they have fared pretty well versus us. But I was thinking that a marketplace when you compare their direct competitors to Myntra and the others and you mentioned that they are basically the LimeRoad is more value conscious whereas the other apparel marketplaces are more premium focused in them. But size is certainly a big factor and there's a lot of very high customer acquisition cost here. They continue to provide very high promotion and therefore the average pricing of a product over there also is not very high. Correct me if I'm wrong. In fact, you have very large portfolio of products...

Lalit Agarwal: Ali let me stop you. There is something which they have been doing because they were running a constraint business till now. In the last 2 years they had issues with their cash flows and stuff and there's a future that we will together build and that's the point that I'm trying to talk on. That's where we will steer our ways and that's the original version of LimeRoad which it will become. That's the area that I'm trying to focus on. Let's look at what we could make out of from here.

Moderator: The next question is from the line of Avi Mehta from Macquarie.

Avi Mehta: Just on the acquisition. If I understand you correctly, one of the key resources that you pointed out which we are taking in, is the employee and I was not very clear on what steps are we taking to ensure retention of the talent pool? Secondly the culture might be and please correct me if I'm wrong but it seems that the culture would have a very wide variation. Would love to hear your thoughts on how do you plan to kind of tackle these two specific issues?

Lalit Agarwal: Avi you said it right and that's the biggest area of our focus and that's the biggest area of my individual areas where I need to give them the comfort, create that kind of environment and not

only me but I think Suchi is along with us. She is there, she is there as a leader, she has been running this show and she will be running this show. I think we should not impact and we should not create any disturbance in their culture, in their life, in their way of working and the way they

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work. We should definitely learn more from them and try to adopt here. That's the approach that we take in. On the retention, I think she's created a passionate and a committed team. They are emotionally bonded together as a team and I can see that as a family and they are very adhered and glued to each of them. I think beyond that, it's the opportunity which will make them retained. The opportunity of making such a large online omni-platform and where they could actually operate the way they want to operate. They could actually take bets on certain product lines, they could use warehouses, they could use stores, they could use these digital customers who are in the offline space and they could also use the 9,500 V-Martians and V-Mart employees who could really support their efforts. I think there's a lot of opportunity for them plus they definitely would be incentivized and mot

ivated so that they are retained and there is a retention plan by which they will be retained.

Avi Mehta: Would you use your own stocks as retention policy?

Lalit Agarwal: Yes, we are issuing ESOPs to the senior teams.

Avi Mehta: Secondly just a follow up on, a bit clarification I mixed the CAPEX amount because there'll be some amount required to integrate the underlying databases, customer data because that obviously is the most important resource as we speak. Did you share out any CAPEX numbers for that or it's not material?

Lalit Agarwal: Mostly it will be OPEX, it will be largely people cost and focus and not too much of CAPEX. We are still working on all of those, Avi you will have to give us some time. We have just signed agreement yesterday.

Moderator: Thank you. Ladies and gentlemen, due to time constraints that was the last question. I would now like to hand the conference over to the management for closing comments.

Lalit Agarwal: Thank you so much. I know you guys trust us a lot and you guys believe in us and we'll definitely be what we are. We are known as a conservative organization. Lalit Agarwal is not used to such kind of large decisions and big decisions but yes, I definitely want myself to change a little bit, change my own thought process, invest in future, think something which is not thought of and definitely be strategic more and ensure that our future remains visible and future remains much more promising. So that's what we are working on. We'll always need your co-operations and your good wishes. Thank you so much. Have a good day. Bye.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2022

Ref. No. CS/ S/L-623 /2022 -23 18th November , 2022

To:

The Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED

"Exchange Plaza"

Bandra Kurla Complex ,

Bandra (E) , Mumbai – 400 051

Scrip Code: VMART

Fax: 022 -26598120

Email: cmli@nse.co.in To:

The Corporate Relationship Department

THE BSE LTD

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai – 400 001

Scrip Code: 534976

Fax: 022 -22723121

Email: corp.relations@bseindia.com

Sub: Transcript of the Conference Call held on 14th November , 2022

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and amendment thereof. In reference to our letter dated 11th November , 2022 (Ref. No. CS/S/L -613/2022 - 23) regarding the intimation of the conference call with Analysts and Investors held on 14th November , 2022 , please find enclosed the transcript of the aforementioned conference call.

The above information is also available on the Company's website: www.vmart.co.in .

We request you to kindly take the above information on record.

Thanking You,

Yours Truly

For V-Mart Retail Limited

Megha Tandon

Company Secretary & Compliance Officer

Encl: As above

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"VMart Retail Limited

Q2 FY '23 Earnings Conference Call "

November 14, 2022

MANAGEMENT : MR. LALIT AGARWAL – MANAGING DIRECTOR –
VM ART RETAIL LIMITED

MR. ANAND AGARWAL – CHIEF FINANCIAL OFFICER –
VM ART RETAIL LIMITED

MODERATOR : MR. HIMANSHU SHAH – DOLAT CAPITAL MARKETS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the V -Mart Retail Q2 FY '23 Results Conference Call Hosted by Dolat Capital. As a reminder, all participant lines will be in the listen - only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Himanshu Shah from Dolat Capital. Thank you, and over to you, Mr. Shah.

Himanshu Shah: Thank you, Tanvi. Good afternoon, everyone. On behalf of Dolat Capital, we welcome you to Q2 FY '23 Earnings Conference Call of V -Mart Retail Limited. On the call, we have with us Mr. Lalit Agarwal, Managing Director; and Mr. Anand Agarwal, CFO of the company. We will have this call for 45 minutes and would request participants to restrict themselves to two questions per participant.

Let me now hand over the floor to Mr. Lalit Agarwal, Managing Director, for his opening remarks. Thanks, and over to you, Lalit ji.

Lalit Agarwal: Good morning. Good afternoon, everyone now. So this is, once again, a good time, I would say, because we are definitely , the business and the economy is coming back. And the market -- the environment seems to create positivity. Still, there are lot of areas where we keep seeing risks getting emerged from the geopolitical situations to the trade situations globally. There are multiple areas of global concerns which are coming in we all know that. And so we are also trying to understand all of those. But yes, India seems to be doing good. The Indian economy seems to be doing good and futuristically we are rightly taking those steps.

Definitely, monsoon has been okay, but yes, late rains have also deteriorated the situation in the rural and the late rains in October. So lot of crops maybe also got damaged because of that. There has been pain in the upper belt, especially Uttar Pradesh, Uttarakhand, Bihar some of these areas where we saw these non -timely rains actually have created a lot of panic in the farmers. So there are those situations in the rural side. We saw certain parts of eastern Uttar Pradesh being completely flooded in the month of October and then there was a real challenge in even people's movement for 15 days of October. So there are some of these situations, which are hindering the common man. But, yes otherwise, I think overall the talking about the economic growth, the factories coming in, the strength of the government which we are bringing international industries into India, I think all of this is definitely booming the confidence to the consumer, confidence of the citizens of India. That will definitely add more value and that will definitely add per capita income as well.

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As of now, yes, I think the retail market, market seems to be good. Most of the retailers who operate in the bigger cities and towns, because last year was -- last year, if you remember, '21 - '22 second quarter was a low quarter for most of the people who used to operate in metros. So on that base, people are excited and there is a good growth that is being seen. And largely, the market has grown, both if I look at the rural India and the urban India, market has definitely grown. Still, there is a pressure on the common man, which continues, as we have spoken earlier. We continue to see those pressures there. Vegetable prices, pulses still are at very high prices. So I think -- but yes, it's stepping down, and we are able to see the acceptance level also coming in from the consumers. So consumer is also now able to understand that this is something which is going to go on, and this is the new price and the acceptance is g

oing to come in.

So, I think, largely retailers have been doing okay. In our space, what we have seen definitely the bigger conglomerates, the larger retailers, they have all tried to expand. They have all expanded as well. And we have seen mixed response from them. Some of them have reported good numbers on the back of 2022. But yes, some have -- still are able -- have a muted growth

or have a negative growth. So I think it's a mixed reaction. All the retailers who are working with the common man with the mass audience are able to feel the pressure. But yes, feel the pressure from the pre-COVID. But if I look at the last year '21-'22, which was also a good quarter for us and for this particular kind of retailer.

I think we've been able to better -- we've seen a good growth from there and I think all the areas of work that V-Mart is doing and what we are focusing on. I think that is definitely going to make us more better because right from our focus towards the whole supply chain and the complete sourcing piece, which is the product designing piece, product sourcing piece, fashion, understanding piece, I think those are the areas which we are very actively focusing on. And I had spoken also earlier that we have brought in a consultant on that area. They are guiding us on the future strategy, on the future work.

So we are definitely working a lot of areas. We have divided our merchandising team into two -- we split it into three parts, which is designing, buying, and sourcing, which we earlier had a group of one people. I think we've done some bit of that, so a lot of work is happening on that. A lot of work is happening on the cost management, on innovation, on the design sensing, how do we bring in the -- a little more trendier -- become little more trendier in terms of our fashion sense, how do we become efficient in terms of our cost parameters, because the inflation continues. Definitely we have seen a reduction in the cotton prices in the last few months, 1.5 month, I would say, that cotton prices have started tapering down, which is a good news, but yes, still the good prices are up. The prices of cotton still are way above the pre-COVID levels, but yes, the peak has come down by 30% is what we see.

So that effect should be visualized in the next season, which is the spring-summer season. We should be able to further reduce the prices in the spring-summer for the consumer. This particular season, which is going on, the autumn-winter season, we have taken a very, very strong view over the price. We've actually managed our price very well, and we have brought down the

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prices, which is average cost price as well as average selling prices for the consumer. And that should also bring in a good result.

Largely, winter seems to be little dull right now. The winter season till now doesn't -- we didn't see too much of -- we didn't see too much of temperature going down. But yes, I think it will be okay going forward. This is definitely early time. But yes, even the marriage season for the first 15 days was very low post-Diwali. But after that, there are a lot of marriages which is very common.

And we will definitely -- we have seen very good attraction of the winter wear range that we launched, and we did a little early launch this time, and we got a very good benefit of that early launch because the culture -- the fashion trend of the hoodies and the sweatshirts are very good, so we've captured on those trends. And we definitely feel that that particular area of product lines a big expertise of V-Mart, and that makes V-Mart stand apart from the normal retailers and all the retailers who are there in the market, whether they are national retailers or they are local retailers, our range of winter wear, our pre-winter wear range definitely has made us stand apart. I think we've been actively w

orking on the digital side.

We've seen a very good growth on that side, both from the marketplace. Our acceptance on the marketplace like on Myntra as well as Flipkart has been very good. And we have seen very good growth on those areas. We have almost grown 100% on marketplace business operations in this particular quarter and which continues. I think we are getting better response. But now with our new addition of our own portal, we will definitely want to focus more on.

We just concluded the closing on the 11th and I think now we will focus on bringing the business back first on the LimeRoad piece, how do we first of all get that business back. There are a lot of broken pieces of processes because of the cash flow crunch that they had. We'll focus on improving and bringing them back in the first 90 days, so that the pieces are on track. And then our focus will be largely on integrating and bringing the omni culture into the system, how do we create technology, develop technology, and then how do we integrate the two customer bases and then take use of those. So we will be able to see some results coming in, in the next year from there.

Yes. So largely that's the area. Our attention towards the customer lifetime value is very high. We are focusing very highly on the retention of the customer, loyalty of the customer, our algorithms and our customer retention tools are really working very fine. We have had a lot of result which is coming, which we saw right from the increase in the average bill size of the customer and also the repeat rate.

So our repeat rates have also gone up. And I think that's something which is going to remain, because as more and more competitors come in, it is more important to protect your existing

now more on increasing the customer lifetime value as well as the frequency of the customer visits and the retention rate of the customer.

Plus, I think it's really important for us to keep focusing on bringing the new customers, because there is the new millennial customer which is going to come in into the market, and we are definitely working very highly on the complete brand imagery part, the store imagery part, trying to improve on all those areas. Our store display, our visual merchandise levels have really gone very up. So I think the towards right things, improving those right basis, improving on structure side, how do we focus on those areas, strengthening those zonal structures, strengthening the retail structure that was very important. Then we're focusing very highly on technology, on algorithms, on forecasting which is also giving us some results.

So I think in entirety, the focus towards the inventory management, the fashion management, and the aging management, and then the look and feel of the stores and giving the customer the look and feel, which is differentiated, will definitely bring in lot of results. That should bring in more and more benefit to the future. And so I think we will definitely keep speaking over this, and we will definitely keep working on this.

There are a lot of areas of focus and lot of areas of I think work that is happening in the organization from the futuristic perspective. So we are definitely working on that, right from the infrastructure development of our warehouses. We have this new warehouse which should be coming up in the next four to five months, and that is also omni available where we will have the omni facility, we will have the online processing facility as well, and our Bangalore warehouse which we acquired from Unlimited, that has also been very good.

So with these two warehouses, we should be able to handle the supply chain very well, we should be able to decrease the time taken replenish in to the store, we should decrease the time

or even

the cost taken to replenish in the store. That's the motto that we would have. But anyway, this particular quarter, I think we fared fairly okay.

In this festival also it looks like festival is looking good. It is still not at the pre-COVID level, but yes, from the last year level, if you look at it, we have grown and we are growing, and we are able to see customers coming back. Excitement is there in the customers' mindset. Still they are struggling with their pocket, so we are not able to see the similar results. But yes, I think it is improving a lot, both in the southern India part and the Northern India, especially in the Southern India, we have seen very good response from the new store that we opened up.

We opened up almost six to seven new stores in Southern India. And most of these new stores are giving us very good confidence, largely in Tier 3 only. And that gives us a very good futuristic understanding of that market, and we believe that that market should become a very important market to us, and we will be able to catch up those market very fast.

So with that I think I'll hand over to Anand, let him give a little more detail about the quarter's numbers, and then I'll take up your questions. Thank you.

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Anand Agarwal: Thank you very much, Lalit, and good morning, everybody. It's really been a action-filled quarter here with lots of work happening, not only for the festive period, but as we see better signs of recovery in key markets, especially in bigger towns, and also aggravated new store openings, slight ease in commodity inflationary pressures, particularly around cotton yarn, but definitely not last but not the least, a lot of work to get LimeRoad marketplace portal and start a new phase of online-focused growth for the years to come. But first let me take you through some of the key highlights from the quarter and then we can open the house for questions.

So sales for the quarter grew by a healthy 50% year-on-year and also 61% over pre-COVID levels, definitely aided also by the addition of the Unlimited base. Like-to-like sales grew by 10% year-on-year while the ASPs grew by 27%, again, partially also aided by higher price points in South India. For V-Mart, excluding Unlimited, the ASPs grew by 20% year-on-year, which again is a very high number because we had to take in a lot of price increases and that got reflected in the increased price of products.

With 16 new stores in the quarter and two closures, the total store count stood at 405 as at quarter end. We definitely saw a much stronger recovery in Tier 1 markets and also in stores which were in malls in South India versus Tier 2, Tier 3, and Tier 4 towns where footfalls remained under pressure. At an overall level, while footfalls were up by 42% year on year, but from a pre-

COVID levels and on a like -to-like basis, footfalls were still down by roughly around 29% for V-Mart business. Despite this the average bill sizes went up by 15%. So what was very clearly evident was that the rich were buying more or at least people who could afford more were buying more, and people, who were still impacted by inflationary trends and other impacts, were not coming in to shop at all.

This is a trend that we have seen for the last major part of the year gone by with slight improvement in the festive period. But still footfalls remained down if I look at from pre -COVID levels. Total sales grew by 50% as I said and 61% versus pre -COVID. Unlimited with six new stores out of the 16 new stores that we opened, six were in South, two in this quarter. It remained a profitable business, continued its profitable journey. The business definitely looks much stronger with the new stores operating at similar or better sales per square feet as compared to the traditional V -Mart business and that gives us a lot of confidence and improve

d rigor to open

more stores in South India which can deliver similar operating metrics with lower rentals and similar operating cost.

We opened three new large stores -- large format stores, one in Calcutta, one in Agartala, and one in Odisha. They have a slightly larger FMCG mix. They are all three composite stores and, therefore our as a overall business, FMCG share also went up marginally higher. This is for the quarter, I believe, at around 11%, 12%, but on a longer run, it should stabilize around 10% or so. There is no change in strategy as far as the business is concerned. We remain very, very focused on fashion value apparel, FMCG being a tactical strategy to be adopted at key locations.

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With inflationary headwinds continuing and really no increase in disposable income of the middle class and added pressure due to the deficient monsoons and also in part untimed excess rains in UP and Bihar, Tier 2, Tier 3 towns in key markets still remain under pressure. But definitely small green shoots of recovery are visible towards the end of festival and now also in winters. Definitely the new products that we have launched pre -winter and a lot of very exciting winter wear is pulling in good numbers and we are seeing good recovery now in the current month.

Coming on the margin side, the gross margins remained quite healthy at 36.3%, which were largely aided by, as in the previous quarters, higher margin throughput from South India business, which we have optically kept a little bit higher to manage the higher operating cost. So as a overall mix, South India business contributes roughly 20% to the sales mix, but disproportionately higher gross margin mix in the gross margin table. We also did much lower discounting in end of season sales as compared to previous years since we had very healthy inventory. We had been very prudent in buying during the last two years during COVID times, and thereby, the aging of our inventory remains very, very, healthy, which has also led to slight reduction in the provisioning that we have been consistently been following providing for the last many, many years.

Also, we had mentioned in the last couple of calls that we had increased prices, because of the expected -- continued expectation around cotton yarn price increases, and that also helped in improving the ASPs and therefore the higher realizations at lower discounting. However, also as we mentioned in the last quarter call, we have corrected part of the price increase and the impact of that should get visible in the current quarter as we also see better cotton yarn pricing coming in from last couple of months. We've also done a lot of innovations in the product, also the mix and also the sourcing strategies, which should help improve our inventory position going forward even better and also the price positioning for the customer even better.

On a go -forward basis, the margins should look marginally -- optically higher than pre -COVID due to the South India mix, but should in the long run, stabilize around 34% in the years to come. On the expenses side, expenses remain definitely under inflationary -- largely under inflationary trends. Otherwise, largely expenses remained in line, except for a bit of the higher side on the rentals, which again is an optical impact because last year we had some savings due to COVID impact which the landlords were able to pass on to us, which discontinued from this year. But otherwise, at a overall level, expenses remained much in line with the previous year trends. Good thing to note also on the rental side was that all the new stores that we have signed in South India are on very similar price targets as that of rest of India. So the rental numbers for the new stores in South are in line with the overall India average, while the legacy stores in South India still remain high, and

thereby we still need to keep the margins a tad bit higher to manage the expense pressure.

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As a result of better sales, improved gross margins, lower discounting, and in line expenses, the EBITDA increased to 10.6% in this quarter versus 6.1% last year and 3.6% in pre-COVID FY '20 period. So definitely -- the performance on the margin side definitely is better. Coming to inventory, slight up -stocking, which is in line with previous years for preparation of festive period at an overall level inventory actually went up to around INR 917 crores, which is the highest that we have ever had, but it is a very thought-out strategy, it was a very carefully planned process to make sure that we were adequately prepared for the festive period, which is a very strong quarter for us.

On a per store average basis the inventory remained at around INR 2.3 crores, which is still lower than the pre-COVID levels around INR 2.4 crores or INR 2.5 crores per store for the festive period. Since we had been very prudent during COVID periods, there is significantly no old inventory that we have as leftover. So the bulk of the current inventory that we have is for festive period and for winters and remains under control.

Inventory days look optically higher at around 133. We have put in more experiments in South and we continue to run the South stores with slightly larger inventory. We should normalize to around 100 days by year end, if not sooner. At our overall inventory level, also, I think we should normalize in the next three to four months, which is again in line with the previous year trends. Coming on the capex side, the capex for the quarter was INR 51 crores. YTD we have spent around INR 73 crores. These numbers include not only the new store expansion, but also the money that we are spending on the new store -- new warehouse rollout, which Lalit also just briefly mentioned a while back. We are targeting to complete the Phase 1 of our new warehouse by February, March, and that should come in very handy for the future growth projections.

On a full year basis, I'm still looking at a capex of around INR 180 crores, INR 190 crores. In addition to this, we should be spending -- we've already spent around INR 36 crores, INR 37 crores in closing the LimeRoad acquisition, and there will be another INR 20 crores, INR 30 crores of working capital spent on that account.

On the cash flow side, we've been overdrawn for the quarter by roughly around INR 100 -odd crores. But on a net basis, it should be around INR 60 -odd crores, net of investments and cash on book. So cash balance still remains largely in line with what we had planned. Because of the higher up -stocking of inventory and because of the preparation for the PDC, the festive period, we've built in more inventory, we've built in more stock, and thereby we had to marginally utilize our working capital limits. The limits that we have are much -much higher. So the cash position remains quite comfortable with no requirement for any more external funding going forward.

Online business, as also Lalit mentioned, I think just the marketplace business has gone up by 100%. But at an overall level, including our own omni -business, it has doubled. But with the new team of LimeRoad, which has just recently come on board, it's a very -very strong team, and we

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really look forward to increasing their contribution in the overall mix of the business and their participation in making V -Mart a very robust and a very strong technology -powered business. So on the new stores, we've opened 16 new stores year, closed two, South doing quite well, and we remain on target to open at least 55 stores to 60 stores for the complete year. So that target remains on line, and we should be looking at a healthy rollout in the next quarter as well.

ter as well.

Unlimited business continues to do well. There has been a like -to-like growth versus last year in Unlimited also which has been I think around 15%, 16%, which is also very heartening. The operating team there is very confident of delivering a much higher throughput, and that gives us a lot of confidence that the bet we had taken has, should take off quite well. So with Unlimited and with the newly folded in LimeRoad, I think we should have new areas of growth in the coming years and a lot to cheer about in the next quarters.

So that is all from my side on the financials. So I'll request Himanshu to now open the house for questions and let's take it from there. Thank you.

Moderator: The first question is from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: I was just looking at your sales per square feet. So if I look at the quarter, first quarter of FY '23, basically, and compare it with the first quarter of FY '20, so on a three year basis, the sales per square feet was down 28%. If I do the same thing now, Q2 FY '23 versus Q2 FY '20, the sales per square feet is down 10%. So there is a recovery from a minus 28% to a minus 10%. So do you see this trajectory continuing and do you think that there is a good probability that in the coming quarter the Q3 FY '23 versus Q3 FY '20, we would see that this minus 10% would come

down to a 0%?

Lalit Agarwal: Percy, you are somewhere right. I don't know how you calculated, because it's not, it's looking that good, but it may not be that good because maybe in the last year you would have seen even Unlimited number, because Unlimited square feet was coming in the end of the quarter. But the sales only, which we accrued in the last year was only for the month of September. But otherwise also, I think our sales per square feet has gone up and has been bettering, both from the existing stores as well as the new stores that we have opened up.

So all the new stores that we've added up in this particular year, the 27 stores that we added up in this particular year, quarter, and then even after that six, seven stores that we added up, we are able to see good response coming in. Most of these stores have been performing very well. Sales per square feet has also gone up. We also took, as Anand mentioned, some large properties and some premium properties as well, which also gave us a good sales per square feet. That was the target and that is also something that is coming up. So I think, yes, what you are asking that is what we are working for. Definitely that's the most important KPI that I hold and my team hold, how do we increase our like-for-like and how do we increase our sales per square feet numbers every year. So that should continue.

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Percy Panthaki: So are you seeing any improvement either in October or in the first half of November versus what you saw in Q2? Of course, seasonally anyways it would improve, but I am saying adjusted for seasonality, are you seeing that basically any of the indicators are turning incrementally positive and that whatever recovery is there, we have been recovering over the last six months, but that trajectory is continuing in the same fashion adjusted for seasonality. Of course, seasonality itself will mean that your Q3 will be better than Q2, but adjusted for seasonality whatever that gap is there versus what you were three years ago, that is...

Lalit Agarwal: Yes, Percy, so if I speak on it, compared to 2021, then 2021, 2022, today this particular year, this particular festival looks much better, and there is a lot of shift in the festival period and the timing and the date, so if I look at month-on-month, it is a little different. If I look at period-to-period, it is different. So I think what you are asking, still there are pressures pre-COVID if I compare it pre-COVID, but yes, post that d

efinitely, you're seeing incremental sales coming in.

And every quarter we're seeing betterment happening. And even in this festival, we have seen that betterment continued.

Moderator: We now move to the next question from the line of Avi Mehta from Macquarie Capital.

Avi Mehta: Sir, I just wanted to understand the demand environment a little better, is it that? And not necessarily in the festive period but beyond that, are you a little more, is the optimism that you would have, is it more linked to the price reduction that we have done, which is, in your opinion, enough to get consumers coming back to the stores on a steady-state basis, or do you think more is needed from an income level?

Lalit Agarwal: No, I think Avi, what you are saying is right. There are both the things happening because we also acted on it. We've reduced our prices and that has been taken very nicely. Our range, our product lines has been also very good. And see, as I said, inflation is still there, the pressure of the consumers are still there. But as I said, the acceptability factor which was a shock till the last two quarters and now people are somewhere able to now digest it and that inflation is going to remain here and we have to now consume. So that is there, but still the challenge on their balance sheet, their Excel doesn't match up, and they still are having that deficit on that side. That continues, and I think, but yes, the optimism has to be there because we definitely believe that optimism is going to drive growth and that is how it will happen. Yes, I think it will work.

Avi Mehta: So, sir, if I were to say simply, it is, we are seeing that there would be some pickup, festive is looking good, but for the real recovery it might take some time because inflation has to be, people have to chew it, they should see increase in income levels. And that in your opinion is more a few quarters away, is that the right way to see it, sir?

Lalit Agarwal: Yes, you're right. Still that income-led consumption is not being seen, and that's what I would not call clearly income. It is largely about income versus expenses and then that arbitrage. So that is not being seen and that definitely could take another two quarters that's my expectation.

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Maybe last quarter we could see something, but yes, it may take another quarter because there are so much things happening on the geopolitical side, we don't know what comes up next.

Avi Mehta: Sir, in that extent, if I may, would it be fair to say that your focus would be to get Unlimited

because, obviously, South India is doing much better. You're making lot better margins over there. Integration also needs your focus. That will be the first key step in your segment along with omni, because that also segment is a little different versus say store addition pace, because we've been, we have the ability to ramp store additions in existing geographies as well. But you are probably putting that at the third -- second, third step in your focus rather than the first that it initially used to be. Is that a right read -through or no, sir? I would love to hear your thoughts on that, sir.

Anand Agarwal: Avi, this is Anand. Let me take that. So, I think, we have our focus in all the three areas. There is no single priority that we just want to put. And at least in the last couple of years, we have strengthened our organization structure to make sure that we are able to diversify and move in these two or three different directions parallelly. But yes, there is definitely higher opportunity in South and the teams in South and the business development teams are taking cognizance of that. So there is a full -pronged effort which is happening around taking that position up very strongly.

Similarly, on the omni side, with the acquisition and the fold -in of LimeRoad, that's absolutely a new and a se

parate team, which is going to drive that agenda, and there will be some amount of involvement, but definitely, that team is going to run pretty much independently to drive that agenda. And lastly, but again, not the least, the offline business, the V -Mart business, the existing V-Mart business, there is adequate strength that we have built up to keep growing that and find opportunity areas like merchandising, like product, like improvement in design, like improvement in visual merchandising to keep leveraging whenever we are able to see the recovery in consumer traction back in the market.

Moderator: The next question is from the line of Tejash Shah from Spark Capital.

Tejash Shah: First question is pertinent on gross margin. Last quarter self -admittedly you said that we have slightly gone aggressive on pricing, and we want to bring it down gross margin to earlier levels of less than 33%, 32%. But even this quarter we have done very well on that count. So how should we think for the rest of the year and the pricing strategy going forward?

Anand Agarwal: So Tejash, you're absolutely right. It's not like we have always thought of having higher gross margins. But as I explained during my opening remarks, I think there is definitely a higher mix of gross margins that we are consciously targeting in South India to mitigate the higher operating expenditure. So if you look at the historical V -Mart business, we've hovered around 32% to 33%. Because of the South India mix and because of the higher gross margins that we need to take in from that business, there will be 1%, 1.5% increase that should come in from that business.

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Plus, optically in this quarter, there is a tactical issue of lower provisioning in this quarter because of the better quality of inventory that we hold. So thereby you're looking at much higher margins. But at a longer business, on a longer scale, we should average around 34%, 34.5%. That is our long -term vision. We do not want to overcharge the customer. We do not want to earn more from the same customer. We want to sell more quantity and increase our rupee margins rather than percentage margins.

Tejash Shah: Very clear. Sir, second question pertains to, in your opening remark you spoke about some supply chain or backend changes that you have done in procurement, so design, production, and procurement if I heard correctly. Just wanted to know, are we doing, I'm sure you would have done, but if you can share, what changes we would have done on demand -sensing part or fashion -sensing part, A? And now with online capabilities coming, we'll have a lot of data, so what are we planning, obviously early stage, but if you can share some thoughts there. How are we planning to convert data into insights and insights into merchandise improvement which can relate to the customer demand?

Lalit Agarwal: Yes, definitely, there is a lot of opportunity. And as you were speaking, my eyes were also getting lit up. There's so much to demand and so much to understand. As I speak, I'm actually in London, and I'm trying to see the market and spotting their fashion trend and stuff. So there's a lot of opportunity which is available for now.

As our volume has grown, as our size has grown, as our need for trendiness has grown, I think we need to definitely keep looking at those trend spots and we'll keep looking at those various models, where the digital as well as physical, and there's no shortcut to physical. We need to definitely understand the market, understand the fashion market, fashion driver market. We have those kind of teams who have that eye and ears to try and understand and that can capture that, and then also have a process which then takes the mind to market through the shortest period of time and deliver those fashions as quickly possible to the customer which is important.

And as yo

u said, the online world, especially from Lim eRoad, we think that particular channel definitely is a fashion driver, should be the trend driver for us, should also be the channel where we could provide better trend and different trends, which is what we call curated fashion, and that's the model that we would want to build, and the analytics that comes from that, because there are millennials who are shopping there.

So that clearly gives us a very good trend on what is working, what is not working, what is coming up, what is going to work forward? So I think all of that this gives us large opportunity and then you are absolutely right, this data is once again going to help in our insight a lot and a lot more for the fashion as well as the categories plus the fashion plus the location, which fashion which location is working well. So a lot of things has to be planned. We don't want to just put too much of pressure immediately on that team, but yes, there is a lot to do going forward.

Moderator: We'll move to the next question from the line of Shirish P ardeshi from Centrum Broking.

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Shirish Pardeshi: I have two three questions. The first question is, right now we have completed first anniversary of Unlimited stores which we acquired last year in August. Now quantitatively, will you be able to share, give some color how we should look at this business in terms of strategy, store, growth, merchandise, and maybe in terms of some parameters that how we should build -in in our models?

Lalit Agarwal: No, I don't know about what your model should build in, but yes, what I see and what I understand, so there are, see, let me be very cohereable on this. There are areas of both concern and opportunity. We have deteriorated on certain areas, which I would say that Arvind was really strong on. So we are working on all of those. We are trying to better on all of those. There are areas that we're strong on.

We will develop those sites. We got those markets. We are getting those customers. So attracting new customers is not always an easy proposition. It is a difficult proposition because the set of customers which used to come were not enough and they were more matured. We wanted more millennial customers. So that's what we are trying to drive. We are focusing on our basic models there, Tier 3 model has to be improved, let's get into those markets where still customers have not seen those prices and those fashion.

So we are working on all of that. We are still learning, a lot of misses, lot of opportunities that we got. I think positively if you see, I'm not too happy with what we have done till now. We definitely could boast out and say that we have been doing good work. But yes, I think we have not done bad as we could have.

So that is a saving size. But yes, going forward we should be focusing, as Anand said and we all say, that we are focusing more on that particular zone. We are focusing on opening more stores in those particular zones. We will continue the margin arbitrage a little bit till we don't go, get to open a number of stores, and our rental model and our cost model doesn't come to that line. But post that we would not want those consumers also to charge more. We want to normalize our margins and then make standardized margin across India. That's the value systems that we need to offer to our consumer.

And I think that's the confidence also that we want to develop. But yes, largely if you speak, we could see some growth coming in, and we want to target more. Because as Tier 1 stories are also becoming better and mall stories are becoming better, with the acquisition of LimeRoad, our trend story will also become better. And more -and-more trendiness can lead to more -and-more betterment in our consumer attention and consumer attraction. So I don't know model wise, you can speak separately with Anand and

and then take it up.

Shirish Pardeshi: Lalit ji, that's very helpful. But just maybe in terms of number, maybe if you can share what is the like -to-like growth or maybe what is the footfall growth for six months, specifically for Unlimited or maybe if you can share ASP trend how is the trend, if the growth is happening?

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Lalit Agarwal: On the sales, I think we have grown by more than 15% from the last year number even like -to-like if I see quarter 2 to quarter 2. I think the ASP number, ASP must have gone down. I think it has gone down by around 10% to 12% because we wanted to introduce the low price point product. So it has gone down. ASP is going down. Customers have increased, number of customers have increased. The bill size also has somewhere gone down a little bit, not got up, has gone down a little bit because we can't, because as our ASP is down, it will go down. But yes, that's what our motto is, what our goal is, and that's what we will do.

Shirish Pardeshi: My second question on V-Mart. We have been saying and reading a lot about UP, Bihar and key

markets. So will you be able to share how this last 45 days, especially Chhath Puja and the strong festivals in Bihar and UP has performed, though we know that there are pain points and you did highlight in the beginning that the consumption and demand is not there. But just wanted to know, curious if things are moving in a positive direction or still the pain points will be seen because I also gather the winter is setting into some part of North.

Lalit Agarwal: So, Shri, to answer your question, we have seen positive signs. And towards the Diwali period, we have definitely seen better signs, which should continue. But yes, because our Hindu calendars are a little different and the marriage dates and those shifts happen very fast. Right now, what we are going through is a period called Tara in Hindu calendar where there are no marriages happening in the next, normally post-Diwali, on the 11th day the marriages start and then continues till the 15th December. But this year, we don't have any marriages on those days, and marriages will start by 26th of November.

So we've got some lull period which could come in, in this time. But yes, but still I think the business will come in. The pressure in Bihar continues, even Eastern UP continues, because Eastern UP, as I said, flooding also impacted a lot to them. So that area still is not under too good number. The other parts of Northern India are doing better. Even the Western UP is doing better. So I think we still are having a pressure on those numbers compared to pre-COVID level if we talk.

Moderator: The next question is from the line of Rakesh Wadhvani from Monarch Network Capital.

Rakesh Wadhvani: Sir, I have two questions. One is I want to understand what is your thinking on the revenue per square feet because if I look at the revenue per square feet before COVID, when the V-Mart was running, so it was only around INR 600 to INR 700 during non-COVID seasonal period and during Q3, Q4 it was shooting up to INR 800, INR 900 also. And after COVID happened, the store per, the revenue per square feet went down, which is understandable, and Unlimited also happened. So just wanted to understand what is your thinking on the revenue per square feet, not from the quarter's perspective, over a period of one year or two years, because we have said like we will be maintaining, trying to maintain 10% EBITDA margin. So what revenue per square feet?

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And second on the inventory, so you said inventory per store has come down from INR 2.4 crores to INR 2.3 crores, and we have mentioned in the call that inventory further will come down. So I just want to understand how you are planning to reduce inventory further? These are some questions

from my side.

Anand Agarwal: So, Rakesh, on the overall trajectory of sales per square feet or sales growth, I think while it has already been answered but let me just reiterate. I think Percy had the similar question, but let me just reiterate. So at our overall level, there has definitely been some pressure from pre-COVID levels as we have also discussed in the last couple of questions. But if I look at the pre-COVID levels of sales per square feet, we are definitely hopeful and targeting to reach that level in the next couple of, maybe by next financial year definitely. This year definitely looks challenging given the inflationary trends and the contraction in consumer demand that we have seen so far. But from a future perspective, we are definitely looking to realign ourselves to that INR 700 to INR 800 per square feet that historically we have always averaged around. So there is no change. There is a macroeconomic situation that we're still trying to get over, and it should happen in the next six to 12 months.

On the inventory side, this is a seasonal trend, as I explained, that at an average level, typically we hold around INR 1.2 crores of inventory per store throughout the year. During the onset of quarter 3, which also coincides with the festive period, we have to up-stock and that is a trend that we have always maintained for the last many-many years.

So there are no major corrective actions that are required. It's a normal phasing out of winter or festive inventory, which has to happen over the period of October, November, and December, which again happens every year. We have bought most of the inventory that we needed to buy. October, November purchases will see very-very less amount of inventory purchases and automatically the inventory levels should come down as we are already seeing that they are beginning to come down. So by December end, we should be in far controlled stage, and definitely by the year end, it will come down to absolute normal levels.

Moderator: The next question is from the line of Anuj Sehgal from Manas Asian Equities Value Fund.

Anuj Sehgal: Yes. Lalit ji, I just had two questions. During the call, when you did the LimeRoad acquisition, you acknowledged that it was challenging and difficult to build the whole in-house piece, build the online piece in-house, and therefore, you had to pursue the acquisition of LimeRoad. So my question is that business is a very different business with heavy discounting and chasing customer growth, and it requires a different mindset. So what is the level of cash burn that V -

Mart is willing to make or take to expand that business? And related to that, I noticed that the net-debt on the balance sheet, as of end of September, is the highest I think since FY '15. So how should we think about sources of capital as you pursue growth going forward?

Anand Agarwal: Yes, this is Anand. Let me take this. So on the LimeRoad side, we had taken up this question actually earlier also and during the LimeRoad call. So what we are targeting is to build this

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business profitably in the coming years. This business already has had very strong historical growth levels, and it's not a very high cash burn business. So it is not really competing to acquire a lot of customers in the near term.

It already has a good base of customers with very good customer retention rates. What we have targeted for ourselves is that we should not be spending more than 15% to 20% of V-Mart's EBITDA on further investments into the LimeRoad business. And the business model or the business plan that we have built for the LimeRoad business for the next four years adequately recognizes this concept, and we should be looking at a reasonable growth in line with what our expectations are within this number. So there is no over cash burn or no extra cash that we are looking

ing to burn over a number of 15% to 20% of the existing EBITDA that V-Mart is able to earn.

Second question on your net-debt side. Yes, there is around INR 111 crores of debt that you are currently seeing on the balance sheet. But if you look at the net of investments, we have around INR 40 crores, INR 45 crores of cash or cash equivalents sitting on the asset side. So actually the net utilization is only around INR 50-odd crores, which is again in line with the stack up of inventory that we have had to do for this quarter end in preparation for the festive period.

Going forward, we are not foreseeing any significant cash outflows or out burns. Even as I speak to you currently, our limit utilization levels are much under control despite paying for the LimeRoad acquisition. As also explained earlier, we will be down-stocking our inventory as is the case every year because for the next three months there will be a lot of inventory which is getting sold, but with very minimal amount of purchases which will happen, thereby further improving the current asset situation, including the cash flows.

Moderator: Thank you. That was the last question for today. I now hand the conference over to management for closing comments.

Lalit Agarwal: Thank you, everyone. We have been talking quite frequently, and I don't have too many things to say. We need to perform more. We definitely need to understand more this particular market, this particular consumer, and be ready for the future, because future looks very interesting, the way the whole world is expecting from India, we should also expect the same from our consumers because everything which comes up to India is going to add up per capita income of our consumer, and then the consumption of the consumer. So we are definitely on the building up mode, and we will definitely want to build a very-very strong base so that we could actually take up the challenging future which is going to come in and then the good future which is going to come in. So thank you, and let's meet often. Bye.

Moderator: Thank you very much. On behalf of Dolat Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

Ref. No. CS/ S/L-642 /2022 -23 9th February, 2023

To:

The Listing Department
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"Exchange Plaza"

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Scrip Code: VMART

Fax: 022 -26598120

Email: cmli@nse.co.in To:

The Corporate Relationship Department

THE BSE LTD

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai – 400 001

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Fax: 022 -22723121

Email: corp.relations@bseindia.com

Sub: Transcript of the Conference Call held on 7th February, 2023

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and amendment thereof. In reference to our letter dated 3rd February, 2023 (Ref. No. CS/S/L -634/2022 -23) regarding the intimation of the conference call with Analysts and Investors held on 7th February, 2023 , please find enclosed the transcript of the aforementioned conference call.

The above information is also available on the Company's website: www.vmart.co.in .

We request you to kindly take the above information on record.

Thanking You,

Yours Truly

For V -Mart Retail Limited

Megha Tandon

Company Secretary & Compliance Officer

Encl: As above

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"V-Mart Retail Limited

Q3 FY2023 Earnings Conference Call "

February 07 , 2023

ANALYST : MR. VARUN SINGH – ICICI SECURITIES

MANAGEMENT : MR. LALIT AGARWAL - MANAGING DIRECTOR – V-MART RETAIL LIMITED
MR. ANAND AGARWAL – CHIEF FINANCIAL OFFICER -
V-MART RETAIL LIMITED
V-Mart Retail Limited
February 07 , 2023

Page 2 of 18 Moderator : Ladies and gentlemen, good day and welcome to Q3 FY2023 Earnings Conference Call of V-Mart Retail Limited hosted by ICICI Securities . As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Varun Singh from ICICI Securities. Thank you and over to you Sir!

Varun Singh : Thank you Michelle. On behalf of ICICI Securities I welcome every one on the call to discuss third quarter result for V-Mart. We feel thankful to the top management of V-Mart for having provided us this opportunity to host the conference. On the call we have Lalit Sir - Managing Director of V-Mart and Anand Sir the – CFO. So with that I request Lalit Sir to please take over the call and proceed with the conference.

Lalit Agarwal: Good morning everyone. Once again thank you so much for coming to this call early in the morning. I hope everything is fine. Right now I am speaking not from India and I am doing some executive management course and I am doing that in some university but anyway good times are being seen , sunshine is coming back , we are now able to see inflation coming down, we are able to see consumer confidence inching back once again to the positive side. We are able to see the mass consumer also somewhere coming out of the shell a little bit , still there are concerns , still there are areas where there is mass consumer is still worried about, still the whole confidence level or the confidence index is still lower. The jobs have started coming back, people who have migrated are once again back to the cities and towns where they originally used to work, they are back in employment, so all of those I think there is some positive respite sign that we are able to see which shows the path that things will get improved over the next quarters and that is what we expect and that is what we hope but definitely things have not been as good as we thought could have become both from the consumer perspective,

inflationary perspective as well as the confidence index perspective or the seasonality perspective also, so we have seen all kinds of situation coming in. This calendar year is going to be a little more dramatic year that we will witness because of the elections coming in next year there will be politics hovering around lot of stuff and areas can get disturbed at times. We could see some political activities getting heightened up in certain states which happens just before the election because of the religious -led things which happen so maybe something related to farmers, so we are watching very closely on all of those.
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Page 3 of 18 India story is really doing good , lot of moves that India has brought in, is bringing in lot of confidence in India and Indian industry and Indian consumers we are able to see their formality getting changed so I think all of those looks good from the future perspective from the long term perspective and definitely at this moment in this short term perspective still if we compare with the COVID we are still seeing some kind of low -sightedness on the actual recovery or growth over those recoveries, but yes we are waiting for all of those but now I think most of the industry in retail, most of the people in retail even their upswing on numbers is now almost getting flattened. The rush at malls and rush at those brand stores I think somewhere that has also got toned down a little bit but still we are seeing a good swing still there in the Tier-1s, in the metros we are still seeing the Tier-1, and metro consumers consuming still better than the Tier-2, Tier -3s.
On the competition side I think most of the competitors have been positive on store openings, have been very aggressive on the streams and promotions in the market, so the

market has been quite charged up I would say and we are able to see lot of new good things , we are able to see some special skews in the market which is making things interesting both from the value retail perspective as well as the brand retail perspective . At the value retail perspective I think good signs are being seen on the recovery from most of the retailers. People have tried multiple things certain retailers have tried bringing down the prices to attract customers but I think people who have been able to focus on processes who have been able to focus on the customer pain are able to really get the benefits more out of it . At V-Mart we definitely continue with our thought process on our endeavor on integrating all the two businesses that we have got into. We are really very bullish about the LimeRoad business. In the last quarter we got maybe somewhere around 50 days of our operations and within that we are still on the integration mode. There are lot of change management that is coming up in terms of the main change that has happened in the company so lot of those teething issues are still on, still there are a few, there are partners where those name change agreements are still to happen like Facebook, Google and AWS so there are those issues which are still continuing but the biggest positive news that we would see is the team is very intact, they are really motivated, charged up and the business confidence index has improved. The confidence index amongst the vendors have improved. We are able to see good attraction and once again lot of vendors who are on the market place they are coming back on the market places where lost vendors are also coming back. We are able to see lot of new development happening on the technology. Definitely still lot and lot of work to be done. Still we have not focused highly on the footfall creations and all of those we still want to work on those. We are trying to stabilize all those stuff yes but integration between the V-Mart technology and the LimeRoad technology the work is on,

some part of that has been

completed. We have started doing pilot on the omnichannel pieces as well. They are away

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Page 4 of 18 from the stores. We have started doing pilots from those. I think a lot of those areas are tiered but there are some areas of improvement that we need to do and there will be lot of continuous improvement that we need to do because we really want to create digital experience for the customer who is still coming down to our store and shopping. How do we make them seamless towards digital as well as physical that is the area that we are working on.

On the other side our infrastructure development and warehouse development is also on full swing. We are almost 70% done with our warehouse development. Again we will have another two to three months more so that we will shift to that premises that is coming up very well. Definitely we have invested a little heavy on those and looking at the next five to seven years of view and that should really give us a real capability, betterment and addition in terms of speeding up the turnaround time from the warehouse to the stores and the logistics facilities, so all of those are really happening good. Digitalization even at V-Mart a lot of analytics -based reports reporting the work with the consultant that is going on is happening really very well, the team is getting realigned at the supply side and the merchandizing, design, sourcing. All of those new developments have now started coming on place. Hiccups are initial whenever there are regrouping and there are re-hierarchization or organizing structure will change and new departments have been created. There are teething issues which starts happening but we have to bear with all of those. We will have those issues coming in from the new team but I think the best part is the plan that we had, we are coming out on the same plan. We have started implementing most of the areas like sourcing of fabrics directly from a new mill nominating them to the vendors and then designing most of the designs internally by our design team, so great collections are being expected in the spring summer period. We are really working on this time real low prices product where we are trying to provide quality to the customer which is never seen on. We have done lot of work on the mass customer segment which got lost somewhere in the initial part of the year which we tried to regain back both growth in the last quarter as well as in the future quarters we are trying to bring them back into the name frame by lowering our ASPs, by really focusing very highly on those consumers who have really got impacted because of inflation and the inflationary pressure so we have really done that and we watch that very nicely. Our ASPs in this quarter was almost flat so all of this I think is working positive and the margins will definitely be at a little pressure that we will see because we really want to first of all provide that real value to our customers and work on that.

Our southern India integration I think is happening good. A lot of better developments are happening. Last quarter we saw a growth over the previous year but I am still clearly not too satisfied with the kind of goal that what we are doing. Still that understanding that we

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Page 5 of 18 developed in the southern part of the India market we need to polish that up. We are working on all of those. That market is definitely demanding and we will definitely upgrade and upkeep our quality of inventory, our patterns, our fits, our sizes and all of those additions into the company is definitely going to overall upgrade the merchandize quality of our product offerings that we do. So I think a lot of these are happening. Customer loyalty is another area that we are focusing very heavily on.

n. How do we create or how do we have

extra frequency of customers who come in. We are seeing some positive responses coming in out from all of those efforts that we have taken up. Digital advertisement has been quite actively engrained in our team. We are focusing very highly on those. We are able to see youngsters walking back. We are able to see lot of youngsters now coming into our stores because the colleges have opened up. We are there on the digital space. Lot of reels and lot of personalization videos are being prepared, so I think lot of those activities both from the physical store perspective as well as the omnichannel perspective and LimeRoad perspective we are right now running both the channels which is vmartretail.com as well as the LimeRoad, so all of those are collaborating into the business. We still need to let things settle down and we want to coordinate and create those synergies of digitalization, technology systems of products, of the strength that V-Mart has, how do we use that in multiple other areas. We are very positive. Definitely lot of new things are happening in the company so people are very busy. I really give kudos to the team that they have been able to manage such a complex environment very nicely. We are able to see swings in the seasonality because of the climate change. Winter somewhere has been fairly okay. We have still not been able to have the best winter that we could have expected this time so there are those external environments which will definitely make us more agile and we would have to really make our systems and processes a little more ready for these kind of smaller disturbances which would come in, so definitely we still have a little higher inventory. We are working very hard to bring down the inventory level. All of those I think Anand will give you inputs and let us wait to hear from Anand and then we can answer your questions and answers. Thank you.

Anand Agarwal: Thank you Lalit and good morning everybody. Let me take you through some of the key highlights from the quarter and then we can open the session for questions. It has been a very big and very hectic quarter with an acquisition, big festive season, and winters and the marriage seasons. Traditionally Q3 is also our biggest quarter but YTD Q3 we also tracked our highest ever sales and look forward now to closing this financial year on a new high. For the quarter sales grew by 12% year-on-year with like-to-like growing by 1%. Both V-Mart core business and Unlimited has positive like-to-like on a stable base of no COVID overhang in previous year. ASP remained flat as a result of significant corrective measures taken to bring back economy pricing and tweak the product mix to attract low income

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Page 6 of 18 customers which have shied away from buying at least what we have seen in the last one year or so. Tier-1 markets continued their growth journey and outperformed Tier-2, Tier-3, Tier-4 markets reaffirming the K-graph recovery that we have all been seeing in the sectors where the rich have remained largely unaffected post COVID while the poor have been forced to compromise on consumption with inflationary impacts in all parts of life.

Unseasonal heavy rains in October resulted in one of the wettest October on record and high average temperatures resulted in one of the warmest December in last 122 years. Winter merchandize sales as a result got pushed out to January denting December numbers. The shift of sales from December was realized in January though improving growth for January. We opened 15 new stores in the quarter, one in south India under unlimited brand and 14 in rest of India and also closed six nonperforming stores all under V-Mart in north taking the net tally to 414 stores pan India out of which 80 are in south. All the new stores especially in south have

been performing steadily and in line with the established V-Mart business model at similar margins as that of a normal V-Mart store and in fact 20-25% higher ASP than the legacy unlimited stores. While we still wait for these new stores to complete at least one year before passing the judgement on the successful rollout for south in terms of new stores throughput but yes definitely the teams remain very bullish on continuing the expansion plan in south under the unlimited brand.

There was a strong push on increasing online sales contribution with the acquisition of LimeRoad although it has been integrated only for less than two months now and still going through a stabilization phase some teething issues but the business does look very promising as we step it up for higher growth once the basics are back in place. The revenue

from market place is only the commission that we earn from sellers on the platform and not the net merchandize value.

Coming on to the gross margin s the gross margin at 35.4% were 40 BPS lower than last year and also one of the lowest in the last four to five years as a result of conscious effort s to improve price offering for the value customers. We have talked about this in our last quarter call as well and we have made that change or tweak we reduced some price points to make the customer s offering more attractive and this strategy as worked well as it helped pull in sales growth but yes at a slightly lower margin. There has been a significant impact on increasing cotton prices in the last one year and although yarn prices have come down from their peak by 30% since September but the y are still 30 to 40% above pre -COVID levels. The winter stocks did not get the benefit of any lower yarn prices as purchases are booked at least two to three months in advance. Going forward there may be a marginal relief available in summer 2023 but as is the practice it will be passed on to the customers in entirety as we would want to remain very competitive in the value retail pricing segment.

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Page 7 of 18 Coming to the expenses the expenses for the quarter include a n amount of around 36 Crores towards the spend on online business which include the complete opex for both vmartretail.com and LimeRoad.com. The 36 Crores expense also includes 12 Crores onetime expense towards integration and other manpower -related cost for the LimeRoad business as it starts to get integrated into the main business. Excluding the online business the expenses for the quarter grew by roughly around 9.5%. Historically online only constituted vmartretail.com and market based offering with expenses averaging around 4 to 5 Crores per quarter but now with a more focused effort to make the online business grow and induction of LimeRoad this will slightly be bigger. On a go forward basis we are very confident of establishing both the acquisitions in south as well as LimeRoad business as the biggest growth drivers for the organization and remain s committed to invest in the journey, to reach the sustainable and profitable destination. While south has already begun well we will need to give some more time and resources for Lime Road to start delivering. Coming to EBITDA for the V -Mart core business EBITDA for the quarter came in at 17% plus with unlimited also in very close vicinity. LimeRoad only had a little less than two months in quarter and as planned is still in the stabilization and revival phase. As I mentioned the business revenue in LimeRoad consist only of the commission earned from sales facilitated for sellers from the market place while the expenses largely consist of marketing, logistics and technology cost. Once the business has started to stabilize we will be sharing more details around its operation. For V -Mart considering the initial opex plan around the integration the EBITDA came in

at 13.3% for the quarter .

Coming to inventory the quarter closed at 767 Crores which was at 106 days of inventory slightly higher than our target due to bit of late winters. Winters have been delayed and winter sales slightly shifted into January leading to slightly higher closing inventory than planned but that has been recovered in January. As stated in the past we are carrying slightly higher inventory per store in south to explore newer categories and higher sales. On the capex side we have spent around 125 Crores so far largely comprising of expense on the new warehouse which is on schedule to start operations by end of March in this financial year itself . Other capex included spends on new stores and refurbishment of old stores apart from some high IT -related expenditure. There has been some marginal utilization of working capital limits because of this higher inventory build up and other operating costs. I think the working capital utilization would be in the tune of 40 to 50 Crores.

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Page 8 of 18 On the go forward basis I think on the outlook we remain fairly bullish on how the market has to perform. We are still going on the new store opening plan as originally planned. We have opened I think 41 stores so far this year and I think we should be looking at closing the year by around 55 to 60 stores with some stores also getting opened in South. The growth plan for Unlimited also remains fairly strong. As Lalit mentioned there are more improvements which are lined up for Unlimited but the team remains very buoyant and very bullish on expanding that business as well. So that is all from my side and I will now request the moderator now to open the house for questions . Thank you.

Moderator: Thank you very much Sir. We will now begin the question and answer session. We have the first question from the line of Nihal Mahesh Jham from Nuvama Wealth Management .

Please go ahead .

Nihal Mahesh Jham : Good morning to the management. Sir the first question was on the Unlimited part you

mentioned about the sales per square feet being 20 -25% higher so just to clarify this is for a like-to-like store or the like-to-like store that are in existence versus the pre-COVID number that is the right understanding ?

Anand Agarwal: So Nihal the 20 -25% higher is only for the new stores. The point that I was trying to make was that the new stores that we have opened in south are performing very well in line with the original V-Mart format which is to open stores in Tier-2, Tier-3 towns, 8000 square feet with low rentals, low opex and thereby delivering higher throughput. So the sales per square feet in south is very comparable to a new store opening in north and that gives us the open promise that we can expand more there.

Nihal Mahesh Jham : Possible to share for the legacy stores what is the kind of performance versus before the acquisition ?

Lalit Agarwal: It is lower than main V-Mart business but it should be around Rs.520 per square feet there.

Nihal Mahesh Jham : That is helpful. Sir the second question was you alluded to the margin for the core V-Mart business being around 17% I am assuming that when you are looking at the business the 36 Crores or something you are counting separately or not aggregating to any other business right?

Lalit Agarwal: Yes that is correct.

Nihal Mahesh Jham : Just a related question was if you could share the LimeRoad GMV for this quarter if it is possible, the run rate not for the quarter and what is the kind of EBITDA impact while you

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Page 9 of 18 highlighted the 15 -20% number earlier if there is any update to the same after you have integrated and looked at the business in more detail ?

Anand Agarwal: Nihal on the operational aspects of LimeRoad we will start sharing some more colour around that once

that business is stabilized. We are still ourselves in a learning mode and trying to understand how this business shapes up. It will be slightly premature to start sharing current data because it is still getting stabilized. On the EBITDA percentage share for the spend or the investment that we will do on the digital side including LimeRoad we still remain similar as around 20% of the EBITDA that we have stated in the past.

Nihal Mahesh Jham : That is helpful. I will come back in the queue for further questions. Thank you so much.

Moderator : Thank you. The next question is from the line of Pankaj Tibrewal from Kotak Mutual Fund .

Please go ahead.

Pankaj Tibrewal : Good morning Lalit ji and good morning Anand. Sir my question is that in the last one-and-a-half years we have taken few capital allocation calls, one is Unlimited, LimeRoad and the distribution warehouses something which we wanted to get more clarity was on the return on capital, we have seen V-Mart very closely watching the return on capital for a very long period of time in the history and that separated us from the rest of retailers but over the last couple of years that number has been diluted meaningfully can you give us some sense on the roadmap for that recovery to happen and when you look back on all the capital allocation decisions how do you make sure that most of them were in core with what V-Mart used to operate and when do we go back to that 15 -16% which used to be our forte for a very, very long period of time so that is more one question on the strategic which will over a period of time determine our shareholders return ? Thank you.

Lalit Agarwal: Pankaj thank you so much for asking this question. Definitely in the last one-and-a-half years we have gone out to spend more money which is unlikely of what V-Mart does because we are able to see lot of future capabilities and lot of ability in the market and potential in the market as you all understand the kind of risk that we are taking in terms of two acquisitions and allocating capital on those. Very clearly there is a store addition to south which went on to that. Certainly as the usual business is taking time to come closer to what V-Mart business so the return on the capital from that business will take a little more time to come back and then if we go to the LimeRoad investment definitely this is something very long term and this is futuristic. This will require still more capital as we speak and as we go ahead making it very clear that expecting very good capital return or a positive capital return from this business is going to be difficult because this is definitely

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Page 10 of 18 creating capabilities for us to cater to those millennial customers and the retail customers.

We will have to invest more in this business and this is a need for the future sustenance so we will definitely want to keep investing in this particular business to acquire our competencies on the digital side and as far as the new infrastructure capital allocation is concerned which is the warehouse capital allocation we are aware that we are building because after eight years we are building more efficiency on the infrastructure development. There also we are going ahead with building our own infrastructure which is something that

we have never done in the past and we will definitely find out a way to try and see how do we use that infra more and how wisely can we use those capital allocated so that our overall return on capital employed does not go down so as of now we will see a little more stress for the next I would say six quarters but continuously we will see improvement in the return of the capital employed coming up. We need to also very , very accurately and lightly manage our inventory where another piece of capital allocation which is happening which is also not something which

is still in the numbers that we need to change so we are working

and the markets are also coming back and things will come out positively and most of our bets that we have taken for our future growth should bring in more results and should bring us wider scope of market both from the physical as well as retail perspective.

Pankaj Tibrewal : Okay thank you and we just hope that V-Mart retains back its mojo on the return on capital which was there for a long period of time. Thank you.

Moderator: Thank you. The next question is from the line of Percy Panthaki from IIFL Securities .

Please go ahead .

Percy Panthaki: Hi Sir. My first question is on the sales per square feet of last quarter that was Q2 we were about 10-11% below the three years before that 2Q so 2Q 2020 versus 2Q 2023 we were 10-11% below and we were expecting that there would be a gradual sort of recovery on this front , Q2 did see a good recovery over Q1 and we were expecting Q3 also to see a recovery over Q2 but instead of coming down from a minus 11 to minus 7, minus 8, etc., now we have gone to minus 22 so clearly now I cannot see the direction of the recovery and I do not know how to really look at sales per square feet going ahead. Now given that we are in a completely normal situation COVID has been passed since almost a year or so I understand there is some demand weakness but bearing that we are in completely normal situation and we are still 22% below our pre-COVID and no company is lagging in such a huge way so can you give some idea on how do we look at sales per square feet going ahead ?

Lalit Agarwal: Percy I think it will be nice for you to have a separate call with Anand to understand because we have also opened a lot of new stores which has just added the square feet but V-Mart Retail Limited

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Page 11 of 18 has not given us the complete area number one. Number two the sales per square feet of the southern business or Unlimited business still at a lower level so whenever you see that comparison you will see it different . Number three the Q3 this time as we have seen one festival shifting from October to September some numbers went into the last quarter, some numbers are coming in this quarter there is some shift that we will see so we should see an YTD SPSF recovery. Definitely we have also experimented on certain big size store in the eastern part of the company that is definitely one bringing down the sales per square feet but it is constant so some of these areas I think definitely the Unlimited edition itself will put the pressure on the sales per square feet number that you see from those perspective . Otherwise the like-to-likes sales is flat from the last year but still from the pre-COVID levels you are still comparing there is a pressure which is still there from the pre-COVID numbers and which we hope to see positive side and if you are comparing with those bigger metros and Tier-1 kind of store mix sales per square feet definitely the percentage growth there versus the percentage growth in our company you will be still seeing some pressure there, so things are coming up into the positive direction. We should be able to see them getting normalized even in the next quarter.

Percy Panthaki: Exactly Sir. The last line is what I wanted to focus on the direction so when you are saying things are going in the positive direction the numbers are actually telling a different story and things are actually going in the opposite direction instead of minus 11 point to point three year kind of growth that we saw in 2Q we are today at minus 22 I can understand if the pace of the recovery is slow , I can understand that small towns are there, they are under pressure, UP, Bihar is under more pressure than the rest of the country, I understand all that but why is the direction actually reversing that is my question ?

Lalit Agarwal

al: Percy as I said there is also a seasonal shift also please do not compare quarter-on-quarter.

There was a whole festival of Durga pooja, Navratri was in September so most of the consumption shifted into September that is why those averages we will be able to see little lesser there and little more steep here so please try to see both the products combined it will be good because quarter-on-quarter at times these quarters are very typical quarter , delicate quarter where even a slight five day, seven day shift from this particular festival from this month to this month makes it difficult for you to understand so it is just a calculation understanding issue not actual low performance .

Percy Panthaki : Secondly if you can give some idea in terms of differential between the Unlimited and the organic business in terms of sales per square feet I believe one or two quarters back you had

mentioned that at the time of acquisition the deferential was 20% and then it came down to 15% what does it stand at currently ?
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Page 12 of 18 Anand Agarwal: I think that numbers still remains very similar while both the markets have been growing and both the markets have seen positives like -to-like but the differential in the sales per square feet still is at around 15 -20%. The silver lining although is that the new stores that we are opening in south are delivering much higher sales per square feet than the legacy Unlimited stores and that is a very good positive sign.

Percy Panthaki: Lastly going ahead if you can give some idea on what internal targets you have for FY2024 in terms of EBITDA margins and in terms of sales per square feet ?

Anand Agarwal: Percy it will be difficult to share. All I can say is there are two statements that we have said in the past one is the total growth should be in line with our historical 7 years, 10 years CAGR which is around 20%. EBITDA traditionally I think there is around 15 -20% investment that we will do on the online business so we will have to work around those two statements.

Percy Panthaki: Okay that is it from me. Thank you.

Moderator: Thank you. The next question is from the name of Shirish Pardeshi from Centrum Broking . Please go ahead .

Shirish Pardeshi: Hi good morning Lalitji and Anandji. Thanks for the opportunity. If I look back 9 months we started year with lot of hopes, COVID settled down and then somewhere in June, July we realized that the prices needs to be dropped because there is a slowdown in rural economy and the n come October we had floods and situation and now we have delayed winter two data points what you have shared that our footfall growth is 13% up while the conversion rate has fallen to 55% maybe I am looking at this number for a little longer time and that is why a bit surprised or rather worried but is there more thing to do with the escalation in the competition profile or genuinely there is a structural shift that the mass consumption is still not picking up and we will face this pain another two or three quarters so your comments on this?

Lalit Agarwal : You are right Shirish. Definitely there is a pressure which continues and we are putting our efforts and we are also not trying to work too much on the shorter term approach by giving lot of incentive to the customer by calling them and converting them at a very low incentives so we are trying to build that standard. We just do not want to walk the competitor path and what we are seeing is a reduction in the conversion rate what you are seeing from 2019 till now or maybe last year till now so last year to now I think the reduction in conversion we will see because the way the consumer behavior that we

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Page 13 of 18 watched during those period and where the footfalls were very low, people who came in used to buy and most of

the customer used to buy because of the COVID fear if you remember which I think is coming back to the normalcy and people have now increased their bill sizes but the number of the conversion is at a fair level, 58% conversion is a very fair number to look at because in south we have seen that the conversion rate has been really lower but the bill sizes have been very high so all of those I think that is a behavioral shift that we are watching just after COVID till now. I think from the consumer perspective definitely things are improving and we are seeing pressure not only in our industry but also other industry still compared to pre -COVID which I said in my opening remarks as well which is improving day -by-day and I think this consumer segment, this rural customer or the semi urban customer that we are focusing on we should see more spike coming in the future quarters.

Shirish Pardeshi: Lalitji I agree your comments but I know you always remain hopeful for the recovery but when we look at the competition angle is that which is worrying you and if that is true that are we trying to take measures to improve this because the other thought is that if the things are not in our control and there are external factors why not to consolidate the stores and keep a pause of store opening ?

Lalit Agarwal : No, I think definitely the markets which are the new markets, we are taking those decisions to develop the new market for the long term perspective and these stores opening are not for the shorter term time. We will continue providing work to that particular field. If those new stores performance would have taken a hit we would have thought over it but I think just looking at it from the previous two years numbers and we are comparing those 180 stores with 200 stores on a like -to-like perspective I think we will have to now come up and look this new scenario and start comparing with the last year and then see how do we grow from here. Definitely the market has densified more. We are seeing more competition. The re are

more outlets to visit for the consumer. There is some market share which is unoccupied by them which is there but I do not see a great high trend strategic move from them in terms of the customer acquisition and in terms of the customer moving because of the fundamental offering which is provided by the retailer. There will be some tactical move which the retailers will do and will try to get some consumers into their stores which is going to happen I think this newness effect will certainly die down over the period and we will be able to establish our relationship with the customers and the earlier customers are going to come back to us.

Shirish Pardeshi: Thank you Lalit Ji. My second and last question to Anand Ji so my question to Anand Ji's comment in the past that we are trying to get the inventory normalized I obviously
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Page 14 of 18 understand definitely this quarter we had winter which is prolonged and the inventories around 106 so maybe in next four to five quarters where do you would like to settle given the context that our warehouse will be operational by March end so maybe any qualitative comment you can offer later on? Thank you Lalit Ji and Anand Ji.

Anand Agarwal: Thank you Shirish. Let me just quickly answer that so the long term trajectory for inventory days is over around 90 days that we have maintained in the past and we will work towards that. Thank you.

Moderator: Thank you. The next question is from the line of Resham Jain from DSP Investment Managers. Please go ahead.

Resham Jain: Hi good morning. Just one query on the inventory so if we look at the modern retail stores lot of competition has moved to the display mechanism which is hanger model where the piece per square feet has been much lower compared to our erstwhile model where we used to

stack clothes on the top of each other and that also has led to much lower kind of employee kind of cost as well so is there any change in our display mechanism also in our old stores and how are the new stores being built if you can just help with this?

Lalit Agarwal: Yes Resham definitely we are not trying to look at the competitor and trying to learn but definitely we will learn from them as well and there are some changes that we already initiated if you remember the SBU concept that we had launched but still the kind of customer segment that we target to because these are massive and these are little lower segment customer compared to the competitor that we are speaking of. We believe that these customer segments still are not too organized and still are not easy to handle and they need a little extra variety and little higher inventory and the kind of model that we have built that also ropes in these things but I hear what you are saying and we are working on reducing this inventory per square feet both from display perspective as well as the inventory perspective and giving a little more clearer display to the consumer so lot of work has happened in that area in trying to improve upon the density which is what you are trying to talking about. The density of clothes or units per square feet that is what we are watching. Good suggestion. Thank you we will take care of it.

Resham Jain: But are new stores being built with this concept or they are also at the similar model which we used to have earlier?

Lalit Agarwal: No, the new store definitely as we said the SBU concept large part of that has shifted into hanger-based product line but still in the smaller part of India a product which has been

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Page 15 of 18 opened up and hanged not all product is being appreciated by the consumer they feel that (inaudible) 47:45 so there is still the cultural piece or expectation from the consumer that we have to manage in terms of certain product lines where they do not expect those opened up pieces.

Resham Jain: Okay understood Sir. Thank you all the best.

Moderator: Thank you. The next question is from the line of Mandar Pawar from Kotak Mahindra AMC. Please go ahead.

Mandar Pawar: Hi good morning Lalit Ji & Anand Ji. Sir my question is on the price corrections that we have taken for our merchandise. If you can help us to give us a data point as to how much price correction that we have already taken in percentage terms and compared to pre-COVID levels where this selling price could it be compared to pre-COVID?

Anand Agarwal: We have not really just taken a price correction. There has been a variety of measures that have been implemented so one is improving the product availability at lower price points which had got thinned out because of margin pressures in the past, second is some amount of improvement in the product profile coupled with price correction at some strategic price point and third is more around price ladder where we have also ensured better availability of product at strategic and key price points, so a mix of all of these is working

to ensure that our A SP if you look back versus last year has remained flat so it is a variety of measures and the team is continuously working to improve on it further.

Mandar Pawar : Possible reduction that may happen on the yarn prices and garment prices where do we expect our gross margins to settle and how much we retain, how much do we pass on to the customer ?

Anand Agarwal: So that remains a very clear strategy for us. We have always been honest price shop so when the price go up we pass on the price to the customer when the price comes down we again pass on the benefit back to the customer. As I had stated in my opening remarks we are expecting some amount of marginal price relief in yarn prices which gets

affected in

summer we will pass on that back to the customer keeping the gross margins at the similar range for the core V-Mart business at around 30-33% and for the Unlimited business at around 37-38%. Weighted average should be at around 34% in the medium to long term.

Mandar Pawar : Got it and just one final question you mentioned in your opening remark about the postponement of winter sales into Jan also want to check if along with that was there any

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Page 16 of 18 discounting on the winter wear which happened during December and whether that had any impact on the gross margins that is my final question ?

Anand Agarwal: Not really. We are not very heavy into discounting or promotions and because there was a shift in climatic conditions the customer came and brought that product in January. If at all there is more liquidation time it will happen subsequently.

Mandar Pawar : Got it alright. Thank you very much.

Moderator: Thank you. The next question is from the line of Tejas Shah from Spark Capital Advisors. Please go ahead.

Tejas Shah : Hi thanks for the opportunity. Lalit ji in your opening remarks you sounded cautiously optimistic on demand environment so just wanted to know because we have been having this tone for a while so let us say if we have to see near term only so what are you optimistic about and what are you cautious about let us say for coming six months of the calendar year 2023 ?

Lalit Agarwal: Optimism I said the business is coming back and the consumer pulse we are able to see some respite if we compare quarter-on-quarter and we have seen quarter-on-quarter there are improvements that is coming up and that is what we are seeing and I am indicating more towards the consumer confidence index and that is what is important to me and how does that confidence grow up for the consumer. If the confidence comes up the feel good factor becomes better then start investing on our so called discretionary product lines and that is what drives the future sales or consumerism in India and in Bharat so I think we are seeing some hope that is built here. Still not exactly similar but quarter-on-quarter we are seeing improvement and the inflation has come down but still not to that level that our consumers have come out of that budgetary pressure that they had so it is still going to take another one or two quarters which will make it happen but the challenges yes definitely we see the challenges but the hope that our pricing that we increased, our offering that was available, we have tweaked all of those. Hope that consumer have got some benefit in the last quarter and consumer will get future benefits also in the next quarter they once again relate back and they start consuming at our stores and that is what feel we are optimistic about.

Tejas Shah : Lalit ji if I compare our commentary post-COVID versus pre-COVID there always used to be an element of hustling or growth mindset irrespective of the macro environment that we used to face now off late since COVID we are attributing most of our slow down or challenges to macro issues only so should we think that the bottom of initiatives which we

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Page 17 of 18 are doing are not responding anymore and we are at mercy of macros only or you believe that there is lot can be done at our level also irrespective of the macro environment to revive growth ?

Lalit Agarwal: Tejas you are absolutely right. Definitely by speaking we will talk about some part about the macro but definitely we have lot to do internally and this is what I said both from the inventory management perspective the new things that we are trying to offer and the new designs that we are trying to offer, the piece that we have created, the differentiated thought process that we have brought in, the digital adv

ertising that we are trying to do, so lot of

work is happening at the company's end. We definitely internally talk and we believe that if we are pointing one finger outwards there are four fingers coming back to us and there are lot of those that we have to work because these are not the similar environment but when

the competitive pressure was very low and the competition in the market was also very low. One there is a competition in the market, there are more stores in the market which are offering unique capabilities, unique potential and unique skills who are definitely seen more of those in the market so there are changes in the market. There is a higher opportunity for the consumer to visit both from the online as well as the offline perspective, so there is a small shift in that definitely could affect us and when there are growth concerns at the macro level that is where those smaller digit it is all about the 5% or 7% or 10% up down is what brings in benefit.

Tejas Shah : Sure Lalit ji last one on this. Sir as an outsider if I have to let us say evaluate after a year on that all these initiatives that you spoke about are working it will reflect in which all to p three parameters will it be inventory at store level or sales per square feet or SSG how should I actually monitor as an outsider the initiative that you spoke about are actually delivering results or not ?

Lalit Agarwal: Definitely the sales per square feet is a key indicator or even the like -to-like growth is a key indicator so I think we should be able to do that. While we are doing some of the experiments, reorganizing the teams, restructuring the teams there may be some pressure that you will see on the inventory side a little bit which could prevail but our endeavor is to try and manage these pieces also so that is what is also a part of the project in trying to bring down the inventory management have a better digitalized forecasting, have a better consumer understanding (inaudible) 56:34 beneficial features can turn out well. These are all work in progress es, these are all something which is rolling out and the effect is on 360 degrees that we should be able to create which finally boils down to the ultimate like -to-like shift.

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Page 18 of 18 Tejas Shah : Fair point. That is all from my side. Thanks and all the best.

Moderator: Thank you. Ladies and gentlemen that was the last question for today . I would now like hand the conference over to the management for closing comments. Thank you and over to you Sir.

Lalit Agarwal : Thank you so much . I understand the kind of questions which are coming in. People are very concerned about our performance. People are able to see a little (inaudible) 57:21 from our side. We definitely believe and we understand so there is no hiding away. This is definitely a situation which continuously has been prevailing and we have been regularly talking about it. We still want to maintain those positive notes because we are motivated looking at the market. There are situations there are challenges which will come in. We will not face the similar or pleasant weather every time there will be bounces and we will have those little longer stretch of those and that is what we are here to fight for. Fundamentally we are becoming stronger this is what I just want to reinstate the belief. Fundamentally we are working. We are working on those key parameters where things has to be strengthened in a longer term perspective. At a shorter term perspective there could be some technical approach by the competitor or by us are not effective to us which may deviate us slightly on those. The investments that we are doing on the new initiatives will definitely the bottomline may not seem similar that we used to have, the ROCE will not seem similar, have patience on those. You have shown en

ough trust with us continuously for a period of time. Again we will definitely hold it up and we will want your trust not to be diluted and we will keep it up. Thank you so much. We will put our best efforts to prove whatever we do. Thank you and have a great day.

Moderator: Thank you Sir. On behalf of ICICI Securities that concludes this conference. Thank you for joining us . You may now disconnect your lines.

Call: May 2023

Ref. No. CS/S/L -670/2023 -24 22th May, 2023

To:
The Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
"Exchange Plaza"
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
Scrip Code: VMART
Fax: 022 -26598120
Email: cmlist@nse.co.in To:
The Corporate Relationship Department
THE BSE LTD
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Scrip Code: 534976
Fax: 022 -22723121
Email: corp.relations@bseindia.com

Sub: Transcript of the Conference Call held on 18th May, 2023

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and amendment thereof. In reference to our letter dated 15th May, 2023 (Ref. No. CS/S/L -661/2023 -24) regarding the intimation of the conference call with Analysts and Investors held on 18th May, 2023, please find enclosed the transcript of the aforementioned conference call.

The above information is also available on the Company's website: www.vmart.co.in .

We request you to kindly take the above information on record.

Thanking You,

Yours Truly
For V -Mart Retail Limited

Megha Tandon
(Company Secretary & Compliance Officer)

Encl: As above
MEGHA
TANDON Digitally signed by
MEGHA TANDON
Date: 2023.05.22
17:19:18 +05'30'

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"V-Mart Retail Limited Q4 FY-23 Earnings Conference
Call"

May 18, 2023

MANAGEMENT : MR. LALIT AGARWAL – MANAGING DIRECTOR , V-MART RETAIL LIMITED
MR. ANAND AGARWAL – CFO, V-MART RETAIL LIMITED
MS. SUCHI MUKHERJEE – CEO , LIMEROAD
MODERATOR : MR. JAY GANDHI – HDFC SECURITIES

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Moderator : Ladies and gentlemen , good day, and welcome to the Q4 FY23 Earnings Conference Call of V-Mart Retail Limited hosted by HDFC Securities .

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jay Gandhi from HDFC securities. Thank you and over to you.

Jay Gandhi : On behalf of HDFC Securities , I welcome everyone on the Earnings Call to Discuss the Q 4 and FY23 Annual Results of V-Mart Retail. We thank V-Mart's Management for having provided us with the opportunity to host the conference call.

On the call , we have with us Mr. Lalit Agarwal – Managing Director ; V-Mart Retail, Mr. Anand Agarwal – Chief Financial Officer and Ms. Suchi Mukherjee – CEO LimeRoad .

With that I request Mr. Agarwal to provide his opening remarks and proceed with the conference call.

Lalit Agarwal: Good morning , Jay. Good morning , everyone. Thank you so much for being on the call. Definitely , the business has been quite a lot of going in retail , quite a lot of things are going in the industry , and quite a lot of things are going at V-Mart . We are quite occupied with a lot of good stuff. There's a lot of emotions which are getting generated and a lot of news which are going to come in.

So overall I think the way India has been growing is quite remarkable. We are seeing definitely lot of good potential view of the consumer market of the consumption in India, definitely the way our country is growing the way people are projecting about the future potential and looking at this particular year I think because of the elections , because of a lot of global turmoil which is what people are talking about . I think India has stood up very well , so at the hinterland level what we have seen , definitely people are coming back to their normal routine. People are back into speaking positive about the businesses , about their smaller activities , having a little more higher confidence on the kind of job that they can get. People who can really work on certain particular jobs are looking at growth because in smaller cities even in places like Uttar Pradesh , Lucknow and all we are hearing people are little motivated by the industrial development by the upcoming of certain industries in the state and the approach that the state governments are taking.

We definitely feel there's a lot going on in a lot of those states a lot of India states and there's a competition. This competition definitely brings in more confidence in the people. Infrastructure development is also giving a lot of confidence with the people. Till now agriculture produce has

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also been fairly good , people have been able to —the agricultural income dependent people have been — fairly okay on their income levels. Definitely there are pressures in the economy which is the lower strata of the economy which forms almost 70% of the population which we have been always speaking. This K-shaped economy which we have seen in the market is somewhere what I'm seeing is tapering down now , both from the steepness and the degree it used to have on the upper side as well as the lower side. On the upper side, yes, we saw this demand coming up in hotels , in flight tickets , in malls. A lot of those are now honeymoon period I call and the excitement , the revenge shopping , the revenge outing , the revenge tourism , they're all now coming back to normalization. We are starting to see that degree getting tapered a little bit . We are also starting to see the lower part of the K which is the lower strata

of the economy where

we were seeing people , consumers getting demotivated, and they were decreasing their consumption. We are seeing those consumptions coming back a little bit . That part is also getting tapered off.

Now some normalization , some neutralization has been seen and we hope that within next one or two quarters we will be able to see positive moves coming in from all the segments. That's how our analysis and our pieces say. There are definitely states which are doing very good. There are states which are still reeling under some pressure. I think there's also a transition phase which our country is going through from informal economy to a formal economy. A lot of that we can see in the GST collection pieces as well. It's not the business growth, which is coming in , it is also the formalization of economy which is happening. With the formalization there is a lot of benefits that we have numbers , we are seeing on the screen. But there is also a pressure which is getting created in the non-formal or informal economy which is people who used to who were not used to operate in this registration or taxation environment and informal environment. They are getting somewhere affected by this whole formalization. They feel themselves a little less confident. They are under some kind of pressure and threat on their businesses. Their businesses seem to be little down , even lesser corruption and even good framework of or implementation of most of the public distribution system and public distribution of those incentives. I think those formalization also has helped the economy , help the consumer where it is reaching them to the right consumer. But also, there were few mediocre and there were a lot of bicholia which used to work and then they have somewhere getting impacted all of those because of that. We have seen some part of pressure , higher part of pressure in Uttar Pradesh , Bihar . Bihar continues having that , even Uttar Pradesh continues having that because we have seen a lot of development coming in Uttar Pradesh. That's a territory that we are watching out. That's something that we are looking at because they are definitely building a lot of things for the future. But at the current moment there is a transition phase which is going on. I think that should take another year or 6 or 8 months so that we are able to come back on that . Rest I think most of the territories are behaving well , both towards the southern India , especially in east and northeast India , their comeback has been pretty good in this particular quarter. We have seen very good growth coming in even now from those particular areas and consumption coming back from those areas .

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The confidence level also of people in Northeast because of a lot of activities and interactivities the government have started has been very good.

I think overall we are seeing good. Even the industry has been quite stable now. There's definitely more intense number of concepts which are coming into this market , in the retail and the value retail concept. A lot of activity happening here , a lot of people opening up new stores , especially those conglomerates which we know and are targeting this market. There's definitely more supply in this market , in this value retail space in Tier-II, Tier-III towns compared to the earlier days of pre -COVID days. There is definitely a lot of mapping that we did over competition , understanding the competition. We saw a lot of new stores getting built up in the last 3 years and almost 50% to 60% additional number of stores got built by us as well as by the competitors. I think there is definitely more supply. The demand definitely did not grow as per expectation. There is a lot of potentiality in India, in Bharat we all believe, and we all talk about it. But in the last 2 years , 2.5 years if we see there's

lot many things happening with those

consumers. The demand has not picked up, it has remained muted or little low. That is where the additional supply which is getting received is not getting matched with the demand which is there. I think there is definitely right now a little higher supply. There's also economic pressure on the lower strata of the population. We see some relief coming every week , every month and I think that's the positive news.

Balance , I think at V -Mart we continue , we believe in the long-term story . We definitely believe what we are there for , what is our strength , where should we be focusing on . We believe that the game that we used to play 3 years , 4 years back is no more the game , it is definitely a little more tighter , it is little more competitive. We need to be potentially much more capable to meet the future need of the customer , future need of the market. That is how we have prepared ourselves. We are definitely preparing ourselves. We have extensively worked with our consultant , Kearney, for the last 15 months in clearly focusing on really creating a capable and scalable model on our procurement , on our planning , on our forecasting , on our digitalization of those inventory management. I think a lot of those work in understanding the consumer , having the business survey mindset , understanding the competition and then developing and creating certain internal capabilities in our organization with respect to the nomination fabric , sourcing , technical understanding , quality betterment . So, we used to always believe in all of this , we have always done those. In the kind of model that we are preparing this is something that is more scalable and that's what we are focusing on. So , there's a lot of transition and there's a lot of process transition also going on in the company. Those are all for good, but we are very hopeful that we will be able to better our offering , better our proposition to the customer , both from the product perspective as well as the experience perspective.

There are a lot of work that we had internally generated. There's still a lot of projects which are internally going on. We are working on more than 50 projects in the company. We are very confident on certain areas. Some part of the team members have also changed and new team

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members are also bringing in some benefit into the system. I think a lot of these things we will definitely continue. We believe in the long-term story. We believe that there are a lot of towns and cities where still the kind of stores that we open is required. There is a differentiation that we have with respect to the market, with respect to what the customer needs. There is no differentiation we are trying to create, unique differentiation we are trying to create over fashion, over styling, over quality so that we stand out in the market. There is definitely a lot of room for everyone to do business. There are supply happening from organized retailers as well as digital retailers and we have heard about the upsurge of the sales of Meesho or even Flipkart and Myntra. I think there is definitely a lot happening in that market. Lot of market share also has been taken by both the players. I think it is just the economy which moves up. We are all set, and we are all there and largely internally digitally also I think we have been focusing very high, both in the front-end side of the digital customer offerings. How do we motivate the customer to really have the convenient shopping experience, both at the online and as well as the shop offline. I think we have internally also brought in a lot of digitalization in terms of creating better processes, in terms of creating better perfection or better forecasting. Because ultimately this business is more also about forecasting, understanding the right assortment

ent, understanding the

right fashion, getting into the right timing with the right quantum and the right mindset. I think a lot of those work we are doing is definitely benefiting the company.

We continue with as a great employer. We definitely want to attract the best of the talent, retain best of the talent. These are tough times for the industry and for the market and we believe being a great employer definitely helps employees also be motivated in the system. We continue doing a lot of activities on those lines. Our integration with both Unlimited has been very good. Our integration with LimeRoad as well has been very supportive, very good. This is definitely a lot of change that we have seen, cultural change pieces that we have seen with both the organization, and we have definitely respected each other. We have really come down very well. Last 5 months has been good. Definitely there were a lot of hiccups that the business had earlier when we took over and I think Suchi has been playing an instrumental role. The team has been really working hard for the last 5-6 months to try and bring back the existing business on track, bring back the core business on track and then also integrate with the V-Mart team, integrate with this particular office and try and see how do we bring in the team effort in trying to take up the organization and take up the omnichannel approach. And that's what we are talking over. Definitely not too many things have happened on those lines till now. But yes, we have a lot of plans. We are working on those of things, whatever we have done till now. The way we have launched our V-Mart products on LimeRoad channel, the way the customers are getting excited on those and the way the teams at LimeRoad sees the opportunity, I'm quite excited and I believe that there could be a unique model proposition which can get created. And we are definitely here. We are investing for a long term we believe that the long-term story is just not going to be a brick and mortar or an online. It is definitely going to be a multichannel or omnichannel approach from the consumer side and which is going to remain and be there. For a sustainable retailer, for a retailer to sustain at a longer level every retailer has to definitely have a very strong digital arm

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and that's how V-Mart is preparing ourselves and we are investing in it with that business. We understand V-Mart has not been very eager to fund the loss-making businesses because every time even our stores create losses, we have always either shut down those businesses or slowed down those businesses. We definitely believe and we will definitely invest into those businesses, so that we believe in the long-term sustainability of retail and long-term sustainability of our business.

I think those are some of the great work that is happening in our company. Even in Unlimited pieces I think we had experimented few things. There are a lot of good things which have happened. There are still a lot of things that we believe should give a kick and give a response and we did not really get those kicks and got those response. We believe there is more communication needed in that market. Our new stores in those markets have really tried very well, especially certain states and certain store lines the Tier-III model in Unlimited or in southern India, there is a lot of potentiality, there is a lot of room there is a lot of virginity in that market that we can see and we would want to focus a little more higher on that. We are excited

with that opportunity and we believe there is a lot of growth possible there. We are focusing a little more on those Tier-III markets in southern India.

We will be very focused on bringing down the losses in some of the stores which are not performing or close d down some stores if required, which we ar e not abl

e to bring back. That's

how we are picking it up. Definitely same store sales growth is very important. There is a pressure on the same store sales growth which is not coming. But yes, I think we are coming back on track. We have seen a good growt h in the last year and the last quarter . We would want to, and we are seeing some healthy signs also in this current year. Definitely we are not expecting a lot of growth because there are some months in this current year according to Hindu calendar where weddings are not there or there are some months which "Adhik Maas" which will come in. We will have some almost a neutral first quarter and the second quarter we are expecting . We are expecting a lot of growth to come in from the third quarter and that's h ow we see into this market. I will definitely request Anand to take over from here , give you a brief about the numbers. There are definitely a lot of numbers bundle of questions that you would have. We would definitely want to answer all of this. Ana nd ove r to you.

Anand Agarwal: Thank you La lit and good evening , everybody. We have actually given a lot of information in this quarter's investor deck , so I will not take a lot of time but let me just take you some of the key highlights from the quarter and th en I'll also ask Su chi to give us an overview on how LimeRoad is progressing.

On the quarter :

It has been a good quarter with sales growing at 30% year-on-year and for the full year we grew at 48% with the same store sales growth of 10% for the quarter and 23% for the full year. This year in fact was also our highest ever sales and in fact it was also 45% higher than our pre - V-Mart Retail Limited

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COVID numbers of '19-20 at the overall level . For the quarter both V-Mart stores as well as Unlimited store s grew like to like , V-Mart at 11% and Unlimited at 4%. Tier-1 markets continue to outperform Tier-II, Tier-III, Tier-4 reinforcing the K graph recovery that we've been seeing. But a s Lalit said yes there is some betterment which we are now starting to see in these smaller tier market s as well and p articularly around Tier-III. There were good growth in footfalls as well as volumes. We strategically dropped our average selling prices by 5% during the quarter. It was a planned decrease in line with our strate gy of attracting more footfalls by increasing the mix of lower -price products and also some strategic price reductions. As a result of the slight correction in pricing and tilting of the product mix towards more value offerings the gross margins for the quarter reduced to 32% while this is lower than the 35% what we achieved last year but definitely much higher than the average range of 28% to 29% that we used to have pre -COVID. The last year's margins are significantly higher due to the impact of higher pr ice increase taken which has now been corrected.

On the expense side :

While the expenses have increased by 52% , they also include the full impact of the newly acquired LimeRoad business. The expenses for the quarter include an amount of roughly around 38 crores towards the spend on the entire online business , including the OPEX for both vmartretail.com and LimeRoad .com. Excluding the online business spend the expenses for the quarter grew by roughly around 23% which reflects very well with the overall sales increase . The major impact of the expenditure on the online business is in the marketing expense line which is at an overall level 1% and other expenses which include the technology costs , delivery and fulfillment costs for the online platform.

As I have mentioned in the past as well , the business revenue in LimeRoad consists only of the commission earned from sales facilitated for sellers while the expenses largely consist of marketing logistics and technology costs. On a go-forward basis we are very confident of establishing LimeRoad business as

a very strong growth driver for the organization and remain committed to invest in the journey to reach sustainable and profitable d estination. As a perspective Unlimited has also taken 1.5 years to come at full year profitability and we have similar project plans for turning around LimeRoad and Su chi is leading that. The good part is that the team is delivering very close to the month ly growth plans and whatever plans that we have s tarted out .

Coming to EBITDA:

For the V-Mart core business EBITDA for the quarter came in at 7.5% with Unlimited at 11.9%. The Unlimited EBITDA does not include any cost allocation of head office expenses which usually averages somewhere around 4% and that is why it is showing a bit higher in comparison. But h appy to share that Unlimited business is growing strongly , profitably and helps us achieve

good EBITDA at even 20% to 25% lower sales per square feet. That's the strong growth that has
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happened in the last 1.5 years to control the expenditure , to improve the sales per square feet marginally and the results are for us to see. The Unlimited team is now working on increasing the sales productivity and once that is also achieved this business should start yielding even better returns. The overall EBITDA for the quarter was marginally lower than last year , majorly on account of low gross margins and the expense incurred online growth.

On the CAPEX side:

We've spent roughly around 270 odd crores in the year which largely comprised of expenses on the new warehouse which is now scheduled to start operations by the end of this month. Other CAPEX included spends on 59 new stores and refurbishment of old stores apart from some IT-related expenditure and the investments in acquiring LimeRoad business . There have been marginal improvement in the overall working capital cycle due to the increase in payable days and marginal control over inventory. The company opened 59 new stores during the year , 47 in north , 12 in south under Unlimited brand. We also closed 16 non -performing stores , 13 in V-Mart and 3 in Unlimited. There has been increase in store closure for the last 2 years but as discussed, as a disciplined retailer we keep assessing any possible non performers continuously , monthly basis to air out any future losses. Largely these stores that we have closed in the last 2 years all belong to 2019 and 2020 source which actually did not get a very good runway to reach maturity because of the COVID related impact. Somehow, they could not just come to the overall V-Mart level or expected level of service throughput and profitability. That was the reason for their closure. I think largely the closures have been done with and there should not be any more significant closures this year.

Coming to LimeRoad :

LimeRoad has shown great potential in the last 5 months . The number of orders have increased substantially and the revenues have also increased substantially. I will request now Suchi who's leading the LimeRoad resurgence to update us on the performance and plans. Thank you.

Suchi Mukherjee: Thank you Anand. We're now nearly 5.5 months in post the year and the first full quarter as part of the Group .

It has been a period of a lot of block and tackle deep operational operations to stabilize ourselves and we have been able to deliver conditions subsequent related to the deal as planned. With that the team has also been able to deliver 88% top line growth as well as delivered EBITDA which is better than plan and I feel good about that.

One of the key challenges going into this deal of course is operational but also team related. We are excited that the team has stabilized. We've not had even a single regretted departure.

Culturally , I think the great thing is that we found voices that keep our cultural differences intact. Online and offline together are two

different worlds and yet it's great to see that we've found a
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way of working. There's still a lot of collaboration to do but the important thing is that we've managed to find the voice as well as high velocity turnaround on actions.

I'm also excited that internally the LimeRoad team has been able to build line of sight to inflecting deeper metrics on the P &L. That's a good thing and not everything we try will succeed. That's the reality that's par for the course. I love the spirit and I am glad that the vision with which we went into the deal continues to pervade in terms of actions and it's only these that will yield outsized outcomes. Overall , a decent first quarter , I feel good about it but it's still day one and lots to do. Over the next few quarters , we will be building much deeper rights to win this value market. Lalit talked about the emergence and the greater velocity of emergence of this aspirational India. We are going to double down as our first pillar on category supply where we will uniquely be able to marry LimeRoad 's core inherent strengths in category editorial , trendspotting, curation , data in terms of projections together with VM strong back end in delivering value pricing at what I call emerging #instatrendfashion at really high quality and value pricing . I think that will be disruptive. It's something we've always wanted to do, and I think that's what's going to be the heart of the category supply thesis at LimeRoad .

Second , we will do a lot of deep work and we already are doing it on search and discoverability for our users. We think of our users as transcending offline and online , what people call omnichannel. We've been playing a lot with, of course , stuff like GPT-4, etc., which we think will fundamentally have the ability to inflect user experience , both online, in our stores as well as will have some interesting cost characteristics. Technical product roadmap , data roadmap there in place and we'll be able to share more stuff over the next few quarters.

The third leg is trust – online we will be bringing VM's core capability in terms of pricing needs quality and I think that's an important leg to building trust online. I feel like we are uniquely positioned to do that and then finally we all care deeply about the P & L and the team will deliver a stronger P & L.

Thank you so much for listening in.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. We have a first question from the line of Sameer Gupta from India Infoline.

Sameer Gupta: Firstly, we've seen a store additions of around 43 in FY23 on a net basis and this will translate to around a 12% retail area even if you take gross additions around 15%. Now historically we have always maintained a 20% kind of retail area addition. So, is FY23 first of all an aberration and going forward if the demand environment takes a little more to improve. You have mentioned that the next two quarters wedding calendar is queued. Are we going to go slow in store additions in that taking that info in account? Now we also have a net debt of around 120 crore s. Historically, we've always been net cash. So, I mean how are you looking at these things?

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Lalit Agarwal: Our belief remains similar and our approach to open up the number of or additional square feet is similar. Definitely in the last year this was an aberration where we had to close down and these closed downs are not those closed downs that we normally done. Because see if you understand that we had opened up 59 stores in the year '19-20 and those stores, some of the stores saw 6 months, some of the stores saw 4 months, some of the stores saw 8 months before the COVID hit and those stores did not see a good run rate. There has been lot of pressure in the

se kinds of stores which we opened in both '19-20 as well as '20-21. We have seen definitely a lower per square feet sales, even negative EBITDA from some of those stores. So, we are taking some corrective measures. We are working on lot of stores to try and improve their performance and wherever we see some of the stores are not coming back into our control and we are not able to call in the customers and we have some locational issues, or we have some higher rentals, or the EBITDA is not coming up. That is how we have taken a call to close down the stores so the net number that you are speaking about is post the closing down. We will definitely focus on adding not 20% but yes around 15% to 16% additional square feet and that's the model that we have. We definitely don't want to conserve cash because of this, because our belief in the India market, in the Bharat market is for long term and we would definitely keep investing in this belief in the times to come, even in this particular year and the next year. We will keep adding up our stores and we will be adding more than the number of stores that we have opened this year. Not on the net level but on the gross level also. I think we are targeting something, about 60 stores in this particular year.

Sameer Gupta: Second question is on the cash CAPEX we have seen around 270 crore s in FY23 and if I just add back the 80 crore s of warehouse and 67 crore s of LimeRoad it is still a 110 crore s kind of a CAPEX for a gross addition of let's say 59 stores. That translates to around 2 crore s per store versus our historical rate of around 1 crore. So, I just wanted a reconciliation?

Anand Agarwal: The CAPEX from the warehouse is roughly around 109 crores and the LimeRoad's spend is around 76 crore s and yes, the balance is towards some automations, technology interventions for refurbishment we actually every year we do some amount of at least 10 to 20 stores which go on the refurbishment and the per store refurbishment cost usually averages around 20 to 30 lakhs. On top of that there is the 59 new stores that has been added.

Sameer Gupta: Going forward these refurbishments probably will continue but the automations and warehouse s done so I can take that as non-recurring, right?

Anand Agarwal: Yes, substantially yes but still we would keep incurring some amount of technology interventions. Technology is changing at such a fast scale that we will need to keep investing at least some bit, but it may not be very substantial.

Lalit Agarwal: Just adding to your point the warehouse is still not operational so there is some additional investment which is going on in this current year as well. So, which continue a little bit, so you'll see some numbers coming in this year on those lines.

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Sameer Gupta: Would that be material?

Lalit Agarwal: No.

Moderator: We have our next question from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Let me start beginning with the on-ground reality. I think the quarter gone by we have seen a demand around festive season and you alluded saying that you are expecting a demand recovery after Quarter 2, Quarter 3. Can you give us the roadmap how we are trying to build? Because on

one side we are building the store network and other thing and we are also trying to extract the efficiency from the various teams. But in the medium to short term how should we look at and build in the revenue contribution from all these three businesses?

Lalit Agarwal: We can't clearly give you an indication that how are we going to build up our revenue, we definitely are targeting positive same store sales growth. We are not seeing a very high same store sales growth as we had seen in the last year. Last year was the outcome of the base effect as well. So definitely we are expecting a positive like-to-like growth

with from the existing stores

towards the mid-single digit or a little higher mid-single digit number, that's what we should be targeting. We definitely believe we will open up, as I said, 50% to 70% of the retail area to add up. We definitely have a plan for the online business that we have because we were contributing around 2%. Now maybe we are reaching towards 3%-3.5% of our revenue. We could take that to maybe target to that, take that to maybe 8% to 10%. That's how I think maybe you could back calculate those and then understand and what's the number that you can think of. Because see we definitely see as I said India is growing. There are not too many complaints that we have. We definitely have implemented those product strategy where we had a pressure of last year where we increased our prices, and the consumers went away. This time we have really worked very hard to bring down the prices. Our ASPs are now lower by almost 7% to 8% and almost 10% in some cases. We are attracting those customers back who went away from our stores and which we didn't see. We will definitely expect those things to come back. When the market comes back this particular bottom of the pyramid, the mass audience, this definitely is our loyal customer and we have been the best one providing them. We still believe these people will be shopping with us.

Shirish Pardeshi: On the Unlimited piece, I just wanted to have one question on the margin improvement. Though it is heartening that you have done a fantastic job but in a steady state, what are the things you have done and whether these margins are sustainable, or can we say that it will improve from here? And what are the things which you have taken the measure to improve this business profitability?

Lalit Agarwal: As you understand we went into with a dual pricing approach and we had a higher even if the same products are selling in both the areas, we have a little higher priced product in the South India for the same item. That's how we bring in a little extra gross margin in this business and V-Mart Retail Limited

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that gross margin we have seen a good response from the consumers accepting those product lines. We have been very careful on our expenses. We have definitely started conserving a lot on those, that is where we are bringing in an additional margin, we could expect one from the same store sales growth at the existing ones. How do we bring back still those 20%-25%-32% stores which are still not providing positive EBITDA? We will have to work on those to try and improve their EBITDA and take some decisions there. Three, we will have to really open up new stores. We have plans to open up a little additional new store in the Southern territory versus the other territories. We will focus on adding more stores in the Southern territory and those Southern territory stores if you understand we are opening on the V-Mart model and the V-Mart model of expenses, but the margin remains a little higher. That definitely will help us to give us a little extra alpha margin and all those stabilizers should give us a good healthy limited P&L. So that's how we are targeting.

Shirish Pardeshi: My last question to Anand ji. On the LimeRoad account we have taken a loss of 44.1 crores. Can you just give little more color, is that absolute loss is in terms of inventory write off or bearing something? Some more color on that and should we have some more such losses to be incurred in FY24?

Anand Agarwal: The 44 crores loss from LimeRoad actually includes a one-time expenditure of roughly around 12 crores which we had also highlighted in our last quarter. So, on a go forward basis I think as I explained during my opening remarks as well, LimeRoad expenses primarily consist of marketing, technology and fulfillment cost and that is where there is an increasing improvement

that we see in terms of how we are able to reduce the cost per order in terms of all these three aspects. That's what the team has been working and we should see quarter-on-quarter improvement. In the loss numbers I will not say that this business is going to turn profitable in 1-year. I think it is a longer runway. We had originally guided that we should be looking at profitability only after year 2. We would want to better that but as of now I cannot give a timeline but definitely we should see improvement at least in the loss numbers in succeeding quarters.

Shirish Pardeshi: Would you give some sense what is the cash burn which we are expecting in FY24?

Anand Agarwal: We had guided in our last call as well that we would want to cap our exposure on LimeRoad losses towards 20% of the overall group EBITDA and that should translate to roughly around

50 to 60 cro res, not beyond that.

Moderator : We have our next question from the line of Amit Khetan from Laburnum Capital .

Amit Khetan: Lalit ji you have in the past talked about Tier-III and Tier-IV not doing as well as Tier-I cities.

Now if I look at your slide #11, the sales per square feet data indicates otherwise. Is this because Arvind Stores are, the Unlimited Stores are muddling the Tier-I and Tier-II data?

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Lalit Agarwal: No, I think this is what you are seeing as sales per square feet and that definitely is both Arvind Stores as well as the way we categorize our Tier-I. For us like even a Patna is a Tier-I, a Guwahati is a Tier-I, a Bhubaneswar is Tier-I and Lucknow is a Tier-I. That's how we see and we have definitely added lot of stores there in th is Tier-I towns. Certain flagship stores also got added in Kolkata , Bhubaneswar . I think we are seeing a little higher sales per square feet there but largely we were talking about the growth , de-growth . I think we have been always a player who have been, and we all know about this K graph of economy and we have always told that the Tier-I are doing little better compared to Tier-II and Tier-III and that is how the Tier-III have still not grown over the last 3 years. That is why the sales per square feet is being seen a little muted. Amit Khetan: But the data shows otherwise , Tier-III sales per square feet is higher than Tier-I at least in the slides that you have shared?

Anand Agarwal: Amit let me just add that. So actually, yes you are right. Partially this is a combined impact of Unlimited where the sales productivity in some of their stores in Tier-III is slightly higher. Additionally, we also have some very good performing stores in Tier-III, traditionally, which have also been outperforming. Even when you look at in the same slide when you look at the FY22 data also , the Tier-III numbers outsmart every other Tier. So, it's got a stronger base , it's also grown for both the reasons as I said one is the U L mix Unlimited mix and second is the higher concentration of higher performing stores in that particular Tier.

Amit Khetan: And how do you categorize Tier-III? What kind of cities would fall in this?

Anand Agarwal: So, Tier-III typically are cities with more than 2 lakh population. These are typically district headquarters or districts and cities with less than 1 lakh population fall in the Tier-IV.

Amit Khetan: Lastly on these sales per square feet metric. We were doing about 800 -850 just prior to COVID or maybe a year before COVID . Right now, we are at 620 overall and 650 for the V -Mart franchise. How do you see the trajectory of this metric over say the next 1 or 2 years?

Lalit Agarwal: There is definitely a lot of efforts which are going on and then there has been a lot of new addition of stores which we had and not everything has performed well. The new addition square feet of Unlimited at a lower base is also causing those numbers. I think we are inch

ing towards those

the new stores that we are adding up even in V-Mart are seeing more than Rs . 700 -750 per square feet sales coming in. I think we should be back with those numbers maybe in the next 2 years . It will take some more time to reach to that number. Yes, I think we have, that's how I said in my opening remarks , we are working on those fundamental indicators and fundamental levers which will drive all of this, and this is what we are doing. All those newcomers which are coming in definitely attract consumers' attention also and I think most of that has happened. We'll see these numbers coming in the 2 to 3 years period.

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Amit Khetan: But would it be fair to say that we would reach our normalized margins only once we reach that 800 kind of mark or can we achieve that with a lower number as well?

Lalit Agarwal: I think you guys have the calculation. You can understand at this particular rate of price store sales per square feet how have we performed on the P & L and the moment we increase our P & L even by Rs . 50 or Rs 30 per square feet , how does it come into the bottom line . Most of our expenses are fixed in nature. Definitely any addition in the top line is definitely going to lead us into the bottom line and with the initiatives that we have taken up internally on procurement , on sourcing , on planning , all of those, we should also better our margins going forward. As of now we definitely are working to bring back the customer , to give them confidence on the prices so we are working with a very constrained margin. We don't want to give you a very much big hope on those margin lines but yes whatever we are doing internally will definitely help us to improve those margins in the coming days.

Moderator : We have our next question from the line of Tejash Shah from Spark Capital.

Tejash Shah: You spoke about engaging with some consultants during the year or last couple of years. If you can share some of the details of the project on what exactly are we trying to improve or optimize and where are we in that journey?

Lalit Agarwal: We are technically as I said the whole consumer understanding , category understanding , redoing most of those , understanding the market scenarios , understanding the international trend how do

we integrate all of those and then bring into our plans and then have those capability internally of designing . And you understand that whenever we have a story, we always used to believe that we would replicate the styles of bigger brands , replicate the styles of international fashion but we never used to have a core internal design team, and this is what we have developed. We have treated our merchandising department into three parts designing , buying and sourcing and that's the outcome of the project. We have created a strong design team with a design head that's definitely giving a very good edge to V-Mart where we are able to track similar fashion which the Zara s of the world or H&M of the world can do. We are focusing on similar lines ; we are definitely curating those with the requirement of our consumers. So, some of those pieces have happened. We have created a technical and a quality department which is definitely working on strongly on bringing up the quality level , bringing up the technicalities of the product fabric , bringing in innovation there because we just don't want to increase the prices whenever the raw material price increases. How do we bring innovation in fabric development ? How do we work with the mills and the company's fabric companies to try and bring in those new innovations onto our floor , bring down the cost of the product? How do then we have a sourcing department which is separately created just to work more on the cost benefit , costing analysis , work on those scalabilities of the vendors , betterin

g the quality aspects of the vendors . I think all of those departments and then the whole planning pieces , bringing digitalization into analytics , analytical based store understanding , analytical based categories store projections. A lot of work is V-Mart Retail Limited
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happening on all of these lines and apart from that also a lot more is happening internally at V-Mart .

Tejash Shah: How long has been all these initiatives been implemented ?

Lalit Agarwal: We've been working on these for the last 12 -15 months. We have started the implementation . I mean the project have started now , started some deliveries have started. This is also a transition period for V-Mart. We were not in that mode when the organization restructured , there are a lot of transition which happened. It will definitely the change management also needs to get adopted. These are pieces which are going internally into the organization. We have started some of the adoption. We will see some benefits coming into the , in this AW period which is Autumn - Winter period which starts from August itself and then we should see finally most of the initiative results should be visible in the spring summer '24 period as well.

Tejash Shah: Does it also mean that our private label share or strategy will also be aligned to this or that is independent of what we are doing on this?

Lalit Agarwal: Definitely whatever happens all of these are doing in the private label. Whatever that we do in the private label pieces this is how we are going to follow. So that's what I'm explaining you.

Tejash Shah: Second question Lalit ji historically in your listed history we have always seen you as one of the most prudent and conservative retailers who has always avoided debt even in the volatile period of demonetization or GST transition or even in COVID. Now even though it is transient, but we have now debt on the book and the kind of investment that LimeRoad will require or our expansion in North and South will acquire. How do you plan to actually go ahead on this part of the balance sheet?

Lalit Agarwal: I think you are absolutely right Tejash and your concern, and my concerns are similar, and I look at the same way that you are looking right now and then we have always believed in having cash in our book and that's how we have evolved. But yes, definitely we believe in the potentiality of the market. We believe there is lot to come for India and at this time and this is what you guys and we friends have always guided us that this is the time that we should invest into the market, and we have started investing. We just don't want to be a pure traditional mindset company which is only investing from equity. We definitely want to have a right -balancing between equity and debt. Not that we will focus on building the debt but yes, some balancing should always be done but yes, we are in the process. We have also invested heavily in the infrastructure development of warehouse. We have that asset which is already built and that is getting built. If there are any kind of pressure that we look at in the balance sheet we have an ability to offload that asset as well. I'm not indicating that right now but that's something that we could think of.

As of now we are very confident that our internal cash flow , the way we have designed our projection, our internal cash flow , we should be positive on those if we see our numbers and we should be able to take care of most of our expenses internally as well and most of our expansions

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internally as well if we are able to do . We definitely have to work hard on inventory management , our working capital management , we have to work hard on even our asset

management. We are tracking all of those areas and we have multiple projects like that to improve on those.

Tejash Shah: And I

asked the question for Ms. Suchi. Usually, online businesses are known for a kind of a scale first and profitability later. While value retail culturally is designed to be frugal in nature and squeeze out every penny of efficiency possible from the cost structure. Where do you see LimeRoad kind of culturally fitting into V-Mart's strengths (A) and (B) if you can answer also how do you see ONDC as an opportunity to kind of expedite our journey on going on omni path for V-Mart and LimeRoad both?

Suchi Mukherjee: Tejash, your questions are in two parts. One is cultural and the other one is ONDC. Look on the cultural component if you think about the businesses that have done really well, globally you think about online businesses like Etsy, long tail lifestyle products. They have really high healthy EBITDA margins and I care really about creating value, value for our consumers, value for our shareholders. So culturally I think the meeting of minds was around those two values that how do we win for our consumers and how do we win for our shareholders. I have no doubt in my mind that, that comes by generating through cash, through returns. If you look at our pre-COVID history, as an independent company you will know that LimeRoad has never ever deeply discounted to grow, and we've never really taken inventory on our books. Historically we've always been collecting cash first business so those are part of the DNA and that is part of the reason why this partnership works. So hopefully that answers your question and I see no deviation there and we're all fully committed to continue to deliver that why injecting the truly different cultural DNA that I think we bring to the table, which is tremendous tech DNA, tremendous data driven DNA, opening up the TAM for the group. We're looking at the consumer who is really (+28) highly fashioned, high aspiration on fashion but still very value seeking. And so that's what we will deliver, and I think you will see us consistent on that. On your second question ONDC, ONDC we've looked at it quite deeply, we've done a lot of that integration work already and we don't have a firm view. This could go either the UPI route which means it could explode and make digital really large in India. It could also be marginally muted. It's too early to call but I do think that it is a great initiative to enable digital transactions and anything that supports that I think we're fully supportive of.

Moderator: We'll take our last question for today from the line of Rishi Modi from Marcellus Investment Managers.

Rishi Modi: My question was for Mr. Anand. Anand the way I see it currently the burn rate of LimeRoad alongside the store expansion plans and the debt on book, the short-term debt on books I think we'll be having to raise any equity if the operations don't turn around. So just wanted your view on any potential plans to raise equity and the quantum?

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Anand Agarwal: No there's no plan to raise any equity or dilute equity. That's absolutely not on the anvil. I think the way we have structured our plans within the four walls of the plan for next year we should be able to manage the burn on LimeRoad because we already go to a cap in place internally. On the store's expansion, the numbers that we are looking at we've worked around them and we've only quoted numbers which we can finance and which we can manage from the current flows. There will be some amount of average short-term debt, working capital utilization which will keep happening throughout the year but there is nothing beyond that, that is planned. If there are any substantial headwinds inflows, we may need to restructure some of our expansion plans but that's it. I do not definitely seek any additional capital inflows.

Moderator: Thank you. I would now like to hand over the call to the management

for closing comments.

Over to you sir.

Lalit Agarwal: Thank you everyone for being there. I definitely understand there is a lot of perception getting built over the company and I definitely want to register everyone this question what has changed? Nothing has changed. I think we are working on our plans. We are working on what we have communicated. We are definitely working on what is good for the future of retail and future of the company. We are definitely taking certain risk which is not showing up in the number and we believe in the long-term story, we will definitely take most of the actions which are benefiting our long-term stories. We definitely are those fundamental cultural companies who don't just look at those quarter-on-quarter numbers. We understand there are macros and there are situations in the market. We definitely don't want to get pressurized and nervous on taking certain short-term calls to improve our numbers. We will definitely work and keep working on improving our strength to offer and give a great experience to the consumer and that's both digitally and physically and that's what our endeavor is. We remain sure on these lines you could lose patience at times. We would want to be more and more transparent. We would

definitely want to keep everyone more informed in whatever we could possibly do but yes, you guys have to also support the team and build your models accordingly. So great, thank you so much for being there and being confident on the company. We definitely would deliver and keep delivering to your expectation. Thank you. Have a great day.

Mod erator : Thank you. On behalf of HDFC Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

Ref. No. CS/ S/L-692 /202 3-24 14th August , 2023

To:
The Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
"Exchange Plaza"
Bandra Kurla Complex ,
Bandra (E) , Mumbai – 400 051
Scrip Code: VMART
Fax: 022 -26598120
Email: cmlist@nse.co.in To:
The Corporate Relationship Department
THE BSE LTD
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Scrip Code: 534976
Fax: 022 -22723121
Email: corp.relations@bseindia.com

Sub: Transcript of the Conference Call held on 10th August , 2023

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and amendment thereof. In reference to our letter dated 4th August , 2023 (Ref. No. CS/S/L -684/2023 -24) regarding the intimation of the conference call with Analysts and Investors held on 10th August , 2023 , please find enclosed the transcript of the aforementioned conference call.

The above information is also available on the Company's website: www.vmart.co.in .

We request you to kindly take the above information on record.

Thanking You,

Yours Truly
For V -Mart Retail Limited

Megha Tandon
(Company Secretary & Compliance Officer)

Encl: As above
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"V-Mart Retail Limited
Q1 FY '24 Earnings Conference Call"
August 10, 2023

MANAGEMENT : MR. LALIT AGARWAL – MANAGING DIRECTOR – V-
MART RETAIL LIMITED
MR. ANAND AGARWAL – CHIEF FINANCIAL OFFICER –
V-MART RETAIL LIMITED
MS. SUCHI MUKHERJEE – CHIEF EXECUTIVE OFFICER
– LIMEROAD

MODERATOR : MR. NIHAL JHAM – NUVAMA INSTITUTIONAL
EQUITIES

Moderator: Ladies and gentlemen, good day and welcome to the V -Mart Retail Q1 FY24 Earnings Conference Call hosted by Nuvama Institutional Equities. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nihal Jham from Nuvama Institutional Equities. Thank you and over to you, sir.

Nihal Jham: Yes, thank you. Good evening on behalf of Nuvama Institutional Equities. I would like to welcome you all to the Q1 FY24 earnings conference call of V -Mart Retail. From the management today we have Mr. Lalit Agarwal, Managing Director, Mr. Anand Agarwal, Chief Financial Officer, and Ms. Suchi Mukherjee, CEO of LimeRoad. I would now like to hand over the call to Mr. Lalit Agarwal for his opening remarks. Over to you, Lalit Ji.

Lalit Agarwal: Once again, welcoming you all to the call. The market continues to be improving and we are seeing betterment every month, which we have said also in the past call. Month on month, things are getting better. A lot of markets have improved significantly, especially towards the eastern side of India, the northeast, the east, the Bihar, all of those zones which were under deep stress in the last year. We are seeing good improvement coming in. Industry overall has been a little muted this time.

Overall in fashion, most of the brands have reported a little lower footfall and a little lower conversion. So there is some mismatch between what they planned versus what they are able to convert today. So that is largely, we have been able to see that because of some international economic pressure as well as a lot of tourism beginning again. So a lot of these upper middle class or upper class people who used to be the customers for the malls and for the brand, they have also moved out, they are shopping outside India. So some of that has also happened. Plus, definitely there has been some low on the technology jobs, on white collar jobs, there has been some, I would say some deflation which is coming in there. So largely, both the value retail market, the value retail market overall at the mass level have incrementally shown betterment. They have moved a little positive. We have seen some green shoots. I told you some markets have been very, very good because there was a large impact last year. But otherwise also, we are not seeing too much of degrowth, which we continued seeing last year.

We have seen almost a flattish number across here. There are still certain regions, certain zones, which have not been behaving as per what we thought of, which is especially in Southern India and also especially the Uttar Pradesh belt, which we say continue to be struggling because of the transition of informal economy to the formal economy. So some of those pieces we are still witnessing. There is still some concern.

There has been weather disturbance also during these quarters, so especially in the month of June and July, we've seen a lot of weather disturbance. So there's definitely a lot of impact which

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gets created when there are weather disturbances which are extreme in nature. And so some changing climate perspectives have come in. Summer has been shortened. This year, the rains have come a little earlier. So we've seen a lot of weather disturbance, especially in the parts of Gujarat, Rajasthan, northern Himachal, Uttarakhand, Uttar Pradesh.

So a lot of these belts have seen a lot of those. But yes, largely, in spite of all of that, things are not as bad as they could have been. And we are seeing a quantity gro

with coming in the same

stores, which is good news. So most of our plans that we undertook in terms of the reduction of the prices, reduction of the ASPs, which has resulted in us selling more pieces from the same store. So that's what we are also seeing.

But definitely there has been some regional festival or what we call the wedding date, there have been some shift which has happened this year also because April didn't see any marriages and then once again May and June had marriages but May marriages brought in some sales, June marriages didn't bring in the sales, also the weather affected there. This time the festival which is a big festival for V-Martian customers, mass customers, which is Eid, which is a Muslim community which comes in and shops.

Normally we believe those are our basic dedicated customers. They should have come in, but we have seen a little lower per capita consumption coming from them. So some of these things have resulted into what the market is, and that is how UP has also behaved. Otherwise, the footfall has gone up. We have seen some good footfall coming in. People are coming in. In the

market, people are coming to the store as well. But yes, the purchasing pattern has shifted. They are moving in. They are also trying out other supplies which are being brought in by other retailers.

So there is also the competition which is working, which is bringing in some more sales. So that's also happening. But otherwise, digitally, we are seeing even the e-commerce players, I mean, definitely there is a shift on spending money toward profitability. So that's good news for the digital market. And so a lot of changes have been witnessed in the kind of communication that are being released and that's what we are also witnessing. So that's good news and that creates a better level playing field and that will definitely help overall digitalization and overall market, even everyone including us.

And I think there is definitely more consumption which is also happening in the digital space. I mean, I would not say more because the plan for them has not been met. Most of the digital players had huge plans even in the last quarter, but they have not been able to get those. At LimeRoad, we have seen the revenue growth, we have seen the uplift that we wanted to establish. There is almost a good job which has been done by the team. And then most of the plans, the projects that they undertook have shown good results.

And then our focus definitely right now was to consolidate and set all the areas of processes in LimeRoad up and running so that we get back those old customers and we get back those basic V-Mart Retail

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LimeRoad sales. But yes, integration on omni-channel, integration of offline versus offline, I think all of those, Suchi will speak on those. There are some customer segments that we are targeting on those. So I think definitely all of this will bring in a larger chunk of customers who would want to interact with us and we can interact with a lot of those chunk of customers.

On the upcoming side, I think there are now little week period, but there are small, small festivals which will come in, especially in the right now, there is a festival which is a retail consumption festival, which is on the 15th August and then all of those. So that's going on in the market. We are also focusing very highly to try and get some sales in this period, because there is also an inventory that we want to clear up during these times so that the festivity which is going to come in, which is going to be Durga Puja, Diwali, Chhath, all of those gives us more freshness at the store level, which gives a better perspective to the customer.

And so this time the Diwali and the festival is also moving into the third quarter. We'll see a little muted second quarter. We'll see a little muted second quarter and we'll see a li

tle better

third quarter which is going to come in large part because of the Diwali and the Pujo and the winter sale. So this time Diwali is also we're calling it a winter Diwali. So that's how it's going in.

Largely you know we expect the customers to come back by quarter three and we expect the consumption also to bounce back by quarter three and increase, because people have gone through a duplicate consumption. We are seeing some green shoots also in the airport. So I don't know whether we can call it a green shoot, because we also had a very low base, but the TFO stores have started doing, are performing better than average. So that's what we are also seeing. Rates have been quite normal except Uttar Pradesh and maybe parts of Bengal. So there we have seen some stress because the rate is lower by almost 10% and then that may get recovered in the coming period. And that's how the prices of crops, the prices of crops I think wheat is still much higher and then the ASP, the MSP issues are no more there. I think the farmers are getting good income, but the inflationary pressure continues for the consumer and that is still there. But yes, have reduced to a certain degree and then people are also getting used to those inflationary pressures now.

There are still recoveries for unlimited, which is under challenge, and then which is also got hit, especially parts of Telangana, Andhra, have seen a little, I think a little degrowth, and Tamil Nadu has especially been very good, Kerala, Tamil Nadu has been very good and we are able to see some growth in those markets. On our side, on our back-end side, we have been working on improving all our processes, our new warehouse went live, and we've already shifted our whole warehouse into the new warehouse and the new warehouse is up and tuning. There are a lot of speeding challenges. This new warehouse shifting also disturbed our supply chain, resulting in a little trade issue at the store level, also resulting in some sales getting affected in the months of June and July.

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So there are a disturbance period, which went up to maybe 45 days which. But still, those are weaker times and we took those pieces and now we are up and running, the warehouse is fully on, people are right there, and this is coming up to be good.

Definitely, some automation brings in also some complication. So we have taken a lot of automation in this particular warehouse, which will show results, but it will take 6 months for us to stabilize and then reap into those benefits and rental results, which will definitely result into better tat, which is a turnaround time, better mine to market through the similar customers and better replenishment because that's a very, very important piece.

As things are moving, we have seen, and I was in the market in this time, I have seen so much differentiation between customers, so much differentiation between markets, some of the differentiation between regions, zones and tiers. So there's a customer taste differentiation. There's a trend change which is also happening. There's a fashion change, which is also happening. There's a key change in the fashion element, the way people who wear the kind of silhouette, the people who wear the kind of fashion they wear.

So some of them have started accepting it very fast. Some of them still are in their older fashion pace. So there's a lot of technology, a lot of analytics that is getting involved into understanding all of this. A lot of discussion between the store and a lot of visits to the stores are also happening, on an average of 40 stores in this quarter. So there's a lot of changes that we see between a store to store, and that's the excitement that we have, and that's our strength that we can -- we have, is this understanding these differentiations in the customer personal understanding the differentiations

on at the store level and creating those kind of products lines whether offline and then adding it with online.

So that's the new piece which we are bringing in, saying that wherever they use diversity, wherever there is a gap in the product lines, how do we try and suffice that with our online presence and try to integrate that with the store team. So as I said, it will take us some pieces on those.

On the changes that we did in the design and the sourcing team, there's good work happening. The team has stabilized the -- I think the outcome is coming in. We are expecting a very good inventory and very good fashion coming up in this autumn/winter season, the fall collection is going to be beautiful. We have started launching some of the autumn collections in the store. So some of those pieces are on. There's improvement happening every month from this team and then things are sharpening up here also. So our focus has been to try and provide a little more edgy fashion, but more young family fashion. And that's what we are all about, youth and the young family. And we want to focus very, very high on that particular segment because 60% of the customers who shop from us is a woman, and that's my core customers.

And we want to really put all our energy, all our emphasis and all our understanding to try and lure them, and then the young family is the core customer that we are focusing on. And that's V-Mart Retail

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what we are trying to turn around because there are a lot of players who are walking down the path of youth to value fashion, and I know there is something which is a buzzword coming up in Tier 1 and Tier 2 towns. But yes, our focus remains and continues to be there.

There may be some customers who may deviate, which is 5% to 10% of our customer, which may deviate to these brands, but we should keep and keep focusing on our strength, which will bring in some additional customers who continue deepening our umbrella, and that's what I call [umbra and tele -umbra 0:14:19]. So what's my customer segment, which I target and focus and which I will want to also, which is not my focus customer.

But anyway, there we are, we are confident in the seasons to come in. There are definitely some expenses which have gone up and with some pressure on the cost, which you see and we will want to manage it. And we are on track, and we'll try to manage that as well. But yes, let Anand go with all the details, and then we'll take the questions and answers. Thank you. Go ahead, Anand.

Anand Agarwal: Thank you, Lalit, and good afternoon, everybody. It's been a slow, but a strong quarter with building the foundation layers for the omnichannel integration, which should now set the pace for a new phase of growth for V-Mart. But before that, before Suchi actually helps us detail that out, but let me first take you through some of the key highlights from this quarter and then we can open the house for questions.

So quarter 1 typically is the onset of the summer season and is marked by a strong wedding calendar. This year has been slightly unusual with a significantly lower mix of wedding rates, leading to slightly lower consumption triggers.

On the sales side, as Lalit just mentioned, the East zone particularly Bihar and Northeast showed remarkable progress, and let it grow, while amongst the laggards I think Anutesh and Telangana

were amongst the bottom performers.

Continuing from the last couple of quarters, we also corrected our pricing mix of products to provide more product width at lower price points and improved our value quotient for the value-seeking inflation hit large customer base. The strategy has worked, and we did see 23% higher footfalls and also same-store volumes growing by 3%. While we saw good growth in volumes, but the same was not reflected in value due to the planned drop in apparel ASPs, which went down by 6%.

At an overall level, the sales grew by 15% for V-Mart, 4% for Unlimited year-on-year. And LimeRoad revenues Q3 increased by 47% quarter-on-quarter. The digital business mix, which includes commission revenues from LimeRoad and also sales revenues from the V-Mart product placements on other marketplaces increased to 5% from 3% in the last quarter and is now bound to grow even further.

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Working on a low base and correcting inefficiencies, the Tier 4 stores witnessed a 14% sales per square feet growth, while Tier 3 stores, which constitute almost 50% of the store base of the company, remained affected by sales deficiency and, therefore, SPSF.

South market showed challenges with a negative same-store sales growth of negative 11%, largely coming in from AP and PS, while the rest of the states performed relatively better, Tamil Nadu and Kerala leading the pack.

The new stores opened in the South in the last 1 year continued their better performance, with 27% higher sales per square feet in the legacy acquired stores. And that's a good sign that we continue to build on these new stores in the South.

On the margin side, in line with our earlier communication on stabilizing the margins, the gross margin dropped by 1.5% year-on-year to 35.8%. Improvement in the product mix favoring lower margin and lower price point products and sharpening of the value pricing for the customers allowed us to bring the margins back to the pre-COVID levels. We've taken a high price increase in the previous year, which had led to a higher gross margin, which has now been corrected. And as was discussed in the previous two quarter calls, this is something that we would -- we will stabilize at around 33%, 34%. Some amount of discounting of higher price inventory that we carried from last year on which we also gave some discounts during the end of the savings sales period also impacted the gross margins for the quarter.

Coming to expenses. While the expenses have increased by 46%, they also include the full impact of the newly acquired LimeRoad business. The expenses for the quarter include an amount of around INR53 crores towards the spend on online business, which includes both vmartretail.com as well as limeroad.com. This online spend is majorly on account of marketing costs. Excluding the online contribution on the expenses, the expenses actually grew for the quarter only by 8%.

Marketing investments in the online space are moving as per plan, and our strategy is to provide higher throughput as base of user cost. With the already progressing integration of vmartretail.com with LimeRoad, the marketing spend should also get consolidated. And from the current month leading to higher efficiencies for the combined online business in future.

Moving on to EBITDA. For the V-Mart core business, EBITDA for the quarter was 11.7%, while Unlimited stood at 12.3%. At an entity level, the EBITDA stood at 7.7%, which included a loss of INR25.6 crores from LimeRoad and a INR5 crores loss from V-Mart retail omni marketplace business.

The decrease in EBITDA from previous years has been due to the higher impact of inflation on cost as well as lowering of gross margin to improve value positioning and the decline in SSG, which otherwise could have provided operating leverage apart from the planned losses contributed by LimeRoad. We remain committed to contain the losses from LimeRoad on a full V-Mart Retail

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year basis to 20% of group EBITDA. And quarter 3 onwards, we should see this negative contribution tapering towards breakeven gradually.

On the capex side, we have spent INR56 crores in this quarter, majorly on the new warehouse completion, nine new store openings and some store refurbishments. The new warehouses commenced operations from mid-June. Inventory reduced by almost INR150 crores

quarter on

quarter, helping improve the working capital cycle. 10% of the overall inventory was from partner brands where the company has lower risk with fixed margins on sales and higher share period. Inventory reduction also helped release almost INR50 crores cash from the operating working capital cycle, helping the overall operations.

Coming to new stores, the company opened nine new stores during this quarter, eight in north and one in south under unlimited brand, and while also closing one unlimited store in Karnataka. The runway for the year is still maintained at 50 plus stores, a large part of which should be open between quarter two and quarter three. With Adhik Maas in quarter two, all festivals have shifted to quarter three this year. Late festivals along with good winter should pave the way for a stronger quarter three this year.

Coming to LimeRoad, LimeRoad has been progressing very strongly and as per plan in the last three months and has been able to significantly improve operating efficiencies [inaudible 0:21:15] and returns, leading to 43% higher NMB from the last quarter. I will request Suchi who's leading the LimeRoad business now to update us on the performance and future plans for LimeRoad. Thank you.

Suchi Mukherjee: Thank you, Anand. So this is the second full quarter post deal and this quarter has really been about tight alignment of objectives, not just at LimeRoad, but also cross teams, both at LimeRoad and V-Mart. And that is to prepare the platform on which we can unlock structural levers for growth.

I'll talk a little bit about that. The team grew the business 43% on NMV. This is relative to the previous quarter and much better efficiency of marketing, as Anand said, delivering EBITDA, which is as point on our internal plan. We lost nobody. We didn't want to through this integration. And internally, across levers, across the org, people have started collaborating. It's one thing for Lalit and me to mandate collaboration. But it's a real joy to see people actually wanting to engage with each other. But this is still day one.

We are building deep insights and the deep rights actually to win the hearts and minds of our value-seeking fashion consumer. Last quarter, we said that we would double the count on our category supply, that we would marry our inherent strength in fashion forward women fashion with V-Mart's strength in men and kids. This quarter, we have already launched a design-centric fashion-first value line called LimeRoad Studios for Women.

And within eight days, we were able to identify top sellers from this line, which will now be able to make its way into V-Mart stores. Equally, 80 stores went live, 80 V-Mart stores went V-Mart Retail

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live on LimeRoad, and V-Mart is actually already converting better on LimeRoad than any other marketplace has ever done. So early days, but good to see.

Over the next few quarters, we will continue to double down on LimeRoad and V-Mart's strengths to win on category supply for our consumers. You will see greater research and discoverability, both online and in stores. By the end of this quarter, we expect to launch our first one-click access from stores to the LimeRoad platform. Lalit alluded to that in his speech. You will also see an increase.

Our consumers will also see increased reasons for deep trust on the brand, and we will continue to build a stronger P&L. Some of that is already happening, vmartretail.com's traffic has started to come to LimeRoad. And we fully expect that by the end of this month, the migration will be complete.

Equally, Lalit talked about the warehouse. LimeRoad's quality processes have already moved into the group's new warehouse. So that's all for now, and we will take questions. Thank you.

Moderator: Thank you very much. First question is from the line of Tejash Shah from Spark Capital. Please go

ahead.

Tejash Shah: Hi. Good afternoon and thanks for the opportunity. A couple of questions from my side. So the first question pertains to our data on Slide 6. While our Tier 1, Tier 2 and Tier 4 stores are doing well on sales efficiency parameters, Tier 3 stores continue to struggle. So what would explain this trend divergence between the same set of consumers perhaps?

Lalit Agarwal: So Tejash, there are two things that we are seeing. One, definitely, at the rural level, we are seeing certain betterment, which I'm seeing, and this is a green shoot that I see. But the base is so low that you can't calculate that because the base there has a very, very small number of stores, maybe only 48 or some stores in all 53 stores, and then here at the Tier 3, you have got 200 something stores.

So the larger problem still that we are seeing is in Tier 3. Where we are seeing both, there is a problem with the people's capability to handle their monthly budget or their house budget and inflationary pressure and also income levels. So all of those are still hounding them. Plus, we have also seen additional supply of retailers.

So there's a lot of supply that has come into Tier 3, which is also leading into certain diversion of customers at this moment of time because that's also, you're seeing this improving. But overall, we are still seeing pressure here. And largely, our Tier 3 stores that are in Uttar Pradesh. And Uttar Pradesh continued to be under a little pressure, as I said earlier. Tejjash Shah: And Lalit, one of our competitors, they filed on exchange early this quarter that their 1Q numbers were pretty strong. So just wanted to know, are we -- like are we losing competitive edge in some of these markets? Or this is just one -off and too much to read?

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Lalit Agarwal: No. See, as I said earlier, the Northeast, East and the Bihar market and people who have a little larger number of presence there would see a better result coming. Because there is a skewness that competitors have because they are regional in nature and more aligned on certain territories. There are those kinds of benefits that they have received in the markets which have not performed this time, as we mentioned, Uttar Pradesh, in South India and even the Northern belts because of the rains and stuff. So there is a lower presence of such kind of competitor, maybe whom you are indicating.

Tejjash Shah: Okay. Second question is versus our annual guidance that we had given last quarter of INR50 crores, INR60 crores of loss funding in LimeRoad. We have started on a higher number in 1Q. So where does our annual guidance stand now on this?

Lalit Agarwal: There's no change in the guidance. We would -- we are sticking to our plans and the plans and we are on plan. There's nothing that is going ahead against the plan. So the plan was that we will invest in the first quarter, bringing customers and then slowly and gradually get more efficiency out of the money spend. So that's the plan that we have. So we would stick to our plans, don't worry about that.

Tejjash Shah: Okay. And then the last one. So this is obviously seasonality as it's sort to play here, but Q -o-Q, our net worth has gone down and debt has gone up. But do you have any target debt number by the end of the year?

Lalit Agarwal: Anand, would you be able to answer that good question?

Anand Agarwal: So Tejjash, I -- we have a plan in place. So I don't have a target number, but definitely a range in which we would want to operate. We will definitely see some more stress or slightly higher levels of debt at the end of quarter 2, which is the beginning of the festive season. So we will be building up our inventory around that time.

But I think towards the year -end, we should see that almost at a similar level as what we see now or as we saw in last year -- quarter last year end.

Moderator: Mr. Shah, may I request you to join the queue for any follow -ups. Thank you. The next question is from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta: Hi, good afternoon, sir. Thanks for taking my question. Firstly, on the demand environment. Now broad inflation that continues to be on the higher side. Currently, there is inflation in, let's say, vegetables and there is an expectation that overall food inflation, including wheat price, is also going to be high in the near term.

So, if this was the major problem, which has been impacting low -income consumption, just wondering what would be the trigger in the festive period for this to revive because festive period

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happens every year, right? So -- but this inflation issue is not going away, at least in the near term. So I just wanted your thoughts on this?

Lalit Agarwal: You're right, Sameer, this is definitely something that we are also watching over. And -- but yes, vegetable prices are also very seasonal in nature. And why I'm saying this is also the fact that you have an election coming up in 2024. So there's a lot of work that the government is also planning and thinking. So we are anticipating that a lot of those things should come down, and we should be able to see a little more flat inflationary rate during those times because if something will not rise then how will that come down also.

So we will see some of those going down. But yes, largely because for the last three years, people have not been contributing in festivals, so we believe this festival should be a good festival.

Because of the whole year people have started getting back to their jobs and people have started getting their earnings back and there is some growth in the earnings.

There's some growth in the employment levels in India, so there's a lot of infra investment that -- the government is doing a lot of work, a lot of work the money that the government is spending, so there should be more money and more confidence, the feel -good factor has to go

up. That's what our analysis says, and that's how we are anticipating our plans.

Sameer Gupta: That's helpful, sir. Second question is that footfalls are up 27%. And on a per store basis, if I calculate, this would be around 13%, which is a pretty healthy number in my view. So if people are coming on in stores and not buying or buying less, would you say that this is a general demand issue? Or something that we need to fix with merchandise or look and feel, etcetera?

Lalit Agarwal: So Sameer, there are two issues. Let me explain this because there were some problems that we had and we have been facing for the footfall counting process because it is mostly a manual process. And we've tried to be because while we are analysing what is the problem, where is the customer going, customer is coming and not coming, we found out there were some gaps which we have tried to correct. Still not all the stores have been corrected. There is still some more correction, which has to happen.

So just based on growth, which is more a clerical miss than which has grown because of that. And then there could definitely be some more -- some reduction in conversion because there is additional supply in the market and people who don't get something in our store or who want to experiment or experience us as well. So there could be some conversion, low conversion which will come in also, which I do not deny.

So when people have multiple stores across the street they can move around and shop and go and come back. So that all gets counted as footfall. But people go back and come back, so that doesn't get counted as conversion. So there could be those issues as well.

Sameer Gupta: Got it, sir. I will come back in the queue for any further follow-ups. Thanks a lot.

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Moderator: Thank you. The next question is from the line of Varun Singh from ICICI Securities. Please go ahead.

Varun Singh: Okay. Thank you for the opportunity. Sir, I will just pick up from the previous analyst Sameer regarding the higher footfall. So I understand it might be representative of clerical mistakes in the base quarter. But still the same -store sales volume is in positive trajectory, plus 3%, whereas SLG is negative 3%.

And of course, we understand that, there has been more impact in unlimited, might also be because of the conscious value position that we would have been executed at the store level. But net-net, you had 20% revenue contribution from unlimited in the rest of the business in V-Mart. My question is like lower average selling price and positive same-store sales volume. Given this context, how should we look for this year's SSG performance or expectation?

Also, given the content, where we expect next quarter to be soft and second half to be much, much more stronger. So how should we -- if you can give some understanding that should help us numerically to understand on the revenue growth expectation that we should model or build into our estimates.

Lalit Agarwal: See Varun, at V-Mart, we definitely are positive. We are bullish. We want to plan for betterment. So we are definitely planning for a like-for-like growth of at least or around 5%. So that's the plan that we have in our mind, and that's what we should see at a value level. Then the growth at the quantum level should go up by 8% or 9%. That's what we think because we are still, the pricing -- the ASP continues to be lower, and we want to maintain that and we've got some great benefits. So, we will want to maintain that ASP which we have done and hence we will further correct it actually wherever required. So, that's how you can even estimate this is also an expectation and we may go off road.

Varun Singh: In that context, sir, because we want to live with a lower ASP or given the price correction that we want to inculcate, EBITDA margin decline in V-Mart has been very, very sharp. So, I mean, now at 11% odd is the margin and this margin looks lower than unlimited EBITDA margin. So, I am also kind of unable to comprehend that the strategic correction in average selling price and the impact on EBITDA margin of V-Mart which looks relatively lower compared to unlimited. So, how should we think about the EBITDA margin also on these two franchises Lalit sir.

Anand Agarwal: So, the unlimited see the EBITDA is this is post IndAS EBITDA and as you would recollect the IndAS adjustment accounts for the rent to be negated from the numbers, profit numbers. So, unlimited traditionally has had a higher rent percentage as a percentage of sales and therefore optically the post IndAS EBITDA will look higher as compared to V-Mart. On a pre-IndAS basis, it could still be lower than V-Mart core business.

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So, your point is correct, but the explanation really is the IndAS adjustment. But on a pre-IndAS

basis, unlimited would still be lower than V-Mart.

Varun Singh: And this would be true, I mean, historically over the last several quarters, or this improvement has come off lately?

Anand Agarwal: No, this has remained similar for the last many quarters, or it will always remain the same, till the time you have newer stores and unlimited networks which have the same or similar kind of rent as a percentage of sales.

Varun Singh: Got it, got it understood. And my last question is on LimeRoad. So, we spoke about deep rights to win heart and mind. So, I just wanted to understand what are these rights to win customers heart and mind and what is the reasoning for the V-Mart customer converting much better on LimeRoad? I mean, if we can talk about more the rights to win that we spoke on the call that's the

last question from my side, thank you.

Suchi Mukherjee: So, as we outlined last quarter as well, the value fashion consumer, fashion is a very fragmented space. So, for this value fashion customer, there are four pillars that we have. One is to give them supply, and that supply has to be sharply differentiated from whatever else is available.

And we genuinely believe that when we combine our ability with category editorial, spotting of trends, celeb trends, all of that together with V-Mart backend on sourcing, our vendor base, we're able to deliver supply, which is very interesting, very, very well priced.

And without having any real trade off with quality. So, that three parameters just saying and ensuring that are extremely hard and we're able to do it because V-Mart historically has one price and quality. I think we understand fashion and we bring that together. So that's one, that is the supply access.

The second piece is the search and discoverability access. It's hard to discover and I don't think anybody, any woman goes out saying, I'm going to buy the cheapest black dress today. They just want really good black dresses. But discoverability and search is broken. It's broken at stores, it's broken online, and you will see a lot of stuff that we will do with technology to enable that, both at the store and online.

And then finally, there is the matter of deep trust online. And most of, if you look at Bain, I think it's the 2020, 2021 study of consumers, you will find that the biggest barrier to consumption online is trust. And the biggest barrier comes from, the number one reason there is trust and quality. So, I think we nailed this and that gives us an incredible right to win. And then when we combine our core capabilities in tech and data we believe that that is our core strength at LimeRoad.

When we're able to do that I think we deliver much, much faster cycles, we're able to convert data from consumers on testing to actually identifying winners and double down on that. I think V-Mart Retail

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that's a very exciting place to be in from a business model perspective. I think those four things are right to win the space. And you will keep hearing us give more and more to our consumers. I think that's the hearts and minds.

Varun Singh: Got it. Yes. Thanks. Thank you very much.

Moderator: Thank you. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Hi, good afternoon, Lalitji, Anandji. Thanks for the opportunity. If I look back post-COVID, I think we started highlighting the problem in the core market and food inflation is not yet subsided. In between, we also wanted to walk the journey of online and now we have LimeRoad in our portfolio.

So, just curious that despite the price increases the recovery has not happened and I was a little excited because in the opening remarks you made that you are trying to do the differentiation at the store level.

Now, we are a value fashion player, and we remain relevant to the consumer mind. But challenges are humongous, and we are trying to fix it. So, I just wanted to read your mind. What are the top three problems you are facing at this time, and what are you trying to fix?

Lalit Agarwal: Shirish, nothing we feel has been broken. There's no issue that we feel is something that is a problem. But definitely, we want to understand better and the challenges in front of us is the behavior of the customer and because of too much of information, because of too much of availability, because of too much of knowledge over social media, people tend to move towards a direction and there are multiple behaviors demonstrated by consumers in a different way and there are some consumers who adopt it immediately.

But there are some clusters of stores or there are some regions or some states which you see are so tight

tly held with their cultural inheritance and their ways of wearing and their color preferences and their festivities and the consumption around those. So, some of those you will be able to see like I was visiting the towns of Andhra Pradesh and I have seen some towns have evolved and trying to get evolved like of Vijayawada and [inaudible 0:43:03] and Vizag. But there are towns like, smaller towns like Kakinada and smaller towns like Narsingh Patnam. So, we will see those towns where we are still seeing people are not going out of their cluster. Yellow color is a flag color of Telugu [inaudible 0:43:21], people will not wear yellow color. They will not allow yellow to be worn by the kids as well. So, some kind of these kinds of smaller pieces, which are there in people's mind and which relates to consumption, which gives effects to consumption, is what has to get invested to. How a store which is near the college behaves versus a store which is near the offices behaves. So, there are differentiation that you have at a store level, that's where the opportunity lies and V-Mart Retail Limited August 10, 2023

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that's where you are able to win over those away from what standardized models are being built because most of the other retailers are built on more standardized format. And we have been always focusing on digital analytical based outcomes so that we are able to cater to these issues as well. And we are learning this more and more and trying to get into this a little more. Shirish Pardeshi: That's helpful. I'm more curious because yesterday one of the leading players also reported the number and their numbers are promising and this is not happening one quarter or two quarters over the last 10 quarters the numbers are impressive. So on a lighter note, are we missing that purple fashion because the younger generation is now moving towards the purpose you will have? Lalit Agarwal: No, Shirish, I think we have our very clear, we have very clear focal on the customer type and we have always remained with our youth and the young family and the young family is our focal, because as I said in the opening remarks as well that's my 63%, 65% of the customer. That's where my focus is again. I don't want to get into those ultra modern youth through my offline channel. Definitely our LimeRoad as a channel will help them to get onto the platform and give them those kind of product lines if those are required, because these are some of the stores with some personas, which we are not great at, and we don't want to address those customers, we have never addressed those customers. There may be a slight, slight seepage of our customer base moving into some of those, but we will be able to increase the base and the market that we are addressing, and that's what we are trying to focus on. Shirish Pardeshi: Okay. That's helpful. My second and last question to Suchi on slide 10, I'm just seeing the number. The contribution margin in the March quarter was 1%, and now it has gone up to 8%, almost 700 basis point improvement. What is that secret has happened now, and erstwhile when you were running the business? I mean, there are many various reasons how you've done this, but I was just looking for some explanation there? Suchi Mukherjee: So, actually that is a lead indicator that we track because that is ultimately linked to our continuing to build a stronger P&L. The way we think about this is really twofold. We think about it in terms of the structure of our P&L and what comprises the P&L. We then also think about it in terms of the structure of what our consumers consume. So, what ends up happening is that the more we get our leakages -- leakages from GMV to NMV, then leakages in terms of logistics costs, leakages in terms of marketing inefficiency, the more we tighten the leakages, the better this number gets. So, one is this real hardcore data - driven technology first leakage management. The second is more and more and more, closer and closer alignment and that's the hearts and the minds of the value fashion consumer, really understanding what this is. So if you think about what this consumer is seeking. My view always is that price has to be a wow. Fashion has to be V-Mart Retail Limited August 10, 2023

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first. A price is with disco very because I don't think any woman says, I will go and buy a black sari for INR200 today. They'll buy a black sari. And then it's INR200 and it's amazing, it's wow. And the more we work on our supply, the more we are able to cater to that thing, that feeling in that heart, that joy, that dopamine hit. What ends up happening is the more we find acceptance and that acceptance then shows up in terms of operating numbers like conversion rates and things like that, right. And that then flows through. So those are really, that's really the heart of it. The third piece, which we still have to do a lot of

work on is around narrative, storytelling, not a lot of people still know us to do that effectively, etcetera. I think that will come. That's not part of the secret sauce for this quarter, but the first two were.

Moderator: Thank you. We have the next question that is from the line of Rishi Mody from Marcellus Investment Managers. Please go ahead.

Rishi Mody: Yes. So Anand, you've given the split on inventory, and I'm looking at your Kirana inventories at 60 days, which looks a little high to me for a Kirana business. So I just wanted to understand like, why is it so, if you could give me an explanation?

Anand Agarwal: Rishi, the Kirana inventory is basically centered around two parts. One is, we also carry some amount of Kirana inventory at the warehouse, and that's like a buffer stock.

But overall, at an overall basis, our Kirana business is at around 11%. And if you look at the commerce rate inventory size, that would be still lower than that revenue number, revenue percentage. So it is very much in line with what we planned. There is nothing -- there is no overrun on the Kirana inventory.

Rishi Mody: So how much would your store level inventory be in your estimates?

Anand Agarwal: At overall level, store level inventory is around INR1.4 crores. But for Kirana days of inventory, it would be around 50 days.

Rishi Mody: 50 days of inventory at store level?

Anand Agarwal: Yes, yes.

Rishi Mody: And 10 days at the warehouse.

Anand Agarwal: Yes. Yes.

Rishi Mody: So like So, like -- okay, I'm just like is there going to be any write-offs on this inventory, by and large 50 days of inventory...

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Anand Agarwal: No. So this inventory -- so first of all, there is no perishable inventory here. So this has staples in some parts, but largely, this is non-food and package inventory. These are all fast-moving products, and we typically have had very, very low sinkages as far as Kirana inventory is concerned for the last 20 years. So this is extremely important for us to keep. And we manage costs because of the high value and the volume that we are able to throughput. It's also because that we are also preparing for there is a gifting season which is coming up. So you have slightly higher inventory. The warehouse was under a bit of a disruption because of the transition cycle because of which the warehouse inventory, particularly for Kirana got built up, but no cause of concern.

Lalit Agarwal: Rishi, I want to add here. Largely, if you see Kirana inventory, we have a large amount of inventory, which is Deos, perfumes, lotions, diapers, sanitary pads, chocolates, some of those inventory which we also keep it at the fashion store. And these are inventories, which has a longer shelf life, which is two years, 1.5 years. So that's how this is what majorly includes a lot of these.

Mode

rator: Thank you. We'll take the next question that is from the line of Lokesh Manik from Vallum Capital. Please go ahead.

Lokesh Manik: My first question was on the -- on LimeRoad. So what would be the ASP out there in LimeRoad, if you can share?

Suchi Mukherjee: Yes, the LimeRoad ASP is around INR600.

Lokesh Manik: INR600.

Suchi Mukherjee: INR600 to INR650, but in that ballpark.

Lokesh Manik: Okay. The reason I was asking this is, so with my understanding of LimeRoad as a concept is correct, please correct me if I'm wrong on that, is you're a little different from other shopping websites like Myntra or Jio, where you are curating a lot of products for men and women.

So I believe women shouldn't limit your number of items in an order. You have an editor who is suggesting you on a theme for a complete style or for a complete look. And if a customer was convinced of that, he will probably or she will probably end up buying the entire look in that particular column.

So in that sense, shouldn't items in order value be a little higher than the order value of INR800 and ASP at INR650. That's 1.5, close to 1.5 which is industrial benchmark, Can you please correct me on that?

Suchi Mukherjee: Yes. So no, absolutely, it should be an aspirationally that is directionally correct. There's a lot of things that need to happen to also enable that. And I think over the course of the next few quarters, we will gradually see some of that happening. There will be two effects. One is the

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ASP will soften as we give more -and-more delightful price points for high -fashion products on the platform. And we will also see with cross -sell what you're saying, which is basically items per cart i ncreasing. This will all come.

And this should directionally be correct, but we do not model this at present. We model it because we want people to see something. And instinctively most of this still at the moment on the platform, is it impulse purchase. Y ou see something you like it, you take it, you check out and you just leave. People are not and the platform is still not orchestrated well enough to enable deep, deep cross -selling in a way that people can make three decisions in one basket, but that is in the product pipeline.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference back to the management for their closing remarks. Thank you, and over to you.

Lalit Agarwal: Yes. Thank you, everyone. There is a lot of work happening at the V -Mart, LimeRoad, and Unlimited level. People are too busy with a lot of projects that they are taking care of and then focusing on. There is definitely higher focus on the cost reduction, there is a higher focus on bettering the product, there is higher focus on increasing the footfall to the store. So we have those things aligned and then we'll continue to work towards all of those. There are definitely some solutions which -- and the numbers which will be visualize d in the longer term.

But in the shorter term, the efforts is something that gets visualized and that's what we appreciate here for. And that's what we are focusing on, where we can be strategically aligned and focus on delivering better value to our cust omers. And that's our key. And that's our core area. And thank you so much for being there, and thank you so much for cooperating and understanding our issues together. Thank you. Have a good day.

Moderator: Thank you very much. Ladies and gentlemen, on be half of Nuvama Institutional Equities, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Nov 2023

Ref. No. CS/ S/L-719 /202 3-24 8th November , 2023

To:

The Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED

“Exchange Plaza”

Bandra Kurla Complex ,

Bandra (E) , Mumbai – 400 051

Scrip Code: VMART

Fax: 022 -26598120

Email: cmlist@nse.co.in To:

The Corporate Relationship Department

THE BSE LTD

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai – 400 001

Scrip Code: 534976

Fax: 022 -22723121

Email: corp.relations@bseindia.com

Sub: Transcript of the Conference Call held on 7th November , 2023

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and amendment thereof. In reference to our letter dated 2nd November , 2023 (Ref. No. CS/S/ L-711/2023 -24) regarding the intimation of the conference call with Analysts and Investors held on 7th November , 2023 , please find enclosed the transcript of the aforementioned conference call.

The above information is also available on the Company's website: www.vmart.co.in .

We request you to kindly take the above information on record.

Thanking You,

Yours Truly

For V -Mart Retail Limited

Megha Tandon

(Company Secretary & Compliance Officer)

Encl: As above

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“V-Mart Retail Limited

Q2 FY '24 Earnings Conference Call ”

November 07, 2023

MANAGEMENT : MR. LALIT AGARWAL – MANAGING DIRECTOR – V-
MART RETAIL LIMITED

MR. ANAND AGARWAL – CHIEF FINANCIAL OFFICER –
V-MART RETAIL LIMITED

MS. SUCHI MUKHERJEE – CHIEF EXECUTIVE OFFICER
– LIMEROAD

MODERATOR : MR. ANKIT KEDIA – PHILLIP CAPITAL INDIA PRIVATE
LIMITED

V-Mart Retail Limited

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Moderator: Ladies and gentlemen, good day, and welcome to V-Mart Retail Q2 FY '24 Earnings Conference Call hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankit Kedia from PhillipCapital India Private Limited.

Thank you, and over to you, sir.

Ankit Kedia: Thank you. Good afternoon, everyone. On behalf of PhillipCapital, I would like to welcome you to the Q2 FY '24 Earnings Conference Call of V-Mart Retail. From the management today, we have Mr. Lalit Agarwal, Managing Director; Mr. Anand Agarwal, Chief Financial Officer; and Ms. Suchi Mukherjee, CEO of LimeRoad.

I would now like to hand over the call to Lalit -ji for his opening remarks. Over to you, Lalit -ji.

Lalit Agarwal: Hi. Good afternoon, everyone. Welcome to this call. Thank you, Ankit. And good -- so we are at the peak of the festivals, the buzz of Diwali is being seen in the entire India, especially in the northern part of India and the western part of India. The eastern part of India did see a wonderful Durga Puja.

The start was very good. Towards the end, because Durga Puja was launched a little earlier in Bengal, so some customers started moving out for Durga Puja festival. So things became normal. But anyway, the overall performance in the Durga Puja market was better and good. Overall, we see definitely some improvement and good improvement in both in the macro Indian economics because we are seeing definitely good growth coming in from the volumetric point of view. And we are also seeing consumers coming back and coming back to shop. So I'm seeing a healthy growth coming in. There is definitely a good monsoon, which we have seen in the entire India except one or two states where we are seeing a little dampness in the monsoon. But I'm not seeing too much of effect coming in from there.

Largely, the overall macro Indian economics, I think, has become much more better. It is showing up great results. Our team India, the whole government is working so much to bring in newer investments and newer production facilities and new employment opportunities, which is making people very highly motivated.

And as I have been traveling in all these small towns and villages in multiple states and town, and I have been talking to multiple people, both entrepreneurs, consumers and even large store team, we have been getting very, very positive mindset outlook from the people with perspective to India, and they are all feeling proud and they're all feeling very confident that the things are going to become better and better. So that's what we are seeing on the card.

So similarly, the consumer sentiment also becoming better. Definitely, there is a pain. There was a pain, which was existing for those consumers in the rural markets, in those consumers

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who actually either are from villages or are living in the small town. These consumers had challenges, and we have seen those challenges in the last 2, 3 years, especially after inflationary pressures.

And those pressures are now getting diffused and we are seeing those pressures year-on-year, every quarter, we are seeing those getting diffused as we are approaching the election times. So these are still getting better and will get better as the time comes in.

So we are seeing good development both in the agriculture sector. We are seeing the prices which are coming for the yields are actually delivering good prices to the farmers. The whole farmer community seems to be happy.

This seems to be helping the economy to generate higher demand or higher consumption. And that's what we always believed in, and that's the onset of the cycle, which is led from the rural demand.

And I think that's what has happened and which we are seeing and we were expecting and we are expecting in this festival, and we should see some part of those benefit, still a lot of benefit can be accrued. So a lot of changes has come in. A lot of changes has come in, in terms of our own operational process.

And I would like to focus very highly on the whole strategic pieces that we did in the last 2 years, the whole change in the whole buying process, the designing process, the change in the whole vendor selection process, the whole need nomination processes, the kind of product line that is coming out of these product, these initiatives and the kind of improvement in our cost structure, which is happening.

So all of those things definitely have taken a lot of breadth and have taken us a lot of effort and

the team at V-Mart has been very, very consistent on delivering most of these projects. The biggest project was also the warehouse -- new warehouse development, the automation of the new warehouse.

All of those things there are, whenever there are new things which gets implemented, these things definitely gives us a little teething issues or a little disruption in our operational processes, which are also a part of this performance that we have been seeing.

So we have gone through all of those. We are still on the path to create newer processes, create newer technology platforms, have those platforms, which makes us much better, both in terms of increasing the agility, better coordination between multiple departments within the organization, and better coordination between the store and the back-end team or the better coordination between a vendor or, I mean, to the buyers.

So we are working on a lot of these areas, including the entire logistics chain and then the logistics fleet. So a lot of new platforms have been introduced, a lot of new technologies have come in, a lot of better analytical tools has got introduced. We have used a lot of analytical model that we had created with the help of the consultant that we have had before, we had seen a lot of initiatives there as well.

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And we're trying to get better in all those areas so that the outcome, which is in terms of the consumer demand or in terms of meeting the consumer aspiration or in terms of meeting the timeliness of the product lines are also get aligned and get integrated. So all of those things, I think we have worked a lot.

There is a lot that the team, you people may not be able to see, but there's a lot which is going on in the organization, both from the perspective of product, from the perspective of store, the store look and feel, the store facade, the changes, renovations.

A lot of work on the way we display the product, on the way we dispatch the products, the way we allocate the product, the way we create the product and the way get it manufactured now.

So we are able to see those coming out in the stores.

We have been able to decrease our average selling price also in these processes and that is our goal. Because our goal is definitely to give the customer the best value proposition. And the best value proposition is largely looking at their budget and looking at the kind of fashion that they want with the greatest quality that we can offer.

So all of those things, I think we are making inch by inch, these building blocks so that these building blocks actually create much more better strength, which will be used in the longer term. And that's what customer is realizing. We know that we have disappointed with consumers in the last season, in the last year and now we want to bring them back

and this is

what is coming in.

And that's how we are also now rolling out all those things, initiatives both in the V-Mart market as well as the Unlimited market. And our Unlimited market is also showing up great strength. All the stores that we are opening up there, the new stores which has come up in those Unlimited markets are really showing good results, are showing similar results to as V-Mart and that's the positive news there.

There are still some laggards, which are the legacy stores, which are still not coming up to the operational parameters, and that's where we are working on, either we take some decisions, hide those off or as we demonstrated that in the last 2 quarters before, where we have some pain in certain stores in those online market, we'll try to take some decisions on those as well.

As part of our online strategy, I think the team there is also working greatly well in line with their projects. They have definitely created some new projects. They had some projects earlier. Most of those projects they are able to meet the expectations. Some of the projects they are still working on. And there are some new projects that we have taken up so that we actually bring down the cost of operation there and take up the whole profitability angle and bring in a profitable sustainable model. And that's what we are trying to work on.

But the team there is definitely bringing a lot of new innovations, a lot of new technology, a lot of new processes, which is actually bringing in to integrate both and create an omnichannel experience. So that's the model that we are trying to work on. And that's where we are trying to create a legacy and create a strong foothold, which will become unique in the market.

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And I think we have been very, very aggressive, both in terms of the customer expectation as

well as the customer attention. And then that's where we think we have improved on our communications skills, we have improved on our marketing capabilities, we have improved both in the off-line world as well as online world. We are working. There's a lot yet to be done, and that's what we will focus on.

And lastly, I think we feel that there is a lot of confidence which is coming in, in the internal team. There's a lot of work that we have done. There's a lot of travel that the people are doing to the stores. There's definitely some parts that we are seeing also the competitor is gearing up. They are making better things better.

But I think this whole organized retail market has become much better, is becoming much more lucrative in terms of the consumers now understand that in the market it is just not, they are not going to go to those unorganized brick-and-mortar, old fashioned retail stores. So there's a large shift, which is coming up and which is expected to come up. And that's what this new generation retail is all about in India.

And then this is what is a new welcoming move. And I think the share of organized retail overall is going to go up and that's what is happening. And we are seeing players who have been delivering good value to the customer, players who have been whatever is the brand name, the customer is not too aligned with the brand, but the customer is more aligned with the product and customer is more aligned with experience.

So that's what at V-Mart, we believe that our store team has to become the fashion assistant, our store team has to become the helper to the customer's value proposition and the styling proposition and that's what we are trying to take up.

We focus, we want to focus very, very high on the core consumer, which is the core family customer, the young family customer that we have. And that's the focus area, our capability to deliver a great kids wear product, a great women's product and the casual wear and the men's segment. And those things have

actually geared up.

In this new season, we feel the whole winter range and the new festival range, which we have launched in the market should bring in a very good result. This quarter 3, we expect is going to be good quarter for us. It should be a good, profitable quarter for us because we have not seen profits for a long time. So this is something which we are working on and trying to get the best out of this and we'll keep you updated.

We have been definitely also expanding on multiple areas in retail. I think a lot of stores that we have opened up even in this quarter, almost 30 stores we opened up in this quarter are in multiple destinations in India, but also in South India, which is in Tamil Nadu, have aggressively expanded. We have expanded in Kerala. We expanded in basic towns of basic states of Uttar Pradesh and Bihar and some part of East India operations have really shown up great results there as well.

So some pieces we have done there. As I've already spoken about, the only piece which we are working on a lot that Suchi will also update you in this call or maybe, I guess, maybe Anand

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can update the team also. And then I think the entire consumer segment is going to show up this time. The wedding also is there in this particular quarter towards the end after the Diwali. So that also should be a good booster to the consumer.

And I think our intelligence, our data understanding, our focus on taking decisions from -- with data, our focus on building the ecosystem to use technology and come on the digitalization, some of these initiatives are very, very important to the company. And that is where our focus is, that is where we are working on so that we can create sustainable and scalable model. It is just not showing up results this quarter, but it is also showing up results even after this quarter. So that's the area that V-Mart team is working on, and that's what we will try to upscale and better and then create excellence. And I'll leave this call and ask Anand to give you a little more detail, and then we can come on the question-and-answer session. Thank you.

Anand Agarwal: Thank you, Lalit, and good afternoon, everybody. Let me take you through some of the key operational highlights from this quarter and then we can open the session for questions. And personally, Suchi has been trying to log in, but because of some network issues, she's not able to be join in. We will try as soon as possible for her to join but otherwise, I'll try and cover as much as possible on LimeRoad as well.

So coming on to the quarter highlights. Quarter 2 is usually a very small quarter. And like every year, it's not the best of the quarters that V-Mart usually has. But with Adhik-mas and also the shift of the festive calendar by 20 days, the quarter became even less eventful this year.

So last year, Durga Puja and Dussehra fell on 5th October, while this year, this was on 24th of October, which meant the run up to the festive sales, which usually begins 15 to 20 days in

advance entirely was shifted to quarter 3 this year.

Despite this and on the back of 8 new stores plus the 9 new stores that we opened in quarter 1 and also the volume-led sales improvements, the sales for off-line business grew by 5%. While at an entity level, factoring in the contribution of the newly acquired LimeRoad business, the total revenues grew by 9%.

We have spoken about the correction in pricing over the last 2 quarters and with great emphasis on attracting the inflation impacted, price-conscious value customers. We focused on increasing volumes while reducing our apparel ASPs by 6% YTD. For the quarter, the apparel ASPs actually decreased by almost 12%, which was driven more by the change in the product mix from premium to economy, which is also in line with the customer expectations and demand during this

period when the festival shifted to the next month.

The decrease in average selling prices has also helped achieve a 6% positive L2L volume growth despite a non-festive quarter and has helped us drive more footfalls which should grow even stronger in the main season ahead. The decrease of ASP in South has been much steeper at 19% as the potential to improve pricing was much higher there.

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The good news has been that we see price benefit for South customers has also resulted in 11% quantity growth even in a relatively flat period, which would eventually help us to build higher footfalls and volume growth going forward.

We opened 8 stores during the quarter, while we closed 2. And in the last 36 days post quarter 2, we've opened another 14 stores and closed 1 to take the total tally to 450 stores across 291 cities now. For the full year, we maintain the guidance of opening 50-plus stores, as mentioned earlier as well.

In addition, there has been a lot of focus around renovation of older stores with the new fashion aisle equipment's and facade changes. Some part of that might also be visible in the investor deck that we have put up on our website. These are very important changes and will help us improve sales per square feet of existing stores at small incremental capex. On the margin front, the decrease in ASP and strategically improving the product mix towards lower-priced product mix to attract the under-stressed, lower income earning group customers led to a margin drop.

Also, the slow sales period meant an extended promotion period or USS, which has partially impacted the margins. USS also was a good time to liquidate a major part of the higher cost inventory from last year, which was purchased during the times of peak cotton prices. This also impacted the gross margin slightly negatively.

As we've communicated in our calls in the last 2 years, we've been pushing more V-Mart inventory in South Unlimited stores, which is significantly more sharply priced and lower on gross margins. This has also partially impacted the overall gross margins for the quarter.

Post Q3, which is traditionally a very strong quarter both for top line as well as bottom line, the margin trajectory should stabilize and come in line with our strategy to grow on volumes and give higher benefits to customers. For the full year, my sense is that the margin should marginally be lower than last year in percentage terms as we build higher volumes, but they will definitely be higher in rupee terms.

Coming to expenses. While the total expenses have increased by 36%, they also include the impact of LimeRoad business, where the expenses are the same as last quarter, despite the revenues increasing by 25%. And that's a very good sign. And this is what exactly we were trying to communicate in our earlier calls as well, where we have internal plan of building the LimeRoad business, but on a quarter-to-quarter basis improvement.

During the quarter, we have also completely transitioned the vmartretail.com business to limeroad.com from end August and it is heartening to note that there has been no sales loss due to this shift. And in fact, on the contrary, online sales have only grown on LimeRoad for V-Mart products due to this redirection, amplifying the confidence of the online business team in leveraging LimeRoad as the go-to marketplace for affordable fashion.

Excluding the expense for LimeRoad, the expenses for the quarter grew by 14%. And for the LimeRoad business, while marketing costs accounted for majority of the expense, there has been a significant rationalization of the marketing spend in quarter 3. And on a go-forward

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basis, this should come down as well. The integration of V-Mart Retail with LimeRoad will

also provide some online marketing co

st synergies in the medium to long run.

On the Unlimited side, there were certain savings on rent and other expenses due to the closure of loss-making stores in the previous quarters. Other wise, on the total other expenses, besides marketing, there is inflationary pressure as usual, which needs to be offset by L2L sales or like-to-like sales or volume growth, which is what, as a team, we are targeting and aspiring to achieve on a full year basis.

Moving on to EBITDA. For the off-line business, EBITDA for the quarter was 4.1%, with Unlimited at 3.1%. While at entity level, the EBITDA was flat at almost 0%, which included a loss of INR20 crores from LimeRoad. The decrease in EBITDA from previous years has been, as mentioned earlier, in the gross margin discussion, due to the planned saving in product mix and also introduction of more enterprise point products and higher liquidation during the quarter, which partially lowered the gross margin available for offsetting the expenses. The LimeRoad business has been performing mostly to plan with double-digit improvement in net merchandise value, commission revenues and also the decrease in cash burn quarter-on-quarter. The next half of the year for LimeRoad business should see a serious curtailment in burn to limit the overall EBITDA loss to approximately around 20% of the overall V-Mart EBITDA level as communicated earlier.

The team has been working very strongly, very, very steadily in ensuring that at the focus of the LimeRoad business remains firmly on achieving the bottom line. I'll just speak about that a bit later. On the cash flow and capex, largely, the capex has been around new store additions, store refurbishments and leftover work in the newly operationalized warehouse.

There has been a lot of work done around the buying and merchandising and ensuring the price and relevant inventory availability is at stores, and as a result, despite the festive push and 15% more number of stores, the total inventory reduced by INR74 crores year-on-year, helping improve the working capital cycle. 10% of the overall inventory remains from partner brands and -- which is deployed in Unlimited stores, where the company has lowered the fixed margins on sales from higher trade period.

Coming to new store expansion. During the quarter, we opened 5 stores in V-Mart and 3 in Unlimited, a total of 8 stores, while we also closed 2 stores, 1 each in both the brands. The runway for the year is still maintained at 50-plus. Happy to note that 14 stores have already been opened in October and till yesterday evening in the run-up to festive period till date in Quarter 3.

As Lalit mentioned, the festive season has begun well with a good Puja and good start to Diwali pan India. Early winter chill and wedding calendar in December should further aid well for the quarter performance.

Now since Suchi is not here, I'll just try to fill in some part on LimeRoad to the extent possible. So the entire focus, as I mentioned earlier, of the team has been to stabilize the V-Mart Retail Limited

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operations, to integrate the operations as much as possible with V-Mart, only offering the V-Mart catalogue, uploading onto the LimeRoad platform.

There is significant progress, which we have made in integrating the 2 catalogues. There is already a significant amount of total V-Mart online sales which is now coming in from LimeRoad. In fact, LimeRoad now becomes the highest share of orders in online order generation from the online channel for V-Mart. And that is also comes at the highest amount of profitability or least amount of loss.

The focus of the team for the go-forward basis for the next 3 months, the LimeRoad team is going to, number one, is going to on optimizing the bottom line by optimizing the customer acquisition cost, marketing. Second is to ensure that we are able to get more proje

cts

deliverable as planned around organic customer acquisitions, improving the customer acquisition costs, improving the throughput, so that we are able to achieve the targeted EBITDA bottom line.

And also, lastly and also very importantly, the integration of online channel with V-Mart offline, which basically means that any customer who is coming to a V-Mart store is seamlessly able to order any missing sizes or any missing designs on the LimeRoad app using a single click standing at the store.

So overall, I think the trajectory of the LimeRoad team and the business seems on firm ground with 25% improvement in revenues and also reduction in the loss versus the last quarter. And I think the way things stand today, we are all very confident that we should be able to achieve our stated numbers of achieving the stated around 20% EBITDA loss as a group or maximum

20% EBITDA loss as a group being contributed by the LimeRoad business.

So that is all from my side. And I'll now ask Ankit to open the house for questions. Thank you.

Moderator: The first question is from the line of Mr. Tejash Shah from Spark Capital.

Tejash Shah: Lalit, you just spoke about that we have kind of undertaken many projects in last 2 years. And we are now finally kind of activated, if I understood correctly.

So just wanted to know as an outsider or as an investor, how should we monitor or appreciate the impact of these projects? Will it be better revenue momentum or margins or capital efficiency? How should we kind of judge in terms of financial parameters, effectiveness of all these projects?

Lalit Agarwal: Tejash, I understand, and that's what my ask is also from that all these projects should lead to better customer experience, number one, which means better sell-through of products, which means better sales coming in and which also means better supply chain management, which also means better inventory management.

So I think if we do well and if the market supports, we should be able to show up results all across, and we should be able to see results which are the lagging indicators. And the lagging

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indicators are ultimately the sales growth, the lagging indicators are ultimately the margin growth, the lagging indicators are also the inventory.

In the margin, we may take a strategy that we may want to still offer the consumer at affordable prices. So we might do all of those. But yes, largely, we should be able to see results on all the 3 areas and the scalability.

Tejash Shah: Got it. And second, last year, we had communicated that we are not very confident with high level of margins. And as you spoke, Anand also spoke that we want to kind of add more value to customers. So are we done with that margin or price correction journey? Or you believe that there is still some benefit left to pass on to the customer, which will mean that there will be some pressure on at least gross margin level in coming quarters?

Lalit Agarwal: No, I think we have seen the worst. But definitely, there is also what we have seen is some lower prices, we have dropped the prices this year. We have seen that in the last summer season, but this season also we will see our ASPs almost at a decreased level because our ASP competitively will be lower.

What has also been there that last year when we were buying and the inventory that we had were also high priced inventory and we have communicated that as well. So we are also trying to liquidate or we have liquidated a large part of those. Some of the inventory, which is a winter inventory, which is leftover, will also get liquidated in some part in the coming quarter.

But largely, I think we are done with most of those as a margin management piece. All the projects are also targeted towards margin betterment, which is in terms of the cost structure, the cost should come down so that

that it automatically leads to a better margin. And I think the

team has done a good job. We should be able to reflect some in the coming quarters.

Tejash Shah: So Lalit, 80%, 90%, if you can give some ballpark number, what percent of that high-priced inventory would have been flushed out by now and what is still left for second half?

Lalit Agarwal: I think almost 70% of the inventory has been liquidated. But yes, there is still 30% of the inventory, which will be liquidated in the second half as well.

Tejash Shah: Okay. And then last one, if I may. LimeRoad, we had 2 kind of guidance. One was definitely 20% of EBITDA of the core business and there was some absolute number of INR40 crores, INR50 crores. So when I see in first half itself, we have touched that absolute limit. And obviously, with the core business also being under pressure, we are kind of hitting that ceiling. So I just wanted to understand how should we think about that loss, that number from here on?

And considering that the core business is also kind of fighting macro headwinds, how should we kind of curtail or rethink on that number?

Lalit Agarwal: No, I mean, Suchi is working on it. And I think Suchi is also there on the line. We have not been able to give her the line. I will request Asha, the coordinator also, to maybe allow Suchi to speak here, and maybe Suchi can also help you give a little more guidance on our future plans on LimeRoad and what the team is working on, what are the projects that they're

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working on. Maybe Tejash, if you can just hold on, maybe Suchi can also deliver that. Asha, can you connect Suchi also?

Moderator: Yes, sir. Suchi -ma'am, you can go ahead, ma'am.

Suchi: Sure. Lalit, thank you so much. So, see, let me give you some context. This is the third quarter post deal, and as we have looked at our customer segments, I'll give you some context, and then I will squarely answer the EBITDA question, which will hopefully make for a clearer narrative for you.

As we've looked at our customer segments, our segments as well as V-Mart's original segments, what we're clearly seeing and have a very clear view is that the Indian value consumer has 2 psychographic segments. One is a fashion forward segment. The second is a fashion following segment.

The fashion forward segment is the user who says, "I want fashion first. I'm happy to pay a little bit more prices, maybe it doesn't have to be the cheapest in the market." And therefore, is not very sensitive to marginal price changes. The fashion following, value matters a lot, wants fashion but value matters a lot. And these are 2 very clear segments that we are seeing. And these 2 segments have 2 channel choices: they are either online first or they are off-line first. And what fundamentally as a group, the view we are having is that this LimeRoad integration increases the TAM for the VM Group by adding fashion forward segment as well as an online-first segment. So we, as the Lime Road team within the group, have continued on our mission to deliver these excellent choices for our fashion-forward consumers.

And the real high point of this quarter was a clear delinking of growth from burn with the aim to hit profitability. And so the team grew the LimeRoad business. I was listening to Anand speak and tell you that we grew 21% on NMV, which is top line quarter-on-quarter, but we also had 22% lower burn. Therefore, on a per unit basis, we're actually 40% better literally quarter-on-quarter.

Now if you compare our exit month, and this I'm giving you so that you can see the trajectory better. If you compare our exit month for the quarter, so that will be September versus June, we are marginally higher on NMV, 3%, 4% higher, but we are 31% lower on burn, right? And that will reflect roughly more than 50% improvement on profitability per unit basis.

And now this trajectory actually continues. And just to give you a sense of November, November, we will be at or exceed 50% lower burn than even June at similar top line, and we are actually starting to see some growing top line as well.

So every process, every action that we are doing and we are orchestrating as a team is designed to take this platform to profitability, but also grow profitability. And hopefully, that answers the question on EBITDA. And so the guidance that Anand has given you in terms of 20% EBITDA is something that we are all committed to delivering.

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Tejash Shah: Yes. But see the point was that we have kind of that guidance has already been exhausted in absolute terms for the first half. So should we expect that the burn that we have seen in first half will dramatically kind of go away or it will materially come down in second half, and hence, this guidance still holds true or should we kind of view it as the guidance for now?

Suchi: No, I think it's the former very clearly. It's happening. It's already happening. We are on that curve and that was the plan. So it is happening. And I think the guidance on absolute number, Anand will be able to tell you better. But we are committed on the 20% of EBITDA number, and we will deliver with the 20% of EBITDA number.

Anand Agarwal: Tejash, just to add to what Suchi said. So while we all as a team stand committed to that number, and I think in terms of absolute value, we had earlier indicated INR55 crores to INR60 crores as the burn and that is where we still stand. And I think we should still hope to deliver that or better.

Tejash Shah: Very clear. And Anand, last one for you on working capital. So we -- and on semi -- half yearly basis, cash flow looks decent, but it is largely coming from creditor improvement, receive -- sorry, payable days. And I was just looking at inventory, inventory has not changed much in absolute even versus March as much. So I was just wondering, have you changed any delivery terms? Or is there any kind of non-trade payables also which has kind of expanded that number?

Anand Agarwal: So Tejash, 2 things which has happened there. One is, obviously, the -- so if you compare to March, which is again a big festive period, Holi and Eid build up, so that inventory was slightly higher there. So it definitely improved. But if you look from last year, same period quarter 2 end, which was peak Diwali or peak Dussehra a period, so the inventory has improved by almost INR74 crores versus last year.

On the vendor side, there is some tweaking that we have done around our arrangements with the vendor. We have also entered into certain factoring arrangements, which is also yielding some benefit. But definitely, all of these 3 benefits are eventually combining to give us a better cash flow.

Moderator: The next question is from the line of Mr. Nihal Mahesh Jham from Nuvama Wealth

Management Limited.

Nihal Jham: My first question was that you did allude to the fact that there was a positive volume growth in SSG that we saw. But if I look at the absolute value -wise SSG, versus Q1, the performance in Q2 actually deteriorated.

So is that clearly a case of consumer sentiment or maybe it is as Lalit -ji mentioned, a case of, obviously, competition getting intense and has that in a way, turned positive when you were discussing about the festive season also for both Durga Puja and the upcoming Diwali?

Anand Agarwal: So Nihal, Anand this side. So that shift is mostly because of the festive shift. There's actually 2 reasons, largely because of the festive shift and if you see this trend across any of the years from Q1 to Q2 there is always a negative shift from Q1 to Q2 because Q1 is a peak or high

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season period, while Q2 is a low season period. Added to that in

this year because you had

Adhik -mas and also the complete shift out of Dussehra to quarter 3. Therefore, you have that shift.

And second part is, again, as I mentioned earlier, which is the drop in the average selling prices. So we are consciously building up on volumes, are trying to attract the value customer or the real low -price customer, which was earlier thronging or coming to our stores very, very often, which had sort of reduced his number of visits in the last 1 year.

So we are trying to get him back and with good results because if you also correlate this to the footfall growth. So we've seen 13% footfall growth during the quarter, which is, again, a good sign that we are able to get back to the customer who had sort of started to come less.

Nihal Jham: Understood. That is clear. The second question was that over the last 6 months, we've obviously been focusing on improving the collection that we've been putting out. Just wanted to understand in terms of the current inventory at the store, what would be the proportion of this inventory which has been recently launched and as you were saying is a focus on fresh and revamp versus the older inventory which is still left to be discounted in the second half of the year?

Lalit Agarwal: Nihal, I think the store today has almost 90% of the inventory, which is fresh. So most of the inventory here is fresh now and -- but there is some inventory, which is at the warehouse, which we brought back last year because of the winter has ended, which we have to yet to send and after Diwali we'll send those inventory in the store, which will also mean so that we can liquidate those inventory. So that is some inventory, which will go, which is also around 5% of the inventory.

Nihal Jham: Got that. So at least on the store, you're saying more than 90% of the inventory is less than 6 months or in the last batch.

Lalit Agarwal: Yes.

Nihal Jham: Got you. Just one last clarification. Anand, did you say that for FY '24, you are expecting absolute EBITDA to be higher than FY '23, including the losses for LimeRoad? I was not sure if I heard that.

Anand Agarwal: Yes. Right now, the plan would be towards that only, Nihal. So we would definitely want to have that. But also, please try and appreciate that last year, LimeRoad business was accounted for only 1 quarter or 4 months while for this year, you will have a full year operation so that appropriately will need to be built up into the model.

Moderator: The next question is from the line of Mr. Varun Singh from ICICI Securities.

Varun Singh: Yes. So my first question is on a consistent reduction in average selling price. So Lalit, I just wanted to pick your mind on how are you thinking about especially on the Unlimited side of the business and especially so on the legacy stores, where maybe the business pickup is

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relatively lower than our expectations. So how much you think lying low on the prices, the business could be fine -tuned with regards to solving for revenue growth, et cetera.

Over last 3 quarters, of course, there has been more ASP correction in Unlimited compared to V-Mart, but in both our brand and formats, so first question is what is the need for going as much low. I understand we want to -- volume growth is positive and we want to recruit our core customers and don't want to go away too much.

But still, where do you think -- or strategically, how are you thinking about how much low we want to go on the prices to fine -tune the growth model in both V -Mart and Unlimited? And second question is in Unlimited, of course, in South India, there is more brand -conscious

customers, which as a consequence of it, our ASP is relatively higher but still do you think there will be too much of a risk if we follow 100% V-Mart model kind of matching the average selling price, et cetera? So if you can

give us some understanding over there, Lalit -sir.

Lalit Agarwal: Yes, very intelligent question, Varun, and thank you for bringing that up. This is definitely something that we always spelled out and we always communicated that what we know as V-Mart team, as the team at V-Mart and what we believe is our strength is delivering value at the affordable, delivering great fashion at the valuable price.

So I think that's the core of it. And we believe why we took over Unlimited from Arvind because they were not able to deliver those kind of value. And value retail is all about delivering value, not higher prices. So we want to offer great products but at a lower price. Definitely, it is creating a challenge. Challenge in terms of how do you call in those large number of customers, how do you collect more number of pieces.

And that's the challenge that we have to meet because what we want to do is deliver the right value and deliver the right product. And that's what we are doing. We have not reduced the prices just because we are selling cheaper products. We have reduced the prices because we are selling affordable products, which is billed at the right cost. And that's what we are doing. We are continuing to sell those brands in Unlimited, which are already there, and we are not discontinuing those or reducing those, but we are definitely trying to attract newer audience, newer set of audience, which is those little lower middle class consumer, which is actual V-Mart consumer, which is actual mass population even in South India and which did not use to come to Unlimited.

Now we have started them seeing -- we have started -- they have started appreciating this. Even the existing customers have started appreciating this. The only factor today is that we need to attract a little more customers, little more footfall, we need to convert a little more customer with more number of pieces.

And we have seen some volumetric growth even there. In spite of all of this, we have seen volumetric growth means we are getting new customer. We just need a little more period so that we are able to do it. There will be some few legacy store, which may not be our core markets, which we may not be able to deliver.

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If those stores do not realize that the consumers around those areas do not understand this particular value proposition, we may not be able to, as a team, deliver a separated or distinct strategy for them because it's very difficult to manage multiple things. We want to be very, very focused and our clarity on that focus is what we are driving. And this is what we want to do.

We definitely want to bring it at par on the product prices, on the pieces, but definitely at South India, as you rightly said, the consumer, because of the high per capital income, the consumer need could be a little better product, could be a little more branded products. So we are offering all of those. We will not want to take it down from here. This is a bottoming that I think we are seeing, and this is where we should continue.

Varun Singh: Got it. Got it, sir. Understood. Very clear. And sir, my second question is on LimeRoad. Now that we have integrated as per our guidance, we have been on track with regards to integrating V-Mart with LimeRoad.

But still over here, sir, just wanted to understand your medium-term aspiration, maybe, I mean, the bottom line will take care of itself. But from the top line point of view, how are you thinking maybe over next 2 to 5 years or maybe next 2 to 3 years, sir, how are you aspiring for growth into this segment?

Lalit Agarwal: See, Varun, our very clear communication and our belief is that this is an omnichannel ride that we are trying to do. This is definitely also giving consumer the product lines, which they don't get at our stores and also catering to some niche consumers who

are also looking at certain kind of fashion, which could be both fashion forward as well as the ethnic or the regional taste.

So how do we try and integrate all of those? That's our primary model. We have taken up this model not for creating an online growth. We don't want to create a great or big online growth. We want to create a sustainable, scalable omnichannel business wherein there could be a participation of online as well as marketplace.

And that's the entirety of the process. We have our plans. We would want to grow. But the baseline objective is to create a sustainable growth and a profitable growth. That's also an objective.

And if required, we will define have our plans to continue this growth rate as we have been seeing quarter -on-quarter. We have our plans to continue those growth rates, but we don't want to still compromise on our profitability. That's a bottom line challenge that we will also try to win. Maybe Suchi, if you want to add something, you can also come in and add.

Suchi: Yes. So I would just say 2 things. One is we will find the profitable segments, both online and offline to cater to. There are 3 things we do, which are very synergistic to the core user that Lalit talked about.

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Number one, we are able to give them supply that is fundamentally more marketplace driven, which the core off-line business is not able to either access or deliver and we will do it with technology. That's number one.

Number 2 is online. There are these segments who come to us and as long as we can grow profitably, which we have shown and we will continue to show, we will continue to scale this business. To give you a sense, on a daily basis, we have over 1 million visitors. And our goal is to make sure that the more and more of them are buying on a daily basis, right?

So as long as this thing, as long as we can make money, we will find pools of consumers in the value segment who are, our core consumer is going to be fashion forward as I explained. And we will also service the off-line customers in V-Mart. And I think together, doing that can still be a very large top line business. That's the plan we're working on. That's the plan we're also fine-tuning.

We don't have a 3-year plan completely nailed yet, but that's what we are working on. And I think the last quarter gives us a lot of comfort that, that's possible. The last quarter and the last 2 -- the 2 months of the coming quarter.

Varun Singh: Okay. And just last question on store expansion. Given 13, 14 stores that we have added, so addition rate has been relatively soft in first half. So in second half, how much more store addition would be kind of a rational number to assume to go for?

Anand Agarwal: So Varun, on a full year basis, we still maintain the trajectory of 50-plus stores. So while for the first half, we had added 17 stores. As I mentioned, we have already added 14 stores in the last 36 days. So we are on path to definitely exceed 50 stores for the full year.

Moderator: The next question is from the line of Mr. Shirish Pardeshi from Centrum Broking Limited.

Shirish Pardeshi: There are too much discussion happened on margin front. I just have a very simple question to reference Anand -ji. You said that last year, we did about close to INR270-odd crores EBITDA. This first half, we have done close to about INR53 crores. So the balance is about INR200-odd crores, INR216 crores to be precise.

Can you tell me the road map, how quarter 2 base will look quarter 3 and quarter 4? And what are the levers or what are the strategies or what are the effects which we can monitor and this number will be at the best similar like what we delivered in FY '23?

Anand Agarwal: Shirish, so if you look at the YTD sales number, I think so far, YTD September, we have done roughly around INR1,228 crores, correct, in sales.

And our aspiration would definitely be to grow the last year sales or beat the last year's sales by at least 15%, 20%, if not more. So if I were to do that math, I think the balance of the year should account for almost 60%, 65% of the sales. And quarter 2 definitely is usually never the best quarter for us. So I think the way we have to look forward is that quarter 3 should be a very large quarter, both in terms of top line as well as bottom line, delivering higher than normal. If I were to use the normal word more not in terms of absolute value or percentage value but more in terms of V-Mart Retail Limited

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the contribution mix percentage both for top line as well as bottom line, which should give us to desired numbers for the full year.

Shirish Pardeshi: I got that. But is it that we are factoring in low base in last quarter 3 and then festive season because Lalit -ji in the beginning have given lot of positive remarks saying that the retail business is still lucrative. So are these strategies or at the back end, the work which has happened, give us the confidence that we'll be able to deliver, say, 20% growth in second half?

Lalit Agarwal: Shirish, don't take us head on. So we'll definitely deliver because anyway the festival has also shifted. So at a total level, we definitely will deliver. I don't know of the like-for-like.

But anyway, I think whatever mood and sentiment that we are seeing, we are seeing things positive and then we should be able to deliver. And there are levers which I've already spoken, and those are the levers that we will track and we will focus on and we will bring in.

There's always -- there is always something that we don't know about consumers, and consumers, right now, like we saw a very great weekend, I mean, it was wonderful. And we have 6, 7 days of Diwali and then we have Chhath festival and then we directly enter the winter season. So all of this, I think this whole quarter is going to be quite good, and we should be seeing good results coming.

I mean our collection has been liked by the consumers and they have appreciated. We have started seeing almost 25%, 30% growth share coming in from the winter-wear products. So all of those are working well and then we should be able to deliver our expected growth.

Shirish Pardeshi: That's helpful, Lalit -ji. Sorry, I never wanted to do the comparison, but half an hour before, Trend has also reported the number, and I'm sure you will have the revenue expectation of what they have delivered. I'm just saying that last 8, 9 quarters starting from the UP, Bihar, when we had inflation in cotton prices, then we had food inflation, which has not come out. And somewhat, it feels that the semi-urban, urban populations are doing better and we still focus on the rural. I'm not saying change in strategy. But I think what I'm expecting is that do we have enough understanding about the consumer behaviour?

And the strategy of taking price drops in Unlimited and also before that, we took some price cuts in V-Mart, is this enough? Is it going to really yield the fruit? Or we are still trying to do the experiments and then hoping that festive will be happening, winter will be all right and we will be back to the 20% growth.

Lalit Agarwal: I think, Shirish, we need to first have the confidence in the model, and we need to understand that there is a consumer base, there is a population, there is a demand in those markets and this is where V-Mart's strengths lies and this is where V-Mart will deliver profitability and deliver the growth. And that is what our core strength is, and that is where we are working on.

And we have our playing ground. And we'll work on those playing ground. And we are very confident that we'll, these customers are going to come back, and we are seeing some traction.

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We're seeing traction not only in my business, but we are seeing traction also in FMCG businesses.

So consumer volume growth is being seen across and we are getting good positive vibe and positive mood. And I think these are all temporary stuff. And don't question mark on your own belief and your own understanding. So I think you guys know also the best.

Shirish Pardeshi: Sorry, sir. I'm really sorry, sir. I mean thanks for your...

Lalit Agarwal: Don't apologize. But go back to your confidence level and that ultimately, we are the same, and we are doing better. So we need to grow it there. And we will grow it. And we don't need to look at every time with the competitive lens. And there are markets which have not been explored even by us and that some players are trying to explore. Let them explore and let them create good growth. That's the best part of the retail.

Shirish Pardeshi: Anyway, I'll take it offline. The last question on the LimeRoad, the one figure which starts to my mind on Slide 12. In the first half, you have almost spent INR51 crores, a 4% sales of -- on the advertisement spends on the LimeRoad. Is this number is going to be stable at 4%, will look up or will come down in second half or full year?

Anand Agarwal: So there is definitely some efficiency that we are generating out of the marketing spend. And initially, there was a spending which we did to acquire some consumer base. And now we have done that, we now want to use the existing resources, we want to get the returns out of the ad spend a little more higher. And I think Suchi and the team is really working hard to get those numbers up. And then the cost as a percentage should go down.

Shirish Pardeshi: Thank you, and all the best and advance wishes for the forthcoming festivals to you and Lalit -ji and Anand -ji.

Lalit Agarwal: Thank you so much.

Moderator: Thank you. In the interest of time, that was the last question for today. I now hand the conference over to the management for closing comments.

Lalit Agarwal: Thank you so much for being on the call. Wishing everyone a very, very happy Diwali and great festivities ahead and don't worry, and we are on the job. We know our field, we know our math, we know our ground. We know what strategy to be used to steer what kind of business. But yes, we will have to always demonstrate fashion position and that's where we are working on. So we will keep reporting back. And then we are onto a good quarter and we should expect a good outcome of this quarter also. Thank you so much. Have a good day.

Moderator: Thank you, sir. On behalf of PhillipCapital India Private Limited, that concludes the conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

Ref. No. CS/ S/L-736 /202 3-24 13th February, 2024

To:
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Sub: Transcript of the Conference Call held on 7th February, 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and amendment thereof. In reference to our letter dated 31st January , 2024 (Ref. No. CS/S/ L-730/2023 -24) regarding the intimation of the conference call with Analysts and Investors held on 7th February, 2024 , please find enclosed the transcript of the aforementioned conference call.

The above information is also available on the Company's website: www.vmart.co.in .

We request you to kindly take the above information on record.

Thanking You,

Yours Truly
For V -Mart Retail Limited

Megha Tandon
(Company Secretary & Compliance Officer)

Encl: As above
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"V-Mart Retail Limited
Q3 FY '24 Earnings Conference Call"
February 07, 2024

MANAGEMENT: MR. LALIT AGARWAL – MANAGING DIRECTOR – V-MART
RETAIL LIMITED
MR. ANAND AGARWAL – CHIEF FINANCIAL OFFICER – V-
MART RETAIL LIMITED

MODERATOR: MR. RANGANATHAN -- SPARK INSTITUTIONAL EQUITIES
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to V-Mart Retail Q3 FY '24 Earnings Conference Call Hosted by Spark Institutional Equities Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ranganathan from Spark Institutional Equities Private Limited. Thank you, and over to you, sir.

Ranganathan: Good evening, all. On behalf of Spark Institutional Equities, I would like to welcome you all to the Q3 FY '24 Earnings Conference Call of V-Mart Retail Limited. From the management, we have today, Mr. Lalit Agarwal, Managing Director; and Mr. Anand Agarwal, Chief Financial Officer.

I will now hand over the call to the management for their opening remarks, post which we will have the floor open for Q&A session. Over to you, Lalitji.

Lalit Agarwal: Good evening, and thank you, Mr. Ranganathan. Good evening, everyone. Welcome to the call. We're seeing really a good season winter season, here in the North India, which is suggesting that the season itself is shifting, so the market is also right now very confused and then the people especially towards the Central and Northern India, don't know what customers what they want to buy. So during these times of the year, the wedding season is there, but people are in a confused territory as of now. But still, we are seeing good attraction coming in from winter in this particular quarter.

But yes, overall, the market or the consumer sentiment, which I speak about looks a little better than the earlier quarters. And we are seeing certain improvement. Definitely, all these tactical moves by the government also are bringing in a lot of confidence in the consumer in terms of their earning potentiality and their capability in future. And it is definitely bringing in some additional employment, which is not very effectively visible. But yes, there is definitely a confidence in the consumer or confidence in the citizens that there is going to be enough employment, which is going to get generated.

And we are seeing some PLI schemes getting rolled out, and we are seeing some a lot of those infrastructure activity, some of them getting completed, giving certain connectivity betterment in the connectivity, betterment in the overall

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business doing -business scenarios, which is also bringing a lot of new business and new industries and new factories coming up even in smaller areas even in these states.

So, some of those good news are there. And then I think even then the government is trying all the governments are trying their best to bring in industries in their particular states. So, I think all of that is ultimately giving a very confident scenario, which is making the feel-good factor better. So, what I understand is the feel-good factor is the effective outcome that is what is required for an outcome of good sales and good consumption also. So, we are seeing those betterment. And still there is pain. It doesn't say that the pain has gone away because inflation rates continue to be high, continues to be there, especially in food products and staple products. So that is something which is already was there, has not gone, has gone a little down, but still has not muted because ultimately, we are sitting at a very high base of inflation. And on that base of inflation, we are seeing further inflation, which is wh

ich are actually hurting the pocket of a common man and hurting them. So, which is there.

As I say about weather, weather is definitely playing its role. But yes, winter has been very good this year, which is good news. It is we definitely have shifted almost 20 days from December to January now. So, in December, we didn't see any winter. A very, very mild winter was there. So that shift in the weather is definitely something, which is affecting the probability or the understanding of the forecasting on how people forecast on how the consumption is going to happen for what kind of products is so that's where the entire business people are confused.

Otherwise, I think agriculturally, the farmers have been doing good. The produce has been better. MSP increments have also been there. And then we are seeing

that definitely, the government has not done too many things for the farmers but still, there are a lot of activities, a lot of smaller initiatives which have been initiated by the government. A lot of free rationing as well has been provided and a lot of people are getting those benefits.

So, some of those are definitely giving a better impact, but yes, also making people lazy so there is always a counter effect that which is there. But yes, I think farmers on the rural side, especially the farming class, I see them also in a better state. So, I don't see that the complaining too much right now.

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Overall, I think the industry has seen both sides as I mentioned in the last quarter as well, the upper segment of the industry, which is the premium segment or the upper-middle segment of the industry, is getting business stressed. There is definitely a pain that we are visualizing and then we are noticing, and we are hearing from our peer friends that there is a little lesser growth and or a negative growth from a like-to-like perspective on those particular brands and those particular retail chains.

But yes, in the value segment, we still see a lot of traction. We have seen some traction coming back. Some of the retailers have really done well. Still, some of the retailers who were earlier doing well are struggling from in certain lines. So, there is always a newness drive, which the customer wants and any new brand which is coming into the market is getting some traction for the first 6 months or first 3 months or first 9 months.

So that is what we are visualizing both in the market with the new brand, which is coming in and even from us even from our own stores that we are launching because whenever we launch a store, we see a very good footfall coming in the first 2, 3, 4 months. And then suddenly slowly, we see them normalizing and getting back to normalcy.

But yes, largely, we are seeing larger mobility of the customer. We are seeing larger footfalls coming in because people are experimenting, people want to try and come out come into the multiple stores because they have got multiple options in the on the same street. So, there is definitely competition, there is definitely a higher number of stores which were operating. And most of the retailers have also expanded and then everyone is open, but yes.

So, the large retailers who used to expand very aggressively in the last year, we are seeing some muted expansion there, especially from the Reliance and stuff. But on the other side, we are seeing very high expansion coming from Zudio and other people.

So that's where it is. But we don't see a very, very categorical, clear, clear competitive churn-wise impact. But there is definitely a very, very mixed response. There are certain competitors in certain markets, which have created a certain impact. But otherwise, there are a lot of those markets

where we have

seen that even after those competition who are supposed to be doing good. We have not had any impact on those, but we have been also growing from these growth areas.

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So, there is definitely a mixed response. It is all about how a retailer is able to operate at that given point of time, present a range at that given point of time, propose or give a price proposition at that given point of time is what the customer is looking at because customer definitely is checking on to most of these stores and then taking their decision.

So whatever product is doing good, if it's performing, whatever stores are doing good or whatever particular season is doing good, that is how the impact is getting featured out. So that is where I think the consumer has become very much aware.

The consumer is taking a very aware and informed decision. So, consumer taste has shifted, we were able to see that.

We are able to see a little higher GDP in fashion, which is coming in, customers are adopting a little higher fashion, very fast and that is there. But once again,

there is two India, the Bharat still operates a little slow, but the India part of India does operate a little faster and then the Gen Z customer and the young customer definitely is healthy has crossed all the boundaries and they are adopting everything coming internationally. And then international fashion is being seen here in the market now.

So, but yes, within that also, within those Gen Z segment, the urban Gen Z, which is the core urban Gen Z, we are seeing a little differentiated philosophy in terms of what they put there, but is in terms of still the semi-urban or the tier 2, tier 3, we are not seeing that kind of exposure coming in. So, there are still people are opting for safer options and safer designs, but definitely, they want newer colors and newer fashion and newer silhouettes. So those are some things that we are seeing.

On the V-Mart side, I think we have been focusing very, very heavily on improving our product lines, working on our team, working on our all those strategies that we have taken on designing, sourcing and fabric development, even the supply chain management, the whole warehouse management, which we started 9 months back, which had some teething problems.

Now we are able to see a lot of those things coming back to normalcy now in the month of January. But still, we had some impact till the last quarter. And then the warehouse was not able to give or become productive to even 50% or 55% of what it could have been.

So that affected certain parts of our fill rates and certain parts of supply chain management as well and then which has had some effect. But overall, we have
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taken some conscious calls. We have definitely become very, very clear that we want to operate at profitability. Anything and everything which is bleeding for us or anything and everything that we experimented, we thought will work or was working and not working now, we are going to take a little more stern and brutal reaction on those particular areas and those particular stores also.

So, some of those areas or some of those stores, we have decided to even shift or move or close. So, some of those actions have been taken. So, we are -- we have flagged up almost more than around 50 stores, which are not doing according to our standards and where we are trying to work, out of which almost 23 stores, we have taken a call to shut down and then search for a new property to ship those property and

assets to a newer location. So, we have already taken a call for 23 stores out of which 20 units we will close in this particular quarter.

And some of the calls we may take out of our remaining 30. We may take some calls in the next quarter. We may be working on them to either revive those stores and then renegotiate those stores. Maybe some of those stores could also close in the coming quarters.

So that's how we are managing because ultimately, we want to work on those particular stores where we feel very confident and where we feel the customer is accepting us. So, we are definitely there are certain areas, it has been done in the past. There are certain times where we opened those stores, those stores are not doing good or there were certain acquisitions that we did of certain stores, which we felt we could try and experiment with, but we are not able to succeed in those. So, all of those, I think, are resulting in betterment in terms of our bottom line, our inventory management, our inventory productivity. Everything, we'll be able to improve on those. Most of our business, we are focusing on providing value. Very, very clearly, we are once again, very clear on our ability to provide value.

Therefore, there is definitely higher competition. There is definitely a higher fight for that particular value. And then people are or our competitor is also trying to there are a lot of formats that have begun there are certain formats who have also gone down on their pricing policies.

So, we are also trying to match them up. In a lot of areas, we are trying to reengineer the way the product has to be made, reengineering the way the sourcing has to be done. So, some of those things we are doing. Some of the margin cuts also have to be done or have been done or could be done in future as well. So, but our primary objective and our primary goal is to provide real value to the

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customer so that we can have higher volume metric growth and higher volume and feed in more customers and convert more customers in our stores.

So that's how we are looking at it. Definitely, there can be a slight dip in the EBITDA or the EBITDA may be a little flat as a percentage but we will definitely improve on all those lines. First of all, we want to reinstate and reconfirm our trust with our customers so that our customers have larger trust with us and then we are able to perform better than what we have been doing.

So that's how we are going ahead both in Unlimited and V-Mart because even in Unlimited, our strategy has been similar to V-Mart. Expansion plan has been similar to V-Mart. We would definitely want to expand, but not very aggressively as we are also recalibrating or re-innovating certain stores, and we are also closing down certain stores. So, our expansion plans will be limited to maybe around 50 stores per year. So that's how we will do it. And some part of that, almost 15% or 20% or some part of that will go to Unlimited also. But there are also some closures, which are coming up there.

So, most of them are good. LimeRoad, we continue to secure our policy. We are not looking at too much of top line growth. We are definitely looking at reducing the expenses, reducing the losses and bringing that business towards the trajectory of profitability. And that is what we are trying to do. So, we are definitely reducing the expenses. We'll try to maintain the pace of reduction of expenses in the similar level. That's how we will do it.

There are definitely a lot of initiatives, which are going on in the omni situation.

There's a very good product which has been developed, which we'll convey in the next quarter once we are able to successfully implement that in the

stores, and

there's something that we are trying to do. Wherein the customer at the store can really integrate well with the LimeRoad platform and get some real value and the benefit can really go both to the platform as well as to the offline stores.

So that's how we are looking at those because that's how the breakeven at this marketplace can be achieved. When we are able to convert those offline customers into an online and then not pay the acquisition cost of those customers, that's how the strategy is what we are working on. We will talk later in the question-and-answer session, I'll ask Anand to give you a brief and an expanded view of all the details. Thank you so much.

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Anand Agarwal: Thank you, Lalit, and good evening, everybody. Let me take you through some of the key highlights from the quarter and then we can open the session for questions.

It's been a reasonably good quarter, although a little less than what we had originally planned or expected. But for the quarter sales grew 14% year-on-year with L2L growing by 5% for V-Mart and Unlimited like-to-like growing by 1%. Unlimited growth had been struggling for the last 5, 6 months as we had cut down the pricing and average selling prices were almost 20%, which could not get fully compensated by volume growth. But we have started to see green shoots in the South as we introduce even better merchandise for the fresh season.

At an overall level, sales per square feet increased by 3% and like-to-like grew by 4% for the quarter. For the full year, both SSG and sales per square feet increased by 1% each YTD.

Coming back to the quarter, the average selling price reduced by 6%, which was partially part of our strategic drive towards making the product pricing more value-driven for mass consumers and also partially because of the slow start to winter, where the heavy winter and higher-priced product sales shifted to January.

Tier 1 markets continued their growth journey and outperformed Tier 2, 3 and 4, reaffirming the K-graph growth that we have been seeing for the last many quarters. Tier 4, in fact, outperformed on growth versus the other cities because of a much lower base. But at an overall sales per square on an overall sales per square feet basis, Tier 4 still remains 10% lower than the other tier of stores having a bigger opportunity or headroom.

While the YTD numbers show Tier 3 sales per square feet degrowth by 5% but for the quarter, Tier 3 sales per square feet was a positive 2%, which is a good sign because that is where the bulk of our stores are situated.

The festive period went off well, but winters were significantly delayed and the sales contribution was impacted due to the shift. Normally, when winter sales shift to January, the margin realizations are also partially impacted as end-of-sale season period kicks in, in mid-January, impacting profitability.

We opened 20 new stores in the quarter with 16 in V-Mart and 4 under Unlimited and also closed 3 non performing stores, 2 in V-Mart and one in Unlimited, taking the tally to 454 stores pan-India, out of which 87 are in South. All the new stores

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opened this year, including in the South have been performing well and in line with the established V-Mart business model.

There was a strong push on increasing the online sales contribution with the acquisition of LimeRoad. There have been a lot of activities going on around consolidating and integrating the operations for the eventual omni-fication of V-Mart.

Focus at LimeRoad is to clearly build an omni offering, which supplements the online LimeRoad target customer and also the V-Mart offline customer requirements through a multichannel ease of access.

Strategically, we have curtailed the marketing expenditure to focus on capacity building around the initiatives and drive efficiency with lower burn. And as a result, the losses have been coming down.

The EBITDA loss at LimeRoad came down by 23% in quarter 2 and then again by 29% in this quarter. And as we move forward, I think that's the trajectory that we will definitely want to follow that quarter-on-quarter, we should look at around 25% to 30% reduction in losses so that we are able to eventually breakeven by the end of next year. We remain optimistic on getting to breakeven as we limit our losses in the current year to a predefined limit.

Coming over to gross product margins. The gross margin at 35.5% was 10 bps higher than last year due to a higher contribution of revenue and margins from LimeRoad segment versus last year. The V-Mart gross margins were stable, while the Unlimited gross margins went down by 5% due to a higher provision on old inventory.

On a go-forward basis, we shall be prepared to compromise on product margins in favor of making the value proposition sharper for consumers as we understand that the lower-strata customer is still battling the inflationary challenges.

Coming to expenses. At an overall level, total expenses were 10 bps lower than last year on the back of a base impact of one time LimeRoad costs incurred in last year quarter 3. The digital marketing cost for LimeRoad has started to taper down since November and has been the single biggest change in the overall expense breakup since the last quarter. On a go-forward basis, LimeRoad marketing spends will further rationalize to deliver better productivity, resulting in a healthier balance sheet.

Coming to EBITDA. For the V-Mart core business. EBITDA for the quarter came in at 16.7% with Unlimited at 8.6% due to the onetime impact of inventory

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provisioning for the old Unlimited inventory. For V-Mart, as a whole, including the losses from LimeRoad, the EBITDA came in at 13.5% for the quarter.

Coming to inventory. The quarter closed at INR740 crores at 108 days of DOI, slightly higher than our target due to late winter but still under control. Winters have been delayed and winter sales slightly shifted into January, leading to a slightly higher closing inventory than planned. The per store average inventory came down by 15% to INR1.6 crores per store.

On Capex, I think YTD, we have spent INR103 crores, which included spends on the new warehouse, 40 plus new stores and refurbishment of a few stores. The warehouse is already in operation and no additional major capex is expected at this time. We should be opening 10-plus stores in the current quarter and

refurbishing a few more stores in quarter 4 further ahead. Old store refurbishment remains a high priority area, and we shall be making more investments towards this in the coming year.

The working capital limit utilization was reduced by 56% since the start of this year and remains in comfortable range with more efficient, payable management and better cash flows from operations.

Lalit talked about the store closures, and we have been taking a hard look at all the non performing stores and shall be initiating a closure of 20 stores in the current quarter, out of which 75% will be V-Mart stores and 25% will be Unlimited, at least for this quarter -- the coming quarter. The V-Mart stores are majorly the ones which were opened during COVID period and could not see the early footfalls leading to a non-profit

able situation right now. The cleanup shall

ensure a more efficient operation base and improve profitability going ahead.

Owing to this pending closure, the requisite financial impact has already been taken in the financials, resulting in accelerated depreciation charged and also reversal of Ind-AS 116 provisions, which is reflected in other income. There may be a few more non profitable stores that may get and replaced with new locations in the next financial year. But bulk of the cleanup has already happened and closed as stated.

So that's all from my side, and I'll request Ranganathan to open the house for questions. Thank you.

Ranganathan: Thank you, Anand. Now we can open the floor for questions.

Moderator: The first question is from the line of Arun Singh from ICICI Securities.

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Arun Singh: Lalit sir, my first question is, like while we analyze the 9-month numbers, as Anand sir has also pointed out regarding Tier 3 cities declining revenue per square feet. So, I mean, given the context that more than 50% of our contribution is from Tier 3 cities, and that is the only place where on a 9-month basis, we see, 5-odd percentage of revenue per square feet decline, whereas in all other cities, our performance has been quite healthy.

So given this context, I just wanted to judge and analyze the 20-store closure number that we called out, that where these stores belong to? I mean, which class of cities?

And also, I mean, in this backdrop, if you can help us uncover that reasoning or you think that what is behind the strong and healthy SSG of 4%, which is in the top quartile, I mean, if you look at all other retail companies' performance. So, help us understand the robustness of the current SSG as well as the store closure with regards to the tiering of the cities and underperformance in Tier 3 cities, when it is likely to be back?

Anand Agarwal: Arun, Anand this side. So, you're right. So, on an YTD basis, the Tier 3 cities still are showing a degrowth. But a happy thing to note, as I stated in my opening comments was that in this quarter, we have seen a positive trajectory in Tier 3 towns and Tier 3 performance has been back in black. So, there was a plus 3% SSG that we saw from Tier 3. And that is where, as you rightly stated, almost 50% of our stores are located and this is the sign that is giving us the confidence that there is some amount of recovery, which is now happening or started to happen in our core customer segment.

Having said that, I think it's also a seasonal impact, and quarter 3 is always a good quarter for us, but it's also a sort of an early sign that things should started to now look up in Tier 3 as well as Tier 4.

In terms of where the store closures, the stores which are getting closed, where are they located, bulk of them are in Tier 3, almost seven stores are in Tier 3. But I think more important than the tier of these towns, it is the timing when these stores got opened.

And that, we have been stating at least in the last couple of calls also that there are a few stores at least 50 to 100 stores, which got opened in the last 2 to 3 years, and those times were a bit of a troubled times because the market was still battling with COVID, and the footfalls were not normal. And these stores could

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never get the early start that company stores get. And that is where the impact was seen more in these kinds of towns.

So, I will not say that by tier, if we are losing seven stores in Tier 3 then Tier 3 is a problem, I think

in general, the closure is happening not because of the tier of town, but more happening because of the timing and the kind of performance that we were able to extract from those locations.

Lalit Agarwal: Just to add on there, why do you see this L2L, and then I think being very genuine here. This is still much below what we would expect our business to perform and what we had thought -- what we had targeted. So, we are still not more than 50% of what we had thought. So, this is something the market definitely will be coming back and there's more for us to do right there and more for us to bring in there. There's definitely a lot of challenges internally that we are working on. There is a lot of work that is yet to be done. There's still a lot of collaboration, which needs to be done.

So still, we believe that the growth could be better. It's all about our internal capability and ability to do that. And that's how we are working on it. And then as of this last quarter, it was largely also because of these few days of Puja so certain markets like Bengal and Odisha. They performed a little bit during Durga Puja. So, the Durga Puja which was last year in September this year came in October. So, some part of that also came in because of that.

Especially the state of Uttar Pradesh for us has not been very, very good. So that is where we are seeing some tail. It is largely in the entire state of economy, in the state Uttar Pradesh because we definitely are seeing a lot of transition that we've discussed in the last call as well that result in population is going through a massive transition in terms of professionalization or formalization of economy. So, there's still a lot of movement happening there. So, we are still not able to get back to our original growth rate in that particular store. And that particular state has the highest number of stores in Tier 3 for us. So that's how this whole thing adds up.

Arun Singh: Sure. Understood. And Lalit sir also, like you pointed out that customers are more demanding in nature, they are evolving. And the fashion quotient, etcetera, is may be improving more. And it is bound, I mean consumers are demanding. They are likely to become more demanding going forward. And given the context that competitive landscape also keeps on evolving along with consumer and other

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consequences, we see the fashion element or the degree or the choice, et cetera, all these things to be having its own natural way and the way it manifests.

So, in that context, Lalit sir, like, do you want to call out anything that we are doing in particular, while we are obsessing about consumers all the time? What are the changes in V-Mart, which is our core, I mean, that we are doing now, which is significantly different compared to maybe 2, 3 years back, what we would have done.

Lalit Agarwal: So, Arun, as you all know that we have been working especially with our product team, our merchandising team, reorganizing them, reworking them, bringing a design department and bringing a signature of our own design, our taste and an element of internationalization, which can be accepted by our consumers because we are the ones who understand these consumers the best, and we understand them the way they would adopt that kind of fashion. And that's how the uniqueness that we are trying to drive.

But one thing that we have learned, and we have established and we would want to do more and more is work on quality because that is one thing that we have really learned and give quality at the same prices. And that is also a very, very tough call in this high fashion or high agile with highly competitive industry, providing fashion with quality is so difficult a

t this price point. So that is where we are working on.

But we are largely known for our, family segment, consumer fashion is very important because the youth is definitely who is there, who will definitely get

driven. But for us, a larger part of our ecosystem is the young family. And that is where whatever that they want, because there are a lot of changes that we can see in the young families, the behaviour, the kind of wearing, the kind of pattern that they wear and the kind of life that they live and the life with their children that they want to live.

So that is how we are also working especially to bring in those colours, newer fabrics, newer innovations, how do we get those newer silhouettes, the silhouette is such a big part of this particular fashion now.

So, all of those new things have been learned and then I think because of this agility, our team is also becoming much more agile. They are also learning, they are also adopting a lot of things because we used to have a little bit of a mindset where we used to fear, this won't be working in the small cities. But now we are
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becoming a little bolder and letting them out because certain competitors like us have also done it.

And then that's how you learn in the market and that's how you grow. So, I think the acceptance level has been good. But still, there are a lot of variations and diversity so high in India that managing all of their perceptions and their requirements for fashion is becoming tougher. So that is where the digital play also comes in, and that is where a lot of our digital team is working and a lot of work is happening towards the whole understanding of the cluster, understanding of the consumer and the fashion and then integrating that with the product. So those are some of the few things that we are doing now.

Arun Singh: Sure, sir. And sir, just one last question, if I may. On LimeRoad business, quarterly, we see, if not deterioration, maybe decline in the key metrics like a number of unique customers and customer visits, etcetera. So, when we guide for breaking even by the end of FY '25. So, this is like breaking even should be happening by more amount of business or maybe by reducing the overall size of the business itself?

Lalit Agarwal: So, we don't aim to reduce the business, Arun, but we are not targeting to increase it superficially. So, we definitely want consumers who are relevant to us. They buy and they don't return and we just don't acquire because we want to bring in the footfall. So, we are not trying to bring out those key metrics as we are here trying to build a profitable, sustainable business, which is useful to our offline consumer and where we can also approach certain consumer likewise consumer who is not residing near the store, but want certain fashion which we are not able to give out to our consumer in our store. So that those products are also available for both our offline and online consumers.

So that's how we will do it. Definitely, we don't want to reduce the top line. The business will not become smaller. But else required, we'll not burn money that is very clear. We will want to create a sustainable model and then work towards increasing those top lines. So that's how we will work towards. At the cost of profitability, we will definitely not want to grow too much.

Moderator: The next question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta : So firstly, a little more dwelling on the store closure part. I know a lot of things has been already discussed, but just trying to understand it a little more in detail.

So, you have done 30 store additions on a net basis in 9 months, and you're guiding that you'll add 10 stores and

and probably close 20. So, in all probabilities, FY
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'24 a net store addition of around 20 stores is likely. Going forward also, you have mentioned that there are some 30 more stores under the radar. So how should we look at net store addition for V-Mart plus Unlimited in FY '25? Is it going to be another tepid year in terms of store addition because of these store closures?

Anand Agarwal: So, Sameer, partially what you're saying is right, but not entirely. So, for the next year, we are looking at opening around 50-odd stores. And while no store closure number is decided as yet, what Lalit mentioned in his opening remarks was that we have a list of around 30-odd stores, which we are working on and it is not

decided that we will close them.

I think the first priority always is to rework and to renegotiate either the rentals or the product proposition or the employee proposition or the customer proposition and make it work. If every effort fails, only then we take a call and the call also always is to replace the stores with a nearby new opening. So, in all probability, we should be looking, at least 30 -plus net store or 40 -plus net store addition in the ne xt year.

Moderator: Your line has been disconnected. Thank you. The next question is from the line of Bhargav from Ambit Asset Management.

Bhargav: Sir, in your opening remarks, you did allude to the fact that the situation in the rural areas is not as bad as envisaged given the farm income has been rising. So, is it fair to say that we would have lost some market share to unorganized players in the last 1, 1.5 years due to higher pricing? And now that we are taking pricing actions a large part of this mar ket share can also get recouped?

Lalit Agarwal: Yes, Bhargav, see, definitely, we all know the way this particular segment, which is the lower middle class or the lower class, which is the poor or the farmer class. They have behaved in the last 3 years pos t-COVID and inflationary pressure, which did affect their consumption. So, all of those were definitely there, but we also made the mistakes of taking the prices up and we definitely lost some customers because of that, which we realized an d that is how we have taken corrective actions and we are able to see those results now in the ASPs also. So, we definitely believe that is happening. Still the pain is there, not that the pain has gone away. But yes, we are seeing betterment every quarte r on what I told and that is what we are able to see. So, at that point of time , we lost to the unorganized players? I would not really say that because they are also struggling at that point of time. But now as things are becoming better, we are also see ing some brighter faces from unorganized players as well.

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Bhargav: And sir, would it be fair to say that till the time being you sort of recoup our market share, our ASPs will continue to be fairly tight, meaning that we'll be very aggressive in terms of o ur pricing even in FY '25?

Lalit Agarwal: Yes. I think see, that's how V -Mart has originally been and that is what we are. And we don't want to say that we will want to reduce from that particular pricing. Because we took a steep hike in the last year and last-to-last year, so that is how we are trying to manage that. That is also because of the fact that the raw material prices have gone up, which has stabilized a little bit, but there's a lot of new innovation. There's a lot of new thought process. And th en there is definitely a lot of customer exp

ectation and then the competition, which is there. So, we have to manage all of those.

But yes, this is where we are. From here, we should not see a further deep steep fall. From here, we may see a little 1% or 2% plus or minuses year -on-year.

Bhargav: And sir, my last question is on LimeRoad. Right now, that we are sort of cutting that spend, how do we keep the team motivated because that is one of the big drivers to emerge as a disruptor? So how are we trying to get that motivation going in that team?

Lalit Agarwal: No, I think the team is fully charged up. For them, they are trying to create history because in the entire marketplace model, no model has still been able to breakeven and work in the fashion indus try, especially in the value -fashion industry. That is something which is a big target for them. And they are motivated because they all have certain options of V -Mart shares . And if that does well, V -Mart will do well, and they all get motivated and benefited as well.

Bhargav: Okay. That's a smart thing to do.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: And I really appreciate what we discussed on last call. You have taken those half steps and moving towards profitability. Just one candid question. When we inherited Unlimited stores, so there is a legacy store which is pulling down our overall revenue momentum. So how many of those legacy stores we have already closed, or we are planning t o close, basically the large -size stores?

Lalit Agarwal: So, Shirish, out of those 20 stores that we are planning to close down this particular year, there may be around six stores of those legacy types, which we have to close there. We still have more than 10 stores or 12 stores, which are

flagged out in those particular areas as well where we are working aggressively.
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Some of them have been worked upon, but some of them still are under discussion or some new experiments have been done to those. So, we can take some 3, 4, and 5 more calls in the coming quarters.

I am just trying to specify but I'm trying to be a little more blunt than expressing that we will not take any shyness in trying to take those calls if things are not performing for us.

Shirish Pardeshi: So, with this store closure, this is, I would assume largely, it is in Telangana. Then the question is that after the new stores, which relocated, do you really see on-ground metrics improving?

Lalit Agarwal: Shirish, definitely what we look at is that cost level metrics, at a store level metrics and store metrics would bring in results. And each of the store delivers profitability, each of the stores deliver the desired sales per square feet. That's how the business will run, and that's how we will be able to execute the directives of the business.

Otherwise, there are a few stores, which accumulate the inventory, do not allow us to operate and the inventory takes becomes the inventory, which then goes back to other stores, and they have to sell that.

So, everything has a spiral or a compounding effect. That's how we have to make up our mind. So, we need to filter that out. We did experiments, we did try, but things which are not working out, we need to filter them out.

Shirish Pardeshi: I like that. On the quarter footfall, we have shown a very strong growth of 23% while 9-month growth is 20%. I was more curious, I don't know whether you track that metrics, what would be the contribution of first-time buyers in the quarter? And basically, I'm asking when you've taken a sharp pricing action, is there a new buyer which has started coming or the footfall increase is driven by the new buyers?

Lalit Agarwal: Shir

ish, you're asking about V-Mart?

Shirish Pardeshi: Yes.

Lalit Agarwal: So, at V-Mart, we have seen almost 62% of the sales coming in from the repeat buyers.

Shirish Pardeshi: Okay.

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Lalit Agarwal: 38% of the sales still is from the new customer. But the number of customers that we have as new is almost 48%. So, we have definitely attracted more customers. Not every customer has gotten converted into buying, but yes, we are still working on them.

Shirish Pardeshi: So that confirms that your strategy is working?

Lalit Agarwal: I mean, I would still rate it low because we still have better plans to execute, and we will have to perform better, much better, this is not our standard still. So, we'll have to do a little more hard work.

Shirish Pardeshi: Okay. And the second question, we have also taken a very strong pricing action on Unlimited though you were anticipating the competition will have some dent. But whether you have taken the right strategy or whether this strategy of taking price cuts in Unlimited, is really helping us to attract footfall in the South?

Lalit Agarwal: So, Shirish, it definitely has taken some time, and it will take further a little more time for the customer to realize and understand the value and those kinds of customers who need value to come and then get loyal to this particular store, right? So, it is what we know the best. It is what is sustainable. It is what will remain there and every where people need value. So, the value and worth of the product is so important.

So that definitely will come because if you overcharge and just keep charging and when you sell them discounts and stuff, that's not something that V-Mart has done. So, V-Mart has to operate in its own principles, and that is what we are trying to do. There definitely a customer will understand the honest pricing, will understand where the products are getting delivered. They will test, they will try,

once they feel that the products are good and succeed. Such is something that is how the whole compounding also is transacting.

Shirish Pardeshi: Okay. My last question on LimeRoad, now we have done 1 year. So obviously, there are a lot of learnings which you had, and there were initially for a year that we will fulfil our omnichannel strategy. So, if we need to build LimeRoad in our modelling in next 2 to 3 years, of course, you have now a good handle on the cutting losses. But in the medium term, what kind of growth aspirations and what kind of margin profile you would be expecting from LimeRoad?

Lalit Agarwal: I think it's too many questions in a very short time, maybe you could dump down and take that separately from Anand. We are definitely working towards bringing a sustainable model at any business level. But definitely, there are more plans that we have on omnification, and we are working very highly on them.

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So, we'll be able to bring in a lot of customers from those particular offline stores. That's the plan that we are doing. So, there's a lot of work which is ready, it is all about execution. How well are we able to execute? How well are we able to change the culture within the offline stores, at the store employee level?

All the 10,000, 11,000 people who are working there have to all get adopted on this omni culture and have to see customers and have to see the business both online and offline. So, we will be able to execute all of that, where their own growth rate or the margin will also be dependent.

Moderator: The last ques

tion for today is from the line of Tejash Shah from Avendus Spark.

Tejash Shah: Lalit, so after a long time, we are hearing very positive commentary from you on consumer sentiment. Now you also, very honestly highlighted that there were one-offs like tailwinds like Puja also being here and winter also being strong. So, if we have to kind of separate these tailwinds versus your reading, how confident are you that the sentiment inside here to stay or you are relatively more positive than you were before?

Lalit Agarwal: Well, Tejash, I think the sentiment, as I said, is definitely positive. But coming forward, we are seeing some disruptions coming. There are risks also in the market where the election is on the corner. We are seeing certain disruptions always going to come in the pre-election period, rallies and operational disturbances and communal disturbances. Now those things are also going to come in. So, when there is a disturbance on those lines, there will also be disturbances in May and June, we are not seeing a lot of weddings coming. So, there will be some things which will also disrupt our nature of business, but most of those, I think, betterment on the consumer sentiment is definitely there. It is also about how well are we able to catch up and how well are we able to deliver those. And I'll put more forefingers towards ourselves more than the market first. So that's how we are looking at it right now. And being more stern on myself more here than on the market now.

Tejash Shah: Last question. So, we are making two major corrections in the model right now that we are weeding out the poor stores. And also, you said that merchandising philosophy is now more on the quality of the product. So, we have also seen in the past that both these aspects are very personality-driven also depending upon who's heading these two particular initiatives.

So first of all, what are the learnings from both the experiences that we had in the last 4 years on both discounts? And how are we ensuring these learnings are

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there, it gets institutionalized so that we open better stores, and we also be like up the merchandising side?

Lalit Agarwal: Learnings of these two acquisitions, are you saying?

Tejash Shah: No, no, no. The stores that we opened, between COVID and now we are shutting down.

Lalit Agarwal: Okay. Yes, so I think Tejash, definitely, for our business, one learning is very clear that every action that we have to take has to be very, very focused. And we definitely have to understand we cannot go one-sided on our approach on our

calls that if we are growing, we'll keep growing, whatever the market is, everything will be okay.

So, there are situations where we have to be a little more careful. There are situations where we need to take some calls and slow down a little bit and then relive the strategy and reconsolidate, then go with a little more finer action. And still, there are mistakes that we make. It's not that we have made mistakes, and we will not do it ever. There'll always be mistakes that we'll make, it is all about the process that we inherit, it is all about the ownership that the team takes in. And it is also about the collaboration and then the integration because the team becomes bigger.

And the teams become bigger, one hand doesn't talk to the other hand. And that's how things also happen. So once again, I'm coming more from an internal perspective rather than an external perspective. There are external reasons which have made it happen, but there are also internal results which make it happen.

Moderator: Thank you very much. In the interest of time, that will be the last question. I now hand the conference over to management

for closing comments.

Lalit Agarwal: Thank you, everyone, for being there. And definitely, we still hope that we still are below our expectation, our own internal expectation, but we definitely are being cautious enough to manage our inventory well. We are being very cautious because in this agile environment, the inventory freshness and fashion inventory is very important to us.

So, we are taking a lot of calibrated approaches. We are taking a lot of calibrated calls as well. We are not going all out whether in terms of store expansion or in

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terms of our planning for higher like-for-like growth or in terms of reducing the prices and taking a margin cut.

So, we are balancing all those activities. We are definitely trying not to give any shock to the system, not to give any shock to the customer. And play out sensibly, play out in a reasonable manner because there will be competition, there will be players who will come in with certain kinds of schemes and tactics. We have to stay confident. We have to stay on our proposition, and we have to be honest to all of those. That's how our strategy is and that's what we will try to do. Please be patient with us and then be there with us. Thank you so much for being here.

Moderator: On behalf of V-Mart Retail, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2024

Ref. No. CS/ S/L-768 /202 4-25 20th May , 2024

To:
The Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
"Exchange Plaza"
Bandra Kurla Complex ,
Bandra (E) , Mumbai – 400 051
Scrip Code: VMART
Fax: 022 -26598120
Email: cmlist@nse.co.in To:
The Corporate Relationship Department
THE BSE LTD
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Scrip Code: 534976
Fax: 022 -22723121
Email: corp.relations@bseindia.com

Sub: Transcript of the Conference Call held on 15th May , 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and amendment thereof. In reference to our letter dated 6th May , 2024 (Ref. No. CS/S/ L-759/2024 -25) regarding the intimation of the conference call with Analysts and Investors held on 15th May , 2024 , please find enclosed the transcript of the aforementioned conference call.

The above information is also available on the Company's website: www.vmart.co.in .

We request you to kindly take the above information on record.

Thanking You,

Yours Truly
For V -Mart Retail Limited

Megha Tandon
(Company Secretary & Compliance Officer)

Encl: As above

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"V-Mart Retail Limited Q4 FY 2024 Earnings
Conference Call "
May 15, 2024

MANAGEMENT : MR. LALIT AGARWAL – MANAGING DIRECTOR - V-MART

RETAIL LIMITED
MR. ANAND AGARWAL – CHIEF FINANCIAL OFFICER - V-
MART RETAIL LIMITED

MODERATOR : MR. VARUN SINGH – ICICI SECURITIES

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Moderator : Ladies and gentlemen, good day and welcome to V-Mart Retail Q4 FY '24 Earnings Conference Call hosted by ICI CI Securities.

As a reminder, all participant lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing “*,” then “0” on your phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Varun Singh. Thank you and over to you , sir.

Varun Singh: Thank you , Neha . On behalf of ICICI Securities, it's our pleasure to host Q4 Earnings Conference Call of V-Mart Retail Limited .

From the Management side we have today Mr. Lalit Agarwal – Managing Director , and Mr. Anand Agarwal – Chief Financial Officer.

I will now hand over the call to the Management for their “Opening Remarks ,” post which we will have the floor open for Q&A session .

Over to you , Lalit sir.

Lalit Agarwal: Thank you for being on the call.

Things are looking a little brighter. A lot of mobility is being seen in the market . So, there is a lot of action in the market, a lot of movement of political parties, election hoardings, lot of gossip in the market, lot of media watch. So, some real good actions coming in , real politics getting discussed at the ground level . But yes, definitely it is also bringing up some confidence boosting measure for the consumers . And the customers seem to be looking a little more confident.

We are seeing some betterment in terms of the way we would look at consumption or the way we would look at their future income also. And when we speak to a lot of consumers , the potential or the propensity for them to consume more looks a little more better.

Definitely there are few things that we are seeing and observing in the consumer sentiment. A lot of GenZ thought is coming in , a lot of youth consumers are being promoted . Even the government is also very, very clear on the fact that there is a big percentage of voting population which is youth, so a lot of programs and a lot of initiatives for the youth is getting discussed. So, the youth is being pampered a little more, youth is being pampered both by the administration, as well as by the market or by the consumers or by the companies. So, I think a lot of initiatives are being launched for targeting the youth. So, we are seeing some better consumption from youth also coming in.

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Plus, we are seeing some change in consumption pattern also . Like what we witnessed is that people are spending, people are coming out to spend but they are still spending on little lower price point products compared to the higher price point products that they used to. So, there is some change that we are witnessing . And we are also seeing some change in what we call the exclusives and premiums or the brand businesses being a little more muted, a little more lower versus the lower price point products . So, there are some of those changes which are clearly being witnessed across the market and that is something which is setting the base expectation of the customer at a lower level saying that, okay, I will need this T-shirt, or I want the shirt, but I will only need it at this kind of price. So, that's the kind of mindset of fast fashion that the consumer is trying to focus on, but definitely not leaving aside the quality aspect.

Inflation has also been very, very controlled in this particular quarter and we have seen good response, so prices have really gone down or have remained muted for even food and the staple products which used to be higher in the entire two-year period. So, there is some respite and there is also some confidence which gets generated because of that. The rabbi

crop we know will bring

in good results and is definitely going to create a better impact on the rural market and the farming sector and the farming dependent self-employed sector also. So, we are very confident on that fact that the agriculture income should also bring in some kind of higher mobility in the consumption space as well.

The weather seems to be quite okay. We are hearing that the monsoon is going to be good, so we do not expect any kind of disturbance in the monsoon. So, that is once again going to be a good

news, because earlier two years we have seen bad monsoon or little weaker monsoon in Uttar Pradesh and Bihar which had impacted some part of the consumption also in these states in the past that we have seen .

Overall , geography wise we see some good response coming in , some triggers started coming in even from markets of Uttar Pradesh where it was very muted for the last one year. We are seeing some betterment in the months of March and April ; April has been a little better . We are seeing some betterment also in the sta tes like Madhya Pradesh, Rajasthan which has been reeling under pressure for the last six -eight months. So, some triggers are being seen. These are very early indicators , so we cannot really tell you, but these are some indicators.

Southern India also, we are seeing on the high price point the ticket items it is going low , but in the low price point ticket item it is definitely being accepted more and consumers are coming in. So, consumers at the base of the pyramid or t he lower part of the pyramid , they are definitely coming back now. We are seeing better foot fall in the market. We are definitely expecting the festive which went in the month of March as well as in the month of April , we saw some good footfall coming in. We saw lot of customers who were earlier in the mids t not coming in , some of those customers returning back. We also saw a good sales which is coming from repeat customers . So, that particular site is good, definitely new customers ' rate of growth has not been too.

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But yes, I think there are also enough competition which is now in the market, definitely lot of stores have opened up. So, that competition spree continues , we keep hearing about stores which have been opened by the competitors . And definitely we are watching them very closely. There are competitors who are performing a little better than market , and we are aware of all of those performance. But yes, there are fundamental certain levers that people might be compromising on , which coul d be a little shorter -term approach versus the longer -term approach. Those are some of the debates that we are doing also internally, trying to understand what are those different tactics and different philosophy that the competitor is using to attract the consumer and give them more value and give them a better fashion. So, trying to learn a lot of those.

So, for us , we have been focusing very, very heavily as on lot of those strategies of internal development and internal betterment, internal process im provement . So, some of those have started showing some results , the integration, the collaboration between the team, integrating all the department s into delivering the best experience for the customer right from the product forecasting, designing to buyin g to actual visual merchandising , supply chain , and then talking about that in the marketing piece. So, all of these integration s was becoming a little difficult , so those are pieces which are coming aligned. We are able to see some of those impacts.

We also have experimented largely with the GenZ merchandise. We created a small team and we have started focusing on experimenting certain lines of product which we have experimented in few limited stores. The response of those particular lines has been ve ry good , so we fe

el we may

expand that a little more and we will take it forward and do it a little more bigger and focus more on that particular audience which we may be losing right now. So, some of those places have really come aligned very well. We are very confident on some of these facts . So, we are trying to really focus on our internal capability, which is scalable, which is replicable, and which is sustainable.

So, those are certain things that we are trying to do, not putting any kind of steroid s in the overall process so that we get certain growth just by giving more value to the customer or giving more discount to the customers . We are not acting on any of such thought processes of reducing the gross margins, working on trying to just give more value by reducing the gross margin. So, those are not the things that are sustainable , so we are trying to focus on fundamental things which gives them better experience and supply chain ma nagement to the consumer, give them great design s. We are definitely working lot on quality ; quality parameters have been improved massively in the company. A lot of work is happening on quality parameters, quality inspections . And a lot of rejections are also happening for the vendors so that is also causing a little bit of supply chain problems in the mids t which caused a little bit of stress . But yes, those are fundamentally good for the long-term future , so some of those pieces are being w orked out. We have also cut down bad stores which were bleeding, and which were taking away a lot of our EBITDA . So, as I also told you in the last call , there were few stores that we had flagged out , out of which we closed down

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almost 25 stores in the complete full financial year . And we did a lot of aggressive close down in the last quarter as well.

So, we will definitely want to continue that spree . For the time being, we have taken action on a lot of those. There are few more that we are working on. If they do not turn up, we may plan to or

we may not shy away from closing them down as well because we are very, very clear that anything which is leading and anything which is causing a damage to the cash flow in the organization has to be either repaired immediately, improved, or they get the brunt of closing it down. So, some of those pieces we are working on, we will continue with our expansion plan. We are not being very, very aggressive, but we are being very, very mindful and analytical on our approach in terms of trying to open up the stores which can retain and sustain the ROE that we expect and the ROC E that we expect. So, a lot of those work is happening, being very, very selective in our approach, because the market is getting a little bit corrupted in terms of people, our competitors are trying to give a little more higher rentals and give more favorable terms to the consumers. So, some of those pieces are definitely being worked on.

Apart from that, I think we are focusing on our products very, very highly. We are focusing on those design integrations, better youth designs, some of those what we call the forward fashion, and trying to bring them a little more faster to our market. We see some of those adoptions coming in even from Tier-3 towns very fast. So, some of those things are good. If those are better, the sell-through rate should be better. And if the sell-through rates are better, then maybe the gross margins and the EBITDA should be positive and should be healthy is what we expect. And we are expecting certain growth rate coming in. The growth rate has been shown in the last few months, March has been good, April has been good, May till now also has been okay in spite of marriages not being there in the month of May and June this year. So, we are still able to manage our sales of the last year, we are able to see some growth

here. So, there is definitely some betterment that we are able to see which should result into a better EBITDA and better gross margin as well going forward. So, we have closed down a lot of stores in Unlimited market also, our net count has gone down in the Unlimited market. But yes, those were the stores which were large stores, high rental stores that we acquired up as a part of the deal which we now have very clearly figured out that this is not something that we want to do. So, we are opening up stores in the Tier-3 towns of southern India. So, those stores will continue to open. We will have those little extra expansion plan in the southern market, which we feel is good and then is giving us good results and good margins. So, all of those remain good.

At the Limeroad level we have definitely restricted our losses. We are bringing in some changes in the business, the way the business is being done, the way the management is being done. So, some of those changes are also being coming in, so some of those changes will also come out in the few weeks you may learn about it. But yes, we will want to be very, very aggressive and very, very clear that the integration between the V-Mart, Unlimited and Limeroad has to happen. There's V-Mart Retail Limited
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lot of omni-channel drive which has to go on. A lot of omni-channel drive has also resulted into better customer satisfaction at V-Mart and Unlimited stores, because the customers who would have gone on unsatisfied or unserved when they do not get sizes or they do not get certain product, have really got satisfied with more than 1,200, more than 1,500 orders are being generated every day from those stores where customers are clicking on certain tools. So, there is a tool called one click that we have already launched. And then we are seeing good adoption by the consumers, by the store staff.

So, that some of those omni-integrations are happening and that is where we will focus very highly on. And we will want that business to go towards breakeven, being breakeven towards the last quarter is our vision. But that looks a little difficult. But yes, that's where we will focus on and try to bring in the omni-channel business more in the online space rather than the acquisition of marketplace orders or acquisition of orders from the social media front and then pay on performance marketing. So, some of those changes we will want to bring in.

There's lot to discuss. There's definitely lot happening at the company level, lot of governance pieces, we are very highly focusing on those areas. We have been very, very conservative in our approach whether it is being on aged inventory or old inventory or shrinkage inventories or even on certain provisions that we want to take and not take, our audit committee, our board has been very good. We also introduced two new members on the board, we want to broaden our board of independent directors. So, there have been very good two resources that we have found and very, good experts in marketing and in human resource subject and even technology. So, some of those pieces we thought we had a gap in our board, and that is where we wanted some more expertise. So, we have broadened that. As your company has been very, very highly focused on bringing up the governance level, really taking it to the next level, next standard, and trying to be very authentic and very, very compliant in nature.

So, those are some of the fundamental areas. Anand will take you into the details of the results. And then we will begin the question-and-answer session.

Anand Agarwal: Thank you so much, Lalit. And good afternoon, everybody. It has been a good quarter with a good start to the festive period, both for Holi and Eid, and as Lalit mentioned, I think April also went

quite well. So, we are quite excited about the opportunity ahead. But first let me take you through

some of the key highlights from the last quarter and then we can open the session for questions.

So, for the quarter, sales grew by 13% with a L2L of 6%. This is probably the second or third consecutive quarter with a good L2L growth with both V-Mart stores and UL doing quite well. In fact, last three, four months in particular, almost since Diwali, I think we have been seeing a quite sort of revival, especially in the smaller towns in the Tier-3, Tier-4 towns. And especially in segments, in geographies where the last couple of years have been very, very stressed, particularly in UP and also in parts of East India we have been seeing some very good growth.

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V-Mart grew by 12% along with the volume increase of 12%. And with ASPs remaining flat, we have improved or rather strategically reduced our apparel ASPs in the last one year by almost 5% to make the pricing more attractive for the lower end entry point customer. And the strategy has started to show results. This is something that we had discussed almost one, one and a half years back also, and we have executed now to where we wanted. The correction is almost over now, so the prices now today are very stable, and this is where we would want to keep our growth now to build from here.

Together with the improved merchandising and pricing, we have seen improved footfalls also in smaller towns, which is also helping us build back the sales per square feet. The sales per square feet also grew by 2%, in fact 3%, while per store inventory came down by minus 10% despite a festive build up for upcoming Eid at the end of March. The traditionally strong markets of UP and East India led the growth for V-Mart, with new stores opened during the quarter also delivering on planned revenues.

Similarly in Unlimited where we had been doing a lot of correction on the inventory clean up and also improving the merchandising in line with what the customer requirement is for South India, and also after having reduced our average selling prices by more than 20% in the last one, one and a half years, volumes have started to grow quite well. They had been growing, but the same is now also started to reflect in value growth with a strong 13% like to like for this quarter. Definitely the base, we had a significant impact in the base, but definitely the growth is very promising. And not just this, the new stores that we have opened during the year in South India under Unlimited brand have also been performing better than the legacy stores, which is very encouraging and allowing us to focus on expanding our presence in South even more.

The closure of 10 stores in V-Mart and nine in Unlimited during the quarter will further improve the overall performance going forward. As most of these stores got closed in March only, and as such the benefit on account of the expense reduction shall start flowing in from April onwards. So, more than the expense reduction, I think it is more of allocation of the right capital towards the more improving stores that is the focus that we want to create. And also send a messaging in the entire ecosystem that we are very, very focused on profitability. And any store which does not meet the benchmark, or our thresholds will come up for correction. And that is something that we are driving with a lot of effort.

Coming to gross margins, the total gross margin at 31.7% was 20 bps lower than last year due to higher old inventory liquidation, and also marginally higher inventory provisioning as well as mentioned earlier due to more stringent and more conservative norms. The norms remain consistent for the last at least 10 years and we are very particular of maintaining them. There was also a delayed winter this year, which also meant some amount of inventory that we could

have

sold in December, we were forced to sell it at slightly higher discount in January, but not a big impact, but very marginal impact. Inventory remains in good shape and very healthy and the sell-

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throughs that we are receiving for the summer season are a testimony that the inventory health is quite good. The Unlimited gross margins improved marginally, while the VM gross margins went down by 0.5% due to higher provisioning in relation to last year.

On the expense side, while the revenues grew by 13%, the expenses grew by 4% for the quarter with tighter cost control in all parts of the business. For the offline business, the revenues grew by 12%, while the expenses grew by 8%, largely contributed by the increase in power cost, particularly in South. For Limeroad, the revenues grew by 29% and the expenses reduced by 18% over last year. We have been strategically reducing the expenses at Limeroad without significantly impacting the top line by increasing the synergies and customer acquisition through the omnichannel model being propagated through V-Mart offline stores. Lalit had talked about the one click

initiative, that's a new tool that the Limeroad team had developed in the last six odd months and that has been rolled out across 100% of the V-Mart stores with very encouraging result. I think the team, the combined team of Limeroad as well as the V-Mart offline store team is very optimistic on building this up as the next vehicle of growth for both the businesses. The Omnification of V-Mart is what we will therefore continue to build and drive through the Limeroad platform. On a go-forward basis, Limeroad expenses should further rationalize to deliver better productivity, resulting in a healthy balance sheet. You would have noticed that the Limeroad burn as well as the EBITDA losses have been coming down by almost in double digits for the last three quarters consecutively, and that's the direction that we continue to build on. As a result of all these initiatives, the quarter four EBITDA grew by 76% year on year, while the LR EBITDA losses came down by 44%. We closed 12 underperforming stores in south, which will further help improve the EBITDA in the coming years. And we also closed 13 non-performing stores in rest of India. Again, the same impact, we should see the large impact of these benefits coming in only next year, because most of these closures happened in quarter four or even a large part happened only towards the end of March.

On the CapEx side, our CapEx incurred for the year was Rs. 137 crores, with net CapEx of roughly around Rs. 120 crores. Almost 50% of this was on the new warehouse which already got operational in June. We spent out of this around Rs. 40 crores on the 46 new stores, around Rs. 26 crores on renovation of the existing stores, which is something that we took up with a lot of planning this year, and which has also started to yield some good results. Overall inventory levels reduced by 6% year on year, and the per store inventory improved from Rs. 2.1 crores to Rs. 1.8 crores at the end of the year. Days of inventory, while have remained similar year on year due to low base of last year, but otherwise at an overall level the health of the inventory, the freshness of the inventory, and the overall inventory freshness is definitely far better than what it was, at least in the last two years.

We also generated free cash this year of Rs. 44 crores with very good inventory management. On the cash side, I think we have already done with large investments. Time has now come to recoup V-Mart Retail Limited

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the benefits in the coming years. So, I think that is largely on the P&L and the balance sheet side. On the new stores, as I mentioned, we opened 46 stores and closed 25. And for the next year, we still would plan

to open roughly around 40 to 50 stores, with possibly some 5 to 10 stores closure not identified but depending on their performance and improvement in the current year. So, that's largely from my side. We remain very committed to make sure that the Limeroad journey remains very strong and fruitful. Omnification, omni is something that we really want to build and that we will keep focusing on. So, that's all on the P&L and balance sheet. Now let's open the house for questions. Thank you so much.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Teja Shah from Avenue Spark. Please go ahead.

Tejash Shah: Sir, we seem to be now working very aggressively on benchmarking our stores on terms of certain parameters. So, was just curious that what specific parameters or criteria we are using to decide whether a store will continue or shut down, A? And just if we have to kind of reflect on all the store shutdowns, are there any common threads which kind of tell you that this was the common mistake that we made in terms of perhaps regional or operational or location or merchandising? Which kind of we would not repeat as we expand because this is just a part of the correction, because again we will have to open that many stores as we go along. So, what we carry along or we will be institutionalized in our DNA, so that we do not repeat in our next batch of expansion?

Lalit Agarwal: Tejash, thanks for asking this. So, definitely every store closer there are a lot of learnings which gets captured, and when you do massive store closure you do take those learnings before also and after also. And some of the learnings are largely that certain stores which we acquired or which we leased out, which were at higher rentals, and we thought that those stores can bring in good results and will give us good sales per square feet, higher sales per square feet, some of those calculation didn't work. So, our anticipation and our working on finalizing the store location, somewhere we thought was not getting gelled up with our thought process.

Two, definitely we identified, as we had told earlier also, there were few stores that were already performing low when we acquired from Unlimited, or there were few stores that the moment we opened up after one month or two months or three months, the COVID scenario happened and a lot of those stores got fixated in those particular areas where they didn't get the first few maturity periods. And that made the whole change and slowly the inventory gets dead, then inventory becomes older, and the store footfall doesn't come in. It's more about mouth to mouth publicity and the customer comes from word of mouth. And that's how customer looks at the customer and then they come in. So, some of those things.

And then definitely few areas where we clearly identified that there are those seasonal factors or

there are those particular kind of merchandise which is required in those particular areas. There
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may be at those times and those part of the time or the season we were little not very aggressive, or we didn't plan it very well. Or there were some challenges that we found even in the team management of stuff. So, some of those things, some learnings have come in. A lot of those learnings have been captured as a change in the SOP, change in the processes. And some of those learnings are coming in, in terms of the checklist that we have prepared in terms of they do not fall into gold brackets. So, some of those things are coming in. Thank you so much.

Tejash Shah: Sure. And second and last question, after many years we are entering a new fiscal with a very positive sentiment. So, just wanted to know your sense on ground level sentiment that is giving us this hope? Or you

are also excited to regain the market share that we would have lost in the last two or three years in our retail space?

Lalit Agarwal: It is both, Tejash. Definitely only if people try it doesn't come out, it has also to be fueled by the consumer aspiration, by the demand, by the positivity in the market. So, we believe both the things are happening. Even if you have demand and if you are not performing in the right way and the right direction which the consumer wants, because it is no more a one-man land, it is a street of competitors, it is a street of multiple players which are operating on the same road. So, you have got option, customer as a whole has got the options. So, if you do not perform, if you do not produce, if you are not efficient enough, if you are not compliant enough you may lose the customer. So, that's how the result is going to turn up into you. So, the confidence is coming more from the internal parameters and the internal levers and the internal excitement that the team has. And the way team operates the culture in which the V-Mart works at, and that's something which brings the confidence.

And definitely aided with the right timing, which is there I think, now the consumer has to come back. Even the elections are going to bring in a lot of money. So, we have been watching all of those. Some of those we have seen that wherever the elections have got over and after seven days or after 10 days we start seeing good growth coming in from that market. So, some of those pieces are also being witnessed and are very clearly being seen. So, I think some of these things definitely will fuel the whole economy, because the economy was in a bad shape, it was little dumb, it was a little dull post COVID, and since then inflation and stuff. So, they never got excited. Now I think things are coming back and we should see some growth coming in from there.

Tejash Shah: Perfect. And if I may ask one more, like all the store shutdowns that we did, was there any element of any national fast fashion retailers who were specific being around in most of the store locations, or it had nothing to do with any of this?

Lalit Agarwal: As per our analysis, we keep a very, very close watch on competitors and competitor-wise store performance and stuff. So, we have been very, very clear, wherever we have seen the brand name that you mentioned those stores opening up, we have not got any impact. Only in southern India there are a few markets where we had seen impact one year back, one and a half years back. But
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that impact has also nullified in this particular year wherever they had stores, because they are now encroaching and embarking on their own store sales, because they are opening and cannibalizing more stores in the same territory. So, what we have found out is very, very few impact in northern India, northern India almost no impact. In the southern India there is definitely some impact that we had witnessed earlier. But I do not think, maybe three, four stores in the southern India could be because the profitability or the losses become a little more sharper or little more than what it used to be when we acquired. So, we have taken a call maybe also because of certain stores like Style Union or Zudio or some Max which got opened or which are performing better. So, some of those pieces happened in those particular territories. But other than that, no.

Moderator: Thank you. The next question is from the line of Rishi Mody from Marcellus Investment Managers. Please go ahead.

Rishi Mody: Sir, a couple of questions from my end, the first one being the number of stores that we shut down. How much of annual savings in the bottom line are we going to see from these shut downs in FY '25? And how many more stores are we planning to shut down in FY '25?

Anand Agar

wal: Rishi, the annual savings which have not got factored in the last year financials would be to the tune of probably around Rs. 4 crores to Rs. 5 crores. I think large part of the closures actually happened only towards the end of the year and very, very concentrated around March itself. So, the savings should not exceed that. But more importantly, as I mentioned during the opening

remarks, the focus is to ensure that we have the right capital allocation. So, we focus the energies towards more profitable and more growing stores rather than laggards. In terms of the closures for next year, there is no fixed number identified as yet. But because we are on a cleanup spree and we had closed some stores the year before and also in the last year, we will want to make sure that anything which is not meeting the threshold norms, which is not meeting our standards gets to pull up its pants and start performing, or we sort of make it to exit. So, I think not more than five to seven, but there is no number or names identified as yet.

Rishi Mody: And how many new stores are we planning to open up in the coming year?

Anand Agarwal: So, I think we should be looking at between 40 to 50, we would definitely want to open more, but let's see how it goes.

Moderator: Thank you. The next question is from the line of Lokesh Manik from Vallum Capital. Please go ahead.

Lokesh Manik: My question was just going back; we see 2018 was the peak performance year on all metrics for V-Mart. And then since then we have gone through a lot of ups and downs on the macro side and internally as well in terms of the reorganization of the company and institutionalization of a lot of departments. So, my question was, do you see yourself going back to those metrics, hitting those

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metrics in the next two to three years, whether it be an ad, rent, your expenses, your store metrics for that matter? That's my first question.

Lalit Agarwal: So, Lokesh, I do not want to sound too bullish. Yes, definitely we want to reach to those numbers, those are our dream numbers. But yes, we have acquired a lot of other things also in our kitty, whether it is Unlimited stores or the online retail that we have acquired. So, not everything could reveal same results, and the market is also not the same because there are definitely a lot of more players who have come into the market. So, the overall percentage that you could save or the sales per square foot that it would generate will take some time, definitely the path has to be taken up and we are taking those paths. Maybe I mean at that time we had clocked around maybe Rs. 790 a square feet. So, we may not reach that figure immediately. It may take for us maybe around two years so that we go, we surpass the Rs. 725 numbers and come to Rs. 750. So, that's the idea that we have and that's what we will do. But yes, hope for good. If you guys predict and you guys feel that the market is really going to boom and the content is going to be better, maybe we plan a little more higher growth in sales and draw some more inventory and then keep those.

Lokesh Manik: Great. Lalit ji, my second question was on the gross margins. Given that you said that you have Unlimited in your kitty, and you have Limeroad, your business model has somewhat also changed in terms of moving from low price point to higher price point product. Do you then see that you need to improve a lot on your gross margins, given that your corporate structure has also changed from what it was in 2018 to what it is now to accommodate these changes? I am not really deviating from your policy of fair pricing or honest pricing.

Lalit Agarwal: No, Lokesh, I do not agree with you. We have never been in this side of the game where we have tried to surpass our overheads through our gross margin. Our overhead should be c

tered by our

volume and our expansion or our rate of growth, or our number of stores that result into more profitability. So, I do not think we have done anything such which is resulting into a higher overhead for us. Definitely there are few initiatives that we have taken. We are also being very, very conservative and we are being very, very efficient, trying to become efficient on those areas where we had those extra slippages which were coming in. So, we are trying to be very, very focused on aligned with our customers' requirements where we have understood that they do not want us to charge more, they cannot pay more, we cannot increase the ASP. So, we cannot increase the gross margin also. We will have to definitely deliver better and better quality. We have to deliver the best fashion at the prices which are most effective and the best prices in the market. So, definitely percentage of gross margin cannot go up, and we will not target that. We will definitely want to target higher volume and more rupee gross margin from the same store. That's our approach and that is what we should try and do, which is sustainable also.

Moderator: Thank you. The next question is from the line of Bhargav from Ambit Asset Management. Please go ahead.

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Bhargav: Sir my first question is that, obviously in FY '24 we have taken price corrective actions and we have seen a decline in ASP. Starting FY '25, do you think there is still any need to see any further price corrections or we are done away with that?

Lalit Agarwal: So, Bhargav, we have already commented that we have done away with all of that, we do not want to do any price correction now, but definitely there is a choice that the customer has. And as I said

in my opening remarks also, the consumer is choosing a little lower price point product more versus a higher price point product. So, the mix between the product purchase or the product purchased by the customer can get a little tempered, and that may effectively resultantly be, you may see a little lesser ASP. But I do not think there should be a lot of shift, we are very, very clear on this. We have already done our part. Now we have to only put more effort as we are doing it on quality and fashion parameters, so that we are able to convert the customer more and more.

Bhargav: Secondly sir, we have seen a significant jump in terms of footfall. So, in your opinion, is the price cut the reason why the footfall has been coming in or is the merchandise change which is leading to higher footfalls?

Lalit Agarwal: So, I think there are two or three factors. The biggest factor of it is actually, I mean we have been doing it for multiple months, but still there were regions which were still not recording the right footfalls, and the way of recording the right footfall is manual. So, there are times lot of mistakes which happened. So, there is some part of correction which has resulted into some number which is being seen. But other than that, definitely as you know that there are more number of stores on the same road, the customer always keeps researching their products. So, they want to try all the stores, look at all the stores. So, the cumulative footfall becomes lower, but the individual store does receive a higher footfall. So, some of those footfalls do come in.

And definitely when you have a little new style of merchandise or new designs of merchandise, we do see some customers who may buy after some time, but they do want to come and visit and see the product. Because the youth normally do that more and more often, because they do not have money in the pocket, they will come and see the store, research the product, and then ask my store guy to please keep it aside, and we will come back and buy it again. So, there are those pieces that also have started happening.

ening, the youth is becoming more active, and it is becoming more mobile.

Bhargav: And sir my last question is that we have seen the contribution of V-Mart rising in Limeroad's overall revenues, it is now at around 25%. Where do you think this can settle, maybe in the next couple of years?

Lalit Agarwal: We do not know, but anyway, I mean our goal is to increase only. We would definitely want to have at least one third share coming in from V-Mart revenue in Limeroad business. So, that's V-Mart Retail Limited

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definitely. But yes, as V-Mart ASP is also very low, it becomes very difficult to drive profitability out of that kind of ASP. So, we are being very conscious in trying to balance those also.

Bhargav: And sir, fair to say, there's no extra discounting being offered on that channel?

Lalit Agarwal: Zero.

Moderator: Thank you. The next question is from the line of Sameer Gupta from India Info Line. Please go ahead.

Sameer Gupta: Congrats on a good set of numbers. So, I have two questions, firstly on the Unlimited part. So, out of the 74 stores that you had acquired in Unlimited, how many are still there and how many have you closed? And sub-question to this is, what is the margin profile of the new stores that you are opening in Unlimited right now? And this is pre-IndAS I am talking, and what is the margin profile of the legacy stores that are remaining that are still functioning?

Anand Agarwal: Hi, Sameer. So, out of the 74 stores that we had acquired, 58 stores we are still running, and this is after multiple rounds of assessment, multiple rounds of closures. So, it's not that only the closures have happened in the last quarter, last year. We closed a few stores in the last year as well, we closed a few stores this year. So, the objective is not to close everything, but the objective is to make sure that we are running the most optimal and the most growth-oriented stores. So, the new stores that we have opened, as I have been speaking for the last couple of quarters, the new stores that we have opened are giving definitely a much better sales per square feet even than the legacy stores. The difference is almost to the tune of around 15% to 20%. Now it's been just one year or one and a half years since the time these new stores have opened, so we would definitely want to wait and watch the sustainability of this delta sales per square feet. But whatever we are seeing so far is giving us a lot of hope and optimism that this is something that we would want to build further on.

The big difference also is that the new stores that we have opened in South are largely in Tier-3 Tier-4 locations versus the legacy stores which were in Tier-1, Tier-2 locations. Tier-3 and Tier-4 format is something that we have always specialized in and is also giving us good results in South. In terms of the margin profile, just because of the delta 15%, 20% sales per square foot difference, the EBITDA margins or the store level EBITDA margins in the new stores is almost at par with V-Mart, in fact, even better than V-Mart stores in general. Because the rental that we are also taking in these stores is exactly in line with what the V-Mart model is, which is roughly around 5% to 6% of revenue versus for the legacy Unlimited stores where the rental is almost 12% to 15% of revenue. So, that's the big difference.

Sameer Gupta: Sir, this whole mass of 58 stores is still at an EBITDA loss at pre -IndAS level ?

Anand Agarwal: No, they are not at EBITDA loss, they are in black.

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Sameer Gupta: And marginal profit I would assume ?

Anand Agarwal: Yes, roughly around 4 % to 5% profitability , EBITDA level.

Sameer Gupta: They have improved so much , cool. That's helpful, sir. Secondly, sir, on the gross margin bit, on a Y-o-Y basis if you look

at this quarter 's gross margin, it is kind of flat. But even if you compare with 2Q, generally 2Q to 4Q the gross margins do not change much . And this part of inventory correction, provisioning, etc ., and ASP reductions , that has kind of continued since 2Q. So, just wanted to understand this decrease in gross margin , is it like a 200 hundred to 300 basis points decrease here. I just wanted some color on this.

Anand Agarwal: See, I largely you have to also understand the base impact. See , last year the provisioning that was required to be done probably would have been done on the stocks that we would have purchased during COVID times, so one year back or one and a half, two years back . Now at that point of time, the level of inventory that we were carrying because of the covid situations was slightly lower , our inventory levels were much lower and therefore the provisioning required last year or the liquidation also that was required was slightly lower versus what was required this year. It's not a very big difference. As I mentioned in my opening remarks, the inventory is quite healthy, and we remain very much in control of how we want to drive the inventory . The freshness and the sellthroughs we are getting is extremely good and that is reflected in the same store sales growth that we are getting. So, not too much of a concern. I think provisioning is also transitory. So, it always comes back once you liquidate these stocks. So, that's not a big issue for us.

Moderator: The next question is from the line of Ankit Kedia from Philip Capital. Please go ahead.

Ankit Kedia: Sir, three questions from my side , first is on the Unlimited inventory. In your opening remarks, Lalit ji, you mentioned you experimented with lower price inventory in South, and you have got very good response. Our check suggests that these are Unlimited branded inventory which you have done , and with only handful of stores . And if the response is good, do you think in the coming season you will roll it out across that 70 stores of Unlimited and that could further bring the ASP down for Unlimited ?

Lalit Agarwal: So, it is just not that inventory , Ankit. So, definitely that is one inventory that we have experimented with , as I said about the GenZ collection , the GenZ collection that we have launched . And also, some unlabeled inventory where Unlimited is being labeled. But there are also other stuff which is in terms of the entry price point inventories , some promotional products , which are those lower ticket item which we used to do in V-Mart . But as we started earlier, we thought that in South our customer is a little different , they are more premium , we want to give them a little more premium product . Which didn't work for us in the first year , so that is why we changed our strategy, and we brought in some more inventory lined up with the similar thought process of V - Mart. And which has now clicked, and we are able to see lot of customers coming back from. those

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inventory . So, I think there also we have done our ASP piece , but still, it may go a little bit down . But we are definitely getting those responses by increasing the volume . And this is what we wanted and there's a good volumetric growth that we have seen in this quarter and also in Unlimited market.

Ankit Kedia: Sir, my second question is on the inventory. Even now if I look at inventory on COGS or on sale , whichever method , it is still higher compared to pre-COVID levels. Now we have invested in a warehouse also so that our supply chain efficiencies and inventory over the medium term reduces. You have spoken a lot in your opening remarks on inventory being fresh, healthy at the store level collection . Now to go back to pre-COVID levels and lower , do you think in next one and a half, two years we can aim for that ? Or

it will take longer now given the current demand environment ?

Lalit Agarwal: Ankit, we will definitely want to do it. One thing you have to be very, very clear that before COVID we never used to have this partner brand inventory at our Unlimited stores, because there we are little liberal because those inventories primarily agreement is that you will return back those inventories if the inventory do not sell back. So, we do have a little higher stock of those inventory because the average size of the store in Unlimited is also a little larger and we want to keep those inventories . Those inventories form almost 15% of the total inventory . So, that is one big chunk which makes it a little distorted. But other than that, also I think it is more about sales per square feet, it is not the inventory per square feet which has grown . The sales per square feet have to come

in line with that. And on that, I think we are on the journey, and we are on the path. So, if our same store sales growth grows and we are able to clock the sales per square foot, I think the average is going to come back. Because see, when there is a store, it has to have a particular piece of inventory or a density of inventory, that is how we are aligning. But yes, definitely we are being very, very conservative. And you must have seen that we have improved our working capital in our inventory days also year on year, and we are improving it very, very sharply.

Ankit Kedia: Sure. And so, my last question is on the Limeroad loss guidance. Last year you have met your loss guidance what you had; it's been lower than that. For FY '25 while you are cutting losses at the cost of growth now, so what should we model from a Limeroad losses perspective?

Lalit Agarwal: See, we should model that we should not go beyond 40% to 50% of the loss that we have done for the year. So, we should not do that. That's our maximum plan and we did not reach that also. So, it should be relatively half or less than half, the loss should be.

Moderator: Thank you. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: I am just trying to read on Slide 10, this tier-wise number what we have given, it seems that Tier-1 and Tier-4 is doing better, but Tier-2 and Tier-3, we still have a problem and it's growing 6%

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and 1%. So, is the number of stores what we have closed is largely in this territory, or there is some action which we are planning to take it further?

Lalit Agarwal: See, there is an improvement, as I said in my opening remarks also, there is an improvement which has started coming. It is largely from Uttar Pradesh. You know that for Uttar Pradesh and Bihar we had maximum number of Tier-3 town. So, these towns were not performing, and we were seeing lot of competition also coming in these particular territory, and also the markets were not performing in this particular area. So, some growth has started being seen, both in the last quarter as well as in these months that we have seen after the quarter ends. So, I think as the economy or as the consumption spree comes in, this is the first town which should go and give us those results. And when they come back, we should expect the consumer sentiment is back into the market.

Shirish Pardeshi: The reason why I am asking is, if I assume that the season has started well and I think if over a period of time things improve, and if this business comes in positive or much stronger, it's not difficult for us to report more than 15%, 20% growth. Is that the way we should look at it?

Lalit Agarwal: I do not want to name that, but definitely we would love you if you make it happen.

Shirish Pardeshi: No, because a larger chunk of stores are sitting in this territory, so that's why I am asking.

Lalit Agarwal: No, I do understand

stand. I do understand and that is very, very important for us. This is the most important territory, and this is where our focus is, and this is where we are working a lot. So, we will definitely want to make it happen. But let's see how much happens.

Shirish Pardeshi: My last question is on, in the beginning slide you have said that footfall has grown 25% and even when I look at the same store volume growth is around 5%, but Unlimited is very startling, much higher at 26%. But the same slide I am reading, our conversion rate has now fallen steadily. I mean, it used to be plus 60%, it has now come down. In pre-COVID, it used to be higher of 60%, now it is 49%. So, is there any value, because I am saying that your transaction size and average selling price which we have already taken up action by cutting the prices. So, is there some metrics you can provide how we should monitor this number?

Lalit Agarwal: No, as I told earlier, this is largely a little bit more about the recording piece as you are becoming a little more analytical, little more into the discussion on why the conversion is not happening or why the growth is not coming in, then we are getting the number that actually we are not capturing the right footfall, the team is not capturing the right footfall, the process of capturing was a little different in a different region. So, we have standardized some of those. So, that is why some of those pieces are being seen. But other than that, I think there's also some change where we see higher, bigger family size coming in. I mean, even if they want to buy one T-shirt, they will have two, three people coming in. So, minimum rate of conversion cannot be more than 50% is what I see, because sometimes four people come and make only a single bill. So, you cannot expect that to be converted to 50%, 55%. So, I think this is a genuine conversion. It doesn't give me any other

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picture, but it always also tells me that very clearly, we are having good excellence over our process, and we are getting customers. And if we get customers, we will definitely convince them. As I told, the customer is becoming a little more research oriented in their mindset also, they want to come and see and then buy later. So, some of those activities are also being witnessed a little higher.

Shirish Pardeshi: No, the reason why I am asking is, Lalit ji, is basically earlier you were focusing too much and

spending a lot of time in UP , Bihar . Is that whatever actions and strategy you have implemented , will it be directly that you will spend more energy on the eastern market and the non-UP market?

Moderator: Sorry to interrupt you, sir. I request you to come back for a follow-up question. Thank you. The next question is from the line of Tanmay Gupta from Motilal Oswal. Please go ahead.

Tanmay Gupta: Sir, I just wanted to understand that what could be the magnitude we need in SSG growth to reach at the pre-COVID level of EBITDA margin of 8% ? Because currently existing line we could be having around 2% to 3%.

Lalit Agarwal: See, definitely it is a tough ask . But yes, we need to grow at least 8 % to 10% for two consecutive years to reach that level. So, we should have that kind of growth. And then once we have that kind of growth, definitely the cost s have been constrained , there is a lot of work which has been done . So, around 8% SSG growth for the next two years should bring us to that level.

Tanmay Gupta: And sir, just to understand that the V2 SSG has been very higher than valuated at. So, what extra what they are doing, just wanted to understand on that way , and what we are doing for that ?

Lalit Agarwal: Tanmay, definitely we are tracking our competitors. We understand there are few good things that they have done. But yes , there are also few things which are non -scalable , no

n-sustainable which

also they are trying to do , which we may not be immediately able to do . But yes, we are trying to put our best in improving our own standards, our own benchmark. There are a lot of learnings that we do definitely have , and there are a lot of good things that we also want to continue with our own initiatives. Yes, there are certain short term mindset initi ative s where if the products are being sold at a lesser price and giving a little better offer to the customer , sometimes the customer s do want to go for that . But also , as I said , quality is going to be the sustainable parameter. We will want to focus a little more on those where the results may come a little slower , but yes , those are sustainable results and we have always gone for sustainabi lity.

Moderator: Thank you. Ladies and gentlemen, we will take this as a last question. I would now like to hand the conference over to the management for the closing comments.

Lalit Agarwal: Thank you , everyone. Thanks for asking very relevant question s. Your questions do motivate us and makes us more interested and analytical in terms of our approach in looking at the b usiness .

These inputs are very important . Keep giving those inputs , both online and offline. So, these are

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very, very important. The times are definitely very exciting. Lot of o pportunity being seen in the market. We are also geared up, there's a lot of change in the management in the organization. We definitely want to continue with some changes that we need to bring in , in our management, in our teams, in our ways of working , in our behaviors. And some of those things have led us to this positive result, and some of those things will also give us a better positive result . As the size of the organization has become larger, it is not the same pre -COVID kind of organization which used to operate now . So, it has to definitely bring out its best and eye for higher rate of growth, but definitely not lose on certain grounds. So, we are very careful of all of those. We continue to be govern ance focused , ESG focused. We want to have a v ery ethical and good business practices in our organization. Great. Thank you so much for being there and listening to us .

Anand Agarwal: Thank you.

Moderator: Thank you. On behalf of ICI CI Securities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

Call: Aug 2024

Ref. No. CS/ S/L-801 /202 4-25 12th August , 2024

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THE BSE LTD

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Email: corp.relations@bseindia.com

Sub: Transcript of the Conference Call held on 6th August , 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and amendment thereof. In reference to our letter dated 1st August , 2024 (Ref. No. CS/S/ L-790/2024 -25) regarding the intimation of the conference call with Analysts and Investors held on 6th August , 2024 , please find enclosed the transcript of the aforementioned conference call.

The above information is also available on the Company's website: www.vmart.co.in .

We request you to kindly take the above information on record.

Thanking You,

Yours Truly

For V -Mart Retail Limited

Megha Tandon

(Company Secretary & Compliance Officer)

Encl: As above

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“V-Mart Retail Limited

Q1 FY '25 Earnings Conference Call ”

August 06, 2024

MANAGEMENT : MR. LALIT AGARWAL – MANAGING DIRECTOR –
V-MART RETAIL LIMITED

MR. ANAND AGARWAL – CHIEF FINANCIAL
OFFICER – V-MART RETAIL LIMITED

MODERATOR : MR. TEJAS SHAH – SPARK INSTITUTIONAL
EQUITIES PRIVATE LIMITED (AVENDUS SPARK)

Moderator: Ladies and gentlemen, good day, and welcome to V-Mart Retail Q1 FY '25 Earnings Conference Call, hosted by Avendus Spark. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Tejas Shah from Spark Institutional Equities Private Limited. Thank you, and over to you, sir.

Tejas Shah: Thank you, Sagar. On behalf of Avendus Spark, it's our pleasure to host the Q1 FY '25 Earnings Conference Call of V-Mart Retail Limited. From the management side, we have today, Mr. Lalit Agarwal, Managing Director and Mr. Anand Agarwal, Chief Financial Officer.

I'll now hand over the call to the management for the opening remarks, followed by a Q&A session. Thanks.

Lalit Agarwal: Good afternoon, ladies and gentlemen. Thank you, Tejas. Great to see you guys once again in the call. Very, very happening quarter in terms of political scenario in the country, in terms of the consumption or the change in the consumer behavior. So what we have noticed in this quarter, which is April to June, is the biggest festival in the world democracy, is the Indian election. A lot of hue and cry, lot of election rally and lot of media exposure to a lot of discussions for the situation, which was largely around politics, and we all know about that.

So it definitely impacts the businesses also, especially the smaller districts and smaller towns.

And it also curtail some amount of movement and some amount of law and order situations in that particular town or city, wherever these kind of events happen or wherever these kind of rallies or wherever these kind of big, large leader comes in and they attend those functions.

So, there were, on an average, almost three to three and a half days of disturbance that we had across our towns, wherever we operate stores in the country. So, but yes, largely, this is also definitely has been a big driver of economy, we believe, because there's been a lot of spending by the whole machinery, whether the government machinery or the political party machinery and the candidates themselves.

So, some spending, definitely, it's not big spending for the consumer, but definitely, it is good to trickle the economy and then put inertia to the economic wheel. So, that's what I believe in, because there was a hidden consumption demand. There were people who were trying to consume, but yes, it gave some amount of inertia there to try and push it a little bit.

We saw some betterment. We've seen some betterment coming in from the rural areas and the urban markets. We are getting, definitely, mixed response from other companies and other players and competitors as well. So, what we are also noticing is certain companies haven't still recovered or are still looking at this as a low time, but I see some green shoots. There are definitely some green shoots, not too much, because when we go to the hinterland, when we go to the towns, the problem that used to exist is already there.

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Definitely, there is some lows on the basic staple inflation, especially from the oil side or oil prices side. So, some part of that I am seeing a little low, which is definitely leaving some money for the normal household to spend on other items. But still the inflation rate continues around 5%, still on the high base, so that is still a problem to an Indian consumer into a normal household, which is earning between INR 20,000 and INR 35,000. So that's the normal household which we study and we try to study.

So the market seems to become a little

better, employment status looks a little better on the ground level. People are confident that there is definitely going to be a bigger, better employment, because states are trying to open consumer and open the large amount of masses by giving a lot of good promises and newer ones and newer benefits and newer plans even before election. And now after election as well because of the kind of results that we have got, which is also bringing in some kind of complemented overall market, which is what we required, which is not going to provide in the future development.

So I think that's a good news that we are in. The confidence index of the consumer is getting better. They believe that they will not be spared in the coming future. They will definitely get more employment and their ability to earn and earn more is definitely really sustained. Even on the skills part or even on the employment part a lot of work has happened. So some of those good news.

On the competition side, I think the competitors have been very good, a lot of competitive

activity has been seen, almost always we see the activity. Still, people who are able to give good experience to the consumer and provide good quality and provide good variety and great experiences are able to sustain and then definitely are able to grow much beyond what is required.

So, we are seeing those good positive signs in the market. The market definitely is there. It is all about how much market share can you acquire versus other set of competitors who are also struggling. And largely, we have seen some struggle coming in also from the premium segment of the market or the upper middle segment of the market, where the prices of the premium brands operate. So, we are seeing some pressure there. We are also seeing pressures on so-called value retailers who are still on the little higher of the market segment. They are also on the report of struggles. But I think these are all temporary phenomena. People will get back to the basic demand and they will come back to their phase.

On the other side, I think for V-Mart I think we have been trying to focus on our basic fundamentals. We have focused on all agri generated markets and then largely impacted by agri, but yes, we definitely believe that the consumers are aspirational now, and they will want to consume more consume better. They are much more aware of the audience and we believe and we understand and we recognize that these consumers are no more the traditional consumers. They are definitely a little more learned consumer demanding a little better fashion, demanding a little higher fashion, demanding the latest collection, which is coming in. So, some of those pieces we are seeing, definitely, consumers are appreciating all good things that the brand does or what we have been doing.

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We have been sticking for the last two years, we have been continuously working on our internal processes and our internal parameters on our internal understanding on the consumer or even technology or even the way we source and the way we procure and the way we design and then the kind of quality that we want to provide to the consumers and the experience and the betterment of experience that we want to provide, some of those initiatives, which we were struggling in the last year are showing some results.

We still believe that most of our efforts have not still been completely rolled out. We still believe we're only at least to 50% of what we could have done. But still, there is lot more that we have in plans that we will want to better and give this experience to the consumer. Now consumers are ultimately worried about the product that they get, the prices that they get and the experience that they have when they are shopping at the stores or when they go back into the home and post sales experience or they connect with

the brands and go back home or they are not coming in the stores. How do you do that?

So, in that respect, our omni team has also really worked a lot, the Limeroad team including the offline team. They have really worked on very, very nicely on a product called One Click which is actually giving a great omni experience to the consumer, giving more satisfaction to the consumer. We definitely have a much better communication tool. We have integrated some communication tool. We have now 100% digital building done at the store, integrating the customer or getting integrated with the customer -on the WhatsApp account. So that is also giving a lot of personalization to the consumer and then definitely talking to them over a period. So, some of these pieces and then also reaching them out on the digital medium, trying to create those full factors. So, whatever we got is the brand trust, whatever the understanding, the trust on V-Mart, the trust of our customers on us giving in the past and even today, Yes, I definitely showed up whatever we did, whatever we were doing wrong and wherever we corrected, we got great response. We got really good trust and good feedback from the consumers.

Consumers came out in huge numbers and then they really turned up and give us the confidence of that whatever we are doing is on the right direction, both in terms of the fashion element because that was a big, big change that we brought in, in terms of focusing more on the Gen Z collection, focusing a little bit more on the fashion and the changing fashion needs of the consumer and understanding those and implementing those at an agile way in the store. So, some of those areas. And our special focus on quality, which we have been narrating for the last two, three quarters has also shown a good result. So quality, customer is recognizing and customer is appreciating the quality effort that we have taken.

So, all of these areas given together has really given us a good input. So that's the area that we want to really focus on. We believe that our doing is going to definitely give us outcome, and that is the potential that we look at in the market. The market is definitely very large. Market is too large, and we all understand and we've seen and we know that this market is becoming larger and larger as India is growing and as the position of India position is very good.

What we see in this value retail market, definitely, there are more players walking into this

market. But in that same rate or more than that rate is the per capita income growing or is the V-Mart Retail Limited
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per capita consumption growing at the fashion level and there is definitely some shift which is happening from unorganized to organized and which is bound to happen more and more. So that part has to remain. So, it is more about we acquiring our market share, the market is definitely here. So that's the plan.

We definitely want to focus on both the market, our approach on pricing at unlimited market in Southern India also has given us a lot of confidence. The customer has really understood what we are offering and we are getting a lot of new set of customers and repeat customers from there. So good input coming in both from the existing stores and from new stores that we have opened up, we are really getting very good benefits from there also. So that's the part we are all into. We have also tested on one new concept in a town called Hubli in Karnataka, with the Lime Road branded stores and that we have just tried to pilot one store in trying to bring a little more elevated fashion, a little more lighter density of inventory per square feet, which is giving a little more premium look in the country and putting the prices at the same level or even at the lower level, trying to create a niche experience for the new generation customers. So we are trying to d

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because we saw some brands really getting good response and that gives us confidence that the consumer need and the consumer approach towards buying great fashion is coming in not only from quantity but comes in from more of the way in which you are showing at the time and the way which you show up the trend.

So there is definitely, we believe that there is some amount of baggage that the brands that having, there has been unlimited or V-Mart. So we are trying to experiment that with our new brand, which is a LimeRoad brand, which is more digital, which is more nearer to the audience daily. So that's where we tested with one store until now we are learning and in that from the learning stage, you definitely want to experiment more with four, five more stores in this particular year, so that we get the confidence on this particular new initiative and then we will try to allocate the amount of budget next year but that still we are under discussion.

So that's what we have. Definitely, there has been some areas where we've really worked hard in terms of people, in getting people's motivation in terms of getting their base salary, trying to retain the m, and working on attrition. That's one of the newer area that we have worked on. And that some of those stores or some of the markets where we used to have higher attrition, really attrition rates have come down. Those things also is really helping us in achieving the sale and there's very good incentive plan that we rolled out for the team. So some of those things is giving a lot of motivation also to the consumer.

One more thing, all those stores, which we always said that we can open before COVID and after COVID, some of those stores also started good showing us, good response. We believe and feel that some of those stores are getting rediscovered or are getting discovered for the first time because they never got a discovery time either after COVID and before COVID and around COVID. So that's the change that we are seeing in our market, consumer are appreciating. We'll definitely talk over this more, let me hand it over to Anand so that he can give you a detailed review on the results. Over to you, Anand.

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Anand Agarwal: Thank you, Lalit, and good afternoon, everybody. As Lalit mentioned, it's been a good quarter with the impact of few changes that we have been doing over the last two years starting to become slightly visible. Let me first take you through some of the key highlights from the quarter and then we can open the house for questions.

So quarter one typically is the onset of the summer season and is marked by strong wedding calendar. This year was slightly unusual with no wedding days. But despite that, we have seen good improvement in our like-to-like sales as well as the sales per square feet. On the sales front, we are seeing much better footfalls and improvement in total number of invoices cut which is a strong reflection of the improved efficiency measures being taken by the company since the last two years.

At an overall level, the sales grew by 20% for V-Mart and 5% for Unlimited year-on-year. The Unlimited sales growth was impacted in the quarter, marginally due to the closure of 15 stores since last year. Normalizing these store closures, the Unlimited stores would have also grown by 18%, which is closer to the overall V-Mart sales growth numbers. The new stores opened in South under the Unlimited brand continued to deliver higher sales and profitability versus the

relative legacy stores in South. In the last three years since acquiring the Unlimited brand, we have closed 19 stores and opened 23 stores in South, taking the net Unlimited store count today to 78.

At an overall level, while all states saw good growth during the quarter, but in particular, UP, Bihar, Uttarakhand, Rajasthan, West Bengal and Karnataka

also saw relatively better traction in

footfall as well as sales growth. Another heartening fact evident is the sales, higher sales growth visible in Tier 2, and Tier 3 towns as well as Tier 4 towns, geographies, which form the biggest base for the typical V-Mart customer profile.

The apparel ASP decreased by 3%, largely due to the product mix change as a fallout of zero weddings during the quarter in north. While in south, the ASP degrowth was a fallout of the strategic shift towards sharper and more value-driven product pricing that we have been trying to incorporate in the last two years. The price correction exercise, which was initiated last year is already over and we should see ASPs stabilize at these levels in the quarters to come. But for any product mix changes due to shift in weather or any festive calendar shift.

The stabilization of the new warehouse in the last five, six months has also helped improve the supply chain efficiencies, which should see even further betterment in the months to come. In line with our strategy on making the LimeRoad business sustainable, we cut down on the marketing spend, which impacted the top line growth, which reduced by 33% year-on-year to INR 12 crores from INR 17 crores last year.

Coming to margins, the gross margin for the offline business remained healthy, while the decrease in the revenues for LimeRoad business segment, which 100% flows in as margin optically reduced the overall gross margin by 60 basis points at company level. On a full year basis, the gross margins from offline business would remain at similar levels of last year as we continue to drive giving higher value to our customers and focusing on growth through volumes.

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Coming to expenses. While the overall expenses have decreased by 7%, the major shift is due to the reduction in marketing by 59%, which largely has come in from the reduced spend in the LimeRoad business and also a very significant and strategic planned reduction in marketing spend in the offline business, which Lalit also talked about that the increase in the customer trust portion has definitely worked wonders for us. And that reduction in the offline marketing spend in the V-Mart business and Unlimited business is also close to 44%.

The marketing spend will remain reduced on both the segments, online as well as offline as we create better synergies through cross-promotion opportunities on the digital front for our unified omni customer base without impacting sales growth at an overall level. Despite this low marketing spend, we have definitely improved our customer connect. Our NPS scores, which we have started to track since the last almost eight, nine months has averaged at greater than 60 consistently. We've had more than five lakh Google reviews averaging 4.4 plus, and that is a strong testimony to the value proposition and the brand trust that the company is able to generate.

Coming to manpower cost. The manpower cost was up by 17% on the back of the annual increments slightly higher ESOP expenditure and also increased incentive payouts in line with the sales growth. And as Lalit mentioned, I think we have been trying to curtail attrition, which should effectively yield into better top line growth and more efficiency going forward. There is definitely a higher focus on employee reward and motivation to positively influence efficiency, which will drive our overall profitability and growth.

On the other expenses side, we saw a decline of 5% year-on-year due to some store lease renewals which were earlier part of rental expense being short-term leases till last year.

But post renewals have moved to interest and depreciation lines as part of the IndAs 116 adjustments. The other savings is on account of reduction in the LimeRoad logistics cost which is in line with reduction in top line for the online

business. Moving on to EBITDA for the V-

Mart core business, EBITDA for the quarter was 13.4% with Unlimited at 18%. At the entity level, the EBITDA stood at 12.6% which includes a loss of INR 10 crores coming in from LimeRoad which is 60% lower YoY. The EBITDA improvement has been a fallout of 60% reduction in losses from LimeRoad healthy like-to-like growth as well as positive impact from the closure of loss-making stores in the last year.

On the capex side, we spent INR 26 crores during the quarter or paid out INR 26 crores majorly on new store openings and store refurbishments. Inventory reduced by INR 144 crores quarter-on-quarter helping improve the working capital cycle and also it will help in improving freshness for the upcoming festive season even more.

Free cash flow for the quarter stood at INR 43 crores. During the quarter, the company opened

seven new stores, five in North and two in South under Unlimited brand and closed three Unlimited stores. The runway for the year is still maintained at 50 -odd stores, a large part of which will be open between quarter 2 and quarter 3. Most of the unprofitable store closures have already been completed now. There may be the regular three, four closure which may still happen in the usual course, but nothing significant.

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Coming to the last part on LimeRoad, LimeRoad continues its improvement journey with 60% reduction in losses year-on-year. This is the fifth straight quarter of continuous improvement in EBITDA losses for LimeRoad. The strategy on LimeRoad remains the same, extend LimeRoad as the fashion forward omni arm of V-Mart and facilitate very easy order placement process by V-Mart customers through the LimeRoad app initially for missing sizes or missing color in offline stores, but eventually extending it to offering a bigger catalog of products which can be offered beyond off-line retail. So getting into more and more mix of omni share.

This is a long-term strategy and we remain committed to enhance this offering with minimal loss funding or marginal profitability in the quarters to come. The losses in this business should continue to keep coming down quarter-on-quarter. LimeRoad will remain an important, but financially a small non-material digital business platform for V-Mart. So that is all from my side, and I request the moderator to open the house for questions.

Moderator: Thank you very much. We will now begin the question and answer session. The question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Hi good evening Lalit ji and Anand ji and hearty congratulations for good set of numbers. I think in the beginning if I may ask the footfall growth which we have reported in the quarter, which is 36% which is very strong. However, I look back it is still lower than the pre-COVID level. Just I was more curious if you think Tier 3, Tier 4 markets are firing well and you've reported a 11% growth in Tier 3 and 19% growth in Tier 4. What percentage of this footfall recovery has happened or maybe if you can split in Tier 3, Tier 4 specifically if you can break down 18 million what kind of footfall is there?

Lalit Agarwal: Definitely we have seen better footfall. We were still unable to compare it with earlier 5 years before footfall, but still I don't think that the footfall is lower than the earlier footfalls. There was definitely always some reporting error that we used to have on footfall, but otherwise what we have noticed is there's a good amount of substantial growth in footfall. And also you have to understand that, see that within the market, the market has also broadened a lot and there's a lot of retail and a lot of brands which has got opened and lot of stores have got opened. So it is more about qualitative customers.

It is not about the

customer who just coming in. That is more about quality customer which is coming in and it is there. So no, it is a little better.

Shirish Pardeshi: No, the reason I'm asking in the beginning Lalitji you mentioned that there is a change in consumer behavior. So I was more curious if the profile of customers has completely changed because we have taken a pricing action if that footfall is going to be sticky?

Lalit Agarwal: See definitely what we are seeing is we are showing element of trust. Consumers are always around us and this is such a wildfire that spread in this market if you do have certain good things and what we believe we have to continue definitely doing good things, sustain them, retain them and bring it more betterment in what we are delivering what we are doing. Footfall, I don't think it's a concern because if you understand all this Shirish this year you must have seen a reduction in advertising expense also.

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And we have not pushed in customers. We have not asked or push on certain promotion or certain discounts or certain advertising that you have tried to bring in customers. So this is a natural footfall which has got created. So in spite we actually did not do any advertisement this first quarter and it is just whatever that we are seeing on the advertising expense is largely from the LimeRoad side and the other pieces are also on for the branding which is at the store branding and the store front end branding and stuff.

But we've not done any advertisements, these results are great results giving us more confidence that whatever initiatives and whatever betterment that we have done are all bringing in from result and getting customer the confidence to the customer where they are spreading the word, they are becoming our brand ambassador and we have also started tracking some NPS scores in stuff, we are getting great reviews and great inputs, we are great on Google. So all of those are

really helping us a lot.

Shirish Pardeshi : No, I 'm still harping on this number because even ASPs has dropped. So and we also heard the player V2 Retail is also reported a very strong set of number. So if the market which is down trading and lower price point is going to drive the volume, is this the strategy which you will also follow or there is a change in strategy in our core footfall which we have lost in between has come back?

Lalit Agarwal: There is no change in strategy. We had taken a price hike two years back. We reduced our prices last year. This year we have not cut down any more prices. It is only at Unlimited where we have cut down the prices because we wanted to attract new customers. But at V-Mart level there is no cut down of prices. We have retained our ASP and we have no plans to cut down our prices. We still believe quality, good fashion and right pricing is what we are focusing on. We are not driving or cutting down the prices and then driving customers. There's no such strategy.

Shirish Pardeshi : Okay. That's helpful. My second and last question on the margins. After many years, we have delivered a very strong margin. So Anand my question is that two questions rather here. This LimeRoad what you have done INR 10.3 crores. Is this going to be a steady or we will think the losses will come down? And how much confident you are that because in a weak quarter we have delivered a good margin. So if quarter 2, quarter 3 is going to be a good jump in the festive season and marriage, do you think margin expansion can happen from here?

Anand Agarwal: Yes, Shirish on the LimeRoad side we should definitely see quarter-on-quarter further reduction in the EBITDA loss, it may not be very substantial maybe 20%, 30%. The reduction in loss is something that I would definitely want to visualize and achieve. It's a strong work after already cutting in a lot,

already improving the efficiency significantly in the last one year. So it's going to be uphill task, but that is what the team is committed to deliver.

On the main offline business, in terms of margin expansion quarter 1 is a good quarter. Quarter 1 is not a weak quarter. Quarter 1 is always a good quarter. Quarter 3 is the best quarter followed by quarter 1, quarter 2 is typically a weak quarter for us with Monsoon and with end-of-season sales which is not a very festive period also.

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So quarter 2 typically is a loss-making quarter, and we should not see any margin expansion or any improvement there, but definitely we should see betterment coming in from quarter 3 again. There should also be some betterment in terms of top line in quarter 2 and definitely in quarter 3.

Otherwise, we are not looking at margin expansion in percentage terms. We will as we've always stated we would want to look at retaining the margin percentage, but improving the rupee margin throughput through higher volumes and through higher top line growth.

Shirish Pardeshi : No, the reason I'm asking because if I look at manpower cost has grown 17%, power fuel has grown 8%, so what are the source of these margin drivers?

Anand Agarwal: The source primarily is going to come in from lower discounting also some like-to-like. We have seen good like-to-like coming in this quarter and we should continue to look at improved like-to-like through improved efficiencies that we've been talking about of all the work that has been going on in the background.

And that is something the results of which we have already seen in quarter 1 and we are also seeing a similar kind of trajectory building up in quarter 2 and probably also going forward. So the HR cost increase is partially an investment and partially also a correction, but we are quite hopeful and optimistic that we will be able to contain this inflationary rise or compensate this with adequate amount of margin delivery through like-to-like as well as lower discounting through improvement in the freshness index of the inventory.

Shirish Pardeshi : Okay. Thank you. It's helpful and all the best to you.

Moderator: Thank you. The next question is from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta: Hi Sir. Thanks. Good evening and thanks for taking my question. So firstly sir on the store addition targets and during the call earlier, you mentioned that you will be looking to add 50 stores during the year. Now we've added around four stores. So that's a very large pipeline of stores that you're guiding for. So just a clarification is this firstly a gross or a net number and how many more store closures do you envisage at least in this year?

Lalit Agarwal: See this is definitely a gross number. We are focusing on gross numbers. There is definitely a delay in store openings, but we are strategizing that we would want to open more number of stores just before the festivals so that we get a good run up and most of the stores that we have opened in the past during the festival period definitely gives us a better outcome even throughout the year.

But yes you would get a good number of store count getting opened in this particular quarter as

well the next quarter. So we will focus on those and we have closed down some stores. There are still some three, four more stores that we may close down in the year. So that's where we are.

Sameer Gupta: Great sir. That's very helpful. Secondly on the margin. So you've done a very healthy margin, I guess it's around 7% pre-Ind-AS based on the offline stores this quarter, which is quite healthy

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in recent times. However, we have reduced ad spends and we have not added a lot of stores in the last one year. We have close

d down loss-making stores also.

So in light of all this information when you resume the store addition aggressiveness would you not say that the margin will have some level of downside from here on? And this is adjusted for seasonality between the quarters. Would you agree with this assessment?

Lalit Agarwal: Sameer for us until now the experience has been that definitely there are costs, all the costs do not go into capex, and there are some costs which do flow into the P&L. So there's some element, but otherwise new stores normally deliver higher margins. The new stores in the first year of operations will deliver higher margin, not necessarily lower margins. So I don't think this is completely true.

Sameer Gupta: Okay. I would have imagined that it takes some time to ramp up. So anyway maybe my understanding is incorrect.

Lalit Agarwal: You may connect Anand one-on-one you will understand and most of the time the stores that we opened up are designed in such a way from the first year of operation itself right from the second month it should try and deliver the targeted EBITDA margin. So that's the way we plan our stores, but almost 80% of the stores are getting to that level there are 20% of the stores which do not get into that levels in the process it also happens.

Sameer Gupta: Great sir. I'll get this clarified. So lastly sir I understand you have mentioned a lot of efficiency measures that you have taken which is now showing in this like-to-like sales improvement, but if you could just list down top three, four, five kind of initiatives that you have taken, it would be very helpful. A little bit more on specifics?

Lalit Agarwal: There's no specific Sameer. Retail is all about detail and you need to actually tighten at least 150 to 200 screws at multiple areas to try and get some benefit, but anyway the majority of those are ultimately what consumer is interested in these products. So more around product, we have been really working hard on the product on the design part, on the whole assortment part and the whole qualitative part on the pricing part.

So some of those areas which we were working, you remember we had hired a consultant two years back, one and a half years back and then there's a lot of work that they did. A lot of changes they proposed. Last year we started to implement those changes. Due to change management some of those got disagreed and moved, not everything got implemented immediately.

But otherwise there were also last year that you remember we have moved our warehouse to a new property in new warehouse. Now a new warehouse is ready, some of those initiatives that we implemented in the new warehouse on the automation side, some of those pieces came in. Supply chain management technology or supply chain management some forecasting rules, some allocation rules, some of those which creates a better understanding of consumer persona which gives us a real clear edge and the seasonality on the customer type of the market.

So some of those pieces which is driven through technology and driven through the automation processes that we implemented at the warehouse, bettered our turnaround time at the stores,

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reduced our inventory, increase our freshness. So our freshness increased itself gave the customer more fresher variety. So all those things actually brought and then people and definitely people is one key element which really has given a lot of support.

And then their motivation, definitely brought in good input and lot more to be done, lot more has been done in the process in multiple regions, but lot more are still to be done and then results are still awaited.

Sameer Gupta: Got it sir. This is very, very helpful. Thanks for taking all the questions answering them and I will come back in the queue for any follow-up sir.

Lalit

Lalit Agarwal: Thank you.

Moderator: Thank you. The next question is from the line of Rishi Mody from Marcellus Investment Managers. Please go ahead.

Rishi Mody: Yes. So just on the employee cost side. How much of this employee cost would you see is a non-recurring nature, maybe some one time retention bonus or something?

Anand Agarwal: So Rishi I would not want to call it out as one time changes. I think what we have, what we are trying to do is something slightly more sustainable. I would like to see at least the current cost is there in quarter 1 to get replicated. This is some part of this or a large part of this is also variable cost. So if we achieve we provide for more and we pay more. So thereby it's not a fixed cost increment. It's also very largely linked to a variable kind of incentive as even our ESOP cost is also linked to performance.

So a large part of the changes that you see in this quarter in terms of increase is coming in from variable increase. And that is what we would like to continue. There is no significant one time change that should be there in the quarter cost.

Rishi Mody: And just on this LimeRoad employee cost, you've seen a decent decline coming into Q4 on LimeRoad, but Q1 we are seeing a sequential jump of almost 250% odd. So just is there an ESOP cost line there because I am under the impression that a lot of the senior management of LimeRoad is no more with us?

Anand Agarwal: Our cost has also come down. It's not gone up. In fact, the LimeRoad quarter 1 cost has come down by 14%.

Rishi Mody: Not on a year-on-year basis on a Q-o-Q basis if I'm looking at Q4 numbers, I have 27 million as the cost.

Anand Agarwal: That is an adjustment because of the ESOP structure, but otherwise, at an overall basis there has been a marginal reduction in LimeRoad employee cost. Maybe the comparison that we are seeing from quarter 4 to quarter 1 may not strictly or truly reflect the two changes but at an overall level the actual employee cost at LimeRoad has marginally come down not substantially but marginally come down.

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Lalit Agarwal: So Rishi just answering your question on that. The management cost, the management which went out at the LimeRoad, where cost of ESOP was actually not accounted because the kind of performance that they were delivering, actually those ESOPs who are not able to be, it was lot of cost to the company. So, it actually never got executed. So that is why it is not turning out.

Rishi Mody: Got it, sir. Just Lalitji you wanted to understand this LimeRoad physical store format. You mentioned some comments in the opening remarks that you're trying more Gen Z kind of an offering here but I think it's been operational for maybe a month or two but what are your learnings in terms of what data telling you out there if you could just versus say an Unlimited what the difference there in the South India market for LimeRoad versus Unlimited, if you could I'll leave with that.

Lalit Agarwal: Definitely, it's a new testing for us. We've been trying it with multiple experiments in terms of the renewal in terms of the product lines, in terms of design, in terms of the basic belief of what the customer is, who the customers are. A little bit of change in the internal ambience. So we've got Hubli, we are Tier 3 town, we did not go for a tier 1 town for all of those. But still, the response that we're getting is encouraging better than Unlimited store that we would have opened as of now. It has been 18, 19 days since we have opened. We have very immature time for us to really respond on those.

But we look at a lot of positivity, a lot of learning is coming out and it is also driving a lot of omnichannel mindset and we saw a lot of existing customers of Lime Road who were shopping online. A lot of that came in so we saw a good amount of customers

who were shopping online

is coming to offline. The trust over the brand was there and then has been solidified. So, good learning coming in. We are yet to get all the analytics. So, we'll definitely update you.

Rishi Mody: And the team that's going to be running this experiment, it's separate from the V-Mart backend team or is there a bifurcation or is the same team who will be managing the operations the inventory all that stuff?

Lalit Agarwal: There's a part of team, which is different but most of the teams is common. So, part of the team which is on the backend side on the whole design and the procurement and the buying. So, that particular team is a little different. But other than that most of the team is common. Most of the internal team members only elevated themselves created a new style, new thought process and new design and took on the challenge. And kudos to the entire team who really made it happen.

Rishi Mody: All right, sir. Thank you. That's it from my end.

Moderator: The next question is from the line of Kunal Bhatia from Dalal & Broacha Stock Broking Limited.

Please go ahead. Mr. Bhatia, your line is unmuted please proceed with your question. As there is no response from the line of the current participant. We'll move on to our next question. Our next question is from the line of Sabyasachi Mukerji from Bajaj Finserv Asset Management Company. Please go ahead.

Sabyasachi Mukerji : Hi. Thanks for the opportunity. Good to see some great numbers after a long time Lalitji and Anandji. My first question –is that if I look at the conversions, I think it is at probably at historical V-Mart Retail Limited
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lows below 50%. It slipped below 50% last quarter, 49% and slipped further to 47% this quarter. While the footfalls have surged sharply but how should one read this data point about conversions? If you can help us?

Lalit Agarwal: Yes. Hi. Sabyasachi. Good point. And see we've always meriting the fact that there is a different methodology and the little more compliance over footfall reported that we have executed because we believe and we all know that most of the shoppers come in a couple or three people together and buy and become one or two people. It doesn't go more than one way.

So normally, the conversion rate should not be greater than 50%. This is what my internal belief is. And that is what we are forcing, I think because this is still a manual process. But still, I would also say that because of more retailing around our stores because of more retailing in the same market people want to definitely go back, go back from our store check other stores come back and then buy. So there is some amount of discovery which consumers are making while traveling multiple stores also. They don't end up shopping the first store that they get into.

So some of these pieces, we also saw a lot of customers going back and coming back to buy and then going back once and then coming back again to buy. So some of those things we saw, which definitely for us largely we believe in taking up the growth in cash number and how much cash number has the growth and how is our average bill size moving. So that's the major indicator that we will have to focus on.

And that is what we are doing. We still believe that better service quality at the store level. We have also somewhere brought down our convincing attitude where we used to convince customers, talk to them more, pressurize them more. We don't want to do that. We want a full factor to get created. So that's what we are also trying to do so that the customer comes back by their own if they like the product, if they like the prices, if they like the services. So that's the kind of model that we are getting into. So that we don't force or empower the consumer with our employees more. So that's the whole process that we are getting into.

Sabyasachi Mukerji

ji : Got it. I understand the fact that probably five years back there was not more options to the markets that we operate in. And now there are several other options and people are checking out other options. I was also wondering does the freshness index of the stores, does it also matter if let's say a store for us gets refurbished or refreshed does it pull more customers?

Lalit Agarwal: It does. If the store looks better it definitely pulls in more number of consumers. Even we tried experimenting with new consumers. This year, we also tried to focus more on digital advertising. We tried to bring in customers because we never did a lot of print ads or a lot of those outdoor advertisements.

So we tried to focus more on some organic kind of content, which also brought in a lot of new consumers. A lot of new customers who wanted to first check in, come in, check in and then go. And then definitely none of these developments that we did in terms of facade opening or renovation and re-engineering of the front view of the store. So some of those things definitely attracted a lot of new consumers.

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Sabyasachi Mukerji : Got it. Lalitji, the other question that I had is, in your opening remarks, did I hear you right that you mentioned that some of the national players' value formats are also seeing some sluggishness when you are talking about the competitive intensity? Did I hear you right?

Lalit Agarwal: Yes. Sabya, I'm right. There is some pain with a couple of retailers also. They have not been going in line with what they have done. And not necessarily everyone is getting a lot of growth. So there is some pain in the market also, which we are seeing. So this is what I wanted to explain. It is just not driven by market. It is also initiatives and efficiency that a brand brings in or the better value creation that a brand does for the consumer.

Sabyasachi Mukerji : Got it. That's very clear. Thanks, Lalitji. Wish you all the best from my side.

Lalit Agarwal: Thank you, Sabya ji.

Moderator: Thank you. The next question is from the line of Nikunj Gala from Sundaram Asset Management Company. Please go ahead.

Nikunj Gala: Yes. Thank you, everyone. Firstly, I just want to understand on the working capital side. Sorry, if I repeat this question, but there was a significant improvement specifically on the inventory side. So how one should consider from the going forward perspective, what is the steady state

in a working capital cycle one should assume here in the V-Mart case?

Lalit Agarwal: So Nikunj, definitely we are working on basic fundamentals. And basic fundamentals are trying to reduce the inventory, track the efficiency of inventory, and have the base of inventory under control. Those are one of the basic parameters and then definitely have a better cash flow because that is also very, very important and has a positive cash flow.

I think the team really work well and that's everything about creating efficiency. And it is also about freshness. So all of those together, most of our capital investments we don't have those kind of purposes also. And the inventory management has been also very, very tight and very good, that is also beginning from these.

So we should expect a little more betterment from our side, but it will also only be seasonal in nature because if you look at Q2 numbers, it will show a little more there, because the working capital will grow there, because that is the inventory filling season and we will fill more inventory. So the inventory levels will go up. So it's more seasonal also, quarter-on-quarter for that division. But yes, you'll see improvement every quarter.

Nikunj Gala: Sure. Thank you. And secondly, from the product assortment side, since you mentioned and we also understand that there is a lot of competition coming in. So, how are we approaching the

product assortment at the store level? What are the kind of a fresh inventory we have or say 2022 inventory would be there in any of the store? What kind of strategy we have on the product assortment side?

Lalit Agarwal: So, Nikunj, we've really worked very highly on the whole freshness index. And the freshness is the inventory freshness and that has been key to us. And that is also resulted due to some margin

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losses because we've also come on inventory prior to liquidate inventory at a discount. So, our freshness index has bettered by almost 10%.

So that's something that we really have worked on very hard. We would also see higher shrinkage numbers that is very reported because our provision policies and the provisioning that we are doing on the inventories have also been very steep. So we are trying to really work very heavily because we now understand risk.

There is a lot of change which is revenue fashion business. And there's a lot of change in the assortment that we sell earlier having brand versus what is selling today. A lot of fabric change, a lot of pattern and putting sale. So some of these things is making this business a more agile-driven.

So we are trying to get into more agility. And we are trying to make this assortment look much more better and much more fresher. So that's the area of what we are doing. We still have not reached the desired goal where we could, but we are working all towards it.

Nikunj Gala: Sure. And just lastly, since there is a lot of hopes going into festive and the Q2 to be a better one. Have you seen any similar kind of a trajectory in the last 1, 1.5 months? Or if you can comment on that? That will be my last question. Thank you.

Lalit Agarwal: Nikunj, we believe the betterment that we are trying to bring should continue our performance or we should continue with our performing. And that's what we continue to do. We still believe there's a lot of opportunity. We haven't still done. The glass is half full is what I always say.

There's a lot more to fill the glass, there's lots more work to be done.

If we are able to do, stick more out, do all of those things. It is definitely bringing more competitions, more variety, and more chain management which is required. So all of those are driven, we should definitely get those benefits. And then we should definitely come up.

Nikunj Gala: Okay. Thank you, sir for your inputs. Thank you.

Moderator: Thank you. The next question is from the line of Raunak Khetan from Ishanika Securities. Please go ahead.

Raunak Khetan: Thank you for the opportunity. I have noticed that strategy is very much focused around Tier 3 locations. So I just wanted to understand what is our right to win strategy against the traditional mom-and-pop stores? So apart from having an extensive inventory base, what is our strategy in terms of non-apparel sales, so expanding the SKU so that a consumer visits and get almost everything at the store.

So apart from the appeals, what is the kind of base which we want to offer? Number one. Number two, is the kind of loyalty program, which we are running specifically for Tier 3 locations. I mean, are we running a loyalty program? And what is the kind of involvement in it? That's about it.

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Lalit Agarwal: Yes, Raunak, so very fundamental questions. We have been meriting these questions and answering them for the last one decade, but anyway, I'll do it again. So our model is definitely not a unique model anymore now, because it was unique 10 years back. But now a lot of players are trying to play in that model.

The mom-and-pops technically, you understand the bazaars, which runs in small town. Those are 800 to 1,000 square feet, or 1,500 square feet, there's a counter in front of that, the mom-and-pop has their

own small variety, small process their ability to purchase and buy, outsourcing from the market of dry fruit manufacturing is very low, the cost of purchase is very high. Their ability to sell the consumer, give the quality confidence and have that quality mindset is also very low.

So all of those included the experience of the consumer who goes into a mom-and-pop store is largely through because of relationship, but it is not more because we get a great variety. But there are areas, there are products, which are more regional, more seasonal in nature, where the local pace is very important. And all the areas, mom-and-pop do act as a great retailer, and they are very successful retailer in those kind of areas, like for example, saree, mom-and-pop retailers are very good in those areas. So we are still not better, no one is better in that area.

So there are areas where mom-and-pop have excel, but other than that, mom-and-pops are not able to create that kind of largeness, that kind of variety, that kind of transparency, that kind of quality, trust and that kind of product. So they have a very small team, they're not able to showcase so much of products. They're not able to replenish and replace their products very fast. And the pricing is also, most of the time our selling price is their cost price. So they're not able to convert that also.

And other than that, I think for us, it is very, very important to believe in quality, believe also in agility of fashion, because internationally, whatever is running and whatever you selling Los Angeles or Milan or Turkey, in Istanbul. So the gap is becoming so narrow, it's getting good very fast. So one has to be very, very tight on these as I'm talking, I'm right now Istanbul in certain exhibitions. We are following those market trends. We are going out in the market to understand what's happening in all of these markets. So all of this is very, very important, which is not possible for a small retailer. So I think that is where we are really looking at. I forgot your last question, what was that, your second question?

Raunak Khetan: Sir, my last question was around, do we have a loyalty program in place. So the repeat consumers who are...

Lalit Agarwal: We got database for more than 40 million customers, and we don't operate a loyalty point-based program. But we have their mobile number, we have their communication process. We are proper process of analytics and driving customized loyalty program or customized solutions for them, customized offers for them.

So there's a lot of analytics based customer communication program that we run, which brings loyalty to the consumer, almost 70% of sales coming in V-Mart is from the same customers who V-Mart Retail Limited

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are repeated. So 70% of sales of V-Mart is from loyal customers only. So that works for us and that is what the customer is very, very happy about.

Raunak Khetan: All right. That's about it. Thank you.

Lalit Agarwal: Thank you.

Moderator: Thank you. The next question is from the line of Ali Asgar Shakir from Motilal Oswal Mutual Fund. Please go ahead.

Ali Asgar Shakir: Okay. Thanks for the opportunity. First question, sir, is on the margin. So obviously, you gave a lot of insight in terms of margin. I just wanted to understand a little I mean, to your point of view. Sir, we were doing 8%, 8.5% kind of EBITDA margin. I'm seeing on pre-COVID basis, pre-COVID on a steady-state basis.

Now that you mentioned that LimeRoad is loss reduction phase, and we are also seeing through the SSG. Just wanted to understand by when should we reach that kind of margin level, I mean, FY '26 will be the year when we should be able to reach, and also LimeRoad should break even by then?

Anand Agarwal: Ali, I think the margin is an outcome of how well we are able to grow our SSG and come back to the pre-COVID sales tr

affix levels. We discussed this also in the past. And I think we did guide towards growing at two consecutive years of around 10% SSG or high single-digit SSG to reach that level by then we should be able to get back to the pre-COVID EBITDA margin level of around 8.5%. We are actively on track of that, and we are definitely wanting to reach there sooner than later. Definitely, next year is something by the end of which we should exit

the year somewhere around that, if not for the full year.

As far as the LimeRoad part is concerned, we did mention earlier that we will be reducing our losses quarter -on-quarter like we've been doing for the last five quarters straight. I am not 100% sure that we will be able to reach profitability for the full year by next year, but we will definitely want to bring the LimeRoad losses down to almost negligible levels.

They've already started to improve every quarter, and there is some line of visibility where we are able to see better contribution of V -Mart customers contributing into LimeRoad sales and vice versa. And as the base increases, we will be able to reduce our operating costs, particularly the marketing cost, which will help us end the losses there.

It's an investment, also, I must point out, LimeRoad is not just about a loss -making entity or a loss-making platform. It's an extension of what we eventually want also to provide to our customers in a digital format and it will definitely be very important in the years to come.

If we did not even had LimeRoad today, we would still be incurring some amount of that cost already in our P&L by way of presence on other marketplaces or our own offering earlier, which was vmartretail.com, where also we were incurring some amount of losses, but we were not disclosing it or calling it out very, very distinctly because segment disclosure at that point was not required. But it is an important investment, but still a non -material number as of now.

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Ali Asgar Shakir : Got it. So this year, INR 40 crores , you mentioned, right? If I'm not mistaken, should be the losses in LimeRoad. So any color you can provide how much we can expect it to go down? You mentioned 20% quarter -on-quarter, but for a full year point of view, if you could give us some sense.

Anand Agarwal: So we'll definitely look at reducing the first quarter EBITDA loss is around INR 10 crores. So I don't think the full year number is going to be around that number. So I don't want to call out a number. But definitely, it will be less than 50% of what we did last year. So we will definitely want to improve the quarter -on-quarter performance in terms of losses, but the full year number should definitely be lesser.

Ali Asgar Shakir : Understood. Very useful. And second question, just to clarify, you provided some insight in terms of how the SSGs are trending. But if I understood correctly, Lalitji, you mentioned that we also got this quarter some benefit because of the election -led spending. So just wanted to understand, I mean, post the quarter, is the SSGs tracking at the same level?

And I don't know it's a little too early, but how are you seeing any early signs of festive trends? I mean we did a very strong SSG. So I just wanted to get some insight whether we can expect this table of run rate to continue in the coming quarters.

Anand Agarwal: So, I told this in earlier comment also. See the good efforts that we have been focusing on continues, and we continue to get similar, almost similar kind of response. So we are hopeful planning more growth than the past, but we don't know what comes in. Let's wait for the actual confirmation in time from the customer because the festival this year is also shifting this time little into the second quarter, from 3rd quarter . So there will be some changes that will also look in the second quarter towards

the end of September and then followed by the Diwali because then it is going to be largely the winter period.

Ali Asgar Shakir : Got it, sir. This is very useful. Thank you so much.

Anand Agarwal: Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to the management for closing comments.

Lalit Agarwal : So thank you. We had a great discussion, a lot of interaction, a lot of shares. Please continue to support us. Please continue to be there. And still giving us some insight if anyone went to our stores or anyone goes on to the online channel of LimeRoad. Please do keep giving us continuous feedback on improving what we can do and what we can do in terms of also understanding the market, the economy and also the consumer service. So thank you so much for being there. All the best.

Anand Agarwal: Thank you, everybody.

Moderator: Thank you. On behalf of V -Mart Retail, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2024

Ref. No. CS/ S/L-819/202 4-25 4th November , 2024

To:

The Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
"Exchange Plaza"
Bandra Kurla Complex ,
Bandra (E) , Mumbai – 400 051
Scrip Code: VMART
Fax: 022 -26598120
Email: cmlist@nse.co.in To:
The Corporate Relationship Department
THE BSE LTD
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Scrip Code: 534976
Fax: 022 -22723121
Email: corp.relations@bseindia.com

Sub: Transcript of the Conference Call held on 30th October , 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and amendment thereof. In reference to our letter dated October 24, 2024 (Ref. No. CS/S/ L-812 /2024 -25) regarding the intimation of the conference call with Analysts and Investors held on 30th October , 2024 , please find enclosed the transcript of the aforementioned conference call.

The above information is also available on the Company's website: www.vmart.co.in .

We request you to kindly take the above information on record.

Thanking You,

Yours Truly

For V -Mart Retail Limited

Megha Tandon
(Company Secretary & Compliance Officer)

Encl: As above

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"V-Mart Retail Limited
Q2 FY '25 Earnings Conference Call "
October 30, 2024

MANAGEMENT : MR. LALIT AGARWAL – MANAGING DIRECTOR –
V-MART RETAIL LIMITED
MR. ANAND AGARWAL – CHIEF FINANCIAL
OFFICER – V-MART RETAIL LIMITED

MODERATOR : MS. VAISHNAVI MANDHANIYA – ANAND RATHI
SHARE AND STOCK BROKERS

V-Mart Retail Limited
October 30, 2024

Moderator: Ladies and gentlemen, good day, and welcome to V-Mart's Q2 FY '25 Earnings Conference Call hosted by Anand Rathi Share and Stock Brokers. As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Vaishnavi Mandhaniya from Anand Rathi Share and Stock Brokers. Thank you, and over to you, ma'am.

Vaishnavi Mandhaniya: Thank you. Good morning, everyone. On behalf of Anand Rathi Share and Stock Brokers, it's our pleasure to host the Q2 FY '25 Earnings Conference Call of V-Mart Retail Limited. From the management side today, we have Mr. Lalit Agarwal, Managing Director; and Mr. Anand Agarwal, CFO.

I'll now hand over the call to the management for the opening remarks, followed by a Q&A session. Thank you.

Lalit Agarwal: Thank you, Vaishnavi. Good morning, everyone. Happy Dhanteras. Happy Diwali to all our listeners and all the participants and in addition our investors. It's really a busy day here at retail, at V-Mart, people are very, very busy right now. We are towards the end of the festive journey. Definitely, post the election, there has been slight recovery in the market. We have seen some betterment in the consumer sentiment. There are some positive signs of recovery, both in rural as well as urban. But yes, urban has been a little bit of a struggle, but some part of rural has recovered.

And we are seeing some increase in customer confidence. It was definitely there till now. We are seeing some pressure also coming in especially because of inflation, because of seasonality, because of rain. Somewhere it's becoming a little more extra and somewhere it's becoming a cyclone. So some of those pieces are also stuff which have been causing some concerns towards the end of monsoon and towards the start of October.

So we have definitely seen some betterment in the overall scenario in the consumer space, in the consumption space. There has been definitely some betterment even in the way of the income, disposable income, what we see for the consumers, which we can analyze and understand that their confidence to buy and buy more is coming up. So we should see good time coming in. Definitely, there are some consumer behavioral change that we are witnessing because more and more aspirations are getting in, more and more fashion is kicking in, especially in the younger demography, which is the youth, the early teenagers. We are seeing a lot of that happening. There is definitely more and more retail also coming in, in the market, and more and more organized is coming in.

So the preference for the organized retail is that we are seeing a little more from the consumer perspective. Even the rural audience now wants to go to a small organized store, where we have more, or go to a value retail, which is bigger retailers.

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So there has been definitely more and more retailer stores' doors opening up. We are seeing competition opening up more stores. We have been seeing that the competition is also trying with multiple other stuff, bringing in newer merchandise, bringing in newer fashion, bringing in the new ways of experience provided in the retail here.

Definitely, more moneys is being chased to the retailers. So more confident they are. They definitely want to spend more that could communicate well, create freshness in the store, trying to integrate technology.

So a lot of things are going on in the value retail space especially and we all know that. So those are good news, but it also gives a lot of

goodness in the system, which also makes a lot of unnecessary things go away, and people are becoming a bit more profit-centric as we are. So that's some good news.

But yes, brands continue to have a little tough time, which is premium and a little more of price-sensitive or price-heavy brands, which seems to be struggling in the market. But value retailers seem to be enjoying a good time.

Most of the value retailers which are largely built out of East India or even Northern India have been seeing good stuff coming in. Eastern Indian retailers have not seen very good Pujo comparing with the last year, Durga Pujo. So they are seeing some growth coming in, but not high growth coming in from there.

But yes, overall, we are optimistic on the value retail side. So I think we continue our focus on building the strength, the core strengths of that good customer experience, good customer product experience. So I think that

is our core area that we continue as V-Mart, working on, improving largely on product quality, product designing, integrating the sourcing, integrating the supply chain.

Both from the perspective of the fabric manufacturer, to the product manufacturer, to the logistics, to the warehousing and then back to the stores, and indicating the technology between integrating a lot of processes in between, bringing in an element of sustainability, bringing in element of compliance, bringing in new element of taking care of even the environment. So a lot of those things are also being brought into, along with our focus on improving the real quality. And also working a little more on the turnaround time of design to display, of our product to the store reaching time, integrating more with the vendors, aligning and creating alliances with good vendors.

So some of these things have really improved. And I think we've also worked a lot on the store experiences, internal store display mechanisms, the way the products should be displayed, laid out, the whole piece on the internal furniture fixtures, and the look and feel of the store, internal renovations of the store, internal optimization of display, optimization of space, optimization of operations, and enhancing the consumer experience.

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So I think consumer experience enhancement is one thing that we have really worked on. And that, I think, is very, very important to us. And I think it's more about people, it's more about culture that ultimately, at levels, enhance the experience to the consumer.

So we at V-Mart have also tried to initiate a lot of those collaborative work at the peak levels, within the stores, within the regions, within the zones, trying to bring in a good competition within the team, creating a better experience. So we took some house approach, we took some team approach, and then collaborated and fostered a real positive culture at the store level. And both at the backend as well as the front-end integrated a lot of synergies, integrated a lot of coordination and collaboration. So I think what we understood that playing music at an individual level was not working. It has to be in a rhythm. It has to be orchestrated well so that it doesn't come out as noise, it comes up as what the markets trend as good music that we play.

So I think that's the area that we are trying to strengthen on. Ultimately, when your organization becomes larger and bigger, these are changes, challenges that start happening. People start getting in silos. People start behaving in their own KPIs, in their own domains and becoming universally controlled.

So how do you align on those, it's all about the integration of all these elements of the organization. So that it really comes out as music. So that's the opportunity that I'm sensing and that's the key thing that we are trying to work on, which gives us a scalability approach, a

scalability platform for a sustainable growth.

And that's the area that we want to work, both either on the marketing perspective, trying to focus on the consumers that the merchandising team is focusing on, and that is what the marketing team has to focus on. That's how the retail store has to look like. And that is how the whole consumer piece gets blended in that consumer which comes in.

For example, a healthy consumer, which is a younger demography wants certain kind of communication, wants a certain kind of product, wants a certain kind of customer experience at the stores, wants a certain kind of products, and then they wanted a certain kind of brand and brand customers, which they relate to. That's the kind of work we are trying to do, aligning it into digital preferences, aligning with an omnichannel approach, bringing the omnichannel piece internally, creating more better processes in the app where customers can also check out digitally and do a lot of things. So some of those things are really working on.

More and more focus is being given on customer centricity. Very, very high thought process coming in from what is the customer looking like? How do we look at the consumer persona?

How do we really look at their journeys? How do we look at their behavior and changing behavior?

How would they behave on the same age group, lives in a small town, coming from a village or a customer living in the bigger city? What is a change in their behavior, their customer, their

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aspiration? And how do you really link it and create a digital experience and create a digital integrated technology also, which would actually keep doing it regularly.

So some of those areas are really been worked on. Team has really built good piece on digital transformation, enhancing one-click shopping, which is the self-checkout as well as the omni-

channel experience at the store level, getting a lot of those pieces in. There's a lot of work which is happening even in the planning and the inventory management .

Because looking at the opportunity, we also took some risks, we also planned, and seasonality is one big piece in India, and especially for us, because we operate a lot in Northern India. So Northern Indians, we've a lot of seasonal change in this period of time when you are in summer and then move into autumn and suddenly you start moving in the winter.

Winter has been showing very, very differentiated , I mean, unpredictable winter is coming in.

We have seen a very, very warm October this year. So we try to manage all of this with the inventory, with the store allocation, with the store space management and that the customer worked upon.

So there are the key things that our planning and inventory team really, really worked upon, that actually working on an auction level, working at an assortment level, working at a consumer - - customer level. It's something that we're trying to integrate in technology and trying to work which can become automated. So those are some of the area.

But we see a lot of opportunities. We definitely see the value of retail market been growing much, much more. We see this whole lower middle class consumers experiencing moving in the middle class, trying to look different, trying to ask for differentiated product, trying to be at par with their international trends or international audience. So I think that is something which is the core of our thought process and the sort of opportunity that we look at into.

And I think the young population is driving a lot of demand, and that will be the driving demand or driving force for the demand, for 2030, and that's what we are trying to focus on. So we are seeing a lot of digital adoption also coming in. Customer now talking about digitalization, consumer are getting it inside of all of those. So these are the number of things.

But yes,

at the V-Mart levels, we built in the past whether it is infrastructure of warehouses, building those warehouses, which has now become very, very normal, very, very operational, very agile, reducing the cost, bringing in more opportunities to grow our market.

We did a great job in also opening up more stores, we did a great job this time. I really congrats the entire V-Mart team and Unlimited for really bringing in high growth in the new store openings. We really added a lot of stores in this particular quarter, and the coming quarter also. So some of these things happen.

We are definitely attracting lot of consumers, a lot of repeat consumers as well, which is also a good thing, which has been showed up, a repeat consumer or the sales from repeat consumers has almost touched 70%. So that's a big news for us. The customer confidence is very clearly coming out.

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We are now tracking customer NPS. Rate is also going very up. It is actually showing up better than 60% NPS scorecard. So some of those areas, I think, is giving us a lot of boost for our long-term growth, making consumer happy . Working on the operations in the area, which is actually more forward focused.

More future focused, trying to create an environment, create a platform, which can actually multiply 2x or 2.5x in 3, 4 years. So that's the kind of work we are trying to do at V-Mart level.

But there are lots to be talked about. I will hand over this call to Anand, our CFO, who will take you into the numbers of the quarter.

And then we can do some questions that you have. Thank you so much. Once again, wishing Happy Diwali to everyone.

Anand Agarwal: Thank you, Lalit, and good morning, everyone. Let me take you through some of the key operational highlights from the quarter, and then we can open the session for questions.

Quarter 2 usually is a small quarter. But has been an overall good growth quarter this year with good news to our store additions as well as good like-to-like same store sales growth, leading to an overall sales growth of around 20%.

We opened 16 new stores and delivered an LTL of 15% with V-Mart growing a healthy 16% and Unlimited at 11%. We had closed 12 Unlimited stores towards the end of last year. The benefit of which should start accruing in the Unlimited sales growth numbers from quarter 4 this year onwards. Interestingly, memos, while the footfalls have also increased by almost 47%, 50%, but the bills cut also increased by 20%, with a 4% increase in ASP for apparels. The ASP increase is in line with the change in festive mix versus last year due to slightly early onset of Pujo this year.

We closed 2 V-Mart stores in the current quarter. As also conveyed in the last quarter's call, most of the store closures or corrections have already been undertaken last year, barring 4 or 5, which may still happen over the course of the current year in case their performance does not improve. But we remain hopeful of reviving these stores also as part of the improvement drive

already underway.

For the full year, we still maintain our guidance of opening around 55 to 60 stores in the current year. The festive calendar has begun on a strong note with East India leading the charge with Puja. The early signs have remained positive, although delayed winters in North India remains a watch-out area as of now. Looking now at margins. I think the gross margin at an overall level decreased by 1% year-on-year due to the decrease in commission revenues from LimeRoad Marketplace business by 53%, which contributes only 1.5% to the overall sales, but goes 100% into gross margins. So this is an optical correction. But otherwise, excluding LimeRoad commission income, the gross margin actually improved by 0.6% year-on-year for the offline business on the back of lower discounting and higher festive sales mix.

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On a full year basis, the gross margins from offline business should remain similar to last year as we continue to drive giving higher value to customers and focusing on growth through volumes, while the LimeRoad commission income contribution mix would slightly reduce, optically reducing gross margin versus last year on a total basis.

Coming to expenses. The total expenses have decreased by 3% year-on-year, largely led by a significant drop in LimeRoad marketing expenses by 74% year-on-year. The marketing expense for the offline business also continued to reduce as we continue to drive loyalty-based traffic to stores through digital means. Very interestingly, in fact, Lalit also mentioned this, the Google rating for all our stores contributed individually by customers at store level. Through lakhs of reviews has remained above 4.7 while the NPS also remains in a very healthy range of more than 60%, ensuring a repeat 70% loyal customer repeat sales.

The manpower cost is up by 21% on the back of increased incentive payouts and variable component of the ESOP liability, which is in line with the sales growth. There is a higher focus on employee reward and motivation to positively influence efficiency, which should further drive our overall profitability and growth.

Other expenses declined by 8% year-on-year due to decline in LimeRoad business, and consequent decrease in logistics costs, apart from benefits from closure of Unlimited stores in the last year. Also, there was some impact of store lease renewals, which were earlier part of rental expenses. And post-renewal, this expense has moved to an interest and depreciation line as part of the Ind AS 116 adjustment.

Moving on to EBITDA. For the offline business, EBITDA for the quarter was at 7.1%, with Unlimited at 6.6%, sorry, the offline business EBITDA for the quarter total was 7.1% and Unlimited at 9.4%, while V-Mart at 6.6%. At an entity level, the EBITDA stood at 5.8%, which included a loss of INR 7 crores from LimeRoad, which is reduced by 63% year-on-year as part of our structured overall plan to make the business more sustainable in the long run.

On the capex side, the spend was INR 35 crores mainly towards capex on new store openings and store refurbishments. The inventory increased by INR 241 crores quarter-on-quarter and INR 70 crores year-on-year as we stocked up for the festive season, which was slightly earlier compared to last year. Irrespective, the days of inventory have improved by 21 days year-on-year on the back of better sales throughput.

Investments in capex and inventory up-stocking, therefore, led to a negative free cash flow YTD of INR 62 crores. Coming to new stores, during the quarter, we opened 21 new stores, 16 in North and 5 in South under Unlimited brand and closed 2 V-Mart stores. The run rate for the year is still maintained at 55 to 60 stores. Most of the unprofitable store closures have already been completed now.

Coming to the last part on LimeRoad, LimeRoad continues its improvement journey with 63% reduction in losses year-on-year. This is the sixth straight quarter of continuous improvement in EBITDA losses for LimeRoad. The strategy on LimeRoad remains the same that is to extend LimeRoad as a fashion forward omni-arm of V-Mart and facilitate very easy order placement

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process by offline V-Mart customers through the LimeRoad app initially for missing sizes or missing color in offline stores. But eventually extending it to offering a bigger catalog of products, which can be offered beyond offline retail for the same very customers. So getting into more and more mix of omni share.

This is a long-term strategy, and we remain committed to enhance this offering with minimal loss funding or marginal profitability in the

quarters to come. The losses in this business should

keep coming down quarter -on-quarter, and LimeRoad will remain an important, but financially a small non-material digital business platform for V-Mart.

So that is all from my side. And I now request the moderator to open the house for questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: Congrats on very good results. Firstly, sir, just wanted your comment on the ASP going up 4% in fashion, and 6% overall. Just wanted to make sure if it is only mix or have you also taken up pricing? And in case you have, what is exactly the strategy here because you've only brought down the pricing in the last few quarters, and again taking up pricing in a more or less stable cotton price environment. Just wanted your comment on that.

Lalit Agarwal: So Sameer, see what's happening in the market also is the whole fashion world is moving towards a little more oversized, bigger -sized layered look, where the consumption of the fabric increases. So what's happening is the product in the same category, even because the fashion is also going up, because there are the coarser weave fabrics, heavier fabrics, they are in fashion.

So what's happening in the overall cost and the whole pricing also is slightly moving because of fashion element. So not all the products, but yes, 20%, 25% of the products are moving almost 10% upward. So that's how the whole fashion element is also bring in sudden price pressure. But it may go up a little more northward, but it is all because of mix change, and mix of assortment being changed.

Sameer Gupta: Got it. So you haven't taken price increases?

Lalit Agarwal: No, no. It's a change in fashion, which is also bringing in the pricing.

Sameer Gupta: And this mix change is also accretive on margins because your gross margin is also up 60 bps if I exclude the LimeRoad thing.

Lalit Agarwal: I would say, that's more also because of, right now, a preponement of fashion festival because the festival days have shifted until the September quarter by 10 days. So that also is an impact, which is coming into the gross margin piece. So don't overestimate that for the next quarter.

Sameer Gupta: So just wanted your comment on this also. So let's say, there is an early festive, our sales will also get impacted positively. Can you call out or quantify this impact?

Lalit Agarwal: You have to understand because what happens is the days of 10 days earlier festival brings in a higher share of fresh merchandise. Because quarter 2 normally is also a period where you have

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a lot of uses, end of season sale and discount. So your discount period goes down, and your pressure inventory period comes in and pressure sales increases. So that's how your margin also affects.

Sameer Gupta: Got it. But there should not be any major benefit to the sales growth momentum because of this?

Lalit Agarwal: There will be some. There is some.

Sameer Gupta: Okay. Got it. Sir, second question, and this is more of a strategic question. Sir, how do you read this performance? Now value fashion, in general, what we are looking at is doing well since several quarters. Even your competition, V2 retail, Style Bazaar, they're more or less reporting pretty good set of numbers.

So is this an element of down trading from the premium end because premium is struggling, you mentioned? And what happens then when premium comes back? Just your thoughts.

Lalit Agarwal: So Sameer, it is not about down trading. It is more about even the kind of fashion, which is in, the kind of consumer that you are trying to drive, who is driving consumption, and the kind of pocket that they will carry a number of pieces that they would want to wear in a year. So it is all

shifting because the whole consumer base is now thinking here and now. We look at this whole new generation customer.

They're so impatient -full. They are so desperate. They are now what I want to wear and what I want to wear today is what I need. So I don't want to play for so long that I want to play for 1 year, 2 years, 3 years, I'll get a bigger big brand. So it is a change in the consumer behavior preference and behaviour change. So that is something which is globally being seen, and that is something which is going to continue right now.

So I don't know, I mean, what happens next. But yes, definitely, we believe if they are satisfied with our range and our variety why would they want to buy at a premium price.

Sameer Gupta: Got it. But you don't see this as also a factor that people are down trading to options which are cheaper versus what they were buying earlier?

Lalit Agarwal: That is not all pure down trading, it is more about the kind of fashion preferences, which is required and who is offering. So the brand continues to be catering to a little more elderly audience, which is 35-plus customer set, and we're trying to cater more to the younger audience, which is a little more like 20 to 30 years old.

Sameer Gupta: Okay. So for want of a better word, let's not call it down trading, but you're taking up a share

from the premium and would that be a right assessment?

Lalit Agarwal: I don't know. I don't want to comment on that. We are in no position to say that we are taking away share. But yes, we believe that there is more demand, which is getting generated here, and that is what we are trying to say.

Moderator: The next question is from the line of Tejas Shah from Avendus Spark Institutional Equities.

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Tejas Shah: Congrats on a good set of numbers. Lalit, this quarter has been quite challenging for us as an analyst to spot a clear trend on consumption. So at one end, the broader slowdown is visible across. But mass and rural segment seems to be doing better even for FMCG companies and your numbers also. So from your experience and you analyse much more data than we do, do you see it as more of a base effect or you are very happy that this customer is here, and this trend can continue at least for the next at least near to medium term is, it is not just the base effect that we are playing at.

Lalit Agarwal: Yes. See, but definitely, it becomes very, very difficult for us and for them to predict what the consumer demand and behaviour is going to remain. But it feels that all the pain that got accrued right from the COVID days and then inflationary days and all of those which gave a lot of scar on consumer consumption spree. That seems to be eroding, that seems to be vanishing and that seems to be coming back.

So that is something which is the original India, and which is the original rural consumption which used to happen, and they are coming back on both lines. Monsoons have been good in the last 2, 3 years. So I think that is another piece, which is giving more money to the consumers and the farm income is increasing, rural income is increasing. More and more focus on the government, on their policies which is more, more distribution-led policies there.

Government is also actually getting into more, more politics and getting into more distribution of money and resources. So I think all of those is giving a lot of confidence to the consumer base. And that, we definitely see some betterment, and I don't see any reason in which you should get rolled back. It doesn't seem to be rolling back. We should continue seeing it more and more.

Tejas Shah: Very clear. Just the last point that you made, Lalit Ji that on government rollouts. Are you seeing that your numbers of store revival is actually higher in states where this rollout has already happened around elections versus

states where it is yet to happen?

Lalit Agarwal: I haven't maybe categorically seen this. But yes, sales like we have has shown good growth. Eastern India, where we've seen some good money getting distributed has seen some growth. Even Southern India behaved well because except markets of Andhra and Telangana, which we haven't seen because election was there but we are not seeing lots of revival coming in there. But yes, yes, some part of that, we can see. But I think its entire India where the distribution part has been. Some of the other way, every government is trying to appease the vote banks. And they are trying to really grow all vote bank politics. So that is happening. But those are all temporary income.

But those are not long-term sustainability factors, but I see those are confidence-boosting measures for the consumer to work align, work around and on their basic expenses and basic educational expenses and all those stuff, which used to be a pressure earlier. So that gives little bit of leverage then your consumption gets converted.

Tejas Shah: Very clear. Second, could you comment on health of inventory in the pipeline because I noticed that we have taken slightly higher provision Y-o-Y? Obviously, sequentially, it has come down.

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So any read-through on our health of inventory and competition also? And do you see that the aggressive discounting can happen in the near future?

Anand Agarwal: Tejas, let me take that. So while the inventory remains quite healthy. As you might be aware, we are very consistent with our inventory provisioning policy that we've been following for more than 10 years, where any thing which is more than 2 seasons old gets provided for. So it's a really

consistent and a very conservative approach, and thereby, there may be a minor change which may happen in any particular quarter, but on overall level, because of the conservative inventory provisioning policy, we always ensure that the health of the inventory remains very much in shape.

In fact, the days of inventory once you look at the DOI, the DOI has actually improved by almost 21 days versus last year. And in fact, the signs that we are seeing even now sitting in October, because if throughputs are reasonably well in line with what we had planned, we're not seeing any concern as far as the overall inventory is concerned.

But at the same time, there will always be some amount of old inventory, which we will need to take care of, and that's always true in the system. But it's not something which is alarming or

which is not taken care of.

Lalit Agarwal: I'll try to just add on here. So the whole, there is one small risk, which is there, and then which I want to highlight here is because of the change in fashion, which is becoming so vital and becoming so bigger. So there could be a continued obsolescence for the industry as well going forward because of the speed of fashion chain is becoming much, much faster. So that is one risk which can get activated later on.

Tejas Shah: Clear, sir. And last one, if I may. Given the buoyant environment that we've seen, we are still holding on to our store expansion guidance. So any thought on that? And any thoughts on at some stage, experimenting with franchising on this format? And lastly, has our capex per store increased in last 6 months because the INR 60 crores, if I divide it by number of stores expanded, it looks slightly higher than what rate we had earlier.

Lalit Agarwal: So I think, here, what you have to see Tejash, there are 2, 3 things. Number one, there is a lot of renovations, which are also going in, which also gets into the capex cycle, capex lease. So that is to be accounted. There is a lot of renovation. There is a lot of change in the way we display at the store level. We have done a lot of work on that because I spoke in opening comment

s also.

Three, you will see because you were at the end of quarter 2, which was reported. We opened a lot of stores also in October. So some of those capex cut, or still I don't know, to that I can't reply. But I think all of those average cost capex per square feet hasn't gone up. So that's very new control.

That's certainly a thing we always controlled up. We don't, right now, see any opportunity on franchisees. I know one of our competitors has done a great job in that. They are a bigger brand. They have their house of Tata's. So something can come up there. But right now, we don't see a lot of those opportunity.

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It definitely in the overall system, it increases the cost of fund, but we don't really believe in that. We still believe that the resources that we have and the ways in which we open is more sustainable, it's more good. And we focus right now on this. We haven't seen that yet. But yes, I'm getting a lot. We will try to understand and know about this business more, this type of business more.

Moderator: Our next question is from the line of Nihal Mahesh Jham from AMBIT Capital.

Nihal Jham: I have 2 questions. The first question was in line with what earlier participants have also asked about how the business has seen a strong revival versus last year?

If we just look at the number of footfalls also, that has seen a significant more than 50% kind of Y-o-Y growth. I mean if you look at it on a per store basis, there has been a strong uptrend. Just to understand versus last year to this year, while we are mentioning about a favorable monsoon and all, I think the benefit of that is going to be only seeing from Q3 onwards.

So just wanted to understand what has been this massive change maybe other than elections, which has driven sort of a big robustness, but at least customers are now convinced to come into stores to at least would look at maybe the conversion ratios improve going forward?

Lalit Agarwal: So Nihal, I would once again call out, it is not too much of a change in the market. It is some amount of betterment that I commented on my opening remarks as well. But it is more led by what internally the mistake that we have been doing in the past and certain correction of the mistakes and certain betterment of our own internal process and internal own ways of looking at the consumer demand and behavior, and the way you communicate about your brand.

It is more about what we have done, but let me still say this demand is looking a little difficult. In October, we haven't seen a single kind of demand coming. There are seasonal changes which are happening. So these are very relatable stuff, and then you can't take it for granted.

But yes, we believe that there is a lot of work that the team did in the last season, which resulted into a good environment to the store, a unique proposition on certain product lines, unique experiences at the store level, the whole perception of V-Mart brand changed a little bit, and attracting a lot of youth customers as well.

Because what we also saw is a higher share of increase as a percentage of customer base in the audience, which is under 23 year old. So that's something which is also meet us. And that is something also which has driven our growth and that is what we are very proud of.

Nihal Jham: Understood that, sir. So my second question was, in the past, you've discussed about Zudio and maybe the impact it had and that format, obviously operates at a very different price point. We currently look at the competition at least in terms of format similar to our price point, seeing an increase. So just wanted to understand whatever steps we are taking to obviously differentiate ourselves maybe in terms of looks or inventory so that we are able to stay ahead of the competition, which is adding stores at a very aggressive pace?

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Lalit Agarwal: That competitor friend of ours is trying to really play out a very good strategy in terms of a particular segment of consumer base. And that particular segment of consumer in certain markets is driving certain consumer behavior acceleration is what, I would say, into consumption. Because that is driving certain fashionism a little more, and that is bringing a lot of opportunity for other retailers also. So I think we are all seeing this is an international trend which is rolling out.

One of the competitor is trying to do a good job on that particular segment. But what we have been doing, we have the new consumer, but we also have a large amount of family consumer. And that family consumer remains our strength. That is a differentiating factor, the kind of comfort, the kind of convenience, the kind of product lines that we are able to offer to that family consumer are both differentiated than that competitor that we are talking about. So that is something that we will continue to do. We will continue to give customer in wider variety, wider assortment and wider ability to fulfil the needs of the entire family.

Nihal Jham: Just lastly, you mentioned about FY '25 store addition, let's say, 50, 55. Any sense on what '26 could look like in case you'll have a sense at this point?

Lalit Agarwal: So we'll continue to add 12% to 13% of square feet in area. That's our goal, and that is what we should continue to do. So you can calculate on the base, wherever we are. We continue to aspire for 12%, 13% growth, but we will always be also cognizant of the fact that we don't want to oversee it on just chasing a number.

But we are also seeing that the kind of property that we are getting, the kind of cost that we will be incurring and the kind of ROI that we should be expecting is really, really important in the overall expansion. So that remains very important. But yes, the goal at the organization level is to at least grow 12%.

Moderator: The next question is from the line of Rahul Agarwal from Ikigai Asset Management.

Rahul Agarwal: Sir, I had a very longer-term question, and congratulations on the business execution. I think we've come out very well. It was going back into history, I think most of the retail since 2020 has seen a very volatile environment, and complete empathy with how you guys have been running the show.

We had COVID, and then we had the recovery period, then we had the competition issue, then we had consumer changes, then we had some mistakes corrected, et cetera. So somewhere during this, we knew problems and we've worked on that. We sorted out, we have a chieve, and I think half of the year has gone. We've done great things.

Going forward, it's going to be more organic in my understanding. So Lalit ji, just from you, just some longer term thoughts like V-Mart right now is doing INR2,500 crores, INR 3,000 crores top line business. In this dynamic world, how do we increase confidence on longevity of this business? And you know equity investors are greedy. So I'm talking about two things. One is essentially where does V-Mart look like 5 years out with creating continuous excitement. This V-Mart brand should actually come out as a long-term winner.

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So I understand you worked on a lot of things and you've got most of things correct now. But henceforth, we're going to be more organic. It's going to be more long term. And from here on, where does V-Mart might grow. So it's more longer term, however, you want to answer, please. That's my only question.

Lalit Agarwal: A great question, Rahul. Give my regards to Pankaj, but I understand you guys are the guys who are guidance for us, and you always ask relevant questions, which makes us think back, and that's what my Board is asking me to spend at least 2 to 3

hours on answering some of these questions, and see if we were evolving on certain strategies and certain areas of that particular area, which gives us a lot of stability.

And that is what we are all here for and that is what at the end at the senior level, we all think about. And that is something that we feel, which will come from the leading pieces, which ultimately create a sustainable, scalable organization, which creates a sustainable, stable technological processes, technology led processes.

And a great way to keep integrating the entire organization and creating an innovative and creative mindset in the organization, which can take up or which can adopt every kind of situation which can come in the environment or any kind of fashion or any kind of format, which there's a change in the format and then new adoption of digitalization technology.

So I think that's something which is fundamental to our thought process that it is not about the

problems that's outside, but it is more about the problems inside. It's more about the opportunity inside. It is more about building a culture, building an environment, building a process, which is actually cultivating these kind of fundamental principles and these kind of fundamental pieces. There, it is more about learning. It is more about openness. It is more about collaboration. How do we do that? And that is what we are trying to do. Ultimately, it has to be also a brand which looks into customers, which try to look in to the customers' need, and understand regularly on customer side.

Always keeps checking with the consumer of how the consumer sees, how is the consumer understanding. That is why we initiated these couple of NPS, Google Ratings, Internal Scorecards. So all of those where we actually get rated. There, where we actually get feedbacks from the consumer, lakhs and lakhs of feedbacks coming in, helping us to improve our system, helping us to improve our efficiency of the store managers, efficiency of the entire processes. All of these, I think, is very, very important and organic in nature. That is what we believe has to be done which is fundamental. Nothing extraordinary can be done. There could be extraordinary kicker and a tactical approach which one can take, which will only give a short-term quarter-on-quarter benefit. And that is not what V-Mart is all about. We never intend to grow through parts. We never intend to also slow down and completely stop our growth rate. We will want to continue. We will always want to continue to grow with our internal accruals, the history as you mentioned. So most of our history has also been that. So that is what we will try to do but yes, we should also have sufficient cushion and sufficient space, wherein if there are disruptions and the market scenario, we are seeing World War possibilities coming in Israel.

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So they are also scenarios that need to be taken of. We should also have the risk metrics very well aligned, to build a complete risk and governance committee, which is there, looking into all those risks, understand where do we not fail, how do we not do? And then definitely, how do you grow in the next 5 years to at least 2x - 2.5x. So that you will continue getting the juices of the opportunity which is there in India and the entire talks about becoming a 10 trillion economy in 2030. Because of this part of that, that's something which is also an opportunity which we are mindful of. And we continue building our expansion side of our organization, and we continue looking at those opportunities with either this format or extend the possibility to expand into the digital format or another format. We are always open and always inviting for special feedback. So these are some of the routes. There are some things on the top of my mind. But yes, later on, we can have a one-on-one conversation on these areas as well.

conversation on these areas as well.

Rahul Agarwal: Sure sir, sure. As of Diwali gift, can you give me one reason, at least in terms of what could be the next big thing for V-Mart in terms of whatever you can offer to the customer?

Lalit Agarwal: Nothing different, Rahul. Nothing different. I don't want to give any surprise. I don't have anything in my kitty which I can give any surprise to everyone. Nothing is there and nothing should be there. It should be as per the customer needs, how well are you prepared every day? How well are you open every day? How do you integrate those things into your processes and change your certain pieces in the system which ultimately delivers what customer wants? That's the entire thing that we are all on to. And we see this as a opportunity. You've seen the kind of footfall growth versus the kind of conversion that we got. We've got a lot more opportunity to convert more customers. We have to become much more better. We still have a long way to go. So let's work on that.

Moderator: The next question is from the line of Varun Pratap Singh from AAA PMS.

Varun Pratap: Lalit, sir, my question is on LimeRoad. So I mean, if you can share that what is the road map from here onwards. It is very much positive to note the overall reduction in the losses in the business, which may be tracking as per our plans. But given like if I just look at the 6 months number, 60% reduction in EBITDA is quite enthralling.

But when I look at the revenue, so 45-odd percentage decline on the revenue front. And also, I mean in your PPT, I could say that V-Mart share on LimeRoad has also maybe a decline from the June quarter, 33% to 29%. Now despite a 20%, 25% improvement in the overall V-Mart store integration to now 90-odd percentage. So just wanted to check that what is in your mind regarding this part of our business?

Anand Agarwal: So Varun, let me take that. So see, our strategy on LimeRoad is very, very simple and very clear.

In fact, I stated that in my opening remarks as well. What we are building LimeRoad towards is a sustainable business model, which can help the omnification of the entire V-Mart Group. While it's a journey, and there will be ups and downs, and there will be results where we will see that

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the top line is coming down or whatever, but we are very focused on creating something which we are all proud of and which we can all see as a sustainable part of the organization. We've been very deliberate in cutting down on the marketing expenditure, and that's because we don't want to buy revenue. The earlier model or the large r model s in this space always has been that you spend more on acquiring customers and thereby you get revenues and then you have more losses. So we have significantly cut down on that part.

We are focusing more on getting customers from V -Mart pool of customers, we're getting more organic share of customers. There is more integration, which is happening on a lot of omni use cases within the V -Mart ecosystem. Some of the parts have already become functional and some of the benefits we have already started to see.

Our cost of operations, cost per order, cost of logistics, all have started to see very sizable improvements in the last 3, 4 quarters consecutively. And these are all building up towards a more sustainable future. The strategy will always remain that how can we bring it to a level where we don't need to burn more cash, we are able to get more insights, more analytics and more convenience for the online as well as the offline customers through the entire ecosystem of the V -Mart network. So whether it's only online or only offline or a digital ecosystem, but we are building something towards the future.

Now there is a marginal drop versus June in the share of V -Mart business into LimeRoad, but you also need to understand th

at quarter 2 is a very, very small quarter, both for online as well as offline. So it's a very marginal drop, so you should not read too much into it. We remain very committed towards building this towards a non -loss-making and a profitable venture in the long term.

Varun Pratap: All right. Understood. Understood. That is very helpful. And secondly, please pardon if I'm repeating the question because I joined the call 15, 20 minutes late. Sir, my question was on the average selling price improvement. So that is quite pleasing to note, almost 4%, 5% improvement in both V -Mart and Unlimited. So what is the, I mean, underlying reasoning for this improvement? Is it because of the improvement in sales mix or is it because of the price hike, etcetera. , at the product level?

Anand Agarwal: There's n o price hike that we have taken. We've already addressed that question earlier. So there's purely a mix change which is happening, and also the merchandise change which we have deliberately done to cater to the higher fashion requirement of the customer, w hich is again a mix reason. So we have not taken any price increase, and we would not want to take any price increase.

Moderator: The next question is from the line of Aliasgar Shakir from Motilal Oswal AMC.

Aliasgar Shakir: Congratulations for a very good set of numbers. I have a couple of questions. One is on LimeRoad, you obviously have provided a lot of details. One specific that I just wanted to know is last year, we had this road map to achieve breakeven in LimeRoad. Of course, we have reduced it quite significantly. So if you can just share some color in terms of whether it may achieve

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breakeven or given the fact that you will obviously run omnichannel, there may be some losses in LimeRoad that we will have to continue. That is point number one.

And second question, little more broader is pre -COVID profitability metrics was around close to 8% EBITDA margin in a pre -Ind AS scenario, and maybe you will take about 5% PAT margin. Now I just want to understand from a 3-year point of view, given the fact th at now our SSG have been very strong, our revenue per square feet has been recovering.

Should we expect in the 3-year period that you should give or take, reach that level of profitability? Or do you think there is further scope of improvement that you wa nt to do or you want to just kind of pass it on to the customer and make sure that you don't have a higher margin so that you continue to provide value to the customer? Over to you, sir.

Lalit Agarwal: So great question. See, basically, at a LimeRoad level , as Anand mentioned, this is a business which is helping the offline retail as well. So right now, we are reporting LimeRoad business separately. So I don't think we should do it because ultimately, it is an omni -channel approach,

and it is something wher e online is helping offline, a lot of technology integration is happening. Lot of teams are working together. Consumers are looking discovering online, reaching in and buying offline. So ordering online, business is getting to offline. So all of those things are happening, but we definitely believe that there is a cost to be the digital platform.

Looking at the environment in the online market, it is very difficult for one to right now sell at profitability at our kind of average selling price. So the aver age selling price being low and the technology piece has to be there and this discovery and the technology availability, consumer

discovery should be there in the market.

So there is a cost to operate. So we will definitely want to reduce the losses, but I don't guarantee that we will reach to breakeven. Yes, we aspire. We want to reach out to there. Maybe it may take another 1.5 to 2 years, where we will almost minimize and make it negligible to further the losses at the LimeRoad level.

On t

he second point on the EBITDA, I think it's more about efficiency building. It is more about those leading indicators, which work into and work at a per square -feet level, which is resulting into same -store sales growth. The moment your same -store sales growth continues to be in higher single -digit number or a double -digit number, it definitely leads to be a better profitability at the bottom line.

There are enough pressures on the gross profit. There will be a lot of more pressure in the gross profit base coming in from the fashion, coming in from the retailers who want to pump in money and want to reduce the margins and bring down the market. So there will be some pressure, which will also come in. But still, our endeavor, our numbers which are stacking up and the kind of operations that we are doing, even closing down all the loss -making stores or non-profitable stores.

So all of those included whatever you are expecting the pre -COVID numbers, we should be somewhere there in the next 2, 3 years, and then we do believe and we have the confidence that we will be able to reach that number.

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Aliasgar Shakir: Got it. So one can pencil in like a stable state number of about 8% on EBITDA margin and probably about 5% PAT margin in a 3-year basis, right?

Lalit Agarwal: I don't know of PAT margin because the PAT is getting impacted by the Ind AS' also. So there is some Ind AS adjustment, which also decreases the PAT, but those things can be taken up.

Aliasgar Shakir: Yes, I'm actually talking about a pre-IndAS basis given the fact that you provided a lot of detailed disclosure. So of course, we can always note that out. Just one quick follow -up on that, sir, would you say any of the new things that you may have to continue to incubate, for example, like LimeRoad, that there should be some additional costs that you will bear and therefore, this margin should be slightly lower? Or you will make sure that any new incubations will not come there.

Lalit Agarwal: Let me just tell you there is no new things getting involved, and there's nothing that we are doing separately. And whatever we are doing, we are doing under the budget. So nothing is there which is yet to be done, which can increase our margin.

Moderator: The next question is from the line of Anuj from Manus.

Anuj: Yes. My questions have been answered.

Lalit Agarwal: Thank you.

Anuj: Thank you, and Happy Diwali to all.

Lalit Agarwal: Happy Diwali.

Moderator: Thank you very much. I now hand the conference over to the management for closing comments.

Lalit Agarwal: So thank you, everyone. A lot of questions. Thank you so much for asking so relevant questions which makes us more aware, which makes us more long -term focused, which don't throw us into those chasing the quarter -on-quarter numbers. We definitely believe in sustainability, scalability, we believe fundamental values of the organization, we definitely believe taking along the shareholders and even the community along with us.

So we will definitely try to do and bring our best efforts to try and see that we ensure a sustainable and secure future. Thank you so much. Thank you, and wishing everyone a very, very Happy Diwali. Thank you.

Anand Agarwal: Happy Diwali, everyone. Thank you. Bye.

Moderator: Thank you very much. On behalf of V -Mart Retail Limited and Anand Rathi Share and Stock Brokers, that concludes this conference. Thank you for joining us, and you may now disconnect.

Call: Feb 2025

Ref. No. CS/ S/L-846/202 4-25 10th February, 2025

To:

The Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
"Exchange Plaza"
Bandra Kurla Complex ,
Bandra (E) , Mumbai – 400 051
Scrip Code: VMART
Fax: 022 -26598120
Email: cmlist@nse.co.in To:
The Corporate Relationship Department
THE BSE LTD
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Scrip Code: 534976
Fax: 022 -22723121
Email: corp.relations@bseindia.com

Sub: Transcript of the Conference Call held on 5th February, 2025

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and amendment thereof. In reference to our letter dated January 30, 2025 (Ref. No. CS/S/ L-837 /2024 -25) regarding the intimation of the conference call with Analysts and Investors held on 5th February, 2025 , please find enclosed the transcript of the aforementioned conference call.

The above information is also available on the Company's website: www.vmart.co.in .

We request you to kindly take the above information on record.

Thanking You,

Yours Truly

For V -Mart Retail Limited

Megha Tandon
(Company Secretary & Compliance Officer)

Encl: As above

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"V-Mart Retail Limited Q3 FY '25 Earnings
Conference Call "

February 05, 2025

M
MANAGEMENT : MR. LALIT AGARWAL – MANAGING DIRECTOR , V-MART
RETAIL LIMITED

MR. ANAND AGARWAL – CHIEF FINANCIAL OFFICER , V-MART RETAIL LIMITED
MODERATOR : MR. SAMEER GUPTA – IIFL CAPITAL SERVICES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to V -Mart Retail Limited Q3 FY '25 Earnings Conference Call, hosted by IIFL Capital Services Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "**", then "0" on your touch telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sameer Gupta from IIFL Capital Services Limited. Thank you, and over to you.

Sameer Gupta: Hi. Good morning, everyone, and welcome everyone to V -Mart's Conference Call . Without taking more time, let me hand it over to the Senior Management for their Initial Comments and we can take Q&A after that. Over to you, sir.

Lalit Agarwal: Good morning. Thank you, Sameer. Thank you for hosting us. Thank you once again to every participant who is there on the call.

The run continues, we definitely see a little betterment in the market. The festivals has been quite good. I would not say it has been very good, because the way we expected, it did not perform as good as that in the last few days of the festival. But yes, post the festival, things were very good. We saw overall demand spurting up because of the marriage season, as well as the winter sale which got generated. Winter definitely got a little delayed in the month of November. And then it was peak in the month of December. December was very good in terms of winter period. But yes, the overall sentiment in terms of the semi -urban, rural population, the overall sentiment in terms of the lower strata consumer segmentation that we saw in the industry, in the market, at our stores, has been quite promising. It's been good.

We do, I mean, the commentary that I am saying is not resonating with some of the other brands, some of the other companies that we have been speaking with and we have been knowing that. But yes, we are definitely seeing some betterment here. It could be also an outcome of what we are seeing is an outcome of also maybe unorganized share reducing a little more, moving into more of organized share. And that is helping a lot of value retailers, and especially value retailers who are quite nearer to the consumer demand, nearer to the consumer taste, nearer to what the consumer wants in that particular market, and is able to provide the real value, real quality product. So, I think most of the industry players in value retail are getting good responses, and that is heartening to know. And that definitely also is telling us that there is definitely a lot of shifting which is happening from unorganized to organized. And it is becoming good news. It is becoming good news for the overall industry; everyone is getting the benefit.

So, I think the performance during festivals has been good, the performance during winter period has been good in the last quarter. Definitely some spending concerns were there from the government side, V-Mart Retail Limited
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some real liquidity concerns were there at the consumption end which we realized. But still, I see there are change of hands which has happened because the consumers who were consuming earlier has now shifted a little bit. Youth, somewhere we have seen that youth have got a little more liberty, a little more empowerment, a little more ability to spend in the market. And then we also acted in that spirit in the last year itself, and which has given us some benefit.

So, we have thoroughly watched ourselves as well. The youth share of our business has literally gone up because that share used to be somewhere around 22% earlier, now has gone up to 27%. So, we are focused towards the Gen Z population. And the Gen Z population

is itself becoming larger and becoming much more empowered is giving us those kinds of betterment. So, I think this particular spree that we have taken up or this particular strategy that we have taken up to attract that particular kind of audience and be relevant to that particular audience with all those initiatives is definitely the right move that we feel, and we will continue doing that as well. And we feel that definitely all this focus towards the lower income or the middle -income group segment, which is especially more in the urban cities, which is by the government, by even reducing the taxation and raising the limit, all of this should definitely further help us to sustain that and maybe grow that.

So, I think largely the fabric prices, the material prices have been almost constant. There has been some

movement in the material prices, in cotton prices, in yarn prices. But I do not see a lot of risk because the government's focus is also very largely on the textile sector. The government is ensuring that the cotton prices do not go up and there is enough production in the cotton prices. So, all of those moves by the government also towards the textile industry is definitely something which will add more resources, which will add more benefits in the overall manufacturing side. But yes, definitely, it will also bring in a lot of innovation because whatever PLI schemes that are being given in the textile sector is also bringing in a lot of innovation in India, a lot of new development of fabrics, a lot of new development of those kind of product lines is getting developed. And then also another good news that we are seeing is a lot of factories are getting set up, even in apparel sector, even in garments. So, I think some of these pieces, we are very conscious of all of these pieces. We are regularly participating in industry meetings and industry areas. So, we do get updated on all of these areas. We try to motivate vendors to try and grow into those levels, get on to those segments. A lot of states are offering a lot of incentives and benefits in terms of apparel manufacturing units, giving them labor subsidy, giving them capital subsidy. So, all of those definitely is a better area so that organized production, large-scale productions can happen in India. Large-scale production will definitely help retailers like us who are growing and who are definitely wanting to have better supply chain, better mind-to-market speed, better fashion designing, better quality, and definitely reducing the prices, which is the important part. So, all of those things is definitely making the whole value retail segment and value apparel fashion retail segment a little more stronger, and that can give a little more pressure to the brands, to the ones who are selling it at a higher price or are targeting the higher middle segment of the consumer. So, there

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are some constraints I have been seeing and that continue even in this quarter. But yes, largely for us, we have been focusing, and we have been really strengthening our quality piece. We have strengthened our design piece. We have worked a lot on our store experiences in terms of ambience, in terms of the look and feel, in terms of the visual merchandise, in terms of the product displays, in terms of the cleanliness of the store, reducing the clutter-ness in the store, trying to work on the density of inventory at the store level.

So, some of these pieces are also giving us some benefits. We are definitely focusing a lot on sourcing, focusing a lot on reducing the prices, focusing on keeping the prices sharper aligned. We definitely have not reduced our margin yet. That also we may experiment in a few of the items, a few of the products where we would want to generate a little more higher volume and try to see what is the market possibility demand, which can get

accrue.

So, some of these things have happened. We are definitely working a lot on futuristic needs in terms of the technology, in terms of the integration of technology because there are various processes which needs to get automated, which needs to get a little more sharper, which needs to get scaled up. And there we are using some of those technology pieces. We are talking to a lot of technology companies to integrate further processes as well, and enhancing our digital experience even at the store level in terms of those lost sales or in terms of endless aisles. And our one-click proposition through LimeRoad is really working very well. We have seen a lot of app downloads at our stores, we have seen almost more than 3 million app downloads happening at our stores. So, some of these pieces are for the futuristic understanding, futuristic needs. And then some of these pieces are now coming into good thought process. And also we are focused very highly on keeping our inventory levels at the base or reduce our inventory levels, days of inventory going down, better freshness of the inventory at the store level. How do we increase our freshness? How do we really better on the new designs and new philosophy of product lines which is required by the consumer?

So, some of these things have helped us and we will continue doing that. Manpower cost has been a little bit of challenge because minimum wages have grown in certain markets, grown by very high degree. Initially it could look like a bigger, better or a higher cost to the organization, but later on, we believe that all of these minimum wages will also bring up the GDP of that particular state, the per capita income will go up, the consumption further will come up and that will further offset all of these costs.

So, definitely, yes, states like Odisha saw almost 29% minimum wages hike, like Jharkhand saw a 22% minimum wages hike. So, some of these states which went for election in the last few years, in the last year, have seen a good growth in the minimum wages hike. So, that is putting a little bit of pressure on the labor bill, on the manpower bill, even though huge competition, which is splitting up, everyone wants to open up more stores, a lot of money has been raised in the market to private equity and IPOs.

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Some of these pieces definitely bring more dynamism in the market. There is more number of stores getting opened, everyone wants to target a higher growth. So, I think some of those pieces also is trying to where there is higher competition amongst employees.

So, that is also something that we are watching and we do know. But there could be some pressure, but yes, we are trying to nullify all of these pressures to bringing in automation, bringing in digitalization and trying to provide similar or better solutions in those similar number of people that we have.

So, there is a lot that is being worked at the V-Mart level in the back-end side, a lot of analytics, a lot of work on the data, data management, some work on AI, some of those things are also happening. I mean, we will keep updating you.

But let me hand over to Anand so that he can give you a little more detail about the results that we have announced this time. Thank you.

Anand Agarwal: Thank you, Lalit. And good morning, everybody.

Let me take you through some of the "Key Financial and Operations Highlights" from the quarter, and then we can open the session for questions.

This has been a reasonably good quarter. Like-to-like sales growing at 10% in aggregate, with Unlimited LTL also growing at 11%. There was a bit of a delay in the winter onset after Diwali, which impacted the winter merchandise sales briefly, but however, it picked up in late November.

I think, overall, temperatures have generally been hotter in this current year than the previous years, reflecting an

increasing impact of climatic change, which was also reflected in the lower peak winter days during Q3. However, efficient planning did not lead to any adverse impact on the inventory due to this. But despite the winter challenges, the sales grew at a healthy 17% in the offline business, with footfalls also growing by almost 40% in this quarter.

V-Mart sales grew by 19%, while Unlimited had a lower 6% growth, despite an 11% LTL increase due to the adverse sales base impact of 12 unprofitable Unlimited stores getting closed in last year. So, on a comparative basis, the base quarter of Q3 of last year included the sales of these subsequently closed stores, resulting in an optimal lower growth rate for Unlimited in the current quarter in this year.

Looking at the sales per square feet, the total sales per square feet increased by 10% for the quarter, which was in line with LTL growth. The SPSF growth for V-Mart increased to 927 and for Unlimited was at 676, which was also 10% higher than the previous year. The average selling price remained flat for V-Mart, while it decreased by 5% for Unlimited due to changes in merchandise mix. The ASP should remain in similar range going forward, but for any seasonal or mixed variations.

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The LTL sales growth was similar across all tiers, with Southern India stores doing marginally better in Tier-1II, Tier-1V markets, vis-a-vis the Tier-1 and Tier-1I, reflecting the success of replicating the V-Mart strategy of getting into smaller towns, also in Unlimited. For stores under V-Mart brand, the like-to-like sales growth was similar across almost all tiers.

At an overall level, the festive period went off quite well. A substantial part of Durga Puja sales shifted to the previous quarter, thereby implicating a relatively softer growth in the East zone in this quarter. However, all other regions had double-digit LTL growths.

We opened 21 new stores during the quarter, with 19 in V-Mart and 2 under Unlimited, taking the tally to 488 stores pan India, out of which 85 now are in South. All the new stores opened this year, including in South, have been performing well and in line with the established V-Mart business model.

Moving on to gross margins. The total gross margin was at 35.8%, it was 30 bps higher than last year, despite a 38% lower revenue contribution from LimeRoad marketplace business, which flows in 100% into total gross margins. So, the improvement in gross margins came in at the back of better fresh merchandise sell-throughs of new winter merchandise. However, on a go-forward basis, we shall be prepared to compromise on product margins to make the value proposition even more sharper for consumers and improve on inventory freshness through higher inventory turns.

Coming to expenses, at an overall level, total expenses were almost 3% lower than last year, in line with the 3% reduction in Q2 as well. The continued reduction is due to the sustained significant reduction in LimeRoad online marketing expenditure, along with favorable impact of closure of the unprofitable Unlimited stores in the last one year.

The manpower cost was up by 24% on the back of increased incentives, increased higher minimum wages, and also the increase in the variable component of the ESOP liability, which is in line with the sales growth. There is a higher focus on employee reward and motivation to positively influence efficiency, which should further drive overall profitability and growth. Other expenses declined by 15% year-on-year due to decline in the LimeRoad business and consequent logistics costs apart from a few other efficiency improvement measures.

Coming to EBITDA, for the V-Mart core business, EBITDA for the quarter came in at 17.9%, which was 130 bps higher than last year, and Unlimited at 15.4% due to the beneficial impact of closure of the

loss-making Unlimited

stores in the last year. For total V -Mart, including the 54% reduction in losses from the LimeRoad business, the total EBITDA for the company came in at 43% higher at 16.7% for the quarter.

Coming to inventory, the quarter closed at Rs. 818 crores of inventory, which was at 92 days. There's a lot of good work which has been happening on the product side, which includes a lot of technology-led improvements in designing, sourcing, quality control, and replenishment cycles, leading to overall improved sell-throughs and thereby better inventory health. This is still work-in-progress. I think Lalit

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also alluded to this, and we are undergoing a lot of projects, a lot of work in this area. And this has been our core focus of how to improve the product side and thereby reflect even better inventory cycles going forward.

YTD CAPEX has been at Rs. 83 crores, which includes spend on the 49 new stores and refurbishing of old stores. The new warehouse, which has had a few initial operating challenges in the last year is fully stabilized and is helping improve the overall supply chain turnaround times.

The working capital limit utilization has reduced by 70% since the start of the year and remains in a very comfortable range. Better profitability and improved working capital led to a positive net-free cash flow of Rs. 59 crores YTD. There is no long-term debt on the books, and we remain comfortable on the cash front with ample working capital limits available to leverage future growth, which will be financed mainly through internal accruals.

Coming to store expansions, we opened 21 stores this quarter and 49 year-to-date, with five closures.

The pipeline for Q4 looks reasonably strong and we should end the year with 50+ net store additions for the full year. There may be three, four store closures in the current quarter, which is a normal practice as we will budget for 1% or 2% mistakes that will need closures every year. All the major one-time corrections have already been done in the last year, and going forward we should see minor 1% or 2% closures on a need-to-do basis only going forward.

Coming to LimeRoad, the marketplace business remains in improvement mode. EBITDA losses already reduced by 54% in this quarter year-on-year. This is the seventh straight quarter of reduction in losses at LimeRoad. The strategy on LimeRoad remains the same, which is to extend LimeRoad as the fashion-forward omni-arm of V-Mart and facilitate very easy order placement process by V-Mart customers through the LimeRoad app, initially for missing sizes or missing colors in the offline stores, but eventually extending it to offering a bigger catalog of products which can be offered beyond the brick-and-mortar stores.

Before I conclude, I also wanted to mention that Lalit's eldest son, Varin, has joined the company recently. Varin has completed his education from New York Stern School of Business and has also done stints with Kearney and U.S. Telecom in Strategy in the U.S. before shifting back to India in December. Varin has joined us in the operations team and is helping co-execute the future expansion strategy for the company along with Vineet in Vineet's team.

The company has also recently been awarded with the prestigious 2024 Institute of Company Secretaries of India award for excellence in corporate governance during the quarter, recognizing our commitment to the best governance standards. This recognition comes as a follow-up to winning the Golden Peacock award for corporate governance in 2022 and also the 2022 Certificate of Appreciation at the Institute of Company Secretaries National Awards for Excellence in Corporate Governance.

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So, that was all from my side on the operations and the business update. I now request the moderator to open

the house for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Tejas Shah from Avendus Spark. Please go ahead.

Tejas Shah: Hi, Lalit ji. Hi, Anand. Thanks for the opportunity, and congrats on good numbers. Sir, just wanted to know, for example, last 12 to 15 months clearly policymakers are trying to, they have first recognized and then they are now trying to solve the problem at the mass end, and you also spoke on positive sentiments. So, I just wanted to know the sustainability of the same, A.

And B, when we look at our recovery and our numbers, which is on a standalone basis quite good, but now many of our peers are also being listed. And when we compare, over there, there seems to be some, we are tracking below the median growth rate. So, if you can comment on both on these points on growth.

Lalit Agarwal: Okay. Yes, I think I have already mentioned about this, and we believe that there's nothing which should distort the aspirations or the consumption speed that we are able to see. And we should get a little more positive news going forward, and then we should see more disposable income in the hands of consumer. Consumers should feel more confident going forward as we see. And more and more industrialization, more and more manufacturing capabilities has to come into India and will get appreciated here. So, I think we definitely have good plans going forward. We continue thinking, because we have always seen that, especially in our market, it does not behave as the global markets. It does not behave also as to the national urban market. But once the consumption speed starts coming in, at least three, four years if the monsoons are good, we continue having good demand pattern coming in. So, we are positive, we are hopeful. We will continue targeting similar kind of growth. And maybe not exactly this one, but maybe mid to high single-digit numbers. So, that's what we are targeting. And then I think everyone who is able to focus, a little more complexity has got developed in terms of fashion business, because there's a lot of change in terms of the fashion wearings and the kind of product lines which are getting launched, the kind of fits which are getting launched and which are being accepted. And there's a lot of complexity in terms of understanding the consumer versus the fashion, because there are tiers and within the tiers, there are stores which will behave in a different manner versus a store which will behave in a different manner. So, there are different consumer persona which has to be identified, and the product has to be mapped with it. And it involves a lot of complexity in terms of forecasting, allocation, understanding the consumer, and understanding the behavior pattern of buying. And then allocating such kind of product, because the range has become a little more wider. And there are customers who still believe in the classic designs and there are customers who now want the modern design. So, how do you differentiate between the two, and both the customers are important.

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So, that's how you have to pass through this transition journey. And that becomes very complex for some of the retailers. And retailers who are able to cater to that are then able to provide better growth. And these will be testing times for retailers, fashion retailers especially in the next one year.

Tejas Shah: And Lalit ji, on relative growth, how should we interpret the gap between us and median growth rate that we are seeing in this space?

Lalit Agarwal: Tejas, I may not be able to help you a lot. As I told you, this complexity is there. So, I mean, comparison is very difficult. But yes, it is also a function of their own market. It is a function of their consumer segment. It is a function of how do they anticipate the fashion

on, anticipate the growth. And then how do they actually perform. There are hundreds of levers, which we say, between a cup and a lip. So, you have to fulfill all the levers till the time the product reached the customer at the right time. So, a lot of things have to get synchronized so that you actually deliver those outcomes. So, I think some retailers have delivered a little lower, unless and until they are targeting a different segment of consumer, unless and until they are targeting a different price point in the market, they definitely should be able to get the benefits which is coming out of this market.

So, we believe, I mean, I do not want to mention anyone who is doing bad. Maybe in a certain phase of time they might have not performed, but they will once again come back and perform. There are retailers who are East-based retailers, and East-based retailers, because the Pujo sales have gone a little bit in the Q2 market also, so East-based retailers have shown, because even our East zone, as Anand mentioned, has shown a little lesser growth compared to the other zones, because there the festival period has shifted to Quarter 2. That is why maybe you are seeing some differentiated growth.

Tejas Shah: Got it, sir. Second, how the new stores have done, because we corrected a lot of COVID phase store shutdowns, and then we actually kind of recalibrated in the last two years. So, how they are doing? And any guidance looking at the consumer sentiment you would like to give for FY '26 on store opening?

Lalit Agarwal: I think for us we have been very, very conscious because we have closed a lot of stores, so a lot of learning has finally got plowed back into the decision-making processes on the new store finalization, or new store search, and new store opening. So, all of those learnings are now being getting accounted. So, as of now, most of the stores that we have opened in this particular year and the last year, has really given us one of the best sales per square feet in new store for the last five years that we have opened. So, these stores which we have opened have given literally better sales per square feet, and more than the company average that we have clocked.

So, I think we definitely are very conscious. We do not want to go out and open up any store at any kind of rental, because there's a lot of hue and cry in the market to acquire properties. So, people are going out to give any kind of prices because the money is becoming cheaper. As the multiple in the share market has gone up so people are trying to raise funds at a lower cost and the cost-of-capital is becoming lower.

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People are taking those kinds of decisions also, which we are very, very clear that we do not want to go out in any kind of those streets. We will be very conscious in terms of our rentals, we will be very conscious in terms of the location that we open up. And we will just not change the number, but we will definitely change the profitable number of growth that we are able to do with new stores.

Tejas Shah: Got it. And sir last one, inventory deals have come down significantly and inventory looks very healthy. Should we expect that, assuming that there would not be any discounting pressure next year, would you use that tailwind to expand margins or you will pass it on to consumer to drive SSSG next year? And any guidance on any target that we are running for inventory days as we'll see improvement?

Lalit Agarwal: So, Tejas, these are all incremental areas. If I have my way I would make it tomorrow, but it generally does not happen like that. So, there are a lot of efforts, as I said, a lot of efforts has to get synchronized and everything has to fall right, even the seasonality like this year. The January month has not been great because the winter was topsy-turvy. Winter was topsy-turvy. We did plan for an in-

ventory. When

you do not get a great season, maybe you need to discount a little more, you need to liquidate your inventory or maybe you get a little leftover of the inventory.

So, these are synchronized. We can put our efforts, we will definitely want to bring in all those kind of automation, digitalization, analytics which is required. But still there could be an outcome which may be in our hand and which can become positive. We would definitely want to better our days of inventory cover by reducing it by at least another 5% more coming down to 87 days or 88 days, that's where we would definitely want to target. But yes, the margins also, on the other side we would want to become a little more attractive in terms of value providing to the customer because that is what will work. And because there are a lot of players across the road in the same street which is providing and trying to provide the same customer with value, you will definitely have to be much sharper in terms of the price. So, if margin leverage or margin escalation is not possible, you may have to take down a little bit of cut in the margin also, but provide more value to the consumer to retain the consumer and also attract more consumers. Because the organized segment has got more consumers in the market. Now it is about us, how do we attract them and retain them, and give them the right and the best value which is possible. The value is not only about price, we are not chasing price, but it is more about quality as well as the product which is important.

Tejas Shah: That's all from my side, and all the best for coming quarters.

Lalit Agarwal: Thank you, Tejas.

Moderator: Thank you. The next question is from the line of Rishi Mody from Marcellus Investment Managers. Please go ahead.

Rishi Mody: So, Lalit ji, just picking up on Tejas, when you responded on the rental piece from competition, right? Other retailers have also pointed out that rentals have escalated. So, are we going to go for properties

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with lower rentals and maintain our store count guidance, or we going to reduce our store count addition guidance and wait for the good properties to come back once, say, some stores fail?

Lalit Agarwal: I think that's the skill that we have and that's the skill that we are going to apply. We definitely do not intend to reduce our store count. We would continue to open similar percentage of new store addition or percentage of square feet addition that you would want to do. But yes, we just do not want to chase those numbers. We will be very conscious on trying to open up the stores which are profitable and it gives us a great return on investment. So, that is the underlying factor and that is the underlying message which has been passed on to the team, and that is what we would relate and we would want to do. Maybe if there is a difficult period where you do not get a great property, but you do not get a great price, you may not want to open up. You will rather want to focus more on increasing the same-store sales growth rather than opening up new stores. But we always keep this stand and we always have been telling this to the market and telling it to everyone, that our growth will only come from our possibility of rental being at below 6.5% to 7%. It cannot go above that.

Rishi Mody: Right. So, I will tell you where I am coming from, right? So, we have guided for, say, 60 store count additions over the next year. In the past as well, we have had an accelerated store count addition, albeit some stores which maybe pre-COVID were not coming to the same throughput, but we maintained the store count addition. So, just trying to understand, are we changing that stance going forward that we would not open stores in locations which would not give us the minimum throughput?

Lalit Agarwal: I am not saying that I am changing the sta-

nd. We are saying that we continue having the same growth

rate. You may calculate that to 60 or 65 or 55. I do not know how the calculation is working. We will continue to have similar targets, similar goals, which we have passed on to the team. And we would

definitely want to open up and get the analytics, because it is just not about city or it is just not about the town. It is also the location in the city. It is also about the frontage of the store. It is also about the size of the store. It is also about the floor that you have in the store. It is also about the rental that you are paying to the store. It is about various terms and conditions. So, it definitely has a lot of involvement, but yes, the team is aligned. The team is very much skilled, this is the whole team, this is the strength of V-Mart, and we will continue to leverage that strength.

Rishi Mody: All right. And where the competition is setting up stores, right, whether viable, non-viable, I am assuming the store count addition rate of competition has increased on the back of the fresh funding that they have received. Are we seeing any temporary market share loss in at, say, any catchment level or region level? We might regain it, but in the nearer term, are we seeing that impact hitting us?

Lalit Agarwal: I think if you look at the overall retail market, I am not seeing that happening, but yes, if you see at the organized share of market, see what is my percentage market share in the organized share, definitely because of the organized share, the number of competitors have grown. There are more than 12, 13 competitors, or 15 competitors which are trying to open similarly. So, you cannot compete with all of V-Mart Retail Limited

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them. So, market share may go down within the organized share. But on the overall spree, yes, the market share is continued or is increasing.

Rishi Mody: Okay. Got it. Understood. And finally, on the minimum wage increase, right, you called it out that Orissa, Jharkhand going into the state election increased the minimum wage by 25% -30%. Are we also seeing, like we have Bihar elections this year, we will have U.P. elections a couple of years down the line? Are we hearing any minimum wage revisions coming in for these states?

Lalit Agarwal: I mean, see, it also depends because these states also have a lot of people who are unemployed. These states also provide manpower to most of the Indian states. So, these states need their manpower to work in their state. But that would not happen if their minimum wages are not attractive. The industries would not come in. So, they want also to bring in industry. It depends. It depends upon the state of the affairs of that particular market, and also what is the minimum wages.

Orissa and Jharkhand were at a lower minimum wages compared to other states. They increased sharply.

And there is a lot of activity happening in Orissa in terms of mining and stuff. But I do not expect similar to happen in U.P. But yes, something may happen in Bihar. Because they are also at a low. But that will continue. And that's what the risk that I have told and narrated that this is a risk, which is a short-term risk, but ultimately, it should lead to a higher GDP and higher per capita income, which should once again come back to the consumptions.

Rishi Mody: Understood, sir. All right. Thank you. That's it from my end. Thank you, Lalit ji.

Moderator: Thank you. The next question is from the line of Aditi Lohadkar from CD Equisearch. Please go ahead.

Aditi Lohadkar: Okay. Sir my first question is that what factors led the sales to go up?

Anand Agarwal: Sorry, Aditi. Can you repeat that question?

Aditi Lohadkar: My question is, what factors led the sales to go up?

Anand Agarwal: So, it's a mix of multiple factors. It's not a one factor. So, one is Quarter 3 usually is a very strong quarter for us

. And we have been doing a lot of projects, a lot of work around improving our own efficiency in terms of the product mix, the product quality, the product design, the what we source, how we source, from where we source, at what price we source, and making the customer proposition even more stronger. It's been a continuous exercise for the last one, one and a half years. And thereby, you would have seen the sales improvement has happened for the last one, one and a half years consistently. So, this is probably the fifth quarter straight where we have delivered good same-store sales growth and we believe that the work that has been going on is sustainable and is helping us build the momentum for even better growth in the quarters to come.

Aditi Lohadkar: Okay. And so what is, like how do you think ASP of V-Mart will move over time?

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Anand Agarwal: I think we are very comfortable with the ASP where we are. There may be some changes because of the festival mix or the climatic mix which happens from month-to-month or quarter-to-quarter, but at the level where we are, I think we are fairly comfortable.

Aditi Lohadkar: And is there any inflation trend in raw materials or in consumer spending? Can you see that?

Anand Agarwal: So, there is a bit of inflation pressure that we see on the expenses side, but as far as the raw materials are concerned, I think cotton prices have, in fact, a little bit softened but they have remained in a very narrow range throughout the year and we are not anticipating big changes in the cotton pricing going forward. Oil has also remained pretty much very much in a controlled range. So, we are not anticipating any pressure on the raw material front. But yes, on the expenses side, on the manpower cost, on the

rental cost, there will be inflationary trends and it has been there also in the past. So, nothing unusual, but yes, it will continue. It should continue.

Aditi Lohadkar : So, will those increase in expenses be passed on to customers?

Anand Agarwal: We will try not to. We will try our best efforts not to. Because our customer segment is extremely cost-conscious and we will want to, therefore, mitigate any normal inflationary trend through efficiency improvements and volume-led improvements. We will try not to pass on any more surprises to the customer.

Aditi Lohadkar : Okay. So, what do you think is the more of your priority, like retaining the customers or retaining the margin?

Anand Agarwal: Absolutely retaining the customer. We are absolutely very, very customer centric. Profits are important. Profitability is the reason why we do our business. So, every store everything that we do is centered around profitability, but we will not want the customer to move out because of compromising on profitability a little bit. But yes, we do not want to get into a loss-making situation. Our focus always is to make sure that any location in the store that we run is profitable and continues to remain profitable.

Aditi Lohadkar : If the expenses are going up, can we see any decrease in margins going ahead?

Lalit Agarwal: So, Aditi, you have to understand this business and understand its mathematics a little more in detail. Let me explain you. Even if your cost goes up, the whole process of getting the margin has to be through higher volume and has to be through better same-store sales growth, because there is some element of cost which has to always keep going up, like rentals. Every year you have got an increment, or every three years there is an increment, which is bound to grow. So, now you have to see. And there is a labor, manpower, which is bound to grow. Every year there is inflation which is happening, there is some amount of cost which is going to grow.

So, that is the reason that we always anticipate a same-store sales growth. And you need to beat those numbers in

terms of your same-store sales growth. All of these cost increments, if we do a same-store

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sales growth of around 4%, all of these costs get mitigated. Anything in a delta of 4% same-store sales growth always gives you add, add, betterment into your bottom line, if your gross margins are constant. But if you now become a little more sharper in terms of pricing, if you are not able to sell through at a full price, your margins get compromised, your gross margins get compromised. So, you may finally get into the bottom line. So, do not worry, I mean, we definitely believe that the margins should be constant or should be growing, but as long as we are able to keep getting this whole same-store sales growth phenomenon.

Aditi Lohadkar : Okay. Thank you.

Moderator: Thank you. The next question is from the line of Ali Asgar Shakir from Motilal Oswal. Please go ahead.

Hello, Mr. Ali, your line has been unmuted. Please go ahead with your question.

Ali Asgar Shakir: Yes. Sorry, I was on mute. Thanks so much for the opportunity. Hi, Lalit ji. Hi, Anand. So, my question is on basically margins. So, you mentioned that from a gross margin point of view, you would want to be a little more sharper to improve the value orientation. But I just want to understand from an EBITDA margin point of view, now when I look at it and compare it from a pre-IndAS level, the current quarter margin would be somewhere close to, give or take, around 400-500 bps lower than what you were doing probably pre-COVID. And I am just saying Q3 number. Of course, YTD, it will be different, but I am just giving the fact that we are improving the numbers every quarter, I am taking this quarter number, so still 400-500 bps lower.

So, I just want to understand, I mean, the point that you mentioned that improvement in throughput will continuously improve your margin. What level of increase from the current throughput you think should allow you to kind of reach your stable state margin that you are doing pre-COVID level from a full-year point of view? Any understanding over there will help. I was just thinking from the point of view that pre-IndAS level, this company can do somewhere about 8% kind of margin in terms of EBITDA and probably 4.5% margin. Then how much further throughput improvement is required to be able to achieve that?

Lalit Agarwal: So, Ali, I do not think I know math better than you. So, you are an expert in math. It is a mathematical question and you should be able to answer that. I do not think I need to answer it.

Ali Asgar Shakir: My point was more from qualitatively, more from the point of view that looking at that situation on the ground, how much you think levers you have that will help you probably reach.

Lalit Agarwal: Yes. These are all perspectives. These are all subjective perspectives. So, we need to keep working on all of those. We need to always keep focusing, because there is definitely a higher trust that the consumers are demonstrating on organized retail. And this movement from unorganized to organized is making things much, much better. And that is what India is all about. Their per capita income, once again, grows, and they start consuming a little more, and their disposable income is a little better, the share of urbanization increases, the share of consumers coming into organized space increases. I think

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all of these will fold up into our basket. And then definitely our own efforts and our own propositions and our own ability to understand them, provide them with the right assortment, mix and merchandise, and give them those kinds of quality which creates a trust within them.

So, all of those will finally add up into the same -store sales growth. And that same -store sales growth will finally bring in the margin. So, we de

finitely believe we will want to be constant. But still, as you

all understand and we all know that there has been multiple number of competitors which have evolved, there are higher ticket sizes, competitors or conglomerates which are driving value retail. So, definitely, there is going to be some pressure which is going to come in in terms of value providence, because what consumers want and what are you offering and what kind of designs are you offering.

So, we are very realistic. We are very relatively we are talking about that. We're just not talking about prices. We are also talking about product, fashion, quality, because even that do cost. Even bringing in a new design, good design, bringing in a better quality, bringing in a better look and feel at the store, better service standards at the store, all of those do cost you. So, there's also a cost and there has to be some differentiator. And that differentiator also is a cost. So, we will balance most of them. But do not, please do not, I just want to remind you, do not start still chasing those pre-COVID numbers. The days were different. This age is different. Do not compare the stone-age with the digital-age. So, it will be better that we do compare in a year-on-year methodology only. Those were times when you were alone in your market. A lot of markets were there where you had a monopoly. Now is not the time where you had those complete state.

But anyway, I think if our same -store sales growth continues, we definitely would not want to surpass any double-digit margin numbers. We will definitely want to retain that number, but pass on all of those value benefits to the consumer so that the consumer keeps trusting us and keep coming back to us. Because even now we see, because even there are seven to eight stores opened up in a lane, customer comes in at V-Mart, looks at V-Mart product, goes back to a competitor, looks at the competitor, comes back once again to V-Mart and then buys it. And that's what we want. They should compare, they should understand, they should understand and look at the entire market. But they will do it one or two times. Once they have a trust that V-Mart is always better and V-Mart is always better in quality also, then they will stop checking also with other competitors. So, that's what we want in the future, of course.

Ali Asgar Shakir: Very useful, sir. Very, very clear on this. Sir, just one last quick question is on the competition and your comparable performance. So, of course we have 500 stores across multiple markets. On the ground, can you tell me, sir, how is the performance like-to-like? Are we growing at par with the market? Are we growing in certain markets higher or any markets lower? Just a general sense in terms of how is the comparison on a like-to-like basis on the ground? Because, obviously, on an overall portfolio things can be very different because of the presence of different players in different markets. But on a like-to-like basis if you have any insights to share.

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Lalit Agarwal: See, I mean, as Anand mentioned, because the quarter saw Durga Puja coming in, in the Quarter 2, a few days sales had gone into that, so we saw a little lesser like-for-like growth in the Eastern market, Eastern India Market. We saw very good growth in the Northern India market because the base for us also is lower in the Northern India market. And some of our new initiatives, some of our fashion initiatives, some of those quality-led initiatives has really helped to grow that market a little better. We saw a good growth even in our Unlimited market.

South India has shown a good growth. Within South India, Tamil Nadu has been a very good market. Telangana continues to struggle for us. Telangana is not giving us a great response. So, there are markets which has really done well. There are market

s which has been almost on an average. UP was struggling until last quarter, or last to last quarter, but UP has come back, UP has started growing. So, I think

because we have a big base in UP, so UP has shown up. From a competitor's perspective, we have seen, I mean, most of the major competitors, even in spite of their good growth or their lot of new store opening that we have seen, we still see a good growth coming in from those stores as well.

So, I think the stores which gets opened up, even in the same wall of our store, we see a lot of more customers coming into that market, more customers trying that stores. So, I think it is a function of market becoming bigger, and that is ultimately leading into everybody's growth. So, that is what we are also seeing, and that should continue. There could be some disturbance in a particular market, but otherwise most of the markets have really grown well.

Ali Asgar Shakir: Yes. Got it, sir. Very helpful. Thank you so much.

Lalit Agarwal: Thank you.

Moderator: Thank you. The next question is from the line of Sameer Gupta from IIFL Capital Services. Please go ahead.

Sameer Gupta: Hi. Good morning, everyone, and thanks for taking my question. Sir, firstly, just your comment on Unlimited. I notice that sales per square feet in V-Mart is still 30% higher than unlimited. These are the numbers that you report in the presentation. Now, in the media interview earlier today, I heard Anand say that margins in Unlimited are now at par with V-Mart. So, was this comment meant only for the new stores that you have opened in Unlimited? And can I just ask the pre-IndAS EBITDA margin level, any particular range that you can give for the older store group that you had originally acquired? And I believe that that number is less than 60 stores now. So, just some color on this aspect, sir.

Anand Agarwal: Yes, Sameer, you are absolutely right. I think that comment was more in terms of the new stores that we are opening in the South. And that number is quite heartening, and it is almost at par or even better than V-Mart stores. This is the new stores that we are opening in South on the Unlimited. And yes, the older stores are still tracking well below the norm. Their sales per square feet is also slightly lower than the new stores that we are opening. And the expenditure or the overheads there are also slightly more because of the higher square footage area. So, the area size is slightly bigger.

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The catchment is more Tier-1. And thereby, the pre-IndAS EBITDA still is lower than the planned average for the Unlimited chain. But as I have said in the past as well, we continue to build on new stores in South. The new stores have better sales per square feet and, therefore, better profitability. And as the proportion of new stores keeps increasing, the overall profitability level for Unlimited as a segment will keep on getting better and keep getting improved or comparable to V-Mart.

Sameer Gupta: Sir, just a follow-up here. So, these older cohort of stores, let's say, I mean, what I remember is around 58. You can correct me if I am wrong. At, let's say, less than 5% margin on a pre-IndAS basis, their ROCE profile of the store would still be less than or sub 10%. So, like beyond a point do we keep these in the system? Because now it's been like three or four years and we have waited around for them to turn around. Or is it an acceptable outcome that, okay, it's a sub 10%, but still they are not making losses, so we will still keep them in the system.

Anand Agarwal: Sameer, it's been a journey. So, see, there's a lot of internal review around each of these stores that we run. And especially for the Unlimited stores that we took over, there were many, many hard calls that we have already taken in the last two years. We've already closed more than 20 stores in that

chain. And

whatever stores that we felt required surgical action, that has already been taken. The number of stores that we now continue to run are strategically important, are important from different perspectives, and they are not loss-making. And we have faith and belief that we will be able to turn them around even better. So, it's just a matter of time, but we are not building in aspirations of a Rs. 1,000 sales per square feet in these stores. But there are priorities, there are importances, because of which these stores will continue to run, but they are not loss-making, they are profitable. Their profitability profile may be marginally lower, but they will also come at par.

Sameer Gupta: Got it, sir. This is very, very helpful. One last question, sir, from me. There's one large retailer, Reliance, which has been consolidating its store footprint. And I believe some of it might be in the apparel retail as well. So, just wanted to understand from you, is there a meaningful difference between the set of stores where, let's say, a Reliance used to be there and now it is not there, versus where there is no Reliance in the vicinity? Just this aspect, sir.

Lalit Agarwal: So, for the matter, when we speak to the operation team, they say Reliance is omnipresent. So, Reliance is everywhere. Whether they perform or not perform is a different question. There is a lot of change in the strategy in terms of Reliance. So, the consumers are also confused. The store people are also confused. I feel Reliance has gone out of our bracket, because their average selling price is almost 60%, 70% higher than our selling price. So, it is not becoming too relevant anymore. But yes, definitely, some of the Reliance, the growth of store getting closed, do add up some number to our store, and then we see some betterment there.

Sameer Gupta: Got it. Got it, sir. That's all from me. I will come back in the queue for follow-ups.

Moderator: The next question is from the line of Lokesh Manik from Vallum Capital. Please go ahead.

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Lokesh Manik: Hi. Good morning, Lalit ji and Anand. Am I audible?

Lalit Agarwal: No.

Moderator: Yes, sir, please go ahead.

Lokesh Manik: Yes. Great. Lalit ji, my first question was continuing from the previous participant. So, the sales per

square feet nine months Unlimited is somewhere around Rs. 500 versus V-Mart at Rs. 700.

Lalit Agarwal: Lokesh, are you speaking on the speakerphone? You are echoing.

Lokesh Manik: Yes.

Lalit Agarwal: I am not able to hear you.

Lokesh Manik: Yes, is it better now?

Lalit Agarwal: Yes.

Lokesh Manik: Yes. So, the sales per square feet unlimited is at Rs. 500 versus V-Mart at Rs. 700, whereas the ASP is almost double. Now the difference can be alluded to the volume, so just wanted to understand that is this more external where the consumer market is such that it's not more volume driven, or is it more internal at our end where we need to make further changes to increase the volume throughput? And your view on whether it can come to Rs. 700, Rs. 800 per square feet, three to five years down the line.

Lalit Agarwal: So, Lokesh, we all know that Unlimited market: One, the per capita income of the consumers in Southern India is also higher, number one. Number two, the market there, we offer a differentiated product, which has a little higher margin also. And three, we also house there some branded products, which is called partner brand business, where some of the known brands in the market have been given some space in terms of stop and shop kind of model, which brings in almost 18% to 19% of Unlimited's revenue, which is at a higher ASP.

So, that, including all of those, the ASP level looks much higher. And definitely, if you see the last four quarters, you must be noticing there's a sharp drop in ASP of Unlimited. And that is the focus that we are

bringing in. And how do we give more -- the consumer the more share of our kind of product, which is a V-Mart kind of product, and bring down the prices. So, that is how we are trying to first get the little more mass audience, little more lower per capita consumer segment, and little more youth into our store. And that is what we are trying to do. That is how we are also seeing some growth, which is coming in. Even this quarter, we reported 11% growth coming in from Unlimited market. And we are seeing very good response from some such kind of store.

So, we believe Unlimited, this particular quarter, has almost given greater than Rs. 650 per square feet of sales. We believe we should be able to bring it to that level of V-Mart, maybe in the next two years.

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So, that is what we will want to do. But yes, the delta will be there. There will be a difference between both of them, sales per square feet. Yes, but we are nearing to our proposition. Once the consumer there understands our proposition well, we will want to then slowly and gradually decrease the share of the bigger brands, of the partner brands, because anyway, our propositions are also similar to the partner brand. But only the brand has brand value, whereas in the South, the consumers still value that particular product.

Lokesh Manik: Understood. Lalit -ji, the second question was on, in the past two years, we have been focusing a lot on merchandising. So, on the sourcing front, we may have even partnered with some of the suppliers who are supplying to our competitors, who are doing well at that period of time. How has been your experience from a quality perspective getting these new suppliers into the system and seeing how their quality is indexing with the past V-Mart suppliers? How is that difference been in your view?

Lalit Agarwal: It has been a very tough journey, Lokesh. It has not been very easy to bring in change management in smaller entrepreneurs across India, and that is the toughest part of growing up and becoming organized.

Bringing them on the compliance, bringing them on sustainability, bringing them on the quality parameters, bringing them on the scalability part. So, we have done a lot of workshops with the vendors across cities, because as we speak, there is a workshop going on in Tirupur.

So, we keep doing workshops across cities. I have participated myself also in two or three workshops because we keep giving them those instructions, keep teaching them about things. There is a complete big team which is a quality team, which is a technical team, which helps them go down to make -- create better processes for them, create better quality parameters for them. And then, definitely, we have taken a little more stricter measure on the acceptance of quality norm and what quality can be accepted, how do we test, how do we try out those products.

So, there's been a lot of shift. There was definitely a lot of resistance. There's been a lot of rejection.

Last year, we faced a lot of shortages of inventory because the product got rejected and people were not able to supply us in time. So, some of these problems were there. Our existing suppliers have really come up well and even we have brought in a lot of new suppliers, and we are seeing a lot of betterment in all of those and that is what we want to give. Ultimately, our consumer trusts V-Mart and we should not be giving them anything which is substandard. That is our goal and that is our motto.

Lokesh Manik: No, fair enough, Lalit ji. Because that correlates with the point that your customer comes back to you after experimenting with everybody else. I was just trying to understand if these new suppliers, the quality was much lower to what they were supplying to the other competitors, and are they facing difficulty matching V-Mart standards and at the price point more cost conscious

ness?

Lalit Agarwal: Everything is doable. It just requires better processes and better care, so that's all. It is an intention issue and then a discipline issue. So, it doesn't cost too much.

Lokesh Manik: So, there you have put some of them out of the system, the new ones, if they did not match and --
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Lalit Agarwal: Definitely, almost 20% of the vendors have got blacklisted.

Lokesh Manik: Understood, understood. That's it from my side, Lalit ji. Thank you so much. Thanks, Anand.

Lalit Agarwal: Thank you, Lokesh.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, this was the last question for today's conference call. I now hand the conference over to the management for closing comments.

Lalit Agarwal: So, thank you so much for being there. We have spoken enough, and a lot of inputs are being given.

Not too many retailers come out and speak to all the analysts and bring out detailed data. We do give them. I would appreciate if people have a little more trust on us and we will continue definitely being

more transparent, being more agile in terms of providing the data. But yes, there may be a few things

that we would want to now strategize and work, which every time is difficult to open up, but yes, we will continue doing that.

Thank you for being patient with us, and we will continue delivering the best value proposition to all our ecosystem and entire ecosystem. Thank you so much. Have a good day.

Anand Agarwal: Thank you. Bye.

Moderator: On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

Ref. No. CS/ S/L-868/202 5-26 7th May, 2025

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Email: corp.relations@bseindia.com

Sub: Transcript of the Conference Call held on 5th May , 2025

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and amendment thereof. In reference to our letter dated April 29 , 2025 (Ref. No. CS/S/L -859 /2025 -26) regarding the intimation of the conference call with Analysts and Investors held on 5 th May , 2025 , please find enclosed the transcript of the aforementioned conference call.

The above information is also available on the Company's website: www.vmart.co.in .

We request you to kindly take the above information on record.

Thanking Y ou,

Your s Truly

For V -Mart Retail Limited

Megha Tandon
(Company Secretary & Compliance Officer)

Encl: As above

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Q4 FY '25 Earnings Conference Call "
May 05, 202 5

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MODERATOR : MR. JAY GANDHI – HDFC SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the V-Mart Retail Limited Q4 and FY '25 Earnings Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touch-tone phone.

I now hand the conference over to Mr. Jay Gandhi from HDFC Securities. Thank you, and over to you, sir.

Jay Gandhi: Thanks, Steve. This is Jay from HDFC Securities. Welcome to V-Mart Retail's Q4 FY '25 Earnings Call. From the management at V-Mart, we have Mr. Lalit Agarwal, Managing Director of V-Mart Retail; Mr. Anand Agarwal, CFO of V-Mart Retail.

Before we start, we would like to point out that some of the statements made in today's call may be forward-looking in nature, and a disclaimer to that effect has been included in the earnings presentation. Kindly note that this call is meant for investors and analysts only.

With that, I hand over the call to you, Lalit ji, for your opening remarks.

Lalit Agarwal: Good morning. Good morning, everyone. Thank you for being in the call early in the morning. Sorry for keeping this call during the market hours. But yes, it was a weekend before we announced our result. So, we had to do a call today morning.

But anyway, good healthy signs being visible. We are able to see continued growth in the market from the retail perspective in the Tier 2, Tier 3 cities largely. We've also seen some -- upswing

in the Tier 1 markets as well because of the fashion changes, which is being visible. But otherwise, the economy looks -- a little confused, and not that it is very low, but there's a lot of

hue and cry over the effect of the tariff in U.S. and stuff, media is covering a lot of those stuffs.

So, consumer is little confused in -- what kind of decisions should they take, what is the impact which is going to come on. But -- over the period, it is -- being seen positive. So we -- don't see a large impact coming in our -- consumer market, in our consumption market in the smaller town.

So overall, industry has been doing fairly okay. We see growth coming in from most of the value retailers.

The bigger retailers or the branded retailers still continue to show a little neutral or negative

signs as well. Their consumption at that level seems to be little impacted. Otherwise, store

openings from the competitive side has been fairly agile. They have been very fast. They have been very -- there's been a lot of competition, a lot of stores which are getting opened up.

Everybody has some plans to open up some retail stores in the markets where we exist or which are likely market for us to open up new stores. So we are seeing a lot of dynamism. But yes, we

are also seeing a lot of movement from unorganized to organized. Consumers are definitely

believing more in the organized frame. So the organized retail percentage is moving up, and that is being shared by all of these retailers which are opening stores in those markets, including us.

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So that's a good sign for organized retail in India, and then -- but that could be a little detrimental for the consumers -- for the smaller, what we call the mom-and-pop stores, and those people who try to sell from those traditional mode of selling. So -- but yes, I think overall, the fashion element has gone up. The consumption also is getting derived from that particular side. Youth is the key driver of consumption now.

We're seeing a lot of movement in that. And we have also seen a lot of work being done at V-Mart in trying to attract the young audience, the Gen Z audience, which we have been focusing on. So relatively, we used to

receive around 22%, 23% of youth, which is under 25%. And now

we see that has gone up to 30%, 33%. So that's a positive sign. That is also a sign that we are being accepted by the young crowd. And that is the largest population, which is becoming more bigger decision maker and more bigger consumption maker.

So that -- aspect is very, very highly being focused on. We believe that they are just not the consumers, but they are also decision-makers for the family because they are the guys who the people who have more information versus the elder ones. So that is how the whole consumption

piece is tweaking, and that is where we believe that being a content which company -- being a company with an omnichannel, with a digital presence, being with the presence in the store and the kind of variety and the kind of products that we display and highlight, we need to be a little more interesting to the youth.

So that is where our focus is. That is where our entire merchandising team, the design team, the sourcing team are getting aligned. The whole technology piece is trying to understand, and analytics piece is trying to understand a little more. So, we are building those infra. We are trying to align and integrate these teams together to create a better outcome. And that is -- there are a

lot of stuff which are going on.

There are a lot of stuff which are on the planning piece, a lot of integration, a lot of automation is something also that we are looking forward to. Overall, business seems to be good. Vendors community is also growing. The manufacturing capabilities are also becoming a little larger. People are investing in the manufacturing. People are investing in apparel manufacturing as well and which is a positive sign.

And there are also large opportunity of exports. So that could also become a little bit of threat if there is a larger opportunity of exports for Indian manufacturer. So there is one risk that we see that the amount of manufacturers available -- good manufacturers available in the market could be a little constrained going forward if continued overexpansion or overinvestment doesn't happen in this particular sector. So -- but yes, that's a good sign for apparel and textile industry in India, and that is what we are all aiming for .

So overall, I think monsoon seems to be looking good till now. We believe the farm income and then the rural income is supposed to grow. There's going to be more employment. There's definitely going to be more economical betterment or better consumption that the consumers would have. And that is what we are expecting.

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So we believe the rate of growth that we have seen for the last year should continue even forward, and that is what we are expecting. There is definitely some shift of festivals. Last year, we saw Eid coming in the March. This year, in the first quarter, we don't have an Eid. So the April month was not -- month-on-month, year-on-year was not great, but period-to-period, what we compare post Eid to post Eid, we are seeing some growth -- continued growth coming in.

So that is what we will have. We will definitely focus on strategizing, building the new stores, focusing on adding similar -- 13% to 14% of retail area -- net retail area in the coming year. We may be a little more aggressive if we get good properties. So we are looking forward to all of those.

We still continue to be very economical in our property selection, very conservative in our selection as well as the rentals that we pay for those properties. So we don't want to make mistakes. We are trying to cut down those mistakes. We are trying to learn from our past mistakes because we have closed down a lot of stores. We closed down some stores in last year as well. We are list of the learnings that we have and how do we not make those mistakes and then open those stores which have more

rate of success.

We continue investing in our team. We believe the team is very, very important in the scalable growth of the business. And then we see a lot of opportunity -- large opportunity coming in. So we have also - we had issued a big ESOP plan for the team that is where you would see some expenses coming in. And we believe in that strategy that we need to partner with our people. We need to really partner with our vendors.

And how do we really create an ecosystem which can create value for everyone. That is how we are trying to grow the organization, and that is the whole philosophy. So you will see some expenses coming in on that account as well. But that remains our focus to create efficiency in our system, bring in automation, bring in the scalability aspects wherever required, whether it is in terms of process building or in terms of team building and integrating with technology.

So I think that is where our large part of our time, management's bandwidth and senior management bandwidth is being devoted. The Board is very actively looking into all of these areas. Yes, we continue to be very government-oriented company. We still continue to also invest in the ESG measures and the social measures and the environmental measures. So we will definitely want to be a sustainable and a little more ethical retailer. That is how we are.

But I'll hand over to Anand. Anand has got to explain and tell you. So over to you, Anand.

Anand Agarwal: Thank you, Lalit, and good morning, everybody. Q4 has been a fairly strong quarter with good profitability, reflecting both strategic execution and improving consumer traction in almost all our core markets. Broad-based improvements across both V-Mart as well as Unlimited led to an 8% overall like-to-like growth with Unlimited actually registering a much stronger 10%.

This quarter also faced a lot of weather-led disruptions with winters tapering off earlier than expected after a delayed onset. So January and February saw much softer sales, but festive demand around Holi and an early Eid in March provided a good recovery tailwind.

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Overall, this was the sixth consecutive quarter of sustained growth, reflecting the continued impact of the systematic changes introduced in product upliftment, particularly in terms of assortment, design, quality and replenishment. Overall revenues grew by 17%, reflecting

internal efficiency improvements and benefits coming in from benefits from the strategic closure of the underperforming stores of the previous year as well as the changes done -- on the product side.

The sales per square feet and the sales per store, both the matrices continue to improve in line with the SS SG. Apparel ASPs degrew marginally primarily due to lower winter and higher summer seasonal mix in the quarter. There is no further correction planned in ASPs, which should remain in the similar range going forward, except for any seasonal mix -related changes. On the gross margin side, the total margins at 33.1% was 140 bps higher than last year, mainly due to the higher full price new merchandise sell -throughs from an early summer launch despite a 47% lower revenue contribution from LimeRoad marketplace business, which flows in 100% into total gross margins. Marginal drop in provisioning against inventory resulting from better aging profile also helped the gross margins to grow stronger.

The smaller winter window led to lower discounted sales this year, which may lead to slightly higher winter liquidation next year, but nothing substantial. Going forward, I believe the gross margin should not grow any further but may remain largely range bound as we stand ready to grow market share in core growth categories.

Moving to expenses. At an overall level, total expenses were 130 bps lower than last year, in line with the 3% reduction in quarter 3. This

continued reduction is due to the operating leverage

arising out of the sustained SSSG, the reduction in LimeRoad marketing expenditure and also the favorable impact of closure of the unprofitable stores done in the previous years.

The manpower cost for the quarter was up by 45%, mainly due to the increased ESOP expense and increased sales incentives, which were in line with sales growth. Previous year, in fact, had a reversal of ESOP -related expense, and hence, the growth in the manpower cost in the current year optically looks higher. With a normalized base, the ESOP and therefore, the employee expense should now get normalized going forward.

ESOP expense for the quarter accounted for almost 1% of revenues and 0.5% of revenues for the full year. The other expenses declined by 10% due to decline in the LimeRoad business and

the consequent logistics costs, reduction in marketing costs for both online as well as offline businesses and other efficiency improvements apart from the benefits in -- coming in from L2L.

Coming to EBITDA. For the V-Mart core business, EBITDA for the quarter came in at 9.5%, which was 170 bps higher than last year and Unlimited at 10.8%, which was also 170 bps higher than the previous year. For total V-Mart, including the 43% reduced loss from LimeRoad, the total EBITDA for the company came in 69% higher at 8.7% for the quarter. Without the ESOP expense, the EBITDA actually stood at 9.6% for the quarter and 12.1% for the full year.

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Moving on to the change in the accounting for operating leases and the resulting exceptional gain. During the quarter, we undertook a reassessment of our lease term estimates in accordance with Ind AS 116, which is for leases, reflecting a strategic view of the store portfolio.

As a result of this exercise, the company recognized a net exceptional gain of INR 24 crores, which has been disclosed separately in the financials. This is a onetime noncash accounting gain and supports the strategic plans for sustained higher new store growth.

Going forward, this change shall result in roughly 50% lower accounting losses for a new store in the first half of its entire lease cycle versus the old practice. This change does not impact the pre-Ind AS P&L in any way, which we shall continue to share as in the past in our investor decks going forward as well.

We have provided a detailed note and reconciliation of the pre - and post -Ind AS impact on the P&L in the investor presentations for reference. Additionally, I'll be happy to take up any additional specific queries related to this separately one-on-one by pre -appointment after the call in the interest of time for the call.

Moving on to working capital. The quarter closed at INR 987 crores of inventory, which was at 102 days. There has been a slight buildup in the inventory at year -end as we prepare for peak summers and wedding season and also in preparation for new store launches planned for Q1 in the current financial year. Overall, the inventory remains healthy.

There is a lot of work which has been happening on the product side, which includes technology - led improvements in designing, sourcing, quality control and replenishment cycles, leading to overall improved sell -throughs and thereby better inventory health. Capex for the year was at

INR122 crores, which included spend on 62 new stores and the upgradation of existing stores.

We have been pressing the pedal on renovations of the existing stores with better results. The working capital has increased temporarily, mainly due to inventory upstocking, but remains in

a comfortable range. Increase in the working capital led to a negative net free cash flow of INR 31 crores for the year despite an improvement of 38% in the overall cash conversion cycle during the year.

There is no long -term debt on the books, and we remain comfortable o

n the cash front with

ample working capital limits available to leverage future growth, which will be financed through internal accruals. Coming to the store expansion and the outlook, we opened 13 stores this quarter and 62 YTD with nine closures.

The guidance for NSO remains at the same around 12% area addition every year, net of 1% or 2% mistakes that may still need closures every year. We celebrated our 500th store opening in the first week of April. And as on date, we now operate a total of 503 stores, having opened six stores -- six new stores in the last 1 month.

So that is all from my side, and I now request the moderator to open the house for questions. Thank you.

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Moderator: The first question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: Sir, firstly, on LimeRoad. So there was an expectation that this will be EBITDA breakeven at exit of FY '25. But last 3 quarters, the absolute amount of losses here at around INR 6 crores to INR 7 crores has remained steady. So, if you can just update the outlook on this going forward as to when do you expect the LimeRoad level EBITDA level breakeven?

Anand Agarwal: So LimeRoad, I think we have talked in the past in the last quarter as well. We expect the LimeRoad business to continue to build towards the omnification for the V-Mart setup. And thereby, it is going to continue to be in a buildup phase for some time, while we still keep on reducing the e-marketplace exposure.

And thereby, as a result, we will see continuous improvement in the operating results for LimeRoad, but we are not anticipating or not saying that we will be breaking even in that business in the current year also. So there will be some amount of marginal losses, but they will continue to keep coming down every quarter as we progress. So the last year losses were almost 55% lower than the previous year losses.

And we also anticipate for FY '26, while it may not be a breakeven business for the full year, but it will remain in a very comfortable range of definitely less than 50% or roughly around 50% of losses that we did this year.

Sameer Gupta: Got it, sir. Got it. This is helpful. Secondly, sir, I mentioned you on employee cost. Now, ESOP of around INR 161 million this year, do you expect this to be a recurring expense going forward?

Because this pertains to ESOPs that are vested this year. I'm sure there will be more vesting or if there are some more vesting that comes in next year. So, just from a modeling perspective, is it a part of a recurring expense? Or was it more like a one-time expense for FY '25?

Anand Agarwal: So some part of this expense is one-time because this was the penultimate year for the first lot of performance-led ESOP vesting, which was not, let's say, provisioned for in the previous year because of nonperformance. But this year, there was some amount of expense out of the INR 16 crores, which was one-time.

But largely, you should have around INR 8 crores to INR 10 crores of expenditure on ESOP going forward, which is again coming from the actuarial valuation. So very difficult to pinpoint or exactly quantify, but there would be some amount of ESOP expenditure going forward as well.

Sameer Gupta: Got it, sir. And one last question, if I may squeeze in. This is more from a strategic perspective.

Now, sir, the whole group of value fashion, which is linked to Tier 2, 3 cities, which is yourself, Vishal, V2, Style Bazaar, all of which we track, all of these seem to be doing well. Now in your experience, what is the driver here? Is it more like overall, in general, the Tier 2, Tier 3 space, the economy is more buoyant?

Is that some big retailers who have shut shop or are consolidating? Government spending has gone up ahead of crucial state elections. Or is it reverse migration, less number of people are now migrating to larger towns?

Anything that you can point out? And how long do you think this momentum can continue?

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Lalit Agarwal: I think the momentum, as I said in my opening remarks as well, is just not momentum driven by economy. It is a major shift also happening from unorganized, which is the traditional form of retail to a little more formal retail, which is an organized retail. So that movement is continuing to happen because there is definitely a lot of exposure of retailer, which is happening in these towns and cities. There's definitely a lot of new varieties, new ways of retail, new ambience, which is clearly created, great comfort, which is being given.

There is real value which is being delivered to the consumers. The consumers are now finding it very, very convenient to shop from organized retail. And that continues. And I don't think there's a major shift in some economical perspective, or there's a major shift in a particular retailer getting closed up or there's no such thing which is visible.

But largely, I think this is an informed market, as I said, largely driven even by the youth of India

who have more information gigs and they have larger information on their mobile handset now. So they understand where to shop from, where to go, and shop to. And all of these retailers, which are opening up shops in these particular markets, are creating a better percentage of organized retail. And that is what has moved from 15 -- 15% 5 years before to now, almost 30%, 35%. In certain market, it goes above 35% as well.

Moderator: The next question is from the line of Ankit Kedia from PhillipCapital.

Ankit Kedia : Sir, my first question is on manpower. If I look at your store, manpower per store is significantly higher versus some of the peers in value cashing, even if I adjust for the store size. Given the technology interventions we are doing, do you think you can do with lower manpower in the store while I also understand customer experience.

Some of your peers, the staff, is not talking to the customers is only for replenishment, while in your case, they help the customer. But is there a bridge between the two where you can lower the number of employees per store?

Lalit Agarwal: We definitely believe in a little differentiated retailing, and I do understand. There's a form of hypermarket retailing, and then there is a form of value fashion retailing and fashion retailing in general. And we believe our consumers are still a little more semi-literate. They don't really understand, and they get a little confused when they come to a larger store; they don't understand too much of the signage, they don't understand too much of the products.

So people have to assist them both for styling as well as making them understand their need or getting evolved to their needs. And people still are not very organized. Consumer are not very organized in terms of looking at the product, the kind of way they handle the product, the way they handle the stacks or handle the hangers in the store. So people are -- a little more disorganized in our segment.

And we believe we need to give a very good service, and we believe that we need to definitely provide them with assistance and make the store look better and good every time. It is also a function of the store size and the sales per square feet that the percentage of cost looks. But yes, there is an opportunity. We are definitely trying to explore it as an opportunity.

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It is just not on the front-end retail manpower side, but also on the overall manpower that how do we bring up the productivity, how do we generate higher productivity from the same resources. That is where we are trying to work on. But yes, largely, this will continue as an expense in the front end. We may not be able to get compared with those little more hyper retail

Is
of the market.

Ankit Kedia : Sure. Sir, my second question is regarding your warehouse. Given that over the next 2 years, we could add 130, 140 stores, do you think at the back end, at the warehouse now the first leg of the warehouse was done 2 years back? Now, over the next 2 years, you need to expand your warehouse further for 600, 650 stores over the next 2 years, and we can see some capex coming next year for the warehousing?

Lalit Agarwal: Yes, there will be some incremental investment that has to go in because we did not prepare ourselves for the next 7 years. We definitely prepare for the first 3 year. And then there will be an incremental capex, which will go on, but not a massive capex, but yes, a small capex, because the area that we built was around 5 lakh square feet.

The opportunity to build an area in that particular warehouse land is almost around 8 lakh square feet. So we may build it maybe after one more -- 1, 1.5 years. But yes, within the warehouse also, there are a few automation investments, which will get added on. So there will be some capex and some regular capex, which will also come in the next year.

Ankit Kedia : Sure. And my last question is for Anand. Anand, this time, if I look at from a post-Ind AS perspective, unlimited margins are higher than V-Mart EBITDA margins. On pre-Ind AS basis, if you could just say, are the Unlimited margins continuing to be high as V-Mart or they have reached the V-Mart levels and they can sustain or get better from here?

Anand Agarwal: So Ankit, while the pre-Ind AS EBITDA margins for Unlimited are getting better, but they are still not -- still not as good as the V-Mart margins. But as I have been stating for the last many quarters, as we grow and as we include or have more number of Unlimited stores, new stores in Southern territory, we will continue to build up or improve the EBITDA margins for the Unlimited as a chain. The primary reason -- underlying reason has always been that the legacy stores, roughly around 51, 52 in numbers, where the operating efficiency or the sales per square feet is still marginally lower than the entire chain. And the rental costs are still slightly higher, but they are not unprofitable stores. They are profitable stores, and we keep continue to build on them. But as we increase the ratio of the new stores, which perform at much higher profitability levels with lower rental cost, the entire chain's profitability will keep on getting better and slowly equate the V-Mart numbers in the coming years.

Moderator: The next question is from the line of Tejash Shah from Avendus Spark.

Tejash Shah: Sir, first question is, what would be the store expansion target for the current fiscal year? And what would be the composition? Will we go deeper into the existing market? Or will we add new states or new geographies for the year?

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Lalit Agarwal: Yes, as I said in my opening remarks, we would continue to add between 13% to 15% of retail area on our existing base. And that could turn out to be around 65 stores or something in particular. And we would definitely -- we are almost -- we have almost reached all the states in India. We would want to penetrate into most of the territories. So we've divided our -- geography into five different zone.

And each zone, there is a target which is issued. So the zones are, as you know, we've got a Northern zone, you've got UP as a zone, you've got Bihar as a zone, you've got South as a zone, you've got East as a zone, East and Northeast. So there is -- this zonal team has got their targets. They will penetrate. We'll penetrate into the existing cities as well as the new towns.

So some -- almost 30% to 35% of our new store opening should also come from the existing cities where we see a lot of opportunities for adding up more stores. So that is how we would focus on. We will

continue to focus a little more on the Southern India part as we see more opportunities in that particular market.

So we will continue. There are some markets in Southern India like Tamil Nadu and Kerala, which are looking good. We will continue to invest in those markets. Plus, there are other markets in the Northern zone, what we term, which includes parts of Uttarakhand, Gujarat, even Madhya Pradesh, Rajasthan.

We've not been too much -- we don't have too much of penetration in these states, but we want to continue -- we want to expand to these markets a little more. And then also continue our expansion in both the strong dominant territory, which is UP and Bihar, where we still see a lot of opportunity in this market.

Tejash Shah: Got it. Sir, second, gross margin expansion was strong this quarter. And then you have indicated a very strategic intent in past to moderate it. Obviously, on a Y-o-Y basis, it actually evens out.

But just wanted to know, was there a Eid effect in seasonality for the quarter where we -- where the discounted sale was not there and hence, gross margin reflected strongly?

Lalit Agarwal: So you're absolutely right. I think Anand has also mentioned in his remarks. There has been one bad winter in this particular quarter, where the whole January and the February month where we do sell a lot of winter inventory and discounted winter inventory also gets liquidated. And that also got affected because of the erratic weather and early summer, which came in. And so the summer basically -- and we launched our summer collection very fast.

So we got a very good full-price sell-through of summer inventory, which also increased the gross margin. And even the Eid factor, which has got preponed and both Holi and Eid both got preponed, that also added to the gross margin. But yes, it is one-off the case. But overall, we haven't increased our gross margins.

We haven't seen any increment in our gross margin. We would definitely still want to focus more on liquidating the old inventory or the inventory which is still not discarded as a seasonal inventory, which we feel against what we targeted, there has been a little higher leftover of the winter inventory. So that can -- that we are discounting in the next year.

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Tejash Shah: And sir, lastly, on our ESOP plan. So, just wanted to know, are there any specific performance target linked to it? And then is the structure geared more towards incentivizing retention or performance? The question is also because we are hearing from other retailers that there is a very genuine squeeze of quality manpower in retail now. So if you can club the thoughts on that and share your insights there.

Lalit Agarwal: So I think, Tejash, one, we've got this ESOP policy that we have is a long ESOP policy. Earlier, we used to have a term-based or tenure-based ESOP. In the last 4 years back, we passed resolution from our shareholders that we would have a performance-linked ESOP. And that is where we had issued a 4-year performance-linked ESOP, which is largely driven from a goal or a target of at least 20% growth year-on-year that we should target, and 90% achievement of that, we've got some process of issuance of ESOP where we have more details in our annual general report.

But largely, this is a philosophy that the organization has been believing in that we always believe that our people are our biggest asset, and they should also create similar wealth as the shareholders create. And they should be a part of our ecosystem and they should also become part of our -- as a part of our shareholder team. So that is what our philosophy is. So there are more than 80 people who are covered under the ESOP scheme. There's a large team which is there. Most of this team is also a old team, which has been existing there. We just don't -- we don't fear

because it's no

t coming out of the fear that the people -- we lose out the people, but it is coming more out of the feeling that we all should create value and we should all create even wealth for the team going forward. So that's the whole perspective. But yes, on the financial side, maybe Anand can help you. Anand, can you answer Tejash's question?

Anand Agarwal: Yes, Tejash, I think Lalit exactly said that. So this is purely a performance-linked ESOP scheme. So as mentioned, this is again linked to the performance of the company and therefore, the contribution of the employees.

And it is spread over 4 years. So in year 1, you get certain ESOPs and year 2 you get certain ESOPs and so on and so forth. And it's a rotating cycle for the policy. And more details, you can get on to a separate call, but there are more details also available in the annual report.

Moderator: The next question is from the line of Lokesh Manik from Vallum Capital.

Lokesh Manik: My first question was on SSG growth. So if you can share our vision in terms of how do you expect -- what are the growth drivers going forward, because we are mostly volume -focused,

our philosophy is volume -focused. So do you see control and conversion driving SSG growth? Or do you see more category addition on the non-apparel side to drive this growth within apparel, getting into more subcategories? How are you seeing the SSG growth going forward?

Lalit Agarwal: Yes, Lokesh, good question. Largely, we believe that we definitely have 2, 3 mechanism of bringing in additional revenue or the growth. One, definitely, we believe that we should continue the repeat consumers inflow in the market -- in the store. So our repeat sales or repeat consumer

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sales is almost -- in V-Mart almost 70% of our total sales. So that is the biggest cohort of consumers who come back and shop from our stores.

Two, we believe there definitely has to be some new inflow of consumers. There are no consumers in the market. There are more consumer -- there are newer consumer -- set of consumer which are coming in largely from teenage group or from the young group. So we will definitely have -- more consumer walking into our store. But definitely --also, we would believe that -- it would also -- we should also try to increase the frequency of our existing consumer and have a little larger bill values of our consumer.

And larger bill value would come both from selling or contributing more to their wardrobe and also adding certain newer categories or certain newer items like maybe we just initiated and launched in some stores, our beauty segment and our jewelry -- artificial jewelry segment, which has seen some good traction. We also launched a wearable segment, which is the smart watch and there will be the speaker.

And they also have shown some promising signs. So some growth could come from that particular side, but which is going to be very, very small. But larger growth will come from bringing in the newer generation consumer, which is the Gen Z consumer, and that is what -- where we grew from our base of 22% to 32% now. And that is where we would continue to focus on and that should drive our same -store sales growth.

Lokesh Manik: Great, Lalit ji so just a clarification on this. So hypothetically, if we were to see much higher growth in non-apparel and the wearables and the beauty and the artificial jewelry, would you still stick to 80% apparel portfolio mix or you would be willing to be a little agile and then let that come down to 70%? How do you see that going forward?

Lalit Agarwal: It won't be so much of shift because these are -- I mean, we call it as a non -apparel, but these are even fashion items. So we consider them as fashion and these are fashion accessories and fashion additional items. So I don't think it is going to be a major shift. But yes, there could be a 2% or 3% shift

which can happen over the period of time.

Lokesh Manik: Great. My second question was for Anand. Anand, so going forward from now and after the lease adjustments, would the pre and post Ind AS PBT be the same?

Anand Agarwal: No, Lokesh, the pre and post PBT will not be the same. There will still be an impact of Ind AS adjustment. The change which is -- which will happen is that the significant delta between the 2 pre-Ind AS and post -Ind AS that used to be roughly around INR 60-odd crores or which will keep on growing had the policy changes not happened, will continue to come down or will come down materially. So for a new store, roughly, the expenditure that we would book in our P&L would come down by almost 50%. But for a continuing store, because there is multiple stages of the lease contracts, so it is very difficult to quantify at this stage. But because we've been following the Ind AS regime -- Ind AS 116 regime for the last 7 years, there are various stages of the unwinding, which will happen.

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But suffice to say that the pre -Ind AS and the post -Ind AS EBITDA will not change, but the pre -Ind AS and post -Ind AS PBT will definitely still have some difference, but it will not be as stark as it used to be.

Lokesh Manik: Great. And just last question on the GST credit accumulation of about INR 100 crores, which was last year FY '24 number. I don't know the number this year. But what is the strategy to utilize that? I mean that's an unused fund left at the government level which then requires you to take debt to fund the cash flow situation.

Anand Agarwal: That's a very, very pertinent question, Lokesh. Very, very good question. And that remains a challenge --and that remains a challenge for a growing business. And in fact, in this year, there's been an added complexity being added by the government in terms of the reverse charge on rentals for smaller landlords as well. So that balance continues to grow.

There is a net addition of probably INR 14 crores or INR 15 crores in this year as well, almost INR 20 crores this year. So that remains a challenge. We are identifying certain areas wherein we can mitigate some part of that challenge, but very, very difficult to surpass this given the state of affairs that we currently are in.

Lokesh Manik: Anand, do you see this if your growth in non-apparel, this arises because of the GST difference between expense and sales is at 5% because of your apparel and expenses are at 18%. So the non-apparel category can compensate for this. Do you see that happening so you can get and plus you can grow the non-apparel side also?

Lalit Agarwal: So Lokesh, this happens largely because you keep investing into newer store expansions as well. All the new store expansion, which we do, which is the capex investment and all of this capex investment also has a very large portion of GST, which is almost towards 28%, 18% to 28%. And that whole accumulation of asset GST credit is something which creates a larger part of that credit dues which we have.

So for practical purposes, I would call out that we need to include that as a part of our capex investment because we may not be able to get back this money from the GST authorities, and it

will be very difficult for a growing organization to which is always increasing in the inventory as well as increasing in the assets to actually nullify this particular problem.

Lokesh Manik: But if you spend 18% GST products, then you can take an input tax credit.

Lalit Agarwal: No, but we still have the 80% input credit that you asked. So you -- there will be the EBITDA - difference will be only a small margin.

Moderator: The next question is from the line of Bhargav from Ambit Asset Management.

Bhargav: Sir, my question is on the average transaction size. So if you look at the transaction size value, it's flat on a Y-o-Y basis

is at close to about INR 977. Is it possible to sort of see an increase in this amount going forward?

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Lalit Agarwal: The average transaction value is -- I understand what you are asking. But for us, the average transaction size as we're going forward and as we see more and more youth coming into the market and into the store. And generally, we have seen that you don't do a bigger size basket. They come and buy one piece, one odd piece.

The frequency of coming in is much larger, but their number or the bill size is a little lower and that is what we are also focusing on. So we may not be able to immediately transact the higher

ABB. So we still believe that we want more consumer to come in multiple number of times and check out the inventory regularly.

And we are also focusing more on fast fashion. We are focusing on larger drops at the store at every week level. So we do believe that consumer will want to come back and want to shop again and again. And that is what we are trying to promote, not promote too much of overbilling, overbilling by the consumer at one point of time.

Bhargav: So I mean, in terms of cross-selling, we don't believe that in our stores, there is a potential for cross-selling other categories?

Lalit Agarwal: Definitely, there is and that is how you've got almost -- the 4 pieces in the basket that we have.

And that definitely is an outcome of cross-category sales. But as I said, going forward, if I ask -

- if I say that, okay, we'll be able to grow this ABS or the average bill size a little more higher.

It is still difficult. It will definitely come in.

And what we see the difference is whereas -- wherever there is a higher per capita income, we are seeing a very high ABS. But states like Bihar and Odisha, where there's a very low per capita income, the bill sizes are really very low. So it also depends upon the economy of the country and then also the state of the small towns in India, which is also the rural population.

Bhargav: And sir, my second question is that this decline in conversion is more a function of increase in footfalls, right? There has been a substantial increase in footfalls and hence, the drop in conversion.

Lalit Agarwal: Yes, because we believe now the consumers are just not coming to one store. They do check out with multiple stores, and they want to because, in the same lane, in the same road, there are multiple stores which are there. So they would come to one store, go out, check with other stores, and then come back to shop again.

So there is a higher inflow of consumers and an outflow of consumer that happen, but they do -
- but the consumers are definitely more aware, they want to be more informed and they definitely want to take the decision after checking out the complete market. So that philosophy we are seeing more and more happening. Anand wants to add something?

Anand Agarwal: So Bhargav, while the full year conversion numbers, at least in the third quarter were coming on the declining side, but if you look at the quarter 4 numbers, the conversion actually has inched upwards. And it's now largely stabilized. In fact, what Lalit has been saying exactly has been

now holding true.
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So we have come to sort of a plateau where we should see either stabilizing around these numbers or marginal up or increase, but we should not see any significant reduction going forward.

Bhargav: And sir, my last question was on the RFID status. Is there any progress on that front?

Lalit Agarwal: We are trying to evaluate the ROI also of RFID because as of now, I'm not able to see a lot of ROI of the RFID, but still, we are piloting with one segment of the business and one -- few stores in the business. And once the success -- looking at the success of the whole pilot store and the pilot area, we'll take

make a call maybe after 6 to 8 months.

Lalit Agarwal: Great, Moderator, maybe we can end this call. If things are not getting connected.

Moderator: Yes, sir.

Lalit Agarwal: Yes. So, I think let me put a final comment. If there are any questions left, maybe you can connect directly to the team. And thank you for being there. It is definitely a very good opportunity -- yes. So it looks like there's a great opportunity in the market. There's definitely a lot of consumption upswing that we would anticipate coming forward in the next 3 to 5 years. We definitely are getting graded up, prepared for all of the same.

The entire market is very, very booming, there's a lot of action happening in the value retail space. We would continue to focus on our key things. We are in no hurry to reach to a certain location or a certain geography or a certain number of stores. We continue with our expansion plan at that level.

We would continue with our similar growth rate of between 17% to 20% overall level and have the trust in us. We are seeing a lot of positive things happening in the organization as well as in the market. Thank you so much for being there. Have a good day.

Anand Agarwal: Thank you. Bye.

Moderator: Thank you. On behalf of V-Mart Retail Limited, that concludes this conference. Thank you for joining us, and you may now disconnect. Thank you.

Call: Jul 2025

Ref. No. CS/ S/L-906/202 5-26 2 9th July , 2025

To:
The Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
"Exchange Plaza"
Bandra Kurla Complex ,
Bandra (E) , Mumbai – 400 051
Scrip Code: VMART
Fax: 022 -26598120
Email: cmlist@nse.co.in To:
The Corporate Relationship Department
THE BSE LTD
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Scrip Code: 534976
Fax: 022 -22723121
Email: corp.relations@bseindia.com

Sub: Transcript of the Conference Call held on 2 5th July , 2025

Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and amendment thereof. In reference to our letter dated July 21 , 2025 (Ref. No. CS/S/ L-897/2025 -26) regarding the intimation of the conference call with Analysts and Investors held on 25 th July, 2025 , please find enclosed the transcript of the aforementioned conference call.

The above information is also available on the Company's website: www.vmart.co.in .

We request you to kindly take the above information on record.
Thanking Y ou,

Your s Truly
For V -Mart Retail Limited

Megha Tandon
(Company Secretary & Compliance Officer)

Encl: As above
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"V-Mart Retail Limited
Q1 FY'26 Earnings Conference Call "
July 25, 2025

MANAGEMENT : MR. LALIT AGARWAL – MANAGING DIRECTOR –
V-MART RETAIL LIMITED
MR. ANAND AGARWAL – CHIEF FINANCIAL
OFFICER – V-MART RETAIL LIMITED

MODERATOR : MR. TEJASH SHAH – AVENDUS SPARK

Moderator: Ladies and gentlemen, good day, and welcome to the V-Mart Retail Q1 FY '26 Earnings Conference Call hosted by Avendus Spark. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Tejash Shah from Avendus Spark. Thank you, and over to you.

Tejash Shah: Thank you, Vishakha. Good morning, everyone. On behalf of Avendus Spark, it's our pleasure to host the 1Q FY '26 Earnings Conference Call of V-Mart Retail Limited. Joining us today from the management team are Mr. Lalit Agarwal, Managing Director; Mr. Anand Agarwal, CFO. I'll now hand over the call to the management for the opening remarks, followed by the Q&A session. Thank you. Thank you.

Lalit Agarwal: Good morning, everyone. Good morning, Tejash. Thank you so much for introducing us and hosting us. Wonderful to hear you and come back to you with our Q1 analysis.

So, nothing very different. The business looks good. Customer sentiment in the Bharat market, looks okay. I would not call it as a very high customer sentiment in terms of consumption. But yes, it's positive. It's not too bullish as of now because the period and the seasonalities are such. But we expect it to grow during festival. This is definitely something we are seeing the undercurrent is very strong.

The consumption -- the reasons for consumption have changed. The reasons for celebrations have changed. There are more occasions that the consumers are celebrating. There are more reasons why they are buying. And this is what we are seeing as consumer sentiment. accumulation of all of that is equal to consumer sentiment.

So that is where we expect more spendings to be done, could result into a lesser saving, which we are already seeing the saving rates are going down and which could be a scenario. But yes, largely, we expect because of the decisions or the way the government is behaving, the way we are seeing industrialization coming in, the way the macroeconomic conditions and the global moves are happening upon tariffs and all.

We see -- we expect all of this to get benefited for us, for our Indian consumer, for our Indian industries, and that should lead into more per capita income that should lead into more adoption, or more consumption and more fashion, fashionism will creep into the market, and that is what we believe.

Inflation definitely has been under control. That is definitely not creating any concern for the consumer, because our consumers are really worried about that staple inflation, the basic vegetable, fruits and the staple. So that inflation seems to be under control in spite of MSPs

growing, and which is leading into more money into the farmers' pocket and the related parties' pocket.

So, I think all of those are good news. Monsoon looks better. Till now, we have seen very excellent monsoon coming in. There's no scarcity. Certain territory like Bihar, we still see a little low on the monsoon. But otherwise, most of the India looks good on the weather pattern.

The income from the crop should be good. That should drive the rural consumption, that should upkeep the rural consumption. So, we are a little positive on all of those things. Definitely, consumers have their own seasonality when they buy and why they buy (Festivals).

The last quarter, we saw some marriage dates coming in the month of May. Compared to last year, we did not see too many footfall growth. But yes, there was a growth. The marriages comparatively was more, but still, we saw average consumption.

n. We didn't see a huge

consumption. Yes, the footfalls have been good. It has been positive. We are seeing a little higher footfall also on the streets, because of more stores getting opened up.

So we are getting a lot of good feedback. We are taking a lot of feedback from the customers in terms of what do they consume, when do they consume, how would they buy, what are they looking like for the future or for the festivals. So we are seeing good, good sentiment even in the consumer segment.

We definitely have seen a lot of competitor aggressiveness coming in from all the sites, right, from the national competitors, like Zudio's and others and from the regional competitors, or even the larger regional competitor like V2 growing aggressively. So, there's been a lot of store openings. There has been definitely a lot of working, which has been happening in the competition space. People are creating different strategies. Somebody is working towards very high density and high variety

and high-depth kind of proposition to the consumer.

On the other side, there are retailers who are trying to create a little more experience by giving lesser assortment. But catering to a particular niche. So, there are those differentiated competition and differentiated consumer set that they're targeting, and which we are seeing in the market, which is creating more -- the good news is that, it is creating more footfall in the organized space, which is creating more belief for the consumers in the organized space. And that is becoming very evident.

And that is something which is very, very good, and that gives us a lot of confidence that people who can really deliver, people who can really work well towards giving that consumer segment that kind of experience, they will definitely get the benefits and will get the impact.

So, share of organized retail is growing and will continue to grow is what we feel. For us, we've been really focusing high on our back end, even on agility because we believe there's a lot of change, which is coming in into the market. There's a lot of change in the fashion as AI is penetrating into everybody's thumb.

So, things are moving a little more dynamic, right, from the designing, the creatives, the kind of experience that the consumer wants, the kind of fashion the consumer wants, the number of

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times that the consumer wants to see differentiated fashion. So, there is a dynamic, or more agile decision-making that we are trying to get into. We are trying to work on the processes. We are trying to work on the kind of technology that we have, the way people are working.

So, we are trying to bring those into the organization, so that we are becoming a little more faster. We are becoming a little more agile. We are becoming a little more analytical and aware about what the consumer wants.

So that is how we are driving our philosophy of serving the consumer, right from forecasting to the product management and the product designing. And that is where a lot of work has to be done and a lot of work is being done, bringing in some technological tools to try and drive all of these things.

Gross margins definitely is something, we saw good gross margin coming in. But yes, going forward, we still focus that we should be focusing more on the rupee gross margin rather than the percentage gross margin. That is how there would be certain product categories where the percentage gross margin could go down a little bit, but that's the plan going ahead. But largely, we still want to maintain, because if we do that, we believe that the full price sell-through should also grow and full price sell-through should be higher.

Ultimately, all of those should result into positive EBITDA, and that's what we are believing.

We are expecting a healthy consistent growth rate from the same-store, and we should be doing that as we

have been performing in the past quarters. We should also open up stores. There is big pipeline, which is getting built in by the team. There's a lot of store identification that has been done. So, we are on the path to open at least 13% to 14% of our square feet area -- additional square feet area in this year.

So that is what we are on to and we are on target. We are on track as far as our expansion cycle is concerned. There may be a few closures that may come in. There are 1 or 2 closures that we did in the past. We could still not -- we will not hesitate closing down some of the stores where we don't have an expectation or confidence where we can build business. So, we may take call on 7 or 8 or 10 stores going forward as well.

Other than that, I think we definitely have a clear strategy for our online digital business that digital business is becoming more omni. That is definitely -- the omni piece is getting integrated well. The costs are being reduced. The efficiencies are being generated. There is more that we are trying to generate with less. We don't believe in just tracking the revenue growth. We are tracking the breakeven point, and that is what we are all working towards, so that we are able to break even, or create a profitability index in our omni, or in our online business.

So that's the path that we are taking. We are not focusing too much of our attention on that while we are discussing on all this, but we definitely have that wing and there is a different team, which is working on it, and they are very clear. But that team with the technology knowledge, with the analytical knowledge, with the kind of knowledge that they have over AI and stuff, they are helping the overall business to grow and become more analytical and more AI driven. So that's the path that we are taking here.

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But ultimately, I really want to thank the entire team, our team who has been working so hard to bring in this kind of growth, maintain the customer experience. We've got very good customer repeat rates. We've got very good feedback from our customers in the NPS scores. So, we have seen good consistent feedback from employees. So, we believe our governance principles are

good. We will want to continue that. We will definitely want to motivate our people. We definitely have a great ecosystem with our great vendor base and everyone.

So, I think we definitely believe that the confidence that the team has, the confidence that our processes has, we are very clear that we should be able to act in the right spirit. We should be able to use the growth story of India, the growth story of Bharat, and that is how we will want to penetrate more into the smaller town or more into the new towns, or existing cities where we feel there is more potential, and we are definitely growing more and more in those cities, which are largely state capitals and bigger cities of the state.

So, we will definitely keep working on those. We are on -- largely on track. July seemed a little slow, but it should immediately come back in August and September, when the festival starts coming in right from Raksha Bandhan. So we are expecting a better Q2 because the festival will move in a little bit.

The Pujo, the Durga Puja season is a little preponed of 7 to 8 or 10 days. We should expect a little better September month or the second half of the September month. And then, we definitely are preparing for the entire festival, as well as the winter range, the kind of products has to be launched. There's a lot of innovation which is happening around fabric, a lot of innovation which is happening around designs.

So, all of those innovations are being used. There's a lot of integration, which is happening with mill owners, mills, vendors, the design team. So, some good activities happening on that side for the preparation of the coming up festival

period and the winter period. So that is where we all are. We'll keep you updated.

I'll just pass this to Anand, so that he can take you through the numbers, and then we'll be open there for the questions. Thank you so much.

Anand Agarwal: Thank you, Lalit, and good morning, everyone. Let me walk you through our quarter 1 performance and the key developments, and then we can open the floor for questions. So, starting with sales. Despite the shift of Eid in the previous quarter, we saw encouraging traction in this quarter.

Revenue grew by 13% year-on-year with V-Mart clocking -- actually 14% and Unlimited at 12%. The growth was driven largely by continued increase in footfalls and memo count as well, aided by a very good wedding season, but slightly impacted due to the Indo-Pak conflict in select areas in North India, and also the early onset of monsoon in June.

Our assortment has become much younger and more relevant, and the pricing is much sharper. The total apparel ASPs grew by 1% with 2% growth in V-Mart, and a conscious decline of 3% in Unlimited due to the ongoing shift towards more value-led offerings.

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Adjusting for the preponement of Eid, which fell in quarter 4 this year instead of quarter 1 like last year, the normalized SSG came at 5% with both V-Mart and Unlimited contributing equally.

From our regional standpoint, the North states of Rajasthan, Uttarakhand performed much better, while the Eastern region continued to face some amount of challenges, particularly around the Bangladesh border areas.

Moving to margins. Our gross margins, excluding LimeRoad.

Moderator: Sorry to interrupt you, Mr. Anand. Actually, your voice is echoing. Can you please check your device?

Anand Agarwal: Okay. Yes. So I was talking about margins. So moving on to margins. Our gross margins, excluding LimeRoad, improved by 60 bps to 34.8% on the back of better full price sell-throughs and liquidation of old inventory, which released provisions.

Total gross margins, however, improved marginally by 10 bps to 35.3% due to the 48% decline in LimeRoad's revenue contribution, which flows entirely into the gross margin line. We are working on implementing a sharper margin strategy, which will help reinforce our value positioning and ensure even fresher inventory through higher turns.

Coming to expenses. We continue to see the benefits of tight cost control. Operating expenses were 160 bps lower compared to last year. This was largely due to significantly lower online marketing spends on LimeRoad, partially replaced through higher sourcing of online omnichannel orders through the V-Mart stores.

Manpower costs rose by 13%, in line with new store openings and variable incentives and ESOP-related costs. Other expenses declined by 2.6% year-on-year, thanks to the lower marketing in off-line business also, along with lower logistics and marketing costs from online business in LimeRoad, together with a few other structural efficiency measures.

Due to the changes made in IndAS accounting policy last quarter, the go-forward depreciation on fixed assets should now come at around INR 28 crores per quarter versus the erstwhile INR 19 crores, while the depreciation on ROU assets will be around INR 40 crores, which shall keep getting adjusted with new store additions and retirement cycle as the business grows.

Similarly, the finance cost, which has 2 components, actual interest cost and the accounting finance cost on ROU lease liability will also transition. While these changes happened in the previous quarter, but I think in the interest of all the analysts financial modeling, I just thought it might be better to discuss this point right here.

Similarly, the actual interest cost outgo shall vary as per the working capital deployment. But should remain in range bound at around INR 3 crores to INR 5 crores per quarter. The

notional

finance cost on the ROU lease liability should come down from INR 32 crores to approximately INR 11 crores on the current scale going forward.

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Again, for the interest of all the analysts, in case they require any help with the financial modeling, we'll be happy to set up a separate one-on-one call on the changes made in the IndAS accounting separately. Please get in touch with the IR team or me separately on this.

Coming to EBITDA. Excluding LimeRoad, we delivered an EBITDA margin of 14.9%, which is 80 bps higher year-on-year, driven by operational efficiencies. Including LimeRoad, where the EBITDA losses reduced by 56% year-on-year, our total EBITDA grew by 27% and margin improved by 170 bps to 14.3%.

Coming to inventory. We closed the quarter with inventory of INR 818 crores, translating to 93 days, which is a 5% improvement over last year. Per store inventory increased marginally, but remained healthy. The provision for aged inventory came down significantly from 1.7% last year to 0.7% this year this quarter, reflecting better inventory health.

This has been enabled by liquidation of old inventory during the quarter, along with technology-led improvements across design, sourcing, quality control and replenishment cycles, leading to better sell-throughs and thereby lesser leftovers.

YTD capex stood at INR 30 crores, primarily towards new store openings and refurbishments.

We continue to invest in expanding the store base and refurbishing existing older stores, and the results are visible through sustained footfall and sales momentum.

On the liquidity side, working capital utilization, which had temporarily spiked in quarter 4 is now back to INR 35 crores, while this may go up in quarter 2 due to seasonal stocking, but we expect it to remain within a comfortable range of average around INR 90 crores to INR 100 crores for the entire year.

We generated INR 109 crores in free cash flow this quarter, largely due to efficient inventory management. There is no long-term debt as we have always maintained, and we are well positioned to fund future growth through internal accruals.

On the new store openings outlook, we added 15 stores this quarter and closed 2. Our guidance remains unchanged. We are targeting 12% to 15% net area addition annually, with 1% to 2% closures, which will be normal closures in any year. This year, we should see a net addition, therefore, of around at least 65 new stores. All the major store corrections have already been done in the last 2 years. So going forward, we expect only small need-based exits. So that was all from my side.

I now request the moderator to open the house for questions.

Moderator: The first question is from the line of Mr. Param Verma from Trinetra Asset Managers.

Param Verma: Congratulations, sir, for a great quarter. So, I wanted to ask was the company added 50 new stores in quarter 1 of financial year '26. So, bringing the total to 510 stores. So, what is the target number of new store additions for the full financial year? And what are the specific criteria for selecting new locations, particularly in Tier 2, 3 and 4 cities?

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Lalit Agarwal: So the full year forecast for the new store addition should be around 65 net new stores. We are looking at adding slightly more, but there may also be some amount of store corrections. So, net-net, we should definitely look at 65 new store additions for this year.

Param Verma: Okay. And sir, what are the specific criteria you look out for when you are exploring new locations in Tier 2, 3 and 4 cities?

Anand Agarwal: So, there is an established playbook that we have been using for the last at least 20 years. So, we look at multiple criteria. We look at the population density. We look at the demographics, we look at the growth of that part

icular city or town, the nearness to an existing V-Mart store. There

are multiple things that we look at. There are at least 500 checkpoints that we have to pick before we select the site.

But at least in the last 5, 7, 10 years, I think the job has become slightly more easier, with the advent of technology. And as also more competition selects a lot of new sites, so it becomes

more democratic and more easy for all of us to ascertain. But at the same time, there are also challenges in terms of real estate cost, and same site being selected by multiple people.

Moderator: The next question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: Sir, first of all, congrats on a good set of numbers. Second, on the same -store sales. While this has moderated, even on a normalized level, if I look at, it is still lower than the previous quarters, which we were clocking in 2Q and 3Q. And it is not only V-Mart. I see the other players who are into value retail in Tier 2, Tier 3 mostly. There also, there has been a decent slowdown, again, adjusted even if we look at the normalized numbers.

So just wanted to understand, I mean, what is going on, on the ground? Is it the base catching up primarily or this is change in some competitive dynamics or the unorganized channel coming back suddenly? Any color on this will be helpful, sir.

Lalit Agarwal: No, I don't think there is any such movement happening in the market. This is a normal routine.

Definitely, because the monsoons have got a little preponed, most of the festivals are getting a little more preponed. So, there could be a little bit of that impact, which is getting there because once again, normalizing EBITDA, but we don't know whether that yield normalization for us is right or the right way to look at it.

So, there is some amount of that kind of movement. But otherwise, we don't see, as I said, there may be a little bit of sluggishness in the consumer set also, which we could realize because it is happening across the market. But ultimately, it is more period -to-period shift, which is happening. So, I don't think there is a lot that we can drive from this.

Sameer Gupta: Got it. But you will still be looking at a mid - to high single -digit SSG for the full year?

Lalit Agarwal: Yes, I think we are looking at. See, there is an impact that we can see in our business one because also there's a large consumption, which also happens from Bangladesh, and that's one consumer set, which has stopped coming completely. So, in the eastern part of India, especially, we see a lot of those consumers also are an active consumer to some of -- a lot of our stores. So, we've

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seen some drastic downfall in their footfall and then leading to certain degrowth in those particular territories. So that is also creating a big impact in this particular outcome.

Sameer Gupta: And when does that anniversarized, because I believe the disruption happened more than a year ago.

Lalit Agarwal: No, it happened only 3 to 6 months back, major disruption. It started right in the October, November last year also, but it was not major. The majority happened in this particular calendar year.

Sameer Gupta: Got it, sir. This is very helpful. Secondly, sir, on the margins. Now you have clocked -- if I look at on a pre-IndAS basis, we have clocked around 7% this quarter. And if I exclude the losses of LimeRoad, it would go up to 7.5%. Historically, your full year is very close to what you do in 1Q. I understand there is seasonality in 2Q and 4Q, but 3Q is always higher. But 1Q normally mimics the full year for you, if I look at historical trend.

Now with LimeRoad losses expected to moderate further from here on, FY '26 EBITDA margin on a pre -IndAS basis for V-Mart as a whole should be at least 7%. Now what -- I mean, is this a wrong logic to look at?

Anand Agarwal: Your logic

is entirely correct, but let me just try to be slightly more conservative. I don't want to give a guidance or a high guidance. We are definitely -- right now, as you rightly said in the

beginning, quarter 1 has not really been a very good start in terms of the SSG. While we are hoping that quarter 2, quarter 3, we should get better results. But at the same time, we are also trying to rework our product strategy and our margin strategy, and we are looking at higher rupee margins rather than percentage margins.

So, while at a rupee EBITDA margin level, rupee gross margin level, we should definitely see more robust growth, but I'll not be so bullish on the percentage growth. So, while I take your optimism, but at the same time, I will still want to be slightly more conservative and be more constrained in how we build our numbers.

Sameer Gupta: I understand, sir. But let's say, you're doing lower value products that should technically then lead to higher SSG growth. And finally, the leverage should kick in to give you a better margin in any case?

Anand Agarwal: No, you're absolutely right. But till time that happens, I don't want to give out a high guidance. We will want to do that. But right now, I can't see that this is something that we should build in for the entire year.

Moderator: The next question is from the line of Aditi Loharuka from CD Equisearch Private Limited.

Aditi Loharuka: My question is, what is your competitive advantage in vendor consolidation?

Lalit Agarwal: Aditi, can you explain what you mean by vendor consolidation?

Aditi Loharuka: Last time when we had the call, you said that due to vendor consolidation, you have been able to increase your sales and you are getting better margins and your cost is also low. So...

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Lalit Agarwal: I think see, we are working with the vendor in trying to create a seamless processes where we integrate with the mills, we integrate with the fabric manufacturers. We also look into their costing mechanisms, create a more transparent cost-based relationship, bring in efficiency in their manufacturing processes.

For the sake of saying that vendor consolidation, I mean, definitely, there was a lot of work that we did. But in this particular quarter, now we are once again trying to become a little more open on this particular front because there's a lot of styling, designing, a lot of new innovations which are kicking in.

And there are not a lot of new type of vendors also which are coming up, which are start-up vendors, which are new vendors, which are young vendors, which are also creating a good impact in the process. So we -- I would not really call out for vendor consolidation in this particular year. But yes, we'll definitely work more on the cost philosophy in this particular year.

Aditi Loharuka: Sir, how is it different from what other players are doing? Are they doing vendor consolidation? Or is it just you doing...?

Lalit Agarwal: Aditi, I may not be aware what others are doing, I am getting it hard to handle my own stuff, how can I handle other? So don't try to compare with me and don't ask questions around that. But I can tell you what are we doing, and what is the change in our philosophy and thought process that we are doing.

Aditi Loharuka: Okay. So, vendor consolidation initiative of yours, have it led to reached to an optimum level or the work is still left to do in that area?

Lalit Agarwal: So, there is definitely a lot of work which can be done, but we are -- we saw a risk in also larger vendors and bigger vendors. We don't want to rely on a lot of bigger vendors because -- the exports also seems to get opened up market -- the tariff policies of U.S. have really shaken the market. So, we saw some risk coming in, which I also highlighted in the last call to last call and last call. So, we don't want to really bank too much

on key vendors and top vendors. We want to spread out that vendor base as well.

Moderator: The next question is from the line of Tejash Shah from Avendus Spark.

Tejash Shah: Lalitji, for a while, we have been talking about working on our product side on product as a pillar for strategic intervention. So where are we in that journey? And as an outsider, how should I assess -- will it be higher throughput or better gross margin? How should I kind of validate that it's happening?

Lalit Agarwal: I mean, see, ultimately, we all work towards that. There are those leading indicators that you work on so that you are able to finally deliver a higher throughput. And that's the key thought process that we are driving, not very clearly higher margin is also an outcome of your full price sell-through and then how better can you drive a full price sell-through? How lesser do you have a stale inventory or a leftover inventory and discounted inventories and discounted sales.

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So, all of those are the -- our calculation arithmetic based on the guts, based on the skills, based on the learnings, based on the capabilities and the alignment of things that we are doing. So, all of that is happening. How do you assess it?

Definitely, you can assess it when you visit our stores, when you look at our stores, when you go and talk to our customer, when you try and gauge the market, that is the best thing that to do. Otherwise, it is very difficult for you to really understand what is happening, at times we are not sure. We come to know after it happens

Tejash Shah: Fair enough. And second, Lalitji, we are picking up for many retailers, not only on value side, but across metro to Tier 2, Tier 3 that rentals have actually become very costly because the space has become very crowded retail in general. So, any read through there?

Lalit Agarwal: No, I think, see, we have been always saying that rentals is a game, which is always a negotiation power, negotiation skill game and the kind of property that you look forward to. It is also an expectation that the brand has and the kind of space that the brand gives forward. not that every property couldn't be consumed by a few retailers. There are a lot of properties which are getting built also, because as the market is growing, as the consumers for the properties are growing or the retailers are growing.

Similarly, the developers and the small time developers are also growing and the land is getting consolidated to build those kind of properties, which could be let out to the retailers. So, I think

it is ultimately a demand and supply game, and it is always going to be whenever the demand is higher, the supply is also going -- will become higher.

So, it is a temporary phenomenon. There is definitely a rise in rental that we could see. We have seen that. There is a rise in rental of our existing stores also whenever we are going for renewal. So that is definitely happening. And similarly, we need to expect the market to also grow. So,

we are not raising our bar too much. We definitely work towards our IRR mechanism. We don't want to go beyond what we could queue and digest. So, we are very conscious of that fact. We will not grow too much if that becomes a bottleneck.

Tejas h Shah: And last one, Lalitji, I'm not sure how relevant this question is to you. But now quick commerce guys are stating that they are seeing some proof of the concept in Tier 1, Tier 2 also. Wherever we are doing grocery, are we impacted or there is any overlap where quick commerce has started and we are seeing some impact on our numbers?

Lalit Agarwal: Exactly, I would not call out that for 80% of the locations. But yes, maybe 20% of the locations, I could see some discussions happening. There is some muted growth or degrowth as well in certain towns where we are seeing an aggressive penetration of these quick commerce,

especially

in this particular food and non-food segment. But that's not too big. And that for us also that area is not too big. So, we do n't mind it -- that. And I don't see other items creating an impact, with the other impact menu items.

Moderator: The next question is from the line of Ashish from Leo Capital.

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Ashish: Congratulations on the good set of numbers. I had one question. How does our price point compare versus, let's say, Style Union, Yousta and other competitors in the market?

Lalit Agarwal: I hope analyst that works with you and that he -- they should be able to give us a good outside information. But anyway, we believe, I mean, Style Union, Yousta and all of those, they definitely are a little more Urban-ish retailer. We definitely are a little more mass retailer. And our price point of similar items should be at least 15% to 20% lower. That's our goal. That's our expectation.

There may be certain products where the prices are almost similar, or the prices are even 5% or 7% higher for us. I don't -- we haven't come across such, but there could be some entry price point that depends upon the strategy of a retailer where they want to layer with some product and keep their margins low on certain product. Could be -- there could be some competition on a particular item. But otherwise, on an average, we see the kind of retailers that you named, it is almost 15% to 20% delta that their prices are versus ours.

Ashish: Got it. Got it. Secondly, I think you partially answered this, but I wanted a better view. So, how is the overall demand scenario for value retail? And what kind of -- what sort of SSGs do you expect on a full year basis?

Lalit Agarwal: Very difficult to give you a number-driven answer -- but yes, we are positive. We are definitely building our business plan, our planning, our sourcing, our buying plan from the number that we had displayed in the last 4 quarters. So, we definitely believe there should be a little higher single-digit same-store sales growth that we should be expecting in the next 3, 4 quarters. So that's the area. And that is how we are actually building our complete merchandise plan also.

Moderator: The next question is from the line of Bhargav from Ambit Asset Management.

Bhargav: Congratulations for good numbers. So just wanted to have some clarification on your statement that EBITDA margins may not go up, but EBITDA per square feet may go up. Does that mean that we are trying to focus on increasing the ASP or increasing the average bill value?

Lalit Agarwal: So Bhargavji, it is not necessarily that ASP or bill value will drive that EBITDA, the growth in margin. Yes, definitely, there is a focus during festival, the ASP should go up -- and as we are seeing consumers becoming a little more aware, digitally aware, socially aware, we are seeing the likings of better product a little more during festive period and during festival occasional period.

So, we are expecting a little rise in the ASP should, and that's how we are trying to work on. But otherwise, it is more about trying to sell a little better product a little more if there is a constraint on certain price limitation of my customer and there are some products which I may not be able to offer because of that constraint, there is where I want to apply a pricing principle with a little compromise on margin so that we are able to deliver those kind of product lines also to my consumer that, who can afford in a particular price limit.

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So that is what the policy is definitely that may incrementally give a little higher ASP. I'm not too sure about the average bill value. But yes, there should be a delta 3% to 4% could be a delta 2% to 3% shift in the ASP that should drive it.

Bhargav: Secondly, sir, after a long time, we have seen some go

od manufacturing investments happening

in the state of Bihar. Do you think with more and more manufacturing coming in and with

employment opportunities rising in those industries, we will tend to sort of benefit more given our presence over there?

Lalit Agarwal: Yes. I mean, definitely, that is one of the poorest state -- one of the poorest states that we are catering to right now and there per capita income of that state is very low. And we believe anything which is happening in that particular direction, which increases the per capita income of that state and brings about more prosperity in the state will definitely result into a better outcome for us, because we are almost present in all the districts in Bihar.

Bhargav: So sir, incrementally, are we looking at opening more stores in Bihar?

Lalit Agarwal: As of now, there is no -- I mean, see, definitely, as that ground is, it has -- it is a battleground for both the North Indian retailers and the East Indian retailers. So, it's the real battleground where most of the retailers also are penetrating and not. But as of now, it is too early right now for us to say that, there is industry which is coming in employment, which is getting generated. There are those plans which are getting built, those news headlines that is getting made, but still the factory walls and the factory sheds are yet to be there.

Bhargav: And lastly, sir, last year, we did a negative free cash flow. Is it fair to say that this year we'll possibly end up making good EPS given that first quarter has been fairly strong at more than INR100 crores?

Anand Agarwal: Bhargav, we will like to reinvest a large part of whatever cash that we generate into opening new stores. I'm not looking to accumulate cash. But at the same time, I will definitely want to have a positive cash flow. But again, as I said, I would want to reinvest back into the business as much as possible.

Moderator: The next question is from the line of Ankit Kedia from PhillipCapital.

Ankit Kedia: Sir, 2 questions from my side. First is on the A&P expenses. This quarter, given that the yield was early, the A&P expenses were nearly 100 bps lower, which led to the margin expansion.

For the remaining 3 quarters, given that festivities are there and hope for a better demand environment, will we maintain our 3.5% advertising expense for the full year? Or the saving in this quarter will be saved and reinvested in product and other places?

Anand Agarwal: So Ankit, from last 2, 3 quarters, we have begun the downward trajectory on the advertisement and the marketing expense. Particularly on the LimeRoad side, there is a significant reduction. But even on the offline business, where we historically used to average around 2% in marketing spends, 2.5% in marketing spends, we are targeting to bring it down. So maybe not as drastic as what we have done in this quarter, but quarter 2 because quarter 2 is the buildup for the festive period. So, there will be a reduction, but not very, very drastic.

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Ankit Kedia: Sure. My second question is on Unlimited. With most of the urban-centric retailers in value fashion being more in the South, are we looking for more product differentiation in South versus North now compared to when we acquired Unlimited? And how much is the overlap between the products in South and North?

And if there is a difference, how is the throughput difference coming in from South and especially for the new stores we are opening because they are clocking much more compared to

the older stores. So, from Unlimited perspective, the journey towards high single-digit margins over the next 2 years, how confident are we with the product shift?

Lalit Agarwal: Yes, Ankit, definitely, there has been a little bit of convergence that we are trying to drive from the product perspective as well or the price range or the product

quality or the product type

perspective. But still, there is a differentiated behavior that Unlimited has.

So almost 50% of the product, if I say, in a usual time is almost common. The usual time is largely the spring/summer, just starting of the festival onset time. But during winter period, it changes a lot because of the seasonality.

So still, we see definitely good traction coming in on whatever new product introduction that we have done, which has brought in success at V-Mart also, especially what you said about the new stores where we have done a little bit more -- the new store is more like a V-Mart proposed store, a bit lesser those brands -- those partner brand businesses and then it is largely also focusing on Tier 3 and Tier 4 towns.

So that is bringing us good response on low ASP products, the products which are largely for the consumer segment, which is masses. And then that is giving us a good response. We believe that should give us a good journey towards growth. And that should also lead and bring in more consumer segment and more consumer which is mass-oriented and youth-oriented should come in.

Ankit Kedia: Over the margin trajectory in Unlimited, will it start mirroring V-Mart in a couple of years now, given that incremental stores will start delivering the same numbers what V-Mart does?

Lalit Agarwal: I mean, see, that's the calculation. It should work better. It should bring in good results. Not necessarily all the new stores have given us great numbers. There are 30% of the stores which are also pulling us down in

the new store list also.

So, there are some work which is happening around that as well. But yes, large ly, on the list of stores that we had acquired, we have also filtered out some of those stores where those stores which were not performing has gone down or gone away or have been closed. And the stores which have been performing are giving us now -- have started also giving good growth. So, we should expect, but still you won't -- we will still have that delta of the margin as well as the sales per square feet compared to V -Mart, which is always there as a lag.

Moderator: The next question is from the line of Rahul Agarwal from Ikigai Asset.

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Rahul Agarwal: Sir, just a few clarifications on whatever so far we've discussed on the call. On lease rental inflation, just to be very clear on this, let's say, whatever new stores you sign up right now and if you hav e to compare those square feet per month kind of rentals 2 years back, what are the inflation we are seeing for new stores? And for the renewals, are the trends very different or they are similar? That's the first question.

Lalit Agarwal: I think we are si gning up on almost similar average. There may be an additional maybe around 5% delta from our existing normal rate of the existing stores. So around between that -- that is the range that we are trying to focus on. So, I think as a percentage also, we are targeting similar percentage or even lower percentage because we believe the new store should be generating better revenue in the first year of operation. It drops in the second year of operation. But average on average, it should come and have the similar averages.

Rahul Agarwal: So new stores are 5% higher than existing the renewals is what you're seeing?

Lalit Agarwal: Yes, yes. So, suppose INR 45 is my average rental, the new store may be around INR 47. That's the average that we are discussing now.

Rahul Agarwal: Okay. And that INR 45 was 2 years back, what would be that number?

Lalit Agarwal: So, if I say 5 years, it has grown by almost INR 10. We were averaging around INR 36 at that period of time. And then after Unlimited, the average went up. But now, yes, this is definitely inching up every year by 5%, 7%.

Rahul Agarwal: Got it, sir. Secondly, on the same -store sales growth, there's b

een enough discussion around what

you expect for the full year. But just mathematically, if I look at what you delivered last year, it looks like you had very high double -digit growth, right, for the first 9 months of last year. Now going into this year, you have festivals supporting you, a bit of like 10, 15 days preponement. But when I look at numbers, last year second q uarter, 16% for V -Mart value growth, 10% for third quarter and fourth quarter, then it normalized to 7%. You still maintain on this base, you will be able to do mid - to high single -digit same -store sales growth on value basis for V -Mart - is that correct?

Lalit Agarwal: Why are you putting me in dilemma ? Let me work on it and you will know. So many questions, how can we work? We are trying our best to grow. We have to growth at our pace and we should do it. And there is an opportunity in the market. There' s definitely a fashion opportunity which is there. There's new what are the customer is trying to build.

There are a new set of consumers which are coming to the market. There is an opportunity. How much of the opportunity can be cash is all depending upon our actions and our resembles of actions. So let's try and do it.

Rahul Agarwal: Got it. Fair point. Fair point. And one more clarification on the margins. I think what was discussed was that 1Q margin should not be extrapolated for the full year. So, what you're saying is EBITDA per unit or whatever piece you sell will be higher, but percentage- wise, maybe we'll be like similar or maybe a bit lower than 1Q for the full year is what you've said. Is that correct?

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Anand Agarwal: Yes. I mean that's how you s hould expect, and that's what we are trying to gain, because we are not working on the percentage margin. We are trying to work on the rupee margin. Definitely, it will result into percentage margin once the same-store sales growth grows up, because if the same -store sales growth happens then large part of our cost is fixed in nature. So that definitely will result into that arbitrage.

Moderator: The next question is from the line of Varad Patil from NV Capital.

Varad Patil: So two questions. So first one was, is it fair to assume that the reduction in advertising cost will be our major margin driver given we'll be maintaining our gross margins and since new store additions will also kind of prop up our other expenses.

Anand Agarwal : Varad, that is not the margin driver. So basically, the reason for the advertisement or the marketing cost reduction is not to increase the margins, but to increase the productivity. We are employing more efficient ways of marketing, thereby reducing the cost, which was, in our view, was not as beneficial.

But there are multiple other margin drivers, which are working more in our favor and which we would want to focus more on like product improvement, like sharper pricing, like product display, like supply chain efficiencies, like usage of technology, and there are multiple other

ways in which we are using multiple tools to improve our offering to the customer, thereby increasing our sales and margins.

Varad Patil: Okay. And so another was on Unlimited. So, do you see any further decrease in average selling price as you mentioned earlier in the call that Unlimited focus will also shift towards offering more value products?

Anand Agarwal: So ASP, we are not looking at any increase in the ASP, especially in Unlimited. We are committed to provide more value offering. And while there may be some seasonal variations because of festivals, et cetera. But at an overall level, the ASPs should not increase in Unlimited.

They should only come slightly more closer towards V-Mart in the longer run.

Varad Patil: Okay. And on your store expansion plan, so are there any particular geographical clusters we'll be focusing on for the...

Anand Agarwal: Pa

n-India, we don't -- yes, it's pan-India. We look at cluster-based expansion model. So, we look at all the states, all the cities, all the towns where we already are present and try to open nearby.

Varad Patil: But any specific states or geographies we are focusing on?

Anand Agarwal: No, no, no.

Moderator: The next question is from the line of Rajiv Bharati from Nuvama.

Rajiv Bharati: On Slide 9, this V-Mart plus Unlimited advertisement expense, how do we, let's say, on a comparable basis, how do we allocate for modeling sake between the 2 formats?

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Anand Agarwal: So Rajiv, there is no allocation. These are actual specific costs that we incur for each of the stores or regions in respective territories. There is no allocation per se for any of the expenditure in any of the lines.

Rajiv Bharati: No, between -- because this V-Mart plus Unlimited, you have given that combined ad expense, right? Is it possible to split that by format?

Anand Agarwal: Yes, it is possible. I think I can share that number. It's not very -- normally 80% business is V-Mart. And typically, the marketing strategy remains almost similar for both V-Mart as well as Unlimited. There are seasonal variations. So for example, Unlimited had a preview sale for 10, 15 days in the month of June. So, they might have had a slightly higher expenditure. But overall, at an overall level, you can break the expenditure at an 80-20 ratio.

Rajiv Bharati: Sure. And on gross margin, the variation between Unlimited and V-Mart on a Y-o-Y basis, let's say, how has the movement been between the 2 formats?

Anand Agarwal: Gross margin in both the formats should have remained at a very similar kind, Unlimited is a bit more. So Unlimited usually has a slightly higher gross margin, because we charge a 5% extra pricing in Unlimited for almost similar kind of products. That is because we cover the higher operating costs. So, at a V-Mart level, our gross margins this year would have been roughly around 34%, while for Unlimited, they would have been at around 39%, 40%.

Rajiv Bharati: And the improvement on a Y-o-Y basis would be similar. I mean, why I'm asking this is because if you split that advertisement expense, right, we can reverse calculate the gross margin ourselves.

Anand Agarwal: You can have a separate discussion with Suraj. I will -- we don't disclose it separately the gross margin in the IR presentation. But I get your point, but I'm just trying to tell you is that whatever strategy that we implement is for both the regions, Unlimited and V-Mart are not very different

for us in terms of market penetration strategy and marketing strategy. So, the expenses typically move in tandem.

Rajiv Bharati: Sure. Lastly, on the full price comment, so one of the peer has commented that June, especially we have seen a very high level of discounting from value retailers. So, have we also seen that in our portfolio?

Anand Agarwal: No, not that I'm aware of. We have not started any early discounting. We have always been an honest price value retailer. So, we have not seen any high level of discounting.

Moderator: Thank you. We will take this as the last question. I now hand the conference over to the management for closing comments.

Lalit Agarwal: Yes. So, thank you so much for being there. We are all ganged up towards building a great festival, and we are all working very, very intensely to try and work with the zone team, with the store team, with the creative team, with the vendor base and trying to get the product on time, trying to meet the need, have the right supply chain, build for the customer new expectation, and also have a differentiated brand proposition in terms of the presence in digital media.

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So, we're trying to bring in improvisation what the newer age consumer seg

ment wants and the

Gen Z wants, and that is what we are trying to drive. So, we all are focusing more on our work. So excuse us sometimes, if a lot of your requests around conference and stuff are not being catered to. But we believe we should be able to deliver a good healthy growth in the coming future. Thank you so much for being there and having the patience.

Anand Agarwal: Thank you.

Moderator: Thank you. On behalf of V-Mart Retail, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Ref. No. CS/ S/L-929/202 5-26 14th November , 2025

To:

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Dalal Street, Mumbai – 400 001
Scrip Code: 534976
Fax: 022 -22723121
Email: corp.relations@bseindia.com

Sub: Transcript of the Conference Call held on 11th November , 2025

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and amendment thereof. In reference to our letter dated November 4, 2025 (Ref. No. CS/S/ L-919 /2025 -26) regarding the intimation of the conference call with Analysts and Investors held on 11th November , 2025 , please find enclosed the transcript of the aforementioned conference call.

The above information is also available on the Company's website: www.vmart.co.in .

We request you to kindly take the above information on record.

Thanking You,

Yours Truly

For V -Mart Retail Limited

Megha Tandon
(Company Secretary & Compliance Officer)

Encl: As above
V-Mart Retail Limited
November 11, 2025

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"V-Mart Retail Limited
Q2 FY'26 Earnings Conference Call"
Nov 11, 2025

MANAGEMENT : MR. LALIT AGARWAL – MANAGING DIRECTOR
V-MART RETAIL LIMITED
MR. ANAND AGARWAL – CHIEF FINANCIAL

OFFICER V-MART RETAIL LIMITED

MODERATOR : MS. PARIN TANNA – B&K SECURITIES

V-Mart Retail Limited
November 11, 2025

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Moderator:

Ladies and gentlemen, good day and welcome to V-Mart Retail Ltd Q2 FY26 earnings call hosted by B&K Securities India Pvt. Ltd. As a reminder, all participant lines will be in the listen-only mode, and there'll be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star and zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Parin Tanna.

Thank you and over to you, ma'am.

Parin Tanna:

Good afternoon, everyone. Welcome, everyone, for the call of V-Mart 2Q earnings.

We have Mr. Lalit Agarwal, the Chairman and Managing Director of the company, and we also have Mr. Anand Agarwal, the CFO of the company. Without delaying it further, we will request Mr. Lalit Agarwal to give us initial comments about the company's performance and outlook for the company going forward. Over to you, sir.

Lalit Agarwal:

Thank you, Parin. Good afternoon, everyone. The things look quite busy at our end.

The festival has just gone by. We have almost covered half of Q3, but yes, for the last quarter or from the last quarter till now, we definitely are seeing a lot of enthusiasm in the market, a lot of enthusiasm getting driven by the government also this year, especially with respect to consumerism and with respect to consumer increment, especially because there was a GST or GST rate reduction which happened. So, the government was very particular in terms of the GST rollout, the way the consumers are being communicated about the benefits, the way the stores are being prepared on those. So, a lot of work happened on the GST side. Largely, I would say, looking at the consumer side, especially the consumers who are relatively the consumer which the Bharat consumer is mostly attuned to. So, that consumer is being given a little more focus by the government.

That we see. There is a lot of hue and cry that happened. All the roller coaster play was always there because the announcement happened in the first week of September, the implementation happened around 20th of September.

So, all of that created some kind of wait and watch as well as for the consumer. But we did not see a lot of those impacts of GST rollout. Benefit was not too greatly visualized in the lower ticket size item.

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But yes, we did see some of the benefits coming in the higher ticket size items, like a car or a bike or white goods. Overall, inflation is under control, which definitely gives a much better confidence level to the

consumer. It also has created some kind of saving for the consumer.

So, that part looks good for the futuristic perspective. The consumer will definitely save both from inflation as well as what ever GST reduction, which has happen ed. So, a lot of GST rate reduction has happened in FMCG, also in higher priced apparel and footwear.

So, all of those benefits should in fact come in the later p eriod is what we believe. And that should always be there. Other than that, I think there is definitely a lot of good things happening in the industrial side, a lot of good things happening in the business market.

We are able to see some industries gettin g developed even in our state s, which is Uttar Pradesh or lot of the changes which is coming in the states of Tamil Nadu or even in

the states of Karnataka. But largely, we did see some good benefit also coming out of it. Definitely, the benefit, whatever we are accruing in the market is also getting subsumed or getting consumed by other retailers as well.

And there is a good level of competition or retailers, which has also opened up the doors, which continues to happen. And which is also a good news that they all are finding the market very interesting. And everybody is able to retain good results.

So, that has really given both the, it has become a share of organized has also gone up. The people have started opting more for the organized retail. And the share which was there is also getting shared amongst the retailers.

So, both the sides are happening. Definitely, the seasonality on the seasonality side, rain was not as expected, did not behave as expected. There was some disrupted seasonality because of excess rain or multiple rain cycles even in the festival period.

So, some of those activities or cyclonic activities in the coastal belt and southern belt or the Pujo market, which is the eastern market, did create an impact on the overall festival ret ail sales in the industry. That did give some impact for the peak week of Pooja. But otherwise, I think it looks good now.

It definitely, we see a better perspective of season now with the onset of winter, winter has onset at the right time. We did see so me impact in the Diwali. But Diwali was largely a summer Diwali this year because Diwali was, at the date level, it was the earliest Diwali that we could have.

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Once again, in the next year, we will see Diwali coming down in November. November also late , late second week of November. So, Diwali at this time, generally, we see a lot of summer related products or even the basic related products selling more, which reduces the average se lling price of the product line then that we see. But yes, immediately af ter Diwali, we saw some chill factor coming in and we saw immediate shift of the consumer from that product lines to the winter product lines, which is what we also wanted and which is what we also look forward to. This has definitely been benefited also w ith better marriage number of days. So, this year, because Diwali is early, we get higher number of days duration before 15th December as marriage day s. So, that also is a benefit to the retail industry. Overall, we do consume during marriage season. So, w e believe both Diwali as well as marriage as well as winter should help us to get a little delta sale

in these kind of products. We are expecting a better November than even from an October perspective. Overall, Diwali was good, not great as per our expectation.

We still feel that we could have done 4-5% better. But yes, it was a positive Diwali for us. There was growth, but not a great growth.

We do believe that post Diwali should be a better period for us. That is what we expect. Definitely last quarter, we saw Durga Pooja coming early. So, some of the sales of Durga Pooja, which is largely in the eastern region or the eastern belt of India and some part of southern belt of India, they normally consume within Durga Pooja before Dussehra, before Ashtami. So, that is the period when we see a lot of sales getting accumulated in the Q2 period itself. That is why you were able to see some good like-to-like growth, which is almost up to the tune of 11%, which we reported.

And a lot of other retailers have also reported because people who have a higher footprint or stronger footprint in the eastern belt would report a little better Q2 versus the

Q3. And for us, there is definitely a share of eastern or southern retail business. But we also have an equally bigger share of Diwali sales, which is generally in Q3.

So, some part of the sales definitely shifted. Some part of the sales will get affected for Q3 as well. So, we will see a little muted or low single-digit sales growth in Q3 as well.

Otherwise, overall, I think the organization keeps continuing their focus on the long-term growth factors, both on scalability, efficiency, what are the areas of growth that we can try, how do we really believe in growth strategies, what are the areas that we are working on. So, we are really working very hard or trying to work a little more harder on the product sharpness, the pricing, quality, design, build a little more technological
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advancement in terms of supply chain management, agility in the warehouse, logistic agility. Some of these things have really come out well.

Some of these things are struggling as well. There is definitely, we see a little high pressure on the vendor network. We do see some kind of stress also there because of higher number of store openings by value retailers.

So, a lot of value retailers also are trying to chase similar kind of vendors. So, there is definitely some pressure that we are able to witness there where we are trying to build some more strategies. Otherwise, I think there is definitely better work happening towards all parts of the business, all areas of our processes.

We are looking at a lot of AI introduction. We are looking at a lot of technology-led building blocks, which will further enhance our productivity efficiency as well as the accuracy in terms of giving the personalization or relevant merchandise to the relevant customers as the diverse India do demand multiple kind of product lines at different times. So, that is the base of our growth parameter and that is where we are working hard so that we become more analytical, we become a little more agile, we become a little more automated and we become a little more efficient so as to understand the consumer need, so as to understand and replenish the consumer need a little better.

We continue to penetrate in southern India. Southern India is giving us

a good response, Unlimited business has given us good response. States of Telangana and states of Andhra Pradesh continue to struggle as of now.

We have not seen a lot of great growth on those two states. But yes, states of Tamil Nadu, as I said earlier, has given us a real good potential and that seems to be a clear path ahead for us to penetrate a little more strongly in that particular state and that is the area that we are also focusing on. But yeah, overall, there is definitely a lot of pressure in the business.

We do believe that both in terms of building efficiency as well as building the future potential, there is a lot of work that the internal team members are getting into. They are definitely getting into both futuristic plans, futuristic project works which we are focusing on and also the current need of the business and also fulfilling the current challenges or taking care of the competition which is also coming. So, there is also a higher level of focus on building profitability.

We have definitely succeeded in attracting consumers even in spite of our lower marketing strength or marketing reach. We have focused very

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highly on the digital advertising in terms of micro as well as regional influences, led marketing. So, that part is really giving us some benefit.

We definitely are continuing to focus on reducing the losses in Limeroad that has given us some benefit. We still plan, we still fix that. We want to clearly focus largely on the Omni orders and then we have shifted a lot of our Omni orders and our store-led Omni orders into prepaid orders which has also given us a lot of benefits in terms of the return rate getting reduced or the customer cancellation getting lower.

And consumers are easily adopting all of that and that is a good news that we are also seeing. It is actually taking away a lot of pain for the consumer in terms of non-reliability of certain product lines or certain sizes. So, some of those pieces have really given us a good competitive advantage over others like that.

Overall, I think our focus is largely to look at our expansion. We continue to expand. We are trying to accelerate on our expansion rate also.

We would open up maybe around 70, 75 stores this year, if not more. And we may still close another three, four stores in the coming balance part of the year if there are a couple of stores which are still under the same. So, we will still look forward to continued expansion, not being very aggressive, but being very mindful of our aggression and being very mindful of our profitability even from the future stores.

And which has been a good news, most of the stores that we have opened up in this particular year or last year are delivering better BEITDA, are delivering better growth, and are delivering better sales per square foot as well compared to the earlier period. So, a lot of work is happening in this new team have got into this.

The team is really charged up in trying to give us a lot of organized, structured ways of growth and that is what is doing well for us. So, these are the areas I think we will definitely want to maintain the growth path, both from the Like for Like as well as the new store. Keeping in mind the inventory level, which is also we have been a little more sharper. We have become a little more better. The inventory at the store looks a little more fresher, much more fresher compared to last year. So, that should also benefit and our focus is also to try and increase that freshness, increase the mind-to-market or the ability to provide the

product line whenever it sells more, not keep more inventory in the store.

So, density reduction is again in a focus area that we will continue to focus on. I will hand it over to Anand to take you through the quarterly numbers and then we may take up your questions. Thank you.

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Anand Agarwal:
Hi. Thank you, Lalit. And good afternoon, everybody.

Let me very briefly take you through some of the key operational highlights from the quarter and then we can open the session for questions. I will try to keep my comments very brief so that we get more time for questions this time. So, quarter 2 has been a good growth quarter with highest ever quarterly new store additions as well as good like-to-like same-store sales growth, leading from the pre-ponement of Pujo.

We delivered a total growth of 22%, also opened 25 new stores and also delivered a LTL, you know, growth of 11% with both Vmart and Unlimited Territories clocking, you know, similar 11% number. Although an early Durga Puja was negatively impacted by significant unseasonal rains in co

re Puja markets and GST transitory impact also remained, but I think at an overall level, we still delivered a good growth on all the fronts. On the new store opening, while we added 40 stores in first half of the year, we have further added 16 stores in the current quarter in the month of October and in the last 10 days of November, with a net store tally today of 549 stores as on date.

So, as Lalit also mentioned, for the full year, we are largely increasing our guidance for new store openings to 75 stores by the end of the financial year. On Unlimited, I think Unlimited has been a very good strong growth story for the last couple of quarters and we remain very bullish on expanding our presence in South with more new stores additions going forward in the Southern Territory. Coming to margins, the gross margins remain flat at 33.6 percent, despite the 37 percent decrease in commission revenue from the Limeroad marketplace business, which otherwise contributes 1% to the overall sales, but flows through 100% into gross margins.

So, for the offline business, actually the margins slightly improve, that was largely due to better than planned liquidation or better realizations on the end of season sales. Excluding the limeroad commission income, the gross margin improved by 0.6% year on year for the offline business. On a full year basis, the gross margins from offline business should remain similar to last year as we continue to drive giving higher value to consumers and focusing on growth through volumes.

While the Limeroad commission income contribution mix would slightly reduce, optically reducing gross margin versus last year on a total basis. Coming to expenses, the total expenses increased 11%, largely led by planned significant drop in expenses in the Limeroad vertical and lower offline marketing expense as we continue to drive loyalty-based traffic to stores through digital interventions. The Google rating for all our stores contributed individually by lakhs of customers at store level

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remains above 4.8 out of 5, while the NPS remain s significantly above 75%, ensuring more than 70% loyal customer repeat sales.

As a result, for the offline business, EBITDA for the quarter came in at a strong 8.9%, with Vmart at 9.3% and Unlimited at 9.9% . The pre -India EBITDA for the quarter also came in at a positive 1% against a loss of 3% in last year. On the CAPEX side, we spent 30 crores in the quarter, which was majorly towards CAPEX on new store openings and some old store republishments.

Inventory increased by roughly around 220 crores quarter on quarter as we up stocked for the fest ive season, which was earlier than last year. Irrespective, the days of inventory has improved by two days year on year on the back of better sales and throughput. At our overall level, inventory remains very healthy, much more fresher, and we look forward to a good, you know, winter season going ahead.

Overall, the business generated free cash flows of 27 crores YTD versus a negative 63 crores in last year. I think that is all from my side , and I will now request Parin to open the house for questions.

Moderator :

Thank you very much.

We will now begin the question and answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two.

Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question comes from

the line of Tejas Shah
from Aventus Park Institutional Equities.

Please go ahead.

Tejas Shah :

Hi. Thanks for the opportunity.

First question, Lalit Ji , pertains to the consumer sentiment, which you spoke in detail, but I am slightly not very – I am not clear. Just because when I look at your store expansion data, it tells me that we are very confident on the demand side. SSG, I would say, considering t hat there was a Pooja prepon ement , it is slightly neutral in zone.

And your commentary was – your opening remarks was slightly, I would say, on the conservative side, not ve ry thumb the devil. So, just wanted to understand, because there are too many things muffled in this quarter because of rains and Pooja and GST -led disruptions. What are V-Mart Retail Limited
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your – like, not for this quarter only, but how are you seeing the rest of the year an d all those interventions that government has made? Are we seeing any very visible change in terms of footfall transaction, consumer sentiments?

Lalit Agarwal:

Correct, Tejas. So, definitely, as I said, I meant that I am conservative, where I am saying that we expected a lot. We did not get a lot of such outcome post the GST implementation. So, there is nothing very different which happened, especially in terms of GST.

People did not demand that. People did not ask for that. People – it did not make too much of difference for the people as far as the GST for our kind of products is concerned.

So, that is what I said. But yeah, largely, we do see – I mean, definitely, as I said, Diwali was also a summer Diwali. The data did not show up too much.

But immediately post that, now we are seeing a good – we are expecting also that these two months should be a very good growth of footfall which should happen. And we are expecting all of those savings which is getting accrued by all of whether inflationary rate getting neutralized or even those GST rates getting lower. So, all of those should get consumed and people should come out to consume a little more.

Definitely, the economical conditions of people looks to be better comparatively. If I say comparatively, year on year, quarter on quarter, it looks to be a little better. People are a little more confident in spending and they should spend is what I expect.

Tejas Shah :

Perfect. So, second question pertains to competitive intensity among your peer set. And if we have to double down on the cohort-wise, so it could be that some of your cohorts, your competition is over-indexed in that competition that cohort is actually doing very well for you as well. But at overall level, perhaps that is not coming through. So, just wanted some insights on competitive intensity and if you can kind of layer it up with some reasonable nuances as well.

Lalit Agarwal:

No, I think it continues. I would just say, call out that the competition intensity continues. Number of store, new store opening of competitor all together is also as a percentage of those continues to be there.

There are competitors who are aggressive. There are competitors who are doing good in certain new stores. There are competition who still don't know certain territories, certain zones.

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So, they may be struggling. But yes, overall it's a mixed response. We do find some kind of, and

even for V-Mart, we do find some kind of impact coming in maybe 30-35% of the stores where competitor opens up. And there is some month or two-month disturbance which also gets created in terms of certain growth rate getting neutralized or certain growth getting picked in particular stores. But that particular period of time happens whenever there is a competition which walks in. We haven't seen that being very aggressive in any territory, but we are seeing it across India now.

Southern territory looks a little lesser in terms of competition. But yes, there is another player on the block which is coming out, which is a Style Union competitor, which is also trying to open multiple stores. So, there are, Zudio was there, Max was there.

But now this is also another piece which is coming in. So, there is different kind of competition at a territory level, which I said. There are more national players at the southern India side.

There are more regional and all of these, these two, that Style Bazaar and Bazar Kolkata in the eastern side of India. There are more, very, very

few in the northern and the western side. The north looks very tough for most of the competitors.

That is where we come under a little better position in what we see.

Tejas Shah :

Perfect. And if I may squeeze in last one, unlimited seems to be doing fairly well now. So, has the model stabilized and can we kind of double down here in terms of rapid store expansion?

Lalit Agarwal :

We have our plans there. We just don't want to go everything left, right and center, because the property prices are not too attractive there. So, you have to really select well, so that it becomes very profitable.

So, that is where we are trying to see our customer segment. And we are focusing especially in a couple of states. We have our increased thought process or increased penetration that we want to get it.

But yes, it has been spread out very well.

Tejas Shah :

Thanks. That's all from my side and best wishes for coming quarters.

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Moderator :

Thank you. The next question comes from the line of Sameer Gupta from India Infoline. Please go ahead.

Hi, good evening everyone and thanks for taking my question. Firstly, sir, on the gross margin, now even if I exclude Limeroad, and I know you mentioned this for this quarter particularly, but now we have seen a four quarter run rate of gross margin excluding Limeroad on an average expanding by 100 basis points. But our commentary always has been to pass on more value to consumers and this margin, you know, might see some compression, but that has not happened so far.

So, and you did mention in this call also. So, just wanted to get a tap on what exactly is happening. Also, I see ASP going up by 5%, but probably that's due to the early festive, your comment on that.

Lalit Agarwal:

So, but see, I mean, definitely our focus is on both the lines, as I have been always speaking out, that we have got enough focus on the whole design, sourcing, integration of mix, fabric, wherein we definitely want to pass on better value to the consumer. We have tried to do that. You will not see too much of ASP increase that we have got.

So, we are giving more value to the consumer. We are also in the meantime trying to attract a fair margin. We do not want to just go out and give out at a very low price or at very low deals.

But yes, we also, you can also see there is some change in mix of the business. Our lower margin product lines like FMCG, our share of business has reduced there. So, that is, that also is a cause

of your better gross margin, which is visible to you.

So, one is that. Two, on the second side, the whole, as the freshness of the organization has increased, the provision of the inventory also has been little lower. Maybe Anand can take you all of those in a little more detail.

Anand Agarwal :

I think, as Lalit mentioned, we should be able to , while the objective is to create more value for the customer and that will always remain the paramount objective. But with the projects that we have been undertaking for the last couple of years and the benefits that we have already started to accrue in terms of better pricing, sharper mix, better quality and better designs, we are still able, we are still able to deliver a good value for the customer without compromising so much on the pricing or the margins. So, it is a balanced strategy, but we are not just saying that we will just reduce margins for the sake of reducing.

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We will look at the right approach where we are able to deliver the right value for the different set of geographical and regional customers in different areas.

Sameer Gupta :

Got it, sir. That is very, very clear.

Second question on similar lines. So, pre -India EBITDA margin, if I exclude Limer oad for the first half, is at around 4.4%. Typically, second half is higher, but this is also an early festive year. So, in your estimate, given the demand conditions and the clarity on gross margin plus the competitive intensity, where do you think this number should settle at? Typically, with decent SSG and no pressure on gross margin, I would assume that it should be close to 6%, but your t houghts on that?

Anand Agarwal :

So, Sameer, I think it is slightly premature to give a number, but what I can definitely say is on a full year basis, we should be looking at marginal improvement over last year, even with mid -single -digit same store sales growth. If we get much higher sales growth or much higher same store sales growth, obviously, the operating leverage will come in and we should be able to deliver the number that you are talking about. But definitely as of now we still looking at imp rovement over last year on a full year basis.

Sameer Gupta:

Got it sir, but only marginal improvement you are saying, I mean with a mid-single digit SSG.

Anand Agarwal:

So, I cannot commit any number right now, Sameer, because it is a function of many, many different factors, but obviously, we are trying for the best. But the number that you are stating is slightly above what I have in my mind, but I really cannot comment on a specific number.

Sameer G upta:

Got it, sir. Last question, if I may squeeze in, more of a bookkeeping one. So, Tejas also mentioned too many moving parts this quarter, but on a normalized basis, in your estimate, what would be the same -store sales growth if we adjust for early festive and other disr uptions like excess rainfall and there were some disruptions in the Northeast as well?

Anand Agarwal :

So, you are trying to ask for the first half normalized SSG, or going forward?

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Sameer Gupta :

This, the particular quarter gone by, but yeah, first half will also do.

Anand Agarwal :

First half the SSG is 5% that's what we have also put in up in our IR deck. Going forward, we are

still hopeful of a mid to high single -digit for the full year. A lot will depend on how the quarter three pans out, especially the winter season, the next two months.

Sameer Gupta :

Anand may be I'll rephrase the questions, the first quarter was also kind of impacted because of Eid mis -match and second quarter also because of the early festive and all so in your estimate if you could give a number on a normalized SSG in your estimates that would be helpful, that has happened

Anand Agarwal :

So I think from what I'm able to understand , I think the number still 5% for the period gone by.

Sameer Gupta :

Ok, got it, that's all Thanks, Thanks

Moderator:

Thank you. The next question comes from the line of Deep Shah from Equarius Securities. Please go ahead.

Deep Shah :

Hi, sir. Just one question from my side. See, in the opening remarks, Lalit mentioned that inventory freshness has been better.

But if I am not wrong, in the fourth quarter earnings call, we mentioned that the winter, discounted winter inventory liquidation was not that great because winter was not as such that great at last time. Am I right if I have to take that during the second half of the year, considering the discounted liquidation will be higher, there will be some pressure on the growth margins during the second half? Am I right if I understand?

Lalit Agarwal :

Shouldn't we, looking at the weather forecast this year, we believe we should be able to retain good margins even in the leftover inventory, if the season continues as it goes well as projected and as forecasted. So, we are hopeful that we will not lose too much of margin there. Okay.

Great, sir. Thank you.

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Moderator :

Thank you. The next question comes from the line of Harsh from

Nepean Capital . Please go ahead.

Harsh :

Yeah. Hi. Thanks for the opportunity.

I believe I am audible.

Moderator :

You are audible, sir.

Harsh :

Yeah. So, if I just could get a sense, I heard Anand sir saying that the SSSG for three quarters is expected to be slightly on the softer side, which is low single digit. And we are expecting a mid to high single digit SSSG for the whole year.

So, that means, you know, the second half or the fourth quarter has to be really huge for us. Do we still maintain that guidance in terms of revenue growth and SSSG? That is the first question.

And secondly, on the ASP front. So, yeah, please go ahead, sir.

Anand Agarwal:

So, Harsh, I think, while I did not say that we have had, you know, a softer SSSG in the first half, but what I did say is that for the full year, the guidance that we still maintain is that we will still be looking at mid to high single digit for the entire year.

How much of that will break out into because if you look at the first half, it has been 5%. So, which means if you have to maintain a mid-single digit, then it would still remain 5% for the second half as well, which should be practically be achievable in the normal scheme of things. If we get slightly better SSSG, I think, you know, we should be able to look at even better profitability than what we have assumed.

Harsh :

So, my question was more from the 3Q perspective. I believe in the opening remarks, it was being said that, you know, the SSSG for 3Q is expected to be in low single digit. Was that understood or did I miss something?

Lalit Agarwal :

It should be somewhere in the mid because the way we have reported in the first half, we are expecting a similar kind of SSSG, which should be maintained even

in the Q3 period as the festival is also shifted into Q2.

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Harsh:

Understood. And lastly, we have seen an ASP improvement of 7% within the V-Mart category, which is our core business category. How much of it would be in terms of any price hike that we have taken or how much of it is because of the festival, you know, higher ASP mix coming in?

Lalit Agarwal :

No, I think it is largely because of the mix as well, because the festival is little early. So, as soon as the festival comes in, normally what happens your little end of season sales timing gets reduced, your festival starts a little earlier, your full price sell through as well as the festival do attract a little higher ASP product line getting sold.

So, some of these pieces are getting clubbed in this. Okay. So, no...

You would see some lower A SP coming in Q4 times or so. When the festival again, there the summer festivals are clubbed.

Harsh :

Understood. Yeah, that is all from me. Thank you.

Thank you. The next question comes from the line of Amrit Sandhu from Equity Investment Advisors. Please go ahead.

Amrit Sandhu:

Hi, good evening, Lalit Singh and Anand ji. Thank you so much for the opportunity. I just have one question.

In our slide number 10 in our presentation, we can see that the tier 4 market is actually growing at 15%. So, what exactly is driving this? Just want to understand, is this seasonal or is this structural?

Lalit Agarwal :

See, Mr. Sandhu, you see the base of tier 4 for us was a little lower and the lowest amongst all the tiers. So, there was something for us to catch up as well as and we also see a little better response or a little better spending in the tier 4 market or the rural market. So, that side, we are a little more confident and that is what I indicated even my opening remarks.

Okay. So, do we expect that this growth rate would sustain going ahead? I mean,

Lalit Agarwal :

I do not know whether it should sustain.

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But yeah, as of now, when looking at all of this, it does show us that the tier 4 market or the rural market is giving us a good response. It should continue for a period because generally tier 4, fundamentally when India is stronger and fundamentally they have a little better amount, though the number of stores for us in this bracket is a little less, but we believe it should continue to grow.

Amrit Sandhu :

Okay. And on the tier 1 side, which has grown just about 1 percent. So, is that because of the higher competition, which we are seeing in the tier 1 market?

Lalit Agarwal :

I think it is both, one, the competition, but largely I would also say there are few disturbances in certain areas. We saw some good impact coming in from the Bangladesh tough, which is happening between India and Bangladesh and a lot of Bangladeshi consumers, which were supposed to, which was coming into eastern India market. So, some of those tier 1 in eastern India market got impacted because of that as well. So, some bit of losses happened there.

And there has been some tier 1 in Andhra Pradesh, and certain regions which has not performed. So, certain particular cities and particular states have led to this particular states. And then maybe some bit of anxiety also in the consumer.

Amrit Sandhu
Ok

ay. Got it. Thank you so much, sir.

All the best.

Moderator:
Thank you. The next question comes from the line of Nikhil Agarwal from Kotak PMS. Please go ahead.

Nikhil Agarwal :
I just wanted to know the contribution of our own brand in the overall apparel mix?

Lalit Agarwal :
Almost 67%

Nikhil Agarwal:
And what is the difference in the gross margins for your private labels?

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Lalit Agarwal :
I mean, Nikhil, we have been continuously stating that we do not focus on creating a differentiated gross margin portfolio in our private label. This is largely for our curated designs, largely for the kind of quality that we do and the product that we have to provide. So, it does not attract any kind of differentiated margins other than the private label.

Nikhil Agarwal :
All right. That is from my side. Thank you.

Moderator :
Thank you. The next question comes from the line of Prateek from M3 Investments. Please go ahead.

Prateek :
Hi. Good evening. You mentioned, sir that the freshness of the portfolio has increased.

I just want to know what is this a result of? Is this a result of the design to shelf going down? And if you could quantify how much time does it take for us to conceptualize a design and for it to come to the stores and for you to scale it to most of your stores?

Lalit Agarwal:
Thank you. Yeah, Prateek. So, that is the fundamental thought process.

Still, we are not at all happy. We have not reached to even 10 percent to where we want to reach. So, as of now, we do have a design to shelf calendar of around 70 days, which we need to bring down.

It was definitely higher at around 80 days. So, right now we are seeing that after it has got designed in this order to shelf is around 70 to 75 days. But yeah, so that needs to come down.
In this particular freshness, I think it was more sheer focus on inventory management, sheer focus on relevancy, sheer focus on inter-store

transfer s wherever it is not working and wherever it is working, and then right planning. So, all of those is the outcome right now.

Prateek :
Okay.

So, also what is the efficiency of Indian vendors to actually scale up a design that is actually working in the s tores and replicate it quickly to most of the stores?

Lalit Agarwal :
See, it depends upon the way you have curated the vendor, the way you have given the anticipation of fabric to the vendor, the way you
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have an agreement over the capacity of that vendo r. So, the vendor, ultimately the machine takes similar amount of time.

It is more about how do you plan for the vendor and how do you make the vendor plan. And it is the integration of the vendor as well as the retailer, which makes the things happen and the kind of product that you are trying to ask for again. So, ultimately, wherever the dependencies are on the large piece for the fabric.

So, there it becomes very difficult because the fabric developers generally do not supply very fast. But wherever there is a dependency on smaller piece or there is a dependency on knitting, in -house knitting units there or integrated units, there we get a real fast outcome of repeat product lines.

Prateek :
Sure, sir. Lastly, just one last question. So, let us say that there are Zudio or Max stores ne

ar your stores, which are fast fashion as well. They position themselves as fast fashion.

There must be an overlap of your vendors with their vendors to some extent. So, can we say that some of your inputs to your vendors would make a difference in the way the output is created in the stores? Because otherwise everybody would have similar designs in the sto res, right?

Lalit Agarwal:
See, normally design principles and inspirations and then the motivations or the source where the designs come from, everybody tries to chase similar designs and similar set of inspirations, which you appreciate. It is more abo ut the kind of consumers that you have, the kind of personnel that you cater to and the kind of buyers that you have or the designers that you have, the kind of perception they build in. So, it is all about the integration of all of these two but largely I would say definitely there could be a common pool of designs that you get whether Max gets it or Z udio gets it or we get it or there could be some advanced because looking at your consumer persona, you may want to have a little more advanced design philos ophy.

That all depends upon what is your adoption, what is that you believe will work in your market.

Prateek :
Sure, sure, sir. Thank you so much.

Could you also please tell me the size of your design team and are you hiring there? What could be the average age? Where do you hire from?

Are you trying to differentiate your design team?

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Lalit Agarwal:

You will take the whole business. But anyway, we have around 23 -23 people.

We are still hiring there. Average age there is nearly 29 years. Okay, okay .

Thanks a lot. That's it. Thank you.

Moderator :

Thank you. The next question comes from the line of Lokesh Manik from Valium Capital. Please go ahead.

Lokesh Manik :

Yes, hi. Good evening. My question is on the new initiatives on cosmetics, artificial jewelry in terms of if you want to share numbers or if you want to share an update in the sense, are the pilots successful? Are you getting a mixed response? How are you seeing that scale up?

Lalit Agarwal :

We have introduced some range on both cosmetics as well as artificial jewelry. Maybe around 20 -25% of the stores we have launched with some variety. Still, there is a supply chain issue.

Still, there is some testing phase. We still don't have a great number. But yes, we have recorded up to maybe 1.5 -2% of sales in those particular stores, the stores which are doing good. But yeah, it could lead to around maybe another percentage of sales in the mix when we are done with it.

Lokesh Manik :

So, Lalit Ji in the mid -term, what is your vision in terms of these pilots? If they are successful, what is the timeline approximately?

Do you see where you can start scaling this up across all the stores based on the feedback you are getting? I think we are continuously evolving.

Lalit Agarwal :

There is still a lot of work to be done. Not that every store is successful, every product is successful. So, we need to learn amongst the product as well because beauty is not something that we ever did and we don't know. So, we need to really understand that well.

Within that as well, beauty, there is a regional relevance. Our market is a little different than the urban market. So, in that market, a differentiated kind of color chart, what kind of product works, what kind of product doesn't work.

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We are trying to build all of those. But yeah, we think by the end of next year, by the end of this year, we should be able to launch it in 50% of our stores.

Lokesh Manik :

Great. That's it from my side. Thank you. Thank you.

Moderator:

Thank you. As there are no further questions from the line of participants, I now hand the conference over to the management for closing comments.

Lalit Agarwal :

Thank you, everybody. Thank you for being there. We do keep continuously updating you certain details.

We will keep continuously updating you. There are a few things that we definitely want to also understand and learn from you on what are you seeing for the market. But yes, there's not too many surprises.

There's not too many risks that is hovering around. But yes, there's definitely some bit of opportunity that one can go and latch on to. And that is what we are all trying to.

But fundamentally, how strong as an organization we are there so that we can keep scaling this sustainable growth rate regularly year on year for the next five, seven years. That is the area of focus that we might go along to. Thank you so much.

Thank you again. Have a good day.

Moderator:

On behalf of B& K Securities, India Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jan 2026

Ref. No. CS/ S/L-949/202 5-26 30th January, 2026

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Sub: Transcript of the Conference Call held on 23rd January, 2026

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and amendment thereof. In reference to our letter dated January 16, 2026 (Ref. No. CS/S/ L-939 /2025 -26) regarding the intimation of the conference call with Analysts and Investors held on 23rd January, 2026 , please find enclosed the transcript of the aforementioned conference call.

The above information is also available on the Company's website: www.vmart.co.in .

We request you to kindly take the above information on record.

Thanking You,

Yours Truly

For V -Mart Retail Limited

Megha Tandon
(Company Secretary & Compliance Officer)

Encl: As above

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MANAGEMENT : MR. LALIT AGARWAL – MANAGING DIRECTOR –
V-MART RETAIL LIMITED
MR. ANAND AGARWAL – CHIEF FINANCIAL
OFFICER – V-MART RETAIL LIMITED

MODERATOR : MR. ADITYA BANSAL – MOTILAL OSWAL
FINANCIAL SERVICES

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Moderator: Ladies and gentlemen, good day and welcome to the V -Mart Q3 FY26 Earnings Conference Call hosted by Motilal Oswal Financial Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Aditya Bansal. Thank you and over to you, sir.

Aditya Bansal: Thanks, Alaric. Good morning, everyone. On behalf of Motilal Financial Services, I welcome you to V -Mart's 3Q FY 26 Earnings Call. From the management, we have Mr. Lalit Agarwal, Managing Director and Mr. Anand Agarwal, CFO. Without further delay, I will now hand the call over to the management for their opening remarks. Over to you, Lalit.

Moderator: Lalit sir, please go ahead and please unmute your line in case if you are on mute.

Lalit Agarwal: Hello. Good morning, everyone, and thank you all for joining us today. Once again, we are in a call for the best -- one of the best quarters for the year that we generally have, which is always has been the best quarter for the industry and is generally the best quarter because of the Diwali and the winter months, which is starting. So let me start with a little bit of macro level.

I think what we see industrialization continues to deepen. Government policies are supportive. We see inflation largely in control, per capita income or the consumption continues to rise, not too much, but yes, there is a rise, which is there. In forms like GST has not really delivered a very immediate consumption -led benefit, but yes, they are clearly a positive sign from a long -term formalization and efficiency standpoint is concerned.

There is definitely a renewed focus on manufacturing, which is constructive for employment, and definitely will bring up the income generation or income creation over the long run. But at the same time, we believe that all this AI and the technologies, which is coming in could begin to disrupt some traditional retail model or could begin to disrupt some industrial model or the employment, which is also -- which could create a little short- term noise.

But also -- could also enhance a lot of certainty, decision -making opportunities, both for retailers as well as other industries. So in the near term, what we see is consumer sentiment definitely has been influenced by some global development, not exactly in V-Mart Retail Limited

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our market. But yes, we keep sharing that in the urban cities and in the bigger towns and metros, all these designated news, geopolitical uncertainty.

Definitely, there are weather -related disruptions also which is happening. So these are some of the factors which are, I would say, which affect the sentiment, but not the fundamentals. We don't see a lot of weakening in the demand. We definitely see some rise there. Tier 2, Tier 3 market for us continues to be -- continues to show healthy returns or healthy growth. Rural or semi -urban consumer -- markets, the sentiment there has improved.

That's definitely being helped by the agriculture produce, which is the outcomes, which is coming in. A large shift which is happening from unorganized to organized, both in terms of formalization of economy and in terms of retail as well. Inflation definitely has been supported -- has supported the consumption. The spending decisions definitely are more deliberate, we believe.

So we see consumer sentiment. If I describe it, it is stable and cautiously positive. I would not say too positive, but yes, cautiously, it is positive. It is not exuberant, definitely not fragile. We are s

seeing consistent footfall growth across markets.

Spending has increased, largely during occasions, festivals, weddings, event, family events, rather than a lot of impulse -driven consumption.

Savings is definitely getting into pressure whenever we speak to consumers, when I go to the market, whenever I talk to some

of the customers, we see their savings rate has gone down. Consumption, definitely, we don't see has weakened. So this is largely getting driven also by younger consumers. They are definitely once again influencing the family purchase decision, especially in fashion and apparel. In our market, competition has also increased, definitely giving more choices to consumers. Importantly, this is increasing the -- or expanding the awareness and the footfall for organized retail as a whole. That is the overall piece that we see within our markets. Because of consumption, because of more stores getting opened definitely more fashionism is also coming.

I mean a lot of these initiatives by the government right now has not led to a meaningful impact in demand patterns, whether it is GST or it is labour codes and stuff. On the other side, we see good monsoons, higher MSPs. They definitely are putting more money in our farmers' hands or the supporting businesses, which needs or helps the farmer or support or trade with farmers.

So there, we are seeing some consumption potential. Weather definitely has been uneven for us in this Q3. We have seen excess rainfall or activity of cyclones during

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festivals, in parts of Eastern India, in southern markets. So we have seen some disruption on these market s and some lower growth also coming in here. Northern -- north market, the Northern India saw a delayed or a milder winter initially leading to little dispersed demand for heavy winter and all.

So festive demand overall was reasonable. Diwali, which was n ot a winter -led Diwali, yet the demand was good, was okay. It was not great, but it was -- the demand held up. Winter demand definitely got delayed a little bit. It is not lost, it didn't get lost, but yes, it was little erratic.

Some categories, we actually sold off during initial times and then inventory was an issue at times. But ultimately, we've got a lot of these inventory. We definitely don't see which is overstock. Once again, we are seeing some erratic festive -- sorry, better weather patterns in the month of January. Initial days were colder, last 1 or 1.5 weeks were a little lighter. So -- but definitely, it is going to come back.

Marriage calendar has also been very good in this particular quarter, and this has definitely supported some demand and post -festive demand. So for us, at V -Mart, I think we are very clear and very deliberate. We operate in value retail, where the pricing is aggressive by design. As a result, we do have lower margins than some of the peers. If you look at the national players, like Zudio or others, we do -- or maybe we have the new stuff. We have some average or lower gross margin. But we definitely offset this through our tight cost control operations or inventory turns. And that is what we've been very strong in. That -- this definitely creates a stronger per store profitability, and a good payback on our new stores.

Our advantage is definitely focus and discipline in our operations. We know our core customer, our core marketing intimately. I mean, this is the strengt h of V -Mart is, we definitely blend both our private labels, which is almost 70% now, and the market labels, which to suit our -- the regional requirement or the local taste of the consumer, which we definitely do it through leveraging our deep vendor netw ork, whether we -- the partnership that we have with our vendors are like a vendor or a manufacturing partner.

And we definitely believe in these partnership and leverage this partnership to keep our c

osts competitive and our supply responsive. In the val ue segment, I think as it is growing rapidly, and we believe our format, the sourcing discipline that we have and the execution rigor that definitely gives us a sustainable edge.

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I mean equally, for us, it is also important to know that what we don't believe in, what we don't want to do, because we are not pursuing growth that dilutes our returns. We don't want to do that. We are not using heavy discounting to mask our demand volatility, and we are not compromising our store economics for our headline expa nsion. We don't go ahead and open up stores in every territory or anything that comes up to us.

So I think the quarter has been good. The performance reflects this approach. Our quarter specific numbers was influenced by festive timing, weather -related. T he trajectory of the business remain intact. We maintained strict expense control. Operating costs definitely increased in line with

planned expansion and normal inflation.

But we did not see any uncontrolled cost which came in as our volumes improved that translate -- this definitely translated into strong operating leverage. We held up our margin, underscoring the resilience of our model. Q3 definitely is not a flashy one-off, or an aggressive markdown quarter. It is definitely about solid execution, growing revenue with healthy margins, improving revenue quality and protecting our cash generation. That was a key highlight of our quarter. Demand visibility definitely was uncertain, particularly in winter-led categories. We consciously chose to protect our margins. And I mean, we did not just go for volume increase because we wanted to also deliver in good times because winter is always erratic in nature. So there are some long-term decisions that we have taken. We definitely have our rigour -- in our disciplined execution.

Our stores are very -- the new store openings that we do are very clearly and very carefully selected and typically breakeven -- they do break even, as you all know, within our first or second month of operation. Our expansions have been completely funded by our internal accruals, keeping the balance sheet strong and virtually debt-free. So that's the key highlight.

Capital discipline is central to our model. We definitely want to build efficient store, keeping our per square feet capex in control, meaningfully lower than the industry averages. This definitely supports attractive store-level trends. On the technology and the process side, we definitely continue to upgrade our systems, our processes. The entire planning function, merchandising function, inventory management, these are increasingly becoming system-led supported by tools, ERP enhancements, analytics. Some early AI use cases have also been deployed, or trying to deploy a lot of those. We're trying to -- we're definitely working a lot on refining our assortments, removing slow-moving SKUs from our systems faster, sharpening our focus on categories with consistent demand.

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We are de-cluttering some of those -- trying to declutter a lot of those. Across merchandising, supply chain operations, leadership alignment around efficiency, government and long-term value creation is definitely strong. This quarter, we also saw our Unlimited business coming up very well.

Early signs of improvements are visible there. Changes implemented in the last few quarters have definitely reflected some good benefits. While a few locations are still not performing there to their potential, the opportunity remains significant. We are definitely proceeding with patience and learning. LimeRoad for us continues to play as a clear omni-enablement platform.

The focus is firmly on profitability here and back-end capability rather than scale for its -- just g

o on scale for the business or order sake. Our marketing expense has been sharply curtailed. All our omni orders that we do from our stores, and all are 100% prepaid orders. The technology backbone is definitely being leveraged to support the store fulfilment and our endless rise capabilities.

So we definitely -- looking ahead, we remain cautiously optimistic and firmly long term in our outlook. Demand definitely should continue to evolve gradually, supported by stable inflation, improving rural incomes and the ongoing shift towards more organized retail. Definitely, our input costs are getting eased, which do provide margin support. But yes, we are very vigilant on any of these reversals or any onetime expense rise.

So we are very vigilant on all of those. We definitely want to grow bringing capability and resources, but not increase the expenses to a larger extent. Every investment that we do is evaluated through a multi -- multiyear return lenses. We just don't work for 1 or 2 years of our sales.

We are building for scale and sustainability, definitely not short-term spikes. So that is the key thing because we keep hearing a lot of analysts asking us questions, so we need to be very, very clear on this. We definitely are confident in the operations from our fundamentals -- because we have grown across markets, not in selective pockets, if you look at our growth pattern or our new store opening pattern also.

Our strong performance is there from all the new stores that we have opened up this year. We have seen a good visible improvement in our Unlimited market, the South India market. We have seen positive consumer response, wherever our sharper product or sharper design that we have launched or wherever that we have done a good job. Margin definitely have been improved by efficiency, not by price distortion or increasing the prices.

We definitely have a very strong vendor ecosystem and a very, very strong governance framework. And beyond all, I think we are riding on the India long-term consumption story. So these are the highlights. I definitely -- we are there on the call. I'll hand over to Anand to take you through the numbers, and then we'll begin to answer your questions. Thank you.

Anand Agarwal: Thank you, Lalit, and good morning, everybody. Let me take you through some of the key highlights from this quarter, and then we can open the session for questions.

So as Lalit highlighted, it's been a quarter of mixed signals, but ultimately a strong financial delivery. While we faced headwinds with the delay in winter onset in North and also continued political disturbances in the East.

Our focus on operational efficiencies and the strong performance from south markets helped us deliver a robust bottom line performance. I think Lalit spoke a lot about the monsoon and the weather, so I'll skip that part. But despite a good monsoon and forecast of a good, strong early winter, weather still played spoilsport with peak winters getting delayed in entire North and West India, leading to a lull, post Diwali.

Actually, overall temperatures have generally been hotter throughout the year, reflecting the increasing impact of climate change, which was also reflective in the lower peak winter days in this quarter. We had actually, in fact, planned for a summer Diwali this year, assuming the delay in winters like previous year. However, we had not actually anticipated such a severe delay and complete lack of winters almost till 20th of December in almost entire North India.

Even actually states like Rajasthan, Gujarat, MP, they were actually the most severely impacted even till end of December. Irrespective, I think, as Lalit mentioned, efficient planning and good management on inventory did not lead to any adverse impact on inventory at all. In fact, there was a time when we were actually short on inventory for some

particular areas. So at an overall level, while the festive period went off reasonably well, the winter demand did not pan out as anticipated, but we continue to execute well on our expansion strategy, adding 23 new stores during the quarter, taking the total store count to 554 stores.

New stores actually are ramping up much faster and better than historical averages, delivering better than network throughput, which reinforces confidence in both site selection discipline as well as the brand relevance across Tier 2 and Tier 3 markets.

And this goes equally well for the South India territory, where we have also started to expand more. Although the expansion in South in this quarter seems a little low, but the plans for South remain intact.

Coming to margins. Gross margins for the quarter remained stable year-on-year despite a 40% decline in LimeRoad commission income, which flows directly or entirely into the gross margin, but now forms a very small share of the overall revenue. Importantly, excluding LimeRoad also, gross margins in the offline business actually expanded by 70 bps year-on-year, which was largely driven by better inventory health, leading to better efficiency which also necessitated lesser discounting intensity.

And also a change in improved product mix coming out of the marriage season, et cetera. The ongoing strategic initiatives led to improved inventory health and a better gross margin. And for the full year also, we expect the offline gross margins to remain broadly stable versus last year as our value proposition continues to focus on volume-led growth.

Coming to expenses. The total expenses for the quarter only increased by 1%, which actually led to a good operating leverage on the bottom line. This was largely led by robust cost controls amongst in all cost lines, including manpower, also LimeRoad expenses and also lower marketing spends as we continue to drive loyalty-based traffic to stores through digital interventions.

Our NPS and Google ratings remain at all-time high, and they give a source of confidence also for us to keep expanding more. The reductions in LimeRoad costs were strategic and sustainable as we have been focusing on breaking even this segment at the earliest. The business has already been profitable at CM3 level since the last 1.5 years, and we continue to improve further and build on that.

On the labour code impact, we recognized an exceptional cost of INR 2 crores, INR2.1 crores arising out of the changes proposed. While the rules are yet to be announced, but basis, whatever information and the guidance available was there, we have taken a onetime hit as prescribed by law.

As a net result of the sustained operational efficiencies, our pre IndAS EBITDA improved from 10.8% in last year to 12.2% this year. And the reported, which is the post Ind AS EBITDA grew 22% year-on-year to INR 210 crores, with margins expanding by 190 bps to 18.6%, reflecting better cost absorption and productivity gains. The EBITDA growth translated into a 23% year-on increase in Q3 PAT to INR88 crores.

On a full year basis or rather on a YTD basis, PAT has now grown almost 3x to INR113 crores, reflecting consistency rather than quarter-specific efforts. Coming to inventory. Our days of inventory increased marginally by 1% to 95 days. This slight
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increase is largely due to the slight change in the FMCG inventory, as we strategically increased space for apparel offtake during winter.

But this is a larger initiative where we are getting -- trying to become more focused on fashion than just FMCG. Irrespective, the FMCG and the winter inventory remains under control and healthy. In fact, the freshness of inventory has improved year-on-year due to aggressive liquidation of old stocks in the earlier quarters,

leading to, in fact, lower provisioning.

Capex for the quarter stood at INR 57 crores, primarily towards new store additions and selective refurbishments. On a YTD basis, the business generated positive free cash flow of INR 63 crores, which was also 9.4% up year-on-year. Going forward, we continue to remain bullish on the market opportunity in all geographies and aspire to increase our footprint in a disciplined, profitable and sustainable trajectory. As communicated in last quarter's call, we are looking to end the year with 75-plus new stores additions this year. So that is all from my side, and I request the moderator to open the house for questions now. Thank you.

Moderator: Thank you. We will now begin with the question and answer session. Our first question comes from the line of Sucrit Patil from Eyesight Fintrade. Please go ahead.

Sucrit Patil: Good morning to the team. I have two questions. My first question is with festive-led recovery driving 21% revenue growth this quarter, how do you see discretionary demand in Tier 2, Tier 3 cities evolving over the next 1 to 2 years? And what specific initiatives like private label expansion or omnichannel integration will be used to sustain double-digit growth beyond FY '26? That's my first question. I'll ask my second question after this ?

Lalit Agarwal: I'm not still clear about your question, but anyway, I think -- see, largely, we all know that for our market, it is largely led by festive and seasonality. This particular quarter, we would see both big festivals coming in, Holi as well as Eid, which is both lying in this particular quarter. There is going to be a good February and March that we are expecting. So this will definitely go up.

We definitely have a lot of initiatives in terms of ranging our summer collection. We have already launched our summer correction in some part of the geography in India. We have seen good Pongal festival also coming in this year -- this month. So Pongal has been good in this market. As today, we are speaking, this is a Basant Panchami day. In eastern part of India, they call it Saraswati Puja.

So there also -- so there are a lot of festive-led demand and regional festivals, which is there in different parts of the geography. And that is what one which is going to
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lead. And then definitely our own designs, our assortments, our products, whether it is created by our own design team through our private labels or private labels through our vendors, or exclusive labels that we have out of our vendors. We all definitely are going to lead into the demand, and we'll definitely keep the growth momentum pick.

Sucrit Patil: My second question is to margins and capital efficiency. EBITDA margins have improved to 11.7% despite cost pressures. Looking ahead, what levers such as store rationalization, inventory efficiency or digital scale contribution, do you expect to

drive margin expansion in the next two to three quarters? And how will this translate into improved ROCE and debt reduction in the target?

Lalit Agarwal: But anyway, I think see definitely, the organization is working towards increasing both the return on capital employed as well as the margins. We definitely believe that every expansion or increase in revenue will bring in some benefit into our cost, our expenses as a percentage of sales. So we will definitely deliver better margin even going forward. That's the thought process, and that is what we are all here working and planning for.

So we definitely believe a lot of digital initiatives, as I mentioned, lot of efficiency generation in our process or even upskilling the people. These all should be the leading guidance or guided to increasing the sales as well as creating efficiency, not reducing the cost because we don't have too much of area to reduce our cost. We definitely want to be

become more efficient and more scalable simultaneously so that we are able to deliver better returns, both for the equity or for the capital employed.

Moderator: The next question comes from the line of Hitendra Pradhan from Maximal Capital.

Hitendra Pradhan: Sir, my first question is in the gross margin kind of improved this quarter. So what was the mix of your winter assortment versus festive this quarter?

Lalit Agarwal: Winter assortment versus festive?

Hitendra Pradhan: Yes.

Lalit Agarwal: Our winter is normally -- this quarter are upwards of 40% mix, the winter, pre-winter what we categorize. If we go towards the December, the peak winter season, it goes up to 62%, 63% also. But at an overall level, including the festive month, it was around 40%, 45%. Balance definitely something which is not purely festive, but largely India wears the basic products and autumn products also during festive. So that is what contributes to almost 55% to 58%.

Hitendra Pradhan: And those usually go like full price throughput and contribute to your gross margin or is there something else that contributed to your gross margin uptick this quarter?

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Lalit Agarwal: I think gross margin uptick is largely because of higher full price sell-through because we generally don't discount during this quarter, and we have not done any discounting in this quarter. So that is definitely because of better margins and then better margin sales of the products. This has also led due to, I think, maybe Anand can give you a little more insight into the whole shrinkage management or the provision for shrinkage.

Anand Agarwal: Yes. So you are absolutely right. So 1 is obviously the -- as I mentioned in my opening remarks as well, the overall health of the inventory is very good, which actually did not require any significant amount of discounting. So in any case, quarter

3 has always been a very good profitable quarter for us, where we always try to drive the maximum full price sell-throughs. And this quarter exceptionally has been slightly better with respect to that.

And also, I think there's a lot of work that we had done around our -- reducing our shrinkages and therefore, the provision that we usually do around old age inventory and the shrinkages that has also come down this quarter. So that's already there in our investor presentation as well. But yes, all of these has contributed to the improved margin this quarter. And because the inventory health remains very good, I think we should be able to look at healthy stable margins going forward as well.

Hitendra Pradhan: Okay. Sir, and the second question is related to the long term, like your -- sir has made comment about the value proportion staying intact for your value retail, the growth. But if we look at the numbers beyond -- after like FY '22, FY '23, there has

been a decline in terms of your SSSG for the markets where you are like already stores have matured and all. And they are not even going above nominal GDP level growth.

And this year, I mean, it is below like probably if we take last two, three quarters trailing or that trend is going down. So how do you see the SSSG or store level growth panning out in the next couple of years? And do you think that Tier 3, Tier 4, these places where you have already stores, they can clock more than nominal GDP level growth?

Lalit Agarwal: So I don't know what is your intention? What are you trying to intend, but we definitely believe that we are doing as a company, we are performing better. Last year also, we gave a great performance. This year also, our performance on the same -

store sales growth has been good.

Definitely, this quarter because the Pujo month -- Pujo festival was in the last quarter.

So you are not seeing a high or a flat or you are seeing a flattish same-store sales

growth. But if I normalize, w

e would see a stable 5% to 6% same -store sales growth,
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which is coming in. See, the same -store sales growth is a function of all our doing. It is not about the market.

It is more about what are we delivering? How much is the market getting occupied by more competition? And how many more organized players are walking out -- down into that particular town or city where we are operating? So I think the company and then the new management is fully into it to try and bring in initiatives to try and definitely bring in the creativity and have very clear processes and great commitment.

So as to deliver those kind of growth. And we believe there is opportunity in the market. We believe that there is more fashionism coming in. Definitely, it has not been a lot of per capita income growth for our consumer segment. So that consumer segment is still struggling somewhere.

We believe their incomes are going to rise, and it will definitely lead into more same -store sales growth, because whatever resilience that we have demonstrated in spite of so much of competition coming in, that definitely brings in a very clear, strong confidence on our fundamentals, and we will definitely keep continuously delivering the same -store sales growth beyond the GDP growth.

Moderator: We take the next question from Kaivalya Baing from IIFL Capital.

Kaivalya Baing: Am I audible?

Lalit Agarwal: Yes.

Kaivalya Baing: Sir, so my first question is regarding the revenue growth. So if we look at '24 and '25 as well, we were generally clocking in a mid-teens growth in revenue but a slight slowdown this quarter. Could you just elaborate on what would be the factors or what was different compared to last year that there has been a slight moderation? And in addition to that question is, could you just also tell me which states have been facing a slowdown if any?

Lalit Agarwal: So I think as I already explained that compared to last year same quarter, last year, the Pujo festival, which is celebrated largely in eastern and southern part of India, that was largely in October. And the sales was also -- a lot of sales came into the month of October, which is the Q3. This year, the festival -- Indian festival calendar moves by the lunar process, the lunar calendar. So that got moved into September. So there is a lot of shift of sales, which has happened. That is why you're not able to see that similar growth pattern, which is your teen growth that you wanted 13%, 15%, 17% growth. And that is the actual growth, which is coming in. So you will see

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a little higher growth maybe in the coming quarter. So we will -- the quarter-on-quarter, as you will see these things happening. But overall, we believe the fundamentals are great, and we will continue growing. And if I adjust even the festive shift from Q2 to Q3, we -- our revenue growth will fall to around 15%.

Kaivalya Baing: Understood. Understood. And second question, sir, regarding the margin expansion this quarter. So considering a 9% growth, most of your margin expansion should be coming from efficiencies, correct me if I'm wrong, and not just because of leverage. So what could be the exact efficiencies that you were referring? I understand marketing spend must have been rationalized to a certain extent. But apart from that, could you just tell me what efficiencies are being realized?

Lalit Agarwal: I think efficiency in terms of what are my costs? My costs are largely rentals, my cost are employee costs, my employee costs are operational cost, my costs are logistic costs, warehousing costs, my costs are marketing costs. So I think efficiency across the area, which is controllable, Rentals, I cannot reduce. There is a growth -- there is a predefined growth rate, which is restrained in the rental. So you can't bring in

an efficiency there. You can definitely increase your sales per square feet by bringing down the rental cost as a percentage of sales. But other than that, you have areas of efficiency, which you have driven. And as an organization, we have driven the entire team has come together. And there's a lot to do here. But yes, we are trying to drive more sales out of

the same number of people or less number of people.

We're trying to drive more sales by reducing some processes, by integrating technology, by bringing in some additional new ways of marketing, new digital ways of marketing or creating a store led, which is consumer-led marketing, which is the key, which generates the maximum impact.

So we have been very, very good in terms of focusing on our Google ratings, focusing on our NPS scorecard of customers. So we have been really working hard to give the customer those kind of experiences and those kind of pleasant shopping journey,

so that they come back again and again. And that is -- it is just not trying to drive cost reduction. Just trying to be efficient both qualitatively as well as quantitatively.

Kaivalya Baing: Just a follow-up on this. Do you see more ample opportunities in the same levers for further margin expansion, or would you have to rely on leverage going forward?

Lalit Agarwal: Sale levers or leverage, I'm not sure. Anand, basically you can help.

Anand Agarwal: So I think, see, on a sustainable basis, it will always be difficult to keep reducing cost beyond a certain level. So I think, as Lalit has already mentioned, we are already

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very, very fine-tuned on cost. So even the cost reductions that we are able to see is actually coming in from more leverage.

Right now, it is not a sales leverage as much as would have been possible. But in future, what I foresee is that we will be -- we should be able to get more margin advantage only out of leverage, more out of leverage than cost optimizations. Cost optimization, we are already amongst the best as far as the P&L is concerned.

Moderator: The next question comes from the line of Devanshu Bansal from Emkay Global Financial Services. Devanshu, please go ahead and kindly unmute your line in case if you are on mute.

Devanshu Bansal: Yes, yes. Sorry, apologies. First question is the volume growth for Unlimited is pretty healthy at about 10% in 9 months versus about 1% for V-Mart. When we see the sales per square feet, there is still room for Unlimited to continue growing faster.

The sales per square feet is about 16%, 17% lower. So question is now that we're seeing better trends, can we sort of expect Unlimited to continue delivering better

SSG trends for us over the next few years? Better clarity would help?

Anand Agarwal: Yes, Devanshu, I think what you're asking is also what we are trying to deliver. And consistently, if you look at the last 2 years, we have been delivering better numbers on Unlimited. So Unlimited, we have actually -- if we were to look at the breakup of

Unlimited, we have some legacy stores, and we have also almost like 50-plus stores now that we have opened 45 -- plus stores that we have opened in Unlimited post acquisition.

So all the new stores that we have been opening in Unlimited, most of them have been delivering much better sales per square feet and much better profitability, in line with the established V-Mart model. And as the average of these new stores starts to take over the average of the legacy stores, we will see improved sales per square feet numbers also for the complete Unlimited chain.

Having said that, I must also mention that the legacy stores that we have in Unlimited, they are not unprofitable. They are just slightly bigger in size, bigger in area and have had an established clientele, which works on a certain principle of what they want to buy, when they want to buy etcetera.

But

the newer stores, they are definitely more in Tier 2, Tier 3 towns, delivering much healthier numbers, and we continue to put our faith in expanding the Unlimited business and increasing the sales per square feet to bring it in line with V-Mart numbers in the next 2 to 3 years.

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Devanshu Bansal: Thanks for this explanation, Anand. So just from a steady state perspective, because you have been in this region for quite some time now, do you believe that the sales per square feet for Unlimited can even be higher than V-Mart or at best can be similar to V-Mart. So any colour there?

Anand Agarwal: So as of now, our first priority is to get to -- get this to at par with V-Mart at an entire Unlimited network level. So for the newer stores, as I mentioned, they are already almost at par or better than even V-Mart stores. But for the complete Unlimited brand or network, the first priority is to get back to the V-Mart average, and then we will

look at how we can increase it further. Obviously, there is headroom and there is opportunity to improve it even further.

Devanshu Bansal: Fair enough. And second question is to understand the model, I guess, factor in slightly higher gross margins for Unlimited to sort of compensate for the higher rentals. Assuming we reach a similar to V-Mart throughput over time, as you

indicated over the next 2, 3 years, can the model deliver similar to V-Mart EBITDA margin also at that throughput level or there are some structural reasons because of which EBITDA margins may remain lower?

Anand Agarwal: No, absolutely. We are -- we have always been very, very profitability focused, and our priority is always to make sure that the EBITDA margins are first achieved rather than just the top line numbers. We have never ever chased top line just to get a headline growth. Our priority always is to get the EBITDA margins first. And therefore, while you ask for sales per square feet or the overall productivity numbers, but we look at the Unlimited performance more from a profitability perspective. So our objective is to get the profitability in line with V-Mart at the soonest possible.

Devanshu Bansal: Understood. Sir, lastly, if I can squeeze in. For 9 months, our SSG has been positive, right? So -- but rent has increased about 20, 30 basis points. So is this increase broad-based across both V-Mart and our Unlimited stores or there are some specific regions which are seeing higher rentals?

Anand Agarwal: This is a normal -- this is a normal curve, so there is nothing extraordinary to read into this. This is absolutely normal. We remain very, very cost conscious in terms of choosing new sites and ensuring that our cost or rental per square feet remains at a certain level. So the SSG, while at an overall full year basis is around 3%. But as we grow this SSG, you will see the percentage coming down on the rental as well. You should actually always look at the per square feet rental, and that should give you a good colour on how that line is actually moving. In fact, for all the cost lines, the percentages will always vary depending on the performance and the operating

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leverage that you get in any 1 quarter. So it's always better to look at the cost line on a per square foot basis.

Devanshu Bansal: Fair enough. So as a bookkeeping, for V-Mart, our rental, monthly rental per square feet would still be around INR45, right? And for Unlimited, it should be closer to INR65, INR70 odd. Is that fairly a good understanding?

Anand Agarwal: No. V-Mart should be closer to around INR 48, INR49. And for Unlimited, that would be at around INR 65.

Moderator: We take the next question from Smitha Gala from R SPN Ventures.

Smitha Gala: First question from my side would be, in the longer term for next 2 or 3 years, what is the

square feet we are looking to add? And what is the SSSG we are targeting, which we are around 3% or 4% for 9 months till now? And what will be the bridge to get to that SSSG, which we are looking at?

Anand Agarwal: So the square footage addition on an annual basis should be at around 13%, 14%.

That is what we have targeted. And that is a long-term target that we have taken. It's not just for 1 year or this year or the next year. I think in the medium to long term, we are building up 13% to 14% area addition every year.

The SSG aspirations always need to be mid - to high single digit, 5% to 8%. So that's the aspiration. Obviously, there will be quarterly disturbances. There will be anomalies and opportunities that we will keep encountering as we move along. But as our mid - to long-term average, I think 5% to 7%, 5% to 8% is something that we are definitely trying to deliver.

Smitha Gala: Okay. And the 13 to 14 square feet addition which we are looking over the long term, so is there enough headroom in our current markets or we will be looking to enter some sort of new markets going forward in the same country?

Lalit Agarwal: See, the markets are large enough, and we have almost reached all the states of India.

So within those states, definitely we will penetrate. There will be maybe 30% of the expansion, 35% of expansion in the same town and city where we are present. But still 60%, 65% of the expansion will come from maybe different towns in the similar states where we are present. We definitely believe and still believe in that cluster

philosophy. We would want to penetrate more into our existing network of India where we are already there. And there's a lot of room and there's a lot of potentiality that we are able to see in all of these markets.

Smitha Gala: Okay. Thank you. I will join back the queue.

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Moderator: Thank you. The next question comes from the line of Anchal from Nuvama Wealth Management. Please go ahead.

Rajeev Anchal : Hello. Good afternoon, good morning, sir. This is Rajeev here. Sir, one question on cost of retailing. This is barring the employee cost line item and the rent. And overall cost of retailing has become INR 181 per square feet per month per Ind AS basis. So this INR7 reduction on other expenses, was there a cost which you are carrying for several quarters because this we are now getting into pre- COVID levels of cost of retailing. I just want to get -- was there a one -off in the past few quarters, which has shaved now?

Anand Agarwal: If I'm able to understand your question, what you're asking is, is there any seasonal aberration in this quarter because obviously costs are coming out low? Is that your question?

Rajeev Anchal : No, sir. Sir, your cost of retailing, historically pre -COVID used to be, let's say, in Q3, close to INR 118. And after that, for the last several it was nudging towards INR 200. I was wondering whether from COVID till today, till previous quarter, was there an external cost you were carrying, which is not there, for example, some consultant you hire, which is not -- those fees are not there in this quarter and that's the leverage which we are seeing?

Anand Agarwal: So while we did hire a consultant, that is right, but it is not such a significant cost and that happened over a period of -- over 2 financial years. So it was not a very high significant cost. I think what you need to segregate is the LimeRoad cost because that is an extra addition which happened in '22.

And because of which the overall cost in the P&L sort of looked inflated for almost 3 years. It's only since last year that we've started to correct that and reduce that cost base, which has now started to come into the P&L. So you need to break down the P&L, while we present LimeRoad numbers as segment numbers also. So if you were to isolate that and

look at the offline P&L separately, you should be able to see there is no further aberration.

Rajeev Anchal : Sir, actually, this INR 181 and INR 194, let's say, INR 194 was the last year's number, I have removed LimeRoad impact from the cost line item also. So this INR 13 drop partly explains from employee and rent partly, but there is INR 7 still coming from other expense line item, which I'm just wondering how sticky is this. Is this a new cost structure, which we will maintain here onwards?

Lalit Agarwal: See, I mean, Rajeev, there are some inflationary items. There are some inflation also. And then there are some costs which you cannot segregate in a particular department,

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even maybe there are logistic costs or there are expenses which are related to other operations. Not necessarily what you are trying to say that it will remain or not. I think there is a cost which is going to be there, which will always be bucketed like that. But yes, the cost as -- the number will not go down. There's no extraordinary cost, which is getting post COVID. So these are either a segregation or some change in the accounting processes. That is how you are seeing it.

Rajeev Anchal: Sure. That's all from my side. Thanks a lot and all the best.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question for today. I would now like to hand the conference over to Mr. Lalit Agarwal for the closing remarks.

Lalit Agarwal: Yes. Thank you so much. Thank you, everyone, for being there and being in this call and being with us in all of these difficult times. But let me underscore that this performance and our strategy are not happenstance. They definitely reflect a seasoned promoter's mindset, steady growth, capital discipline and a strong balance sheet. So we will definitely continue on all of those areas, not bring in shorter spikes. And I really thank everyone for their attention. Thank you so much. Have a good day.

Anand Agarwal: Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Motilal Oswal Financial Services, that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: May 2026

Ref. No. CS/ S/L-967/2026-27 13th May , 202 6

To:
The Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
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Scrip Code: VMART
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The Corporate Relationship Department
THE BSE LTD
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Subject : Transcript of the Conference Call held on May 08, 2026

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and amendment thereof, in reference to our letter dated April 29, 2026 (Ref. No. CS/S/L -958/202 6-27) regarding the intimation of the conference call with Analysts and Investors held on May 08, 2026 , please find enclosed the transcript of the aforementioned conference call.

The above information is also available on the Company's website: www.vmart.co.in .

We request you to kindly take the above information on record.

Thanking You,

Yours Truly
For V -Mart Retail Limited

Megha Tandon
(Company Secretary & Compliance Officer)
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"V-Mart Retail Limited
Q4 FY26 Earnings Conference Call "
May 08, 202 6

MANAGEMENT : MR. LALIT AGARWAL – MANAGING DIRECTOR –
V-MART RETAIL LIMITED
MR. ANAND AGARWAL – CHIEF FINANCIAL
OFFICER – V-MART RETAIL LIMITED

MODERATOR : MS. VAISHNAVI MANDHANIYA –ANAND RATHI
SHARE AND STOCK BROKERS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the V-Mart Retail Limited Q4 FY26 Earnings Conference Call hosted by Anand Rathi Shares and Stock Brokers Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touch-tone telephone. I now hand the conference over to Ms. Vaishnavi Mandhaniya from Anand Rathi Share and Stock Brokers Limited. Thank you, and over to you, ma'am.

Vaishnavi Mandhaniya: Hi. Thank you. Good morning, everyone. On behalf of Anand Rathi Shares and Stock Brokers, it's our pleasure to host the Q4 FY26 Earnings Conference Call of V-Mart Retail Limited. From the management side today, we have Mr. Lalit Agarwal, Managing Director; and Mr. Anand Agarwal, CFO.

I'll now hand over the call to the management for the opening remarks, followed by the Q&A session. Thank you.

Lalit Agarwal: Thank you, Vaishnavi. Good morning, everyone. Thank you so much for being on the call. So the story continues. The consumption in India for us looks quite healthy. We have seen a better quarter in the last quarter, definitely which is supported by the overall macro picture. So the macro picture that I can see here is positive. We definitely have controlled inflation. We definitely have a better per capita income that we are visualizing for the customers. So I think there are definitely positive vibes coming, except the last quarter, we also had this war scenario, which was erupting, which definitely gave a little bit of -- I mean it was just -- there was no real life problem. But perceptually, there was a pressure that the consumer had. Perceptually, they were into a fear factor. People wanted to hold their expenses, largely in urban India, we saw not especially in Tier 2, Tier 3 towns. So those still look good. Our footfalls have been growing.

There was definitely a little bit of mixed weather times, because the last quarter, early part of the quarter, we saw winter being very low and then suddenly winter came up and then it sank in very fast. So winter was weak, but summer came up very early, but our organization prepared very well. We prepared very well for launching the summer well in advance in time, which where we took the benefits versus the market and those benefits actually accrued some results to us as well.

And then post that, we saw some geopolitical challenges. We definitely saw some cities and some towns where we saw some crisis of oil. There was 1 or 2 or 3 days of some crisis piece, which we saw coming in and then maybe that created a concern. There is definitely big piece on in terms of the whole crude oil price rise, which is happening. And there are directly, we don't see fuel costs getting risen. But indirectly all the raw materials, all the products, all the services, which are all getting affected because of the crude oil prices going up. And so largely our apparel business, non-apparel business, we see almost 70% -- 60% to 70% consumption of polyester yarn or poly-based product lines, which have or will get impacted because the earlier orders that

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we had given was already being secured for April-May deliveries. But for all those deliveries which are going to come in June, July, August. So we will see some impact there also. We have tried to block our orders well in advance, keeping in mind and then keeping the -- or taking the use of the existing inventories of yarn and fabric and the apparel that vendors have. So there is a lot of good work that we are trying to do with the vendors in terms of trying to nullify the impact of the rise in the yarn prices rise o

r rise in the polyester prices.

So definitely there is a rise of almost 10% to 15% in the yarn prices, which effectively converts to almost 5% to 7% in the apparel prices. With some negotiation in certain products, we have to absorb 1% to 2% to the cost of the future deliveries. But in certain cases, we have also passed it on to the consumers, but very, very controlled way.

So overall, there is some disruption we are able to see that in terms of both availability of raw material as well as the prices of raw material. So that is one thing which is a little difficult to consume. That certainly will impact the consumer sentiment or could impact the consumer sentiment as well because the inflation expected, has to come up because in the last quarter, we did not see those things happening.

Suddenly in the end of the month, in the quarter which is the March month, we saw some prices going up of oil or certain product lines where the consumers got impacted little bit but not too many things. I think there's not too many change which has happened. We still see footfall, better footfall. We still see consumers coming out to buy and open because last month or this month also, we saw some footfall coming in from the -- for the marriage season when the marriage was

there.

We also saw summer coming because summer was a little late because initially summer got launched in January, February. But once again, in the March month, we saw a little bit of winter chill happening, a little bit of rains coming in. That rain s also disturbed the market a little bit in terms of the seasonal need. So the seasonal need picked up in April only and that is continuing in May.

We have marriage seasons coming in. But yes, there will be 1 month of stale also which will happen because of Adhik Maas, which comes in our Hindu calendar. But overall, I see good news coming in from agricultural side also. There could be some futuristic challenges which could come in. But as of now, we see good agricultural output coming in.

Consumers are act ually coming out to spend the money. There were a few instances of rains, which actually created some havoc in certain farm area, which is largely in the Northern belt. So we saw some impact. But otherwise, most of the areas we saw good things coming up.

Festivals and seasons, Eid and Holi were 2 big festivals in the last quarter. We saw good traction both, Eid was very good. Even Holi was okay, not great, but okay. But apart from that, post -Holi or post -Eid w e saw a good jump as well because of the early launch of our product lines.

So overall, I think we have strengthened our business verticals. We have strengthened our Unlimited business. Our Unlimited South stores and the performance in the South store loo ks V-Mart Retail Limited

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good. We have now got a good grip over it. So we are firing. We are trying to open up more new stores in that particular market.

Our LimeRoad strategy also has been very fruitful. We have been able to create a lot of efficiency, a lot of execution discipline, a lot of technological changes and utilization of AI, which really has given us a lot of benefit in terms of the loss prevention, because we have almost -- cut down almost 70% of the losses in that business from the last year perspective.

So that we are very confident on that particular side of the business because almost half of the business coming from that area is mostly omni. And omni is a good piece that we are trying to focus on. Where the consumers who are buying both online and on offli ne, we are seeing very promising results from there.

There's a lot of work happening in the entire product lines, product development piece, vendor development piece, the design departments, trying to bring in a lot of analysis, bring in lot of design ele ments, integrate with or have partnerships with vendors, trying to work with mills, exp

lore also the international markets.

So there's a lot of work which has happened in the product areas in rationalizing the product, in creating a better freshness in the product, in liquidating the entire old merchandise and all of those things. So that has also given a lot of benefits in the last quarter.

So overall, our strategy remains very clear. We will keep focusing on the similar area of market. We keep focusing o n giving better fashion, attracting newer generation consumers, definitely making the family look more younger, more sweet and more cuter. So that is our focus area. We will do it, all of these through definitely a lot of intervention of AI.

We are focusin g as an organization a lot of all these large language models, the AI and agentic workflows and stuff. So there's a lot of work and there is a lot of discussion and a lot of debate happening and a lot of new introduction of certain smaller things are happe ning. So certainly, some of these will yield more results, make us more scalable, make us more efficient and also make us more intelligent in terms of serving the consumers.

So those are the areas we are trying to work on both impacting the front end as w ell as the back end. So that some of these things will certainly help us over the market. We feel we can. We've got a good grip over the business. We've got good team now. We have recently moved into a new office in Gurgaon, so the team has all come together. This makes us once again more scalable and more better in terms of collaboration as well.

So a huge round of applause for our teams, our stakeholders who've been there, been working with us. Certainly, we have seen some upswing also in the competitive space. The competition has got good targets, where they're trying to open up a lot of stores in the coming quarters and coming year as well.

So we will see good things coming in. But yes, we certainly have seen the impact of all these activiti es are getting nullified. Now we are not seeing too much of impact coming in even if the stores are opening, because already the market is occupied with many stores.

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One additional store or 2 additional stores now opening up doesn't give any more big impac t on

our existing store sales. So I think that side is becoming more controllable. We are definitely able to counter a lot of these competition.

We are also able to yield the benefit from the little bit of, I would say, improper execution or improper presentation of their product in the market from the earlier successful retail organization. So some of those benefits also we are trying to achieve because some of those competition when they opened up the stores in the first 1 or 2 years, they actually peaked up their sales. They actually attracted certain consumers.

Now the customer base has become wider. The organized customer base has become wider. So we are trying to attract more footfall of those customers who were earlier going out to those competition stores. That is our strategy to try and bring in those consumers even if the market looks a little poor or weaker in terms of the demand. What our strategy will be largely to increase our own market share from the earlier times.

So but anyway we'll take up the questions ahead. I hand it over to Anand. He will take you detailed into the numbers. Thank you so much.

Anand Agarwal: Thank you Lalit, and good morning everybody. I'll quickly take you through the numbers and some commentary around them, and then we can open the house for questions. So quarter 4 has been a great growth quarter for us, with actually our highest ever quarterly new store additions as well as good like -to-like same -store sales growth, leading to a total sales growth of 24%. We opened 29 new stores and also delivered an LTL of 12% with V-Mart at 12% and Unlimited at 9%.

Overall, this marks the 10th consecut

ive quarter of sustained like -to-like growth, reflecting the

continued progress on planned merchandising and product upliftment, disciplined expansion and automation-led systematic process improvements across the organization.

The new stores that we opened are delivering actually better than network throughput, which reinforces the confidence in both site selection discipline and brand relevance across Tier 2 and Tier 3 markets. The South market under Unlimited format continued its strong momentum, delivering a 28% revenue growth and a 63% increase in EBITDA, supported by strong throughput of new stores added and continuous operational efficiencies.

We remain confident in scaling in South markets where results remain encouraging. The sales per store and the sales per square foot matrices continue to improve in line with SSSG. We also saw apparel ASPs grow 5% this quarter, primarily due to the better festive mix, lower discounting and improved full price sell-throughs.

On the margin front, gross margins actually for the quarter decreased year-on-year by 1%. This was on account of provision taken on inventory as per our consistent long-standing policy and also a 12% decline in the LimeRoad commission income, which actually flows 100% into the gross margin line, but now forms a smaller share of the overall revenue.

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The important highlight actually was the improved inventory health that should result in better gross margins going forward, which will -- or should be driven by higher proportion of fresher merchandise on shelves, lower discounting intensity or requirement of lower discounting and improved product mix. Overall, our days of inventory also improved by 3 days, which is on a 5-quarter rolling average basis, along with per store inventory reduction of 13% year-on-year.

The inventory betterment should continue as we will further rationalize assortments, display densities and gain benefits from improvements making from supply chain efficiencies on replenishment cycles and warehouse dispatch optimizations.

Coming to operating expenses. The total expenses increased by 8%, largely led by a planned significant drop in expenses in the LimeRoad vertical, drop in ESOP expense year-on-year and lower offline marketing spends as we continue to drive loyalty-based traffic to stores through more digital interventions.

As a result of the sustained operational efficiencies, EBITDA grew by 56% year-on-year to INR106 crores with margins expanding by 220 basis points to 10.9%, reflecting better cost absorption and productivity gains.

The EBITDA growth translated into significant growth in adjusted PAT to INR10 crores. We have actually normalized the PAT numbers for exceptional gains to reflect the real operating profits for better comparison and reflection of year-on-year sustainable business improvements. For the quarter, we have reassessed and reduced the onetime exceptional charge of INR2.1 crores provided for in the last quarter by almost INR1 crores in this quarter. So thereby the full year impact for the Labour Code-led impact is limited now only to INR1.2 crores, which is related to the estimated provision on account of these Labour Code implementations.

LimeRoad loss -- marketplace loss reduced significantly year-on-year, continuing the sustained improvement in the operating metrics for the online marketplace business. The marketplace business remains profitable at CM3 levels in high single digits and has now begun to contribute

meaningfully by increasing the customer loyalty, higher bill sizes and much higher repeat rates for the growing omni customer base, reflecting validation of the original investment thesis in LimeRoad.

As a culmination of all the improvements and efforts on a full year basis, PAT has grown by 6x to INR124 crores, reflecting consistency rather than quarters

specific effects. This is our highest

ever PAT and the PAT percentage at 3.3% is also now almost reaching the similar levels of PAT of around 4%, 4.5% that we used to enjoy pre-COVID.

Inventory on the -- moving on to capex and cash flows. capex for the quarter stood at INR37 crores, INR159 crores for the full year, primarily towards new store additions, old store refurbishments and technology-led investments.

For the next year, the capex is estimated at roughly around INR170 crores, INR180 crores. On a YTD basis, the business generated positive cash flows of INR33 crores versus a negative cash -- free cash flow of INR33 crores in the last year. There is no long-term debt on the books, and

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we remain comfortable on the cash front with ample working capital limits available to leverage future growth, which will be financed through internal accruals.

Coming to store expansions. We opened 29 stores this quarter and 92 in the full year with 12 closures. The guidance for the next year remains the same at 13% to 15% area addition every year, net of 1% or 2% mistakes that may need closures year-on-year.

With a healthy store pipeline, improving throughput across both mature and new stores and disciplined inventory and cost management, we believe the business is well positioned now to maintain momentum into the coming quarters while sustaining profitability and cash generation.

So that is all from my side and I now request Farah to open the house for questions.

Moderator: Thank you very much, sir. The first question is from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta: Congrats on a good set of numbers and thanks for taking my question. So firstly, you did mention in the commentary, but a little bit more clarity on this aspect. So there is inflationary pressure across the board and not -- particularly in the petrochem-based raw materials, but yes, yarn and cotton also have gone up.

So just trying to understand the impact on V-Mart. So if you could give any idea as to how much RM inflation currently we are facing or any kind of sensitivity where linked to crude, if crude goes up like, let's say, 10%, our RM basket goes up by how much? Any sense on that would be great, really helpful.

Lalit Agarwal: Yes. So Sameer, we've already -- I've already narrated mostly. See, definitely, there is a direct correlation with the crude prices. The proportion of fabric of the proportion of the yarn or the cost of yarn that gets into the apparel making varies from 33% to 50%. A lower priced product would have a higher percentage of yarn, or a higher priced product would have a lower percentage of yarn. And then it is just not about the yarn. ..

Sameer Gupta: When you say yarn, you mean polyester?

Lalit Agarwal: When I say yarn, I'm saying polyester or cotton or whatever the yarn it is, whether it is a viscose or it is a polyester or it is a poly cotton. So ultimately, there are yarns which are mixed in nature.

There are single yarn in nature, so now that even in a higher priced product, you would have cotton more and lesser polyester. In a lower priced product, you would have more polyester and lesser cotton.

So when you look at the lesser priced product, the impact becomes a little more higher, the yarn -- if the yarn or the crude increases by around 10%, it gets translated to around 5% of increase in the yarn. And in the apparel cost, it goes down to 1.5% to 2%.

So that's how the matrix flows. What is the level of because if the overall crude prices that we see has grown by almost 30%, 35%, it has translated to almost cost of 10% -- 8% or 9% in yarn cost, and which has resulted into 3% to 4% of apparel or garment cost. That is 100% yarn-based or polyester yarn-based product. If it is a mix product, it comes down a little more percent.

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What we are trying to do is how do we accommodate this 3% to 4% either with certain innovation in fabric or trying to use certain different kind of fabrics, which could actually nullify maybe a little more lightweight fabric which could nullify a little more negotiation in terms of the overall make -- and cut make finish of the garment.

How we are trying to manage those costs, but still we are seeing 1% or 1.5% increase in the

overall price or the cost of the product that we are sourcing, which certain part of it we are trying to pass it on to the consumer.

But certain part of it, we are also trying to retain, which could increase the inward margin a little bit. But I think effectively, we will want to bring in more efficiency so that the delivered margin and the outward margins do not get affected through this. I hope it is clear.

Sameer Gupta: Yes. Very clear, sir. Thank you so much. And if you could also allude to roughly our fabric mix in terms of polyester and cotton that would complete this puzzle.

Lalit Agarwal: See, what we are looking forward is the festive period and the winter period. So in that festive and the winter period, what we see the poly mix comes -- goes up to almost 80% -- 75% to 80%.

But during summer, it is the cotton mix comes up to be almost around 50%. But when we are moving towards the forward season and the winterish season, the polyester mix goes up. That is why your polyester mix would be around 70%, 75% of the total sourcing that we are doing in the forward period.

Sameer Gupta: Got it, sir. This is very clear. Second question, and let's just exclude the war and the crude impact when we are answering this. Now this year, excluding LimeRoad, the company has clocked a 6.6 pre-IndAS EBITDA margin, which is up 120 basis points Y-o-Y. And again, in the base I'm excluding LimeRoad, this is at a 5% LFL. And this is despite a relatively higher area growth this year.

Now if a mid-single-digit LFL were to repeat, all else equal and when I say all else equal, let's just assume there is no crude or inflation impact, then logically, a 120 basis points margin expansion at least should happen in FY27. What are the constraining factors here? Is there any competitive threat that you are looking at?

Again, we don't know what is going to happen on the war and stuff on inflation. So if you could just highlight the thought process here, if it is correct or there are any issues in there?

Lalit Agarwal: Sameer, please talk to Anand and come and help my FP&A team, so that they can actually project such kind of good numbers. I'm pretty happy about you, what you're saying. But yes, certainly, efficiencies bring in benefits. It is just not the same-store sales growth, but how efficiently are you able to sell through your buy or sell through your inventory.

So that is also one of the biggest factors which gives you margins. So I think it is more about efficiency generation. It is definitely also about mid-digit or a little higher than mid-digit same-store sales growth. So I don't see a lot of constraints.

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I see there are constraints in terms of the overall inflation, overall labour cost also going up because what happened recently in Haryana, or Noida and all of this certainly has led to a little bit of -- could lead to a little bit rise in the labour cost that again could be detrimental. But otherwise, I don't see any challenge whatever that you are thinking, whatever you are projecting, we also believe that similar things could be derived if we are able to achieve 6% to 7% of like-for-like growth.

Sameer Gupta: Superb sir. That's all from me. I'll come back in the queue for any follow-ups, unless Anand wants to add to this.

Anand Agarwal: No, Sameer, I think I'm good with what Lalit is suggesting. I think we -- all things remaining equal,

we remain optimistic and buoyant for a similar kind of growth. But as Lalit suggested, I think all things currently do not look equal. So let's wait and see how well we can leverage and optimize this.

Moderator: Thank you. The next question is from the line of Tejas Shah from Avendus Spark. Please go ahead.

Tejas Shah: Congrats on a good set of numbers. Lalitji, you spoke in detail, but just wanted to double-click on it on demand scenario. So a lot of -- and not only your results, but if I see consumption results in general, I would say that after a long time, there is some broad-based recovery, which is visible. So just wanted to know -- so there's one disruption which has come from external environment, which is the whole crude-related inflation?

Looking at your own data and then your field on the ground, do you believe that we can pass on the inflation to customer without hurting this momentum, which we have seen for the last, let's say, 4, 5 months or for us, it was actually much more longer, which can actually continue. And even if we have to pass on the inflation, whatever the proportion you just spoke about, it won't disrupt the demand momentum?

Lalit Agarwal: So Tejas, it is just not our inflation. It is just not our price increase or whatever it is we are passing on. It is the basket inflation that the consumer spends their earning to. So almost what we see, almost 60% of consumer's basket is need-based. 60%, 65% is need-based and out of that, almost 70%, 75% of their basket could get affected.

Because if I look at the entire piece, even the agriculture prices, the whole fertilizer, the whole pesticides or even the logistic cost or their day-to-day power cost or electricity cost. So what we

see the impact could go to all these extent and could actually get affected.
So the consumer may find it difficult to manage their inflation and that could be a reality. And that is what we are caring about, that all of our consumers who are largely need-based consumers whose their income, but one respite we are able to see is the increase in minimum wages or the overall earning capabilities that is going to increase by the government.

So I think some of these things can actually give some benefit. But otherwise, if this continues, I mean, it may throw a little bit of challenge in terms of the consumer sentiment. But overall,

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from our side, we are being very, very sure on this. We do not want to pass it on blindly. We do not want to pass it on like we did it in '22, '23.

So we don't want to do that same mistakes again. We may absorb some margin. We may change certain product lines. But some of these where we feel the consumer can actually pay and where the design factor is much more larger and the consumer will be easier for them to pay, that is where we will try to take it up.

I don't think we will see a lot of challenge in terms of the demand. But yes, overall, the demand could get impacted a little bit. But as I said earlier also, the organized market has also become bigger. So for us, it is more a challenge where we could pull in how could we pull in more sales from our peers, from our competitors, so that we are actually able to grab and grab that opportunity in spite of a weaker market, if at all happens.

Tejas Shah: Perfect. Very clear. And second on market competitive landscape. So usually -- and you called out that there is not only pricing issue of raw material, but availability issue also. So does it mean that the smaller players kind of get shafted or cornered in securing raw material at right prices versus, let's say, an established player like us. And hence, it can be a very good opportunity for us to get market share in this environment?

Lalit Agarwal: So I just don't want to raise my hopes because as of now, we are also struggling. Our team is also trying to grab on

to all of these to secure the production. It is just not securing the order, but also securing the actual inventory for the vendor because the vendor should also have that raw material well in his house before he is able to deliver.

So I think, I mean, it's not over, but things are going to be for us also a tough period because all the vendors and the entire supply chain, there is so much of difficulty which is getting affected because of the whole gas issue also has impacted the production lines of certain vendors in certain processes.

So there are challenges. The whole election pieces which happened in Bengal and Tamil Nadu. There also the labour workforce has got reduced. There has been a challenge in terms of the availability of the labour. So some challenges have been erupted, but I hope those challenges will be met.

And certainly, I mean, see obviously, people who are little inefficient, people who have a little lesser brand image or even the payment terms or even the capability to secure the product line will face challenges. So we know it is an immediate situation. We are dealing it as an emergency situation and we are not leaving anything unturned.

So we are trying to get deeper into it. Wherever we feel there is a challenge here, we are also exploring of bringing things from China or some other places. So some of these things we are trying to do, so that we can integrate our arc of supply chain well in advance.

Tejas Shah: And last one, so Anand you kindled our hope by saying that we are kind of moving towards that pre-COVID PAT margin direction. So with whatever sector is available, where are we today?

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Do you think that with the hope of the goal that we have of 5%, 7% percent SSSG, can we achieve that number at PAT margin level this year?

Anand Agarwal: So, Tejas, I think the direction is right. Our efforts are very genuine and sustained. And we are seeing results emanating out of these sustained efforts. Now to set a timeline, whether this will happen in the next year or the year after that, I can't see that. Or I cannot predict that.

But definitely our intentions are obviously towards securing that kind of margins in the medium term. It may happen next year. I don't know. There are so many different factors which will influence that. But definitely our intention is obviously to get to that level very fast.

Moderator: Thank you. The next question is from the line of Rehan Syed from Trinetra Asset Managers. Please go ahead.

Rehan Syed: Sir, I have just only 2 questions. First, I just want to get understanding regarding your apparel ASP remain broadly flat while footfall increased sharply. So just our customers currently preferring lower-ticket products or is this more because of higher mix contributions from entry -

price categories? This is my first question.

Lalit Agarwal: Rehan, can you just repeat the last piece you said that our customers preferring what?

Rehan Syed: Like I just want to understand this customer currently preferring lower ticket products or this is more because of higher mixed contribution from entry price categories? Just a clarification.

Lalit Agarwal: No. See, what is happening is gradually the -- I mean, not only ours, but the availability in the market to all the organized players, value organized players is becoming larger and larger. So certainly the average spend per piece by the consumers which they used to pay earlier, they definitely want more efficiency, more value here. But it is not the fact that they are trying to pay or go for a lower ASP or lower price product.

We are expecting a little bit of a mix change as well as focusing on little bit more on the better product. Because the consumers are certainly asking for a better quality product, asking for better product in general. But yes, as and if we see inflation coming in, there could be some

impact

that the consumer will face.

Here both the things would happen. The higher consumer, which is the brand buyer, and then the consumer which buy premium products, would move down and could buy a little better product from our offerings. And there could be certain lower line customer base where they will struggle, they could either not buy or want to buy a little more entry price kind of products.

So I think largely we see these products, the ASP coming out in the balancing mode. We are not seeing very high growth in the entry price kind of product as well. So we are seeing that similar and even good products coming out on the central, good products are also coming out as good.

Rehan Syed: Okay, okay. Thanks for the clarification. And my second and last question is around your geographic mix that we have seen about the southern market. So there you have seen Uttar Pradesh and Bihar together now contribute a very large portion of the store network. So how V-Mart Retail Limited

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does the management view the long-term growth opportunity in South India especially after seeing traction in Tamil Nadu and Karnataka?

Lalit Agarwal: No, I think we have been focusing very highly on that particular market. See, our philosophy is also to build a sustainable return on capital or the ROC business -- from the business. We just don't want to go and open out the stores. The property prices in those markets are also a little higher. So we have to be little more conscious in terms of our expansion. We just want to open stores which remain profitable for a longer term. So that is how we are trying to do.

We have created our team there in South India has been strengthened, they are trying to acquire.

But for us every market there is a large opportunity. A market like Uttar Pradesh or Bihar where we are almost there in all the districts. We still see a 50% to 70% growth rate which could come in from these markets in terms of our number of stores getting expanded in the next 5 years.

So I think there is a long opportunity which is available in all of these markets. The population rate in the upper area or our core market that is very, very high. But there is an opportunity in entire India and that is how we have divided our organization structure so that every zone or every state is being given a sufficient time and sufficient energy so that we are able to expand.

Rehan Syed: Okay. Okay, thanks for the detail. And sir, just one last one more question if you just could allow me. Sir, like what is the medium term sustainable ROC target once the current expansion phase matures?

Lalit Agarwal: So I think we have been always working towards acquiring around 15% to 18% of ROC giving.

So right now we are around 14.5% we want to go to 18% and then maybe 20% and above 20%.

So I think our investment that we had done in the last few years was largely in the warehouses or in the acquiring LimeRoad and Unlimited or even feeding you the losses of LimeRoad.

Actually, took ROC, ultimately, we would want to over anything above 20%, 22%.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from Ikgai Asset. Please go ahead.

Rahul Agarwal: Three questions. Firstly, on the macro side. When I look at this value fashion segment, right.

When we look at growth, we analyse detailed numbers for each company in the listed space at least. Clearly, fourth quarter, V-Mart has been an outlier in terms of how SSSG has come through. Your new store editions have also been in sync. So very good performance.

But incrementally when you look at full year fiscal '26 or even last 3 years cumulative, we're looking at very high discipline on V-Mart in terms of how balance sheet cost is getting managed, which is again very good. But purely from a market share perspective and given what is happening on value fashion because there's too much growth in the

the hinterland of India, a lot of

expansion happening by competitors.

Does market share actually mean anything in this industry and for you internally, do you guys discuss how are we doing in terms of our own revenue market share, 3 years, 5 years, 1 year

analysis, 10 year views? So that's the first question, sir.

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Lalit Agarwal: Yes, Rahul, you are absolutely bang on. And definitely, market share is something that we keep watching on but it doesn't. Because the largeness of the Indian consumption is massive and then we actually could bring in, I mean, more consumption and the consumption is bound to increase. So in spite of all of these new additions in the value retail it has not been easing out.

There is so much of consumption left out, still more than 60% of the business is going to the mom-and-pop or the unorganized traditional retail store. So there is still a lot of opportunity left. We really believe there is certainly a shift which will happen and there will be always some part of the retailers which will have some leadership in the business.

And how do you grab onto those opportunities? And that is what we all try to do. We try to talk about it, that how do we actually create a strength within the organization which will bring in or give more value to the customer, create more better perception towards the customer, give the customer the best experience.

And that is what will bring in the market share or some share from our peers if at all they are acquiring or they are able to acquire the last few, 1 or 2 years with some store openings. So that is how we try to play about it.

But you're absolutely right. With so many number of players coming in and so many number of players available, the market share piece is not valid and should not be a big point in our area. Because this is not a product-led business where 1 or 2 companies could acquire a very high market share. So this is not those kind of businesses where such things can happen.

Rahul Agarwal: Got it, Lalitji. And there's two more things, one for you and one for Anand, which we would cover. When we talk to your vendors, right, on the fabric manufacturing side, and we've also worked on product freshness in our stores, which actually has resulted into shorter cycle sourcing, is what we understand, and please correct me if I'm wrong. We're sourcing much more fresh products and hence the sourcing cycles are quicker, the inventory terms are faster.

Unfortunately, current environment because of that, maybe when we enter the festive season and then the winter, maybe 2Q, 3Q of the next year, which is fiscal '27. How are you looking at the advance booking? Because as you already explained that there is some inflation, something will get absorbed, something will get passed through.

But what we hear is, the advance booking from V-Mart versus some other value fashion retailers, 2 to 3 of them has -- is getting better off. So will there be a margin hiccup when we get into our seasonally strong season? That's one.

And secondly, just on the capex side, if Anand can clarify, my sense is refurbishment in new stores, INR130 crores, INR140 crores should be enough. When we look at this INR175 crores, INR180 crores number, what is that additional spend? If you could just break that down.

Lalit Agarwal: I think, see sir, as I told earlier also, we are -- we definitely have 2 verticals. One is the vertical, which closes the final design and the other is the vertical which tries to close the fabric pieces. So we work in a longer term mindset to close our fabric needs and fabric requirement and give the perspective so that the time taken for the fabric development also is taken into account.

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So there is certainly good work that the team has done. They have almost blocked 50% to 60% of

our needs or our total demand till December. So there is already a blocking which has happened for the forthcoming 6, 7 months, part of which is going on, part of which is enclosed. So there's a lot of work. I don't see a jump in margin there, but what I see is not a negation in the margin. I would see maybe availability of the product. I would see a better value being provided to the consumers if they compare it with other part of the market. So I still feel that the consumer and our consumers are very much down to our consumers who can buy only 2 or 3 times in a year.

Their earning capabilities are very low. Their average earning is around INR30,000 a month. So I think for them, creating an impact at this point of time from our side shouldn't happen. And that is what we are trying to prevent. Because they should not -- they already are in pain because of inflation. And V-Mart also offers or helps -- or doesn't help them to sustain that pain or doesn't help them to give the product at the similar prices actually makes the consumer move away from the brand.

I think that is where we want to bring in that loyalty and our loyalty is very, very important for us because for us almost 72% of our sales comes from our repeat customers and the customers who are already shopping with us. So that is the core priority. We definitely want to offer them a longer term view and being with them is more important in these difficult times.

Yes, Anand, if you want to answer on the capex piece ?

Anand Agarwal: Yes, on the capex side, Rahul, we spent INR159 crores this year. And my estimate is, because we also do apart from the new store expansion as well as the old store refurbishments, we are slightly going heavy on the tech side with a lot of AI led interventions. So the budget that I have put together for next year is probably around INR170 plus crores and the differential for whatever you mentioned in the numbers is more to go towards the tech side.

Moderator: Thank you. The next question is from the line of Aliasgar Shakir from Motilal Oswal Mutual Fund. Please go ahead.

Aliasgar Shakir: Congratulations on a very good set of numbers. Just 2 questions you already have spoken on them one on the raw material already you have elaborated a lot. I just wanted to quickly understand if you can quantify, I mean, if the group prices remain where they are then what kind of price increase do you need to mitigate. And in the past, probably during COVID or post COVID, when these pricing increases were taken, we saw some impact in terms of demand. So what are your thoughts on that?

Anand Agarwal: So I think we have already narrated, Ali. And then we would not want to increase the same product's price too much. On an average, if you look at the similar like-for-like product line, the price increase may go up by 1%, 1.5%. But there could be certain price increase in the ASP that you could see from the mix change. Because like earlier times, we used to sell large amount of kurtas in women. But now we want to sell more kurta sets in women.

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Now if you sell kurta sets as a mix, the ASP goes up. And that is what we are trying to do. So that how do we will bring in combination which is more in fashion? And how do you bring up the consumer lifetime value? Or how do you bring up their annual spend value at our place? That is how we are trying to position ourselves. But you would not see too much of price rise coming in from this perspective .

Aliasgar Shakir: Got it. This is very useful. Second question on growth, you did elaborate a lot , but I just have 2 clarity, I mean questions on the growth part. One is SSSG, while now we have seen very strong SSSG performance for almost back-to-back maybe 10 quarters right. So typically we have seen the sector goes through a cycle and after maybe 2, 3 years of good SSSG you see some softening

tening

happening.

Now also after such strong numbers and store addition from the competition is also happening. So maybe there will be some probably competitive factors also. Plus you are adding a lot of stores and this also -- is there also a risk of overlap?

So just if you can share some thoughts on the SSSG trends while you have said that you would want to do and continue to do 5%, 10%. But do you see the risk on SSSG because of cyclical, competition plus overlapping of your own stores?

Lalit Agarwal: So I think, Ali, the work is over behind us. We have seen enough of that. As of now, all of the work that we might have done in the past 3, 4 years is trying to strengthen the organizations, strengthen the technology parameters, strengthen the analytical strength, building the whole -- integrate the whole partnership with vendors, also have that designing capability. And all of that , I think, for us, we are very confident that we would -- we should be continuing and we should be growing more. And this is the time for where we need to come back.

And we need to keep continuing on that kind of -- on that growth rate. See, the risks are always there. The risks will always continue. There will be market disruptions. There will be sudden internal disruptions which will happen. There could be some competitive-led challenges, which could get thrown away in particular markets or in particular geography or in particular towns. So, that will keep happening. But overall, we believe -- and we are very confident that we should be able to crack and continue the SSSG growth rate which is going on. We are very, very cautious and we are also very, very optimistic on this.

Moderator: Thank you. The next question is from the line of Lokesh Manik from Vallum Capital. Please go ahead.

Lokesh Manik: Sir, 2 questions from my side. One is on the capex per store, which pre-COVID used to -- which was only V-Mart pre-COVID, which used to be about INR1.2 crores, INR1.3 crores. Then introduction of LimeRoad and it shot up to INR2.3 crores, this year is at INR2 crores. So in the medium term, where do you see this settling down? Maybe Anand would have a better idea on that. If he can just guide us.

Anand Agarwal: So Lokesh, our capex per store still remains around INR1.3 crores, INR1.4 crores. For certain areas, wherever -- very isolated cases, where we have to be slightly more upmarket, there can

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be exceptions, but otherwise at an overall basis, our capex per store still remains at INR1.3 crores, INR1.4 crores.

So, I think the number that you're getting is an average of total capex divided by the new store additions, but there is also a lot of store refurbishments that we do and that takes up a significant, a good amount of capex that happens after every 4 to 6 years depending on the condition of the store and the market intensity or the competitive intensity. But that is a very large project that we have undertaken in the last 2 years. So a good part of our capex spend goes towards store refurbishments.

Lokesh Manik: So, Anand, when is that tapering off? When do you expect that to taper off?

Anand Agarwal: I don't see that tapering off because this is a continuous evolution. We will continue to keep bettering our stores. So typically, every store will go through a refurb cycle between 4 to 6 years. Now some may go a bit earlier at 4 years, some may go by 6 years, but that is the typical range in which we like to operate. And that is the way we have constructed our business model so that the internal accruals and the store EBITDA itself and the cash flow generation is itself able to very well take care of that refurb.

Lalit Agarwal: There will be some pressure on the capex line as well because of the increase in the raw material prices or the group prices or the market uncertainties. There could be

certain pressure which

could come here as well. But as of now, we haven't taken too much of pressure. We have actually reduced our capex from last year. I mean we negotiated more. Actually the sourcing team has done a great job here as well. And so we are trying to work on that as well.

But largely if you look at the entire, there are the gross addition has been 90 stores, it is not 75 to 78 stores actually. So the gross addition has been larger. There has been little larger stores also which we have created. So overall if you look at the number is first traffic, as well as the other, because you need to invest more in the backend as well. As you go in the frontend, the backend investment also has to be lined with that.

Lokesh Manik: Great, great. Lalit ji, my second question was on rent expense. So as a percentage of sales we were at 4.5% again earlier and we peaked out at 10%, we are at 8% percent today. Medium term what is your target and where do you see this settling down?

Lalit Agarwal: See, I think in today's scenario and as you understand the earlier times were virgin period where we are -- we used to walk into the virgin territory, people were not so much aware, people wanted good retailers to come in. So as of now, there is definitely a lot of competition and a lot of requirement of those cases. And the construction cost has gone up, land cost have significantly gone up, the real estate prices have gone up.

The cost has really gone up. So I think we should be hovering and then we should be comfortable around say 6%, 7% to 7.5% and 7% is the ballpark figure which we want to come up with. So 7% is something that we are trying to chance and we will be there. Because most of our new stores are being planned at that particular price, so maybe less than 7%.

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Lokesh Manik: Great. My last question, Lalitji, was that over a period of time, our ASP of apparel has been more or less constant at V-Mart level and at overall level as well. So now do you see that with the inflation coming in and if you're able to crack your product mix strategy, incrementally you will see a lot of people coming to your store versus outside who will not be able to manage inflation and who will have to take a price increase. So do you see that benefit going forward?

Lalit Agarwal: I have narrated. We can only work towards it. We will definitely want to attract them more, convert them more, make them more happier, make them more aspirational. We would definitely want to do it. But yes ultimately, at the end of the day, the amount of work that we are doing, I don't feel that my competitors are not doing.

So the entire market is getting more intelligent. The entire market is trying to work. Why did I give credit to the entire market? Because most of the value retailers are really working very hard to provide similar kind of experience to consumers, similar kind of value delivery to consumers. So I don't think there is a large piece.

Yes, certainly we have done some extraordinary work. We will want to do more because there is still a lot of room left. So I understand there are lot of room more left. You could actually deliver more benefit to the consumer. You will actually be able to yield more better efficiency from our operations as well.

Moderator: Thank you. The next question is from the line of Jayant from 3PIM. Please go ahead.

Jayant: A couple of questions. One is on Unlimited. I know since acquisition, we've diversified a lot of stores, we've rationalized a lot of stores. Just from a sales throughput per square feet, over the let's say a medium term, do you think as new stores get added and as you've mentioned that new stores are operating at V-Mart level efficiency, we see that number going up closer to the V-Mart levels over the next 2 or 3 years? Would that be an aspiration for us?

Lalit Agarwal: I don't think

. There is a delta and the delta will remain , but we may be -- we are not, I mean there is an incremental same -store sales growth which we are getting better from there. But still the delta will be there and delta is right now there. So it is going to be, because there is a delta as of now of approximately INR140 or INR135. And we could come very closer on the delta , but still that delta will not go away because V -Mart has also lines of FMCG which we do. The kirana business also contributes to around 10% to 12% of the customers in V -Mart business. There, the sales per square feet is also little higher. V -Mart also does a little more of value products and then those products. But Unlimited does a little more of a little bit of brands and premiums as well. So that difference is there. We are covering that the like -for-life growth should be higher in Unlimited , that is what we are trying to perceive . And that is what we are trying to work towards.

Jayant: Sure. Thank you, sir. Just one more question on this, and you've alluded to this before. For FY27 specifically, given the exact challenges on the gross margin side , are we trying to manage that more via mix and premiumize the customer or loyal customers who are like 72% of our customers to , let's say a higher price product is that or a higher margin product is that how we want to protect our margins for FY27 given the whole impact on ...?

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Lalit Agarwal: No, no, no. I think we never work towards that. Certainly, it is more about what product are we able to create. Yes, there is a finding we do want to bring in more aspirational customer also in our floor. There is new set of customer entries that we are trying to also do because we also want to acquire better customers.

Customers who are -- who were shopping in brands because now the brands are no longer relevant for them. They don't want to show off their brand. They want to really show off the product. So if they want to really use a good product, a fashionable product, we are not leaving any stone unturned for providing them those kind of products, even if the price has to go up. So the whole mix of the range could get impacted, we would want to attract more higher product or better product mix. But that doesn't mean that we'll manage our margins through that. We will certainly want to manage our margins largely from our internal efficiency generation through our vendors or in our innovation pieces or in our cost savings that we could do over increasing the quantum of production because our production rate is also going up.

Our average order per colour which used to be around 3,000 pieces and moved to 5,000 pieces now it is going up to 7,000 to 8,000 pieces and could go 10,000 pieces. Now how do we actually bring efficiency in the production lines and in the production -- fabric production lines or garment production lines. That is what we are all trying to work where that could be transferred to our consumers.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the floor back to the management for closing comments.

Lalit Agarwal: Thank you so much for being there. We really had a good session. We are very confident at V -Mart. Our team is super excited. We give a lot of credits to all our stakeholders, our teams who really done a great job in the last quarter. We will continue doing all of that.

We will also keep innovating and creating newer ideas and newer thought process and adopting the newer set of digitalization, which is coming into the market. So that is what we all are here for. Thank you so much. And happy, happy -- have a good day.

Anand Agarwal: Thank you. Bye.

Moderator: Thank you very much, sir. On behalf of Anand Rathi Shares and Stock Brokers Limited , that concludes this conference. Thank you for joining, and you may now disconnect your lines.

Thank you.

Call: Jul 2026

Ref. No. CS/ S/L-995 /2026-27 30th July, 202 6

To:
The Listing Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
"Exchange Plaza"
Bandra Kurla Complex ,
Bandra (E) , Mumbai – 400 051
Scrip Code: VMART
Fax: 022 -26598120
Email: cmlist@nse.co.in To:
The Corporate Relationship Department
THE BSE LTD
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
Scrip Code: 534976
Fax: 022 -22723121
Email: corp.relations@bseindia.com

Subject : Transcript of the Conference Call held on July 27 , 2026

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and amendment thereof, in reference to our letter dated July 20 , 2026 (Ref. No. CS/S/L -986/202 6-27) regarding the intimation of the conference call with Analysts and Investors held on July 27 , 2026 , please find enclosed the transcript of the aforementioned conference call.

The above information is also available on the Company's website: www.vmart.co.in .

We request you to kindly take the above information on record.

Thanking You,

Yours Truly
For V -Mart Retail Limited

Megha Tandon
(Company Secretary & Compliance Officer)
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"V-Mart Retail Limited Q1 FY '27 Earnings
Conference Call"

July 27, 2026

MANAGEMENT : MR. LALIT AGARWAL – MANAGING DIRECTOR , V-MART
RETAIL LIMITED
MR. ANAND AGARWAL – CHIEF FINANCIAL OFFICER &

CHIEF OPERATING OFFICER , V-MART RETAIL LIMITED
MODERATOR : MR. SAMEER GUPTA – IIFL CAPITAL SERVICES LIMITED

V-Mart Retail Limited
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Moderator: Ladies and gentlemen, good day and welcome to V -Mart Retail Q1 FY 2027 earnings conference call hosted by IIFL Capital Services Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sameer Gupta from IIFL Capital Services. Thank you and over to you, sir.

Sameer Gupta: Hi. Good evening, everyone, thank you for joining today's Earnings Call with the Management of V-Mart Retail.

From the Management side, we have Mr. Lalit Agarwal – Managing Director, and Mr. Anand Agarwal, CFO & COO.

Without taking more time, let me hand it over to the Management . Over to you, sir.

Lalit Agarwal: Thank you. Good afternoon, everyone. Thank you, IIFL Capital, Sameer, for hosting the call.

Thank you for our investors and analysts for joining us today.

We definitely have started this new financial year on a better, healthy note. More importantly, this particular quarter is another step for us in the forward direction, for improving the quality and the consistency of our execution. We definitely are not only working on adding new stores but definitely driving more sales from the existing ones with better products, customers, or relevant fashion and the stronger performance in our zones, which are very important, along with the tighter discipline that we want to definitely adopt while operating the store.

Anyway, let me just give you a little bit of what I am seeing in the market. The sentiments in the Bharat definitely remains positive. I would not call it uniform across the markets, but yes, it is definitely looking very positive from our perspective as of now. There is sensitivity on the household budget, no doubt about it. There are definitely comparisons that people are doing in both prices as well as the quality.

But yes, I think due to the war scenario, due to the crude oil prices, due to all of these situations, we believe that there is inflation which has kicked in for the consumers. There is an upward revision of prices that we are seeing with multiple FMCG companies and that definitely is getting now passed on to the consumers as well. And consumers are feeling the pinch. There is a sensitivity on that particular part. But still, we are seeing customers and consumers buying.

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Affordability is still very important. The value has to be visible and convincing. So, that is very important, otherwise we don't see a consumption coming in.

So, the reasons for consumption are certainly going up, are increasing, then we saw Adhik Maas also in this particular quarter where we had expected the Adhik Maas to be little bad because in the past, we have seen that Adhik Maas usually is not by the buying month. Yes, this year we saw a little better Adhik Maas, and after and before that, weddings, festivals or even family functions or travel, and the school holidays. These smaller celebrations are also now creating more occasions for the customer to buy and that is something which is becoming good.

Consumption definitely has been occasion -led and will always be. The younger family members, which we see, the Gen Zs, the younger audience for them, it is also about the influencer or the influencing mechanism of the trend and the fashion, which is also coming out very strongly, both in smaller towns as well the larger towns.

I think the younger consumers definitely see their trends much faster and they want that newness more frequently. I think they are becoming more confident, and they want to only wear what they want to wear

. That is what we are able to see from the younger audience, and that is what continues even in smaller towns. That is good news which is driving consumption. The monsoon and the agriculture outlook definitely has been little hazy. We are receiving multiple news in terms of lower monsoon, the El Niño effect and all of that. Even as of now, we have a little deficiency in the rain, maybe around 30%. But I think some part of it that is getting covered. It started with 35 %, 40%, there is a lot of coverage which has happened in the later part of the month of July.

So, I think definitely we are encouraged with the demand environment. But yes, we remain watchful because the impact of the monsoon could be little non -uniform because there could be

states where we would see higher rain causing floods. There may be states where you would see a little bit of higher deficiency in monsoon, which we are already witnessing. Which could create a little deficiency in the demand pattern as well.

Overall, we believe the geopolitical situation definitely has been making us very watchful and we are seeing that there is a lot of volatility in the raw material and the supply chain cost which has and can influence the sentiment or even our pricing. But yes, our approach remains very practical and very cautious, and that is what is driving our confidence as well.

I think overall we did grow, overall, our growth of 23% with 9% like-for-like growth has been there, which is what we would call is the 11th quarter in the consecutiveness where we are delivering positive like-for-like growth. That is definitely coming with a lot of initiations internally, a lot of development internally. The important point for us is the combination behind these numbers. The growth is not dependent only on opening new stores.

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We have opened our new stores as well but it is supported definitely by our sustained productivity and from our existing stores through better merchandise, sharper price architecture because we have really worked very highly on what kind of price architecture should work, what kind of product line should work, improving the store executions, more disciplined expansion. The expansion has been very good. There has been a lot of discipline which we have driven there.

But definitely this has given us more confidence in the quality of growth, because the quality of growth this time has been very good. It has not been one-sided. We have to really work more as we go too deeper into it. We see more opportunities coming our way. There is a lot of work to be done. We should not be judged from one quarter to other quarter, and that is what we have been always speaking about. But I think our focus will remain on maintaining this consistency rather than chasing short-term growth or driving a headline growth. We at V-Mart have always been very clear on these things.

I think, yes, our major focus still continues to be on product, on our customer proposition. We definitely want to bring much more fresher fashion, better newness, which we have reflected also in our days of inventory. Our days of inventory have been continuously reducing. That gives us a very clear confidence as well, and that is also driving. Even the price ladder plays a very important part in our value delivery in our business. So, that is also something that we have been very watchful of.

We have been always looking at the very deeper into assortment, deeper into price points, and then how do we distinguish between customer what demanding enough variety or demanding more depth? How do we avoid decluttering or overloading the stores with unproductive choices or so. We are actually working on these areas, which is driving some better customer experiences as well.

We are really working hard to improve our full-price sales through, reducing our dependence on

the discounts or sales or end-of-season sales. That is something that we have been driving. That is also because of our healthier inventory cycle, or that will drive healthier inventory cycle as well. The objective is not simply to increase the gross margin, but our objective is to improve the rupee gross margin, absolute profitability, better throughput, faster fashion, and healthier sell-through. I think that is where we are really working hard on. You will see these things coming out as a picture. You will see that because even our inventory prudence is very hard, and our shrinkages have grown because of that.

I think regional relevance is something that we have been also working on. We believe India is divided into so many states with so much of cultural mix. That is also very important, and preference as it changes state by state. We are trying to derive, and we are trying to really work

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hard on better analytics so that we are able to make a little more relevant assortment for our customer segment and that is how we are integrating our AI piece and stuff.

On the other side, on supply chain side, we are also trying to integrate with our designers, fabric mill owners, the vendors, and how do we integrate ideas that can move faster from trend identification to the stores and that is where we are really working hard. For us, as a market, South India has been a very good market. Unlimited has continued to show very encouraging results. That is something which has been a highlight of this quarter. We still believe new store is an important area. Our performance in the new store has been very encouraging, especially in Southern India. The new stores that we opened last year as well as this year have been giving us very good results. That supports our confidence in our site selection process and in relevance of

our format and underserved market. I think that is very important.

So, we will still have very disciplined expansion. We will evaluate every store, every opportunity through the quality of catchment, the rentals, the ROI, expected throughput. All of those are very important. We do not want to take any hasty decision which we have to repent later on. Then we have seen in our market. We have seen our competitors also, the competition, taking such kind of activity, doing such kind of things. But at times we also feel that we should also get swayed away with this thought process of opening little more faster and little more aggressive in stores, but we want to be correct rather than repent later.

Yes, we certainly believe, as we have done earlier also, selective refurbishment is also very important, and refurbishment also has really helped us a lot to become more relevant and become more charming in the market.

So, we have seen more rational regional players opening stores. Customer expectation also rising. This is definitely both, as per me, more retail stores bringing in opportunity as well as challenges in the market. Opportunity in terms of more consumers coming into the organized fray of mind, but challenge is always whenever there is a new store opening, there is some amount of experimentation, some amount of research that the customer will do on these things. But yes, for us we believe there is a lot of markets which are still to be served, underserved by organized retailers. So, there is a long-term opportunity, which still remains very significant. For us, our omnichannel drive, our LimeRoad direction remains very clear. The marketplace losses have been reduced. We continue reducing that particular side. The team is really working hard to generate higher efficiency, better or greater financial and economic aggregation discipline. We definitely are not pursuing revenue, but still our revenues have grown this year with our sustainable economics, wherein we have reduced our losses.

This is the first year. So, we definitely are using the platform to build our online and offline capabilities together and understand the omnichannel customer more deeply.

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So, the LimeRoad team, their team's digital or analytical and technology capabilities are also contributing to the growth of wider organization. Then, as you believe the sales, we are reporting separately the LimeRoad as a number, but ultimately it is also affecting our V-Mart and the overall businesses or Unlimited business actually.

We are seeing customers increasingly moving from online discovery to offline and even offline to online. So, there is both the sides that we are seeing is becoming increasingly present and is becoming very valuable.

So, we definitely are doing lot on technology and AI. They are not separate projects for us, but very-very important to us. They are practical enablers for better retail decisions. We are using them. We are applying data and technology across a lot of areas, demand forecasting, design, trend identification, or even assortment planning or replenishment. So, there are various things that we had been doing, we are doing, and we are trying to do in a much better way, whether it is customer communication or CRM management or store productivity increments. Lot of areas are there where we are trying to work on this. Our aim is to definitely make the organization faster, more analytical, and more responsive.

So, there is definitely lot of work. We have also completed an important leadership transition. Anand has taken over the responsibility of the business also. He is the COO in addition to his role. The transition has really played out well. Remains fully aligned. I am closely involved in the overall direction, the performance, and the long-term development of the company. There is definitely lot of work. The team has really grown up. I wish the parting COO – Vineet a very well for his future, and I would definitely like to thank our store team, merchandising, sourcing, our partners, who has really worked hard, and the entire digital technology teams who are really working with us. I think they are very important to our success and our growth. We will definitely continue.

I will pass on this to Anand and let Anand continue with the detailed explanation of the results in this specific quarter. Over to you, Anand.

Anand Agarwal: Thank you, Lalit, and good evening, everybody.

Let me take you through some of the key highlights from this quarter, and then we can open the session for questions.

Quarter 1 has been a very strong broad-based growth quarter, with overall revenues growing 23% year-on-year, and the SSG is also growing 9%. Overall, this marks the 11th consecutive quarter of sustained growth, reflecting continued progress on planned merchandising and product upliftment, disciplined store expansion, and also sharper operating controls, with V-

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Mart actually delivering 8% same -store sales growth and Unlimited significantly outperforming with 13% same -store sales growth.

The continued execution of strategic projects around merchandising and operations through technology and process -led improvements continues to power us as we look forward to sustainable healthy growth and move ahead with healthy network expansion without diluting any productivity.

When I look at the sales, the summer season started late in April. In fact, May was also impacted by Adhik Maas, which Lalit also talked about. The wedding season, in fact, was also relatively shorter this year by three days versus last year. But despite this, the customer engagement remained healthy, with footfalls up 39% and the memo count also up by 18% year -on-year. The apparel ASPs also grew by 2%, reflecting better customer connect, which was led by product improve

ments and also improved operations.

The Unlimited format in South India continued its strong momentum, delivering 33% revenue growth and 40% EBITDA growth for the quarter, with sales per square foot reaching INR 710 per square foot, which is also up 18% year -on-year. This performance reinforces our longstanding confidence in scaling the format further across the Southern markets, as the new stores opened in the last one to two years have started to deliver significantly better Sales per square foot (SPSF) numbers than the acquired legacy stores.

As we have been speaking about this for the last four years, it is just a matter of time where the new stores averages start to take over the old legacy store numbers, and we should see continued progress coming in from South India and Unlimited.

Coming to margins :

Gross margin for the quarter declined 80 bps to 34.5%, primarily on account of a mix change and regular provision on aged inventory, which in fact, Lalit has also spoken about, where we are very stringent on how we handle our inventory. The inventory provisioning is as per our consistent policy, the benefits of which will get reflected in the upcoming quarters as the older inventory gets liquidated.

Irrespective, the inventory productivity continued to improve with overall days of inventory reducing by 8% year -on-year to 86 days. In fact, the inventory per store also decreased by 5% to around INR 1.5 crore at quarter end. The inventory remains very healthy and should continue to get better as the sales productivity increases with the similar inventory base improving days of inventory and lowering working capital utilization even further.

Moving on to expenses :

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Total expenses increased by 15%, well below the 23% revenue growth, providing a comfortable 150 bps operating leverage, which more than made up for the gross margin contraction. This was delivered through continued discipline on rent, manpower, and other costs even as we scale the network.

The LimeRoad marketplace also continued to improve, with losses reducing by 39% year -on-year and 7% quarter -on-quarter, despite an 18% increase in NMVs. This is the first time in the last eight quarters wherein we have seen a healthy increase in NMVs while simultaneously reducing the EBITDA loss, which has already come down to a very insignificant and manageable range. As a result of a healthy SSG and sustained operational efficiency, our pre -IndAS EBITDA grew 36% year -on-year to INR 83 crore, with margin expanding to 7.6% from 6.9%.

On a reported basis, post -IndAS EBITDA grew 27% year -on-year to INR 161 crore, with margins expanding by 50 bps to 14.8%, reflecting better cost absorption and productivity gains. This translated into a 39% year -on-year growth in PBT to INR 60 crore and 41% year -on-year growth in PAT to INR 47 crore.

CAPEX for the quarter stood at INR 38 crores, primarily towards new store additions and selective refurbishments. The business generated positive cash flows of INR 76 crores.

We continue to run an asset -light, debt -free balance sheet with bank limits utilization down to near-nil levels and continued zero long -term debt.

On the new store additions, we added 15 stores for this quarter and closed one, taking our total network strength to 591 across 335 cities, encompassing now 51 lakh square feet. Our expansion guidance for the year remains unchanged at 90+ as we continue expansion with a healthy store pipeline in place. While remaining slightly aggressive on new store openings, we shall still remain very disciplined on rentals, space productivity, and profitability rather than focusing on only store count additions to ensure delivery of sustainable growth.

On the upcoming quarter, while Quarter 2 is a small quarter and with Durga Puja also shifting by 19 days, thereby falling into Quarter 3, there should be

a negative impact on both sales and margins for the quarter versus last year. This is purely a timing issue and should be recovered very well with good festive to festive growth in Quarter 3 .

So, that is all from my side, and I now request Sanya to open the house for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Videesha Sheth from Ambit Capital. Please go ahead.

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Videesha Sheth: Yes. Hi. My first question was on the gross margins. If you could elaborate on the mix change point that is with the certain price points of particular categories underperformed or outperformed during the quarter.

Lalit Agarwal: I think because of the gross margin, there may not be a particular category mix change. Gross margin is largely an outcome of the price at which you buy versus the price at which you sell, and the schemes or promotions that you run during the year, or the provisions that you do. But yes, there is a little bit of mix change in terms of the product lines. As for the fashion need or the fashion trend, there are areas where we have worked a little more better, which has resulted into a better ASP as well. The ASP is not an inflationary ASP, it is more related to the mix change of product lines. For example, instead of one kurta or one lower, we would sell more combination of sets, which could increase, or we sell little more combo products, which could increase the ASPs. Similarly, the mix change has resulted in those areas and those betterment.

Videesha Sheth: Sure. Of the 80 basis points of compression, did both mix change and provision contribute equally or if you could share the breakdown, please.

Anand Agarwal: Hi, this is Anand this side. It's not equal proportion. It will vary from time to time. But the mix change is more from a customer perspective. We have not changed the stock mix deliberately to inflict a gross margin change. It's just customer preference, which is happening from time to time, which is also dependent on how the festive change is, how the season change is, how the demand patterns change across regions. The provisioning is a very thought out and a very longstanding, more than 10, 15 -year-old consistent policy, which happens every quarter. While the proportion may not exactly be the same, not very significant difference between the two.

Videesha Sheth: And the second question was on the conversion. What has driven the decline in conversion. From mid 40s to 38 %-39%-odd. Because even if I account for. Newer stores being added. The impact on conversion seems a little steep.

Anand Agarwal: So. We have seen this drop in conversion. For some time now. And at least for the last one or two years. So there are two reasons. One is there has definitely been some. You know errors in the past. To count the numbers in the previous years. That is some small amount there. We pointed out that earlier as well. And the second also is that as we are seeing far. Far greater competition in the market. We are seeing customers going across the market. Moving on to more number of options available. Checking out things which are available at nearby stores. And then coming back to buy again. So, which is basically increasing the number of the footfalls. But decreasing the number of memo count. But irrespective the memo count has gone up by 18 percent. Which remains a very healthy number.

Videesha Sheth: Sure. Got it. Just last bit, if I may. How are you looking to pass the RM inflation? Are there any price hikes which have already been undertaken?

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Lalit Agarwal: Definitely there has been an increase in the raw material prices. You cannot avoid it. What we had to

recast and what we analyzed, the forward sales or the forward purchases that we are trying to anticipate, almost 80% of that purchase is largely impacted by crude. So, there will be a crude impact, which will come into the picture, and it has come into the picture, and already a part of the cost ecosystem. But yes, we are trying to deviate, or we are trying to nullify the effect off by trying to create efficiencies and better productivity with our vendors and trying to change the mix and trying to change the filaments or the yarn mix in the product lines by some part. But still, there has been some increase in the prices. There will be some more increase. Some part of that is definitely getting passed into the product, but it is not going to be huge and which will impact the consumption of our consumers. That is how we are being a little more cautious and rigid on how do we pass it on.

Videesha Sheth: Just to clarify, till now there have been no changes in V -Mart's pricing. Right? Going forward, you all will be taking the same to some extent.

Lalit Agarwal: Till now and going forward is all a mix of what you have bought and what you will buy or what you are buying today. So, there is always a little bit movement. What you are buying today is the orders that you have placed four months back. What you will be buying tomorrow is going

to be something which is going to create more impact of the crude .

Videesha Sheth: Thanks.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from Ikigai Asset. Please go ahead.

Rahul Agarwal: Yes. Hi, good evening. Thank you so much for the opportunity. A few questions. Firstly, on the memo growth, very strong high double-digit growth last four, five quarters. Could you split that between old and new stores? Is the trend similar or is it very different? That's the first question.

Lalit Agarwal: Memo growth from a new store is all new memos. That is 100% growth, which is coming from new. Yes, the old stores definitely, as we are seeing the like-for-like growth where we are seeing 9% like-for-like growth coming in, almost 2% -3% coming out of ASP growth, which is increasing the ABS. Otherwise, everything is coming out from the memo growth. And the memo growth is coming definitely from larger inflow growth or customer footfall growth because we are also seeing a conversion being dropped a little bit. So, we are seeing real memo growth coming out of the customers who are really coming back and wanting to buy from us.

Rahul Agarwal: Okay. Let's say if the stores which have opened over the last 12 months are seeing similar memo growth versus stores which are more than 12 months old now. Is that fair?

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Lalit Agarwal: Rahul, see, you have to understand this, please. Stores which have not been operative in the last year in the same month definitely had no memos. The growth is 100% there. So, we are not comparing those stores. We are comparing like-for-like memo growth here. Overall memo growth you are already seeing. So, definitely the month-on-month we don't generally chase because it's a seasonality game. So, month-on-month growth doesn't happen. It is like-for-like year-on-year. That is largely coming from like-for-like.

Rahul Agarwal: I understood that. My bad. Just on the average transaction size, last two to three quarters, I think we have seen a revival. Now there is no more declining. Is that a sustainable trend going forward?

Lalit Agarwal: Definitely we want to keep that sustainable by increasing or bettering our services in the store, by bettering our product mixes, and even improving on the product lines which we believe are driving higher ASPs and are driving better or giving better products to the customer. So, I think all of that is inclusive in the ABS growth. The ticket size growth is certainly a better confidence increase

sing measure, wherein we are seeing some ASP growth because of mix change as well as we are seeing some UPT growth which is the unit per transaction, which is also growing.

Rahul Agarwal: Got it, Lalit. Just lastly, on this 90+ store number, this is a net number or the gross number?

Lalit Agarwal: Definitely it will be a gross number. When we are saying plus it may go a little extended. But yes, we don't intend to close down lot of stores. Yes, you may see 8 to 10 stores getting closed also this year.

Rahul Agarwal: Got it. Sorry, just the last thing on inventory. Of course, you have done a great job on optimizing that. Is there more to that number further or are we optimized now?

Lalit Agarwal: Rahul "Dil hai ki manta nahi" we have to work a lot and so, let us keep working, not narrate too many things.

Rahul Agarwal: All right. Thank you so much, sir, and all the best and congratulations, Anand, for your elevation and to Suraj as well. Thank you.

Moderator: Thank you. The next question is from the line of Sameer Gupta from IIFL Capital Services. Please go ahead.

Sameer Gupta: Hi, good evening, everyone, and thanks for taking my question. First of all, congrats on a good set of numbers. Sir, firstly, just wanted your color on these minimum wage hikes which have been announced in some of the states. I believe U.P. is a big state for us and even Karnataka now with Unlimited and we have seen a good quantum of minimum wage hikes announced there.

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One, how much of it is already there in this quarter number, I see an acceleration in employee cost increase. How much of it is remaining to be factored in coming quarters?

Lalit Agarwal: Definitely minimum wages growth is both as an opportunity as well as a challenge in terms of cost management and opportunity in terms of consumption enhancement. We believe that opportunity should be larger in the longer term. But yes, in the shorter term immediately, the minimum wages is impacting our salary bill and our wage bill. I think out of the three months we have already taken in the wage bill of two months, already included in this last quarter.

Certainly, there have been few more additions which are coming in. Karnataka still hangs in between whether it is acceptable or not acceptable. But still there will be an increase we are trying to generate betterment through either efficiency or better sales. We are trying to either

create better efficiency out of the same employees or the lower employees that we have. We are also trying to generate little bit of more sales. So, as a percentage of sales, the employee cost should not grow is our focus. So that is how we are trying to balance that out.

Sameer Gupta: Got it, sir. Just a follow-up here on Karnataka. One, has these been affected or is it under stay for the retail piece? I believe the garment piece also there has been some pause over there. Still if, let's say, the worst were to happen.

Lalit Agarwal: As of now it has not been implemented. It is on stay.

Sameer Gupta: On the retail side also, on your stores also?

Lalit Agarwal: Yes.

Sameer Gupta: Okay. On the garmenting piece, sir, right now, it was not included at all, but let's say worst were to happen, what is the vendor exposure to Karnataka?

Lalit Agarwal: Not too much. Maybe less than 5%.

Sameer Gupta: Got it, sir. That's helpful. When we say it's not affected, we have not also made any provisions for it, for the increase yet in our numbers.

Lalit Agarwal: In Karnataka? No.

Sameer Gupta: Yes.

Lalit Agarwal: And it is not too material.

Sameer Gupta: Fair, sir. Second question is on the raw material basket, and I know we touched upon this last time around also, but inflation and El Niño, not a good combination. How are you looking at it?

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First of all, what is the kind of

RM inflation right now that we are facing in the incremental orders that we are going for? More importantly, how are you approaching this? Is it like striking a balance between growth and margins for this year or let it be because this is likely to be a one-off year, and if margins are contracted in one year, let them be, we will recover it back when things normalize so what is the approach?

Lalit Agarwal: See, as I spoke earlier also while replying to Rahul. Basically, as I said, there is a price increase in the raw material or the yarn prices or the product prices, both from a crude perspective as well as the cotton prices have gone up. Increase in yarn is there. Increase in minimum wages is also there, increase in chemical prices, ink prices, and dye prices has also been there. There is a pressure, which is getting built up. There is certainly lot of tactical moves that we have to do in terms of managing the product lines or the cost of the product. We certainly have not tried to compromise on our margins yet with a very -very small exception. We are trying to create still more efficiency measures in trying to work on the product. There could have been a little bit of rise in the product prices also. We are seeing maybe around 10% rise in the overall raw material prices, out of which some prices are being passed on. Some prices are being discounted because of the efficiency measures that we are trying to suggest to the vendors. Overall, and maybe some margin loss that we are doing maybe to a percentage which is below 1%, maybe 0.5% -0.75% of margin compromise also that we have to do. So that is how we are trying to manage between all three.

Sameer Gupta: Got it. This 10% increase in RM includes a blended level of cotton yarn, polyester yarn, and other dyes that you mentioned?

Lalit Agarwal: Yes.

Sameer Gupta: Got it, sir. That's all from me. Thanks and all the best. I will come back in the queue for follow-ups.

Lalit Agarwal: Thank you, Sameer.

Moderator: Thank you. The next question is from the line of Ashish from Leo Capital. Please go ahead.

Ashish: Sir, congratulations on a great set of numbers. I had only one question. I wanted to know what sort of SSG does the management expect for this year?

Lalit Agarwal: Ashish, this is a very straightforward question. Very difficult for us to answer. Yes, we would definitely want to continue and better the last year's SSG that we had.

Ashish: High -single digits?

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Lalit Agarwal: Mid-to-high single digit, yes.

Ashish: Okay. Thank you, sir. That's all from my side. Yes.

Lalit Agarwal: Thank you, Ashish.

Moderator: The next question is from the line of Hitendra Pradhan from Maximal Capital. Please go ahead.

Hitendra Pradhan: I hope I am audible.

Lalit Agarwal: Yes.

Hitendra Pradhan: Sir, my question is with regards to the medium-term margin trajectory. What kind of -

Lalit Agarwal: Hitendra , you are breaking a little bit. Can you go to a better network?

Hitendra Pradhan: Yes, sir. Am I audible now?

Lalit Agarwal: Yes.

Hitendra Pradhan: Yes. Sir, my question is with regards to the margin trajectory. What kind of SSSG will you be needing for the operating leverage to kick in for next two, three years? Our mature cohort is kind of high, and so far, the SSSG has been really good. Going forward, with the inflation and all the cost pressures, what kind of SSSG you are targeting so that the margin expansion can happen?

Anand Agarwal: Hitendra , see inflation is not new for India and neither for us. Historically, we have seen and we have managed inflation every year. The form of inflation may vary. Sometimes it is related to oil, sometimes it is related to something else. But historically, what we have analyzed is that 3%-4% of SSG is enough to offset the inflationary pressures that we see. There is some amount of wage hike which

will happen every year. There is some amount of rental hike that will happen every year. In fact, most of the expenses that we have in the business, almost 98%, 95% of the expenses, are fixed in nature. Except for marketing, almost everything else is fixed. The inflationary pressure that we have seen is manageable whenever we have SSG of roughly around 3%-4%.

Hitendra Pradhan: Got it. Thank you, sir.

Moderator: Thank you. The next question is from the line of Avinash Karumanchi from Motilal Oswal. Please go ahead.

Avinash Karumanchi: Good evening, sir. Congratulations on the good set of numbers. Unlimited is seeming to do extremely well even compared to the core V-Mart. So, the gap between the core V-Mart and V-Mart Retail Limited
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Unlimited is coming down. So, shouldn't we see more acceleration in the store additions here because majority of the store additions so far are happening in the core V-Mart format.

Lalit Agarwal: Yes, Avinash. You are absolutely right. Unlimited business looks a little more attractive. Our ability to attract the lower mass audience or the lower age strata, the lower age group audience also has become better. Our things are working in the Unlimited market. Definitely, we would want to grow a little more larger there. It is also very challenging in Unlimited market to make a very good profitable expansion. So, we are certainly working a little more hard on trying to accelerate the rate of expansion in the Unlimited market.

Avinash Karumanchi: So, should we see a higher number of stores compared to last year? How should we see these going forward?

Lalit Agarwal: Yes. Certainly, we will have to see higher number of store opening compared to last year from the Southern market.

Avinash Karumanchi: Okay. Second thing, Unlimited rentals are generally higher than the core V-Mart. This quarter, actually, we are seeing a good improvement in the margins for Unlimited as well. With this, should we assume that in the next maybe couple of years, should we see margin gap between these two at a premium level should merge?

Lalit Agarwal: The margin gap where Unlimited , from a gross margin perspective, always has been delivering better gross margin because of the pricing change that we do there . On the EBITDA lines, certainly because of the old , aged ancestor stores where their cost levels were high, it used to deliver a little lower margin. But yes, slowly and gradually we are seeing almost similar margin. We are expecting almost similar margin should come in from both Unlimited as well as the V-Mart stores.

Avinash Karumanchi: Okay. That's it from my side. Thank you.

Lalit Agarwal: Thank you.

Moderator: Thank you. The next question is from the line of Kunal Bhatia from Dalal & Broacha Stock Broking Pvt Ltd. Please go ahead.

Kunal Bhatia: Yes, sir. Thanks for the opportunity and congrats on a very strong set of numbers. Sir, just an extension to your comments on the gross margin per se. Sir, you did mention even in the last quarter that we will be doing some bit of tactical moves as far as the kind of garmenting we use or the kind of fabric we use to control the kind of gross margins we have. Sir, on an overall basis, looking at the kind of raw material impact the industry is going through, what is the kind of risk do you foresee, especially on the gross margin end for the year in general? Do you expect that V-Mart Retail Limited
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we would be able to hit the same kind of gross margins which we did in the last year, or we still carry the risk of that getting impacted?

Lalit Agarwal: I think we are very confident. There may be like this quarter also we are reporting 0.9% lower gross margin. But definitely, it is not because of the cost of the product, or it is not because of

the higher discounting , it is more because of the higher provisioning

that we are doing for our inventory. But yes, similarly, we will always be little more buoyant on our sales or on our revenue, or on our customer proposition, or even on our freshness. We will want to retain that. We will still try to work more on the rupee gross margin rather than the percentage gross margin. That is what our focus is now, and that is what we are focusing on. Even if we are growing at a rupee gross margin by a healthy number, that is what we are trying to drive. But for us, important thing is also to drive a little better customer proposition and give the customer a little better confidence over the prices. That is also very important because we saw that in the year 2022 - 2023, we remember that. Where we had increased the prices, but the customer did not pay us, and then we had massively demotivated the customer in that point of time. We don't want to take a complete call. But overall, the risk over the gross margin may not be very high, but the risk over the supply chain could be little higher. That in the same gross margin, how are you able to generate or better have the consistent supply chain in the system? That is going to be a little higher because the scarcity of crude continues. The pricing remains really unstable. So, for our vendor to close the supply chain in the backward side and then integrate and deliver it to our warehouses at the right time, that should be the most important challenge that we are trying to focus on and that is the risk that we see in the forward times. We are very careful. We are very conscious of that, and we are working with teams. Our team is working with the vendors so that we are able to get our deliveries on time so as to make our festivals good.

Kunal Bhatia: Right, sir. Sir, any, say, a range which we are looking for in terms of price increases? Sir, like you rightly mentioned last time when we had taken a slightly higher price increase, the kind of customers we service to does get shifted to the other players.

Lalit Agarwal: So, we should not exceed 3% -5%. A range between 3% -5% of ASP increase is what something that we are focusing on, wherein there is a mix change also, as we have already reported 2% increase this year within this quarter. There is a mix change also which is driving this, and there is some amount of inflation which will also kick in here. Because of the inflation 2% -2.5% of price increase can come in on an overall level.

Kunal Bhatia: Okay. Perfect, sir. Thank you so much, sir, and all the best.

Lalit Agarwal: Thank you, Kunal.

Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the Management for closing comments.

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Lalit Agarwal: Thank you once again. Thank you, everyone. I definitely continue to seek support from all the shareholders, from all the analysts in trying to understand our business model in the right way.

We definitely are building a long-term business. We continue to learn, correct, and improve because in retail, the work is never complete, and we will continue doing all of that. Thank you so much. Have a great day.

Anand Agarwal: Thank you.

Moderator: On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.